

TAB 17



Board of Education Report

File #: Rep-373-24/25, **Version:** 1
In Control: Business & Finance Division

Agenda Date: 6/3/2025

Resolution of the Board of Education of the Los Angeles Unified School District Approving the Sales of a Previously Authorized Judgment Obligation Bonds, and Related Documents and Actions, including an Official Statement, Pursuant to the Judgment Refunding Program.

Business and Finance Division

Brief Description:

(Authorization of a Resolution of the Board of Education of the Los Angeles Unified School District Approving the Sales of a Previously Authorized Judgment Obligation Bonds, and Related Documents and Actions, including an Official Statement, Pursuant to the Judgment Refunding Program) Recommends approval for the issuance of an additional series of Judgment Obligation Bonds to refund all or a portion of significant tort liability obligations from AB 218 and similar claims. The issuance of Additional JOBs is limited to the parameters included in the Board-approved Judgment Refunding Resolution.

Action Proposed:

Approve the attached resolution (Attachment A) (the “Judgment Obligation Bond Sales Resolution”) relating to the sales of additional series of judgment obligation bonds (the “Additional JOBs”) in accordance with the previously approved program to refund all or a portion of significant involuntary tort liability obligations arising as a result of litigation brought by application of California Assembly Bill Number 218 (“AB 218”) and similar childhood sexual assault, abuse and/or molestation claims for tort liability (the “Judgment Refunding Program”), and authorize the designated officers as described in the attached resolution. The issuance of Additional JOBs is limited to the parameters included in the Board-approved Judgment Refunding Resolution (defined below).

Background:

On June 18, 2024, the Board approved the issuance of Judgment Obligation Notes, Judgment Obligation Bonds and a revolving line of credit as part of the Judgment Refunding Program to refund anticipated significant involuntary tort liability obligations arising as a result of litigation brought by application of AB 218 and similar claims for tort liability, as well as the judicial validation of such obligations (the “Judgment Refunding Resolution”). Pursuant to the Judgment Refunding Resolution, the Board has authorized the issuance of judgment obligation bonds from time to time subject to certain limitations contained therein, including the issuance of the Additional JOBs

Pursuant to the Judgment Refunding Resolution, in June 2024, the District filed a complaint in the Superior Court of the State of California for the County of Los Angeles seeking judicial confirmation of the validity of the transactions contemplated in the Judgment Refunding Resolution, including, without limitation, judgment obligation bonds and the execution and delivery of an Indenture, Supplemental Indentures, a Revolving Credit Agreement and related Promissory Notes. The requested judgment in the validation action has been judicially approved and the period for appeals has now run.

The first issuance of judgment obligation bonds is intended to be completed in July 2025 in order to refund tort claims arising under AB 218, as well as refund certain tax and revenue anticipation notes issued to pay AB 218 tort claims while the validation action was pending. The Judgment Obligation Bond Sales Resolution poises the District to be ready for subsequent sales of judgment obligation bonds as and when necessary, from time to time, under the Judgment Refunding Resolution, in order to refund tort liability obligations arising under AB 218 which continue to arise.

Expected Outcomes:

Approval of the Judgment Obligation Bond Resolution will authorize the sales of subsequent series of judgment obligation bonds already authorized to be issued under the Judgment Refunding Resolution.

Given the potential liability amounts likely to result from the AB 218 tort claims discussed above, payment of such obligations in full upon conclusion of the related litigation would result in significant impacts to the District's budgetary resources in fiscal year 2025-26 and future fiscal years. The Additional JOBs would be sold to refund the tort liability obligations and amortize the liability over time, therefore, lessening potential impacts to the District's core education programs in the near term.

Board Options and Consequences:

Should the Board not approve this item, staff will not proceed with additional sales of judgment obligation bonds to pay the tort claims discussed above. In such case, the liability resulting from the tort claims will generally be payable in full as and when the litigation with respect to each claim is concluded from any available moneys of the District. Depending on the timing and size of the liabilities, District budgetary resources may need to be shifted away from programs to pay such liabilities.

Policy Implications:

This action is in compliance with the relevant criteria set forth in Article I, Article II Section 2.02, and Article IV Section 4.12 of the Debt Management Policy.

Budget Impact:

The Additional JOBs will be obligations of the District, payable from general fund balances and revenues. However, given the potential liability amounts likely to result from the tort claims discussed above, payment of such obligations in full upon conclusion of the related litigation would result in significant impacts to the District's budgetary resources in fiscal year 2025-26 and future fiscal years. The Judgment Refunding Program, including sales of Additional JOBs, has been established to mitigate and manage these impacts by refunding the tort liability obligations and amortizing the liability over time, therefore, lessening any potential impacts to the District's core education programs in the near term.

Student Impact:

Sales of the Additional JOBs will further the goals of the Judgment Refunding Program of mitigating and managing impacts to the District's budgetary resources in the current and future fiscal years by refunding expected tort liability obligations and amortizing the liability over time, therefore, lessening any potential impacts to the District's core education programs in the near term.

Equity Impact:

Component	Score	Score Rationale
Recognition	4	The Judgment Refunding Program actively recognizes historical inequities by addressing the involuntary tort liability obligations arising from AB 218 and similar claims for tort liability. These obligations result from alleged misconduct by District personnel and have led to significant legal liabilities for the District.
Resource Prioritization	4	The Judgment Refunding Program effectively prioritizes resources based on need. The program is designed to manage the significant financial impact of tort liability obligations on the District's budget, thereby ensuring that resources can continue to be allocated effectively to meet the needs of students and the wider school community. The Notes as a means of temporary finance is designed to manage the potential financial impact of the Involuntary Tort Claims on the District's budget, thereby ensuring that resources can continue to be allocated effectively to meet the needs of students and the wider school community.
Results	3	The Judgment Refunding Program is likely to result in closed opportunity gaps. By managing the financial impact of significant tort liability obligations, the program helps ensure that the District can continue to provide essential services and opportunities to students, particularly those from underserved communities. The Notes, as an interim component to the Judgment Refunding Program, are likely to result in closed opportunity gaps. By managing the financial impact of potential tort liability obligations, application of the Note proceeds will help to ensure that the District can continue to provide essential services and opportunities to students, particularly those from underserved communities.
TOTAL	11	

Issues and Analysis:

Approval of the Judgment Obligation Bond Sales Resolution will enable the District to sell an additional series of judgment obligation bonds under the Judgment Refunding Program, which will help manage the financial impact of the tort liability obligations. Sales of the Additional JOBs will allow the District to spread the liability over time, mitigating the immediate financial impact.

Attachments:

Attachment A - Judgment Obligation Bond Sales Resolution
Attachment B - Preliminary Official Statement
Attachment C - Appendix A to the Preliminary Official Statement

Submitted:

05/29/25, Revision # 1

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In Control: Business & Finance Division

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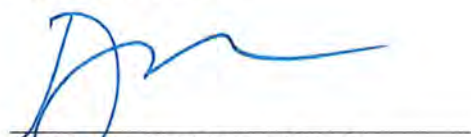
RESPECTFULLY SUBMITTED,


 ALBERTO M. CARVALHO
 Superintendent

APPROVED & PRESENTED BY:


 PEDRO SALCIDO
 Deputy Superintendent
 Office of the Deputy Superintendent

REVIEWED BY:


 DEVORA NAVERA REED
 General Counsel

✓ Approved as to form.

APPROVED & PRESENTED BY:


 CHRISTOPHER D. MOUNT-BENITES
 Chief Financial Officer
 Business and Finance Division

REVIEWED BY:


 NOLBERTO DELGADILLO
 Deputy Chief Financial Officer

✓ Approved as to budget impact statement.

RESOLUTION NO. _____

RESOLUTION OF THE BOARD OF EDUCATION OF THE LOS ANGELES UNIFIED SCHOOL DISTRICT APPROVING THE SALES OF PREVIOUSLY AUTHORIZED JUDGMENT OBLIGATION BONDS, AND RELATED DOCUMENTS AND ACTIONS, INCLUDING AN OFFICIAL STATEMENT, PURSUANT TO THE JUDGMENT REFUNDING PROGRAM

WHEREAS, on June 18, 2024, this Board of Education (the "Board") of the Los Angeles Unified School District (the "District") adopted a Resolution (the "Authorizing Resolution") approving the issuance of those certain Los Angeles Unified School District Judgment Obligation Bonds, from time to time, in one or more series, each on a federally tax-exempt or taxable basis (the "Bonds"), an Indenture (the "Indenture"), by and between the District and a trustee (the "Trustee"), one or more Supplemental Indentures (each, a "Supplemental Indenture"), by and between the District and the Trustee, one or more revolving credit agreements (the "Revolving Credit Agreements") pursuant to which related promissory notes (the "Notes") would be issued and related documents for the purpose of refunding certain obligations arising either directly or indirectly as a result of pending and anticipated litigation brought by application of California Code of Civil Procedure Section 340.1 and California Assembly Bill Number 218, chaptered by the California Secretary of State on October 13, 2019 ("AB 218") and similar childhood sexual assault, abuse and/or molestation claims for tort liability; and

WHEREAS, on June 20, 2024, the District filed a complaint in the Superior Court of the State of California for the County of Los Angeles seeking judicial confirmation of the validity of the transactions contemplated in the Authorizing Resolution, including, without limitation, the Bonds and the execution and delivery of the Indenture, any Supplemental Indentures, the Revolving Credit Agreements and the Notes, and any and all contracts and agreements executed and delivered in connection therewith, all with respect to the refunding of certain obligations of the District arising under the final judgments or orders for monetary damages against the District following concluded litigation or stipulated settlement (each such judgment or order which is entered against the District by the applicable court or courts and which is not subject to appeal or further appeal, or which the District has indicated that it will not appeal, being referred to herein as, a "Judgment" and, collectively, the "Judgments"); and

WHEREAS, on April 24, 2025, judgment was entered in favor of the District to the effect, among other things, that the District has the authority under California law to issue the Bonds, and that the Bonds, the Indenture, the Supplemental Indentures, the Notes and the Revolving Credit Agreements are valid, legal, and binding obligations of the District under California law. Pursuant to Section 870 of the California Code of Civil Procedure and Rule 2(a) of the California Rules of Court, the period during which a notice of appeal to this judgment could be timely filed has expired and the judgment is binding and conclusive in accordance with California law; and

WHEREAS, pursuant to the Authorizing Resolution, the District intends to sell additional series of Bonds, in one or more sub-series, either on a federally tax- exempt or taxable basis, with such further series designations as are useful and beneficial to the sale of such Bonds (the "Subsequent Series Bonds"), to represent the aggregate amounts to be payable, to certain claimants and/or plaintiffs which obtain such Judgments (each a "Judgment Obligeee" and, collectively, the "Judgment Obligees") in satisfaction of Judgments, without limitation, amounts payable to (a) a Lender or other holders of Notes then outstanding and issued in satisfaction of any Judgment or Judgments (including, without limitation, the obligation to pay all amounts allocable, as and when due and owing under the related Notes, and costs of issuance of such Notes (including underwriter's discount or placement agent fee)), (b) Judgment Obligees directly in satisfaction of any Judgment or Judgments, and (c) related costs of issuance of such Series 2025B Bonds (including underwriter's discount or placement agent fee and bond insurance premium, if any); and

WHEREAS, the Bonds, including the Subsequent Series Bonds, the Notes and the obligation to pay all amounts due and owing with respect to the Bonds and the Notes, and to pay all interest thereon at the applicable interest rates to be set forth in any Revolving Credit Agreement, any the Notes, the Indentures, the Supplemental Indentures and the Bonds, including the Subsequent Series Bonds, when due are obligations of the District imposed by law and are absolute and unconditional, without any right of set-off or counterclaim; and

WHEREAS, the Board has determined that securing the timely payment of the principal of and interest on any Subsequent Series Bonds by obtaining a bond insurance policy with respect thereto could be economically advantageous to the District; and

WHEREAS, this Board deems it necessary and desirable to authorize the sales of the Subsequent Series Bonds by a negotiated sale pursuant to a bond purchase agreement (such bond purchase agreement, in the form approved in the Authorizing Resolution, with such changes, insertions and omissions as are made pursuant to the Authorizing Resolution, being referred to herein as, the "Bond Purchase Agreement") to be entered into with one or more of the underwriters from the District's underwriter bench (each, an "Underwriter" and, collectively, the "Underwriters") as selected as herein provided; and

WHEREAS, Rule 15c2-12 promulgated under the Securities Exchange Act of 1934 ("Rule 15c2-12") requires that, in order to be able to purchase or sell bonds, the underwriters thereof must have reasonably determined that the issuer or other obligated person has undertaken in a written agreement or contract for the benefit of the holders of such bonds to provide disclosure of certain financial and operating information and certain enumerated events on an ongoing basis; and

WHEREAS, in order to cause such requirement to be satisfied, the District desires to execute and deliver a continuing disclosure certificate (such continuing disclosure certificate, in the form approved in the Authorizing Resolution, with such changes, insertions and omissions as are made pursuant to the Authorizing Resolution, being referred to herein as, the "Continuing Disclosure Certificate"); and

WHEREAS, the Preliminary Official Statement to be distributed in connection with any Subsequent Series Bonds has been prepared (such Preliminary Official Statement, in the substantially the form presented to this meeting, with such changes, insertions and omissions as are made pursuant to this Resolution and are necessary for the marketing and sale of such Subsequent Series Bonds, being referred to herein as, the "Preliminary Official Statement"); and

WHEREAS, the Board has considerable discretion in the exercise of its powers with respect to its operating budget and the management of its fiscal affairs; and

WHEREAS, the Board has been presented with the form of each document referred to herein relating to the actions contemplated hereby, and the Board has examined and approved each document and desires to authorize and direct the execution of such documents and the consummation of such actions; and

WHEREAS, all acts, conditions and things required by the Constitution and laws of the State of California to exist, to have happened and to have been performed precedent to and in connection with the consummation of such financings authorized by the Authorizing Resolution and hereby do exist, have happened and have been performed in regular and due time, form and manner as required by law, and the District is now duly authorized and empowered, pursuant to each and every requirement of law, to consummate such financings for the purpose, in the manner and upon the terms in the Authorizing Resolution and herein provided;

NOW, THEREFORE, THE BOARD OF EDUCATION OF THE LOS ANGELES UNIFIED SCHOOL DISTRICT, DOES HEREBY RESOLVE, DETERMINE AND ORDER AS FOLLOWS:

Section 1. All of the recitals herein contained are true and correct and the Board so finds.

Section 2. The Board hereby finds and declares that the entering into the actions contemplated by this Resolution, are in the best interests of the District, necessary in the management of its fiscal affairs.

Section 3. The sale of Subsequent Series Bonds, as specified in a Supplemental Indenture, for the purpose of refunding amounts payable to

(a) a Lender or other holders of Notes then outstanding and issued in satisfaction of any Judgment or Judgments from time to time (including, without limitation, the obligation to pay all amounts allocable, as and when due and owing under the related Notes, Revolving Credit Agreement, and Fee Agreement, and costs of issuance of such Notes (including underwriter's discount or placement agent fee)),

(b) Judgment Obligees directly in satisfaction of any Judgment or Judgments from time to time, and

(c) holders of Bonds then outstanding which previously refunded any Notes, Judgment or Judgments, and/or any previously issued Bonds from time to time on the terms and conditions set forth in, and subject to the limitations specified in, the Indenture and, as applicable, a Supplemental Indenture, is hereby authorized and approved. The Series 2025B Bonds shall be dated, shall bear interest at the rates, shall mature on the dates, shall be subject to call and redemption, shall be issued in the form and shall be as otherwise provided in the First Supplemental Indenture, as the same shall be completed as provided in the Authorizing Resolution.

Section 4. The Board hereby authorizes the sales of Subsequent Series Bonds by negotiated sale pursuant to the Bond Purchase Agreement. The Underwriters shall be selected, at the time of sale of such Subsequent Series Bonds in accordance with the Debt Management Policy. In connection with each negotiated sale of Subsequent Series Bonds, the Chief Financial Officer is hereby further authorized to designate which Underwriters shall act as senior manager(s), co-senior manager(s) and co-manager(s) in accordance with the Debt Management Policy.

Section 5. The Preliminary Official Statement to be distributed in connection with each sale of Subsequent Series Bonds, substantially in the form on file with the Executive Officer of the Board, with such changes, insertions and omissions therein as may be approved by an Authorized Officer, is hereby approved, and the use of such Preliminary Official Statement by the Underwriters in connection with the offering and sale of Subsequent Series Bonds is hereby authorized and approved. The Authorized Officers are each hereby authorized to certify on behalf of the District that such Preliminary Official Statement is deemed final as of its date, within the meaning of Rule 15c2-12 (except for the omission of certain final pricing, rating and related information as permitted by Rule 15c2-12). If and to the extent it is necessary to make substantial changes to the Preliminary Official Statement prior to the offering and sale of each series of Subsequent Series Bonds, the use of the Preliminary Official Statement in connection with the offering and sale of such Subsequent Series Bonds, and the certification of its finality within the meaning of Rule 15c2-12 by an Authorized Officer, shall follow the distribution to the Board of a revised draft of the Preliminary Official Statement with accompanying directions and instructions to members of the Board to review the revised Preliminary Official Statement.

Section 6. The preparation and delivery of an Official Statement with respect to each series of Subsequent Series Bonds, and its use by the Underwriters in connection with the offering and sale of such Subsequent Series Bonds, is hereby authorized and approved. Such Official Statement shall be in substantially the form of the Preliminary Official Statement

distributed in connection with the public offering of such Subsequent Series Bonds with such changes, insertions and omissions therein as may be approved by an Authorized Officer, such approval to be conclusively evidenced by the execution and delivery thereof. The Authorized Officers are each hereby authorized and directed, for and in the name of and on behalf of the District, to execute the Official Statement and any amendment or supplement thereto and thereupon to cause the Official Statement and any such amendment or supplement to be delivered to the Underwriters.

Section 7. The Authorized Officers are, and each of them is, hereby authorized to enter into credit enhancement agreements such as municipal bond insurance, surety bonds, letters of credit, and lines of credit with commercial banks, municipal bond insurance companies, or other financial entities when their use is judged to lower borrowing costs, eliminate restrictive covenants, or have a net economic benefit to the financing. The District shall use a competitive process to select providers of such products to the extent applicable. To assure that the District uses credit enhancement cost-effectively, the Chief Financial Officer will review an economic analysis, by maturity where appropriate, prepared by the municipal advisor before selecting which maturities to insure. The Authorized Officers are, and each of them is, hereby authorized and directed, for and in the name and on behalf of the District, to execute and deliver a contract for such insurance if such contract is deemed by the Authorized Officer executing the same to be in the best interests of the District, such determination to be conclusively evidenced by such Authorized Officer's execution and delivery of such contract.

Section 8. The Authorized Officers are hereby authorized and directed, jointly and severally, to do any and all things which they may deem necessary or advisable in order to consummate the transactions herein authorized and otherwise to carry out, give effect to and comply with the terms and intent of this Resolution.

Section 9. All actions heretofore taken by the officers, employees, and agents of the District with respect to the transactions set forth in the Authorizing Resolution and above are hereby approved, confirmed, and ratified.

Section 10. The Board hereby approves the execution and delivery of all agreements, documents, certificates and instruments referred to herein with electronic signatures as may be permitted under the California Uniform Electronic Transactions Act and digital signatures as may be permitted under Section 16.5 of the California Government Code using DocuSign.

Section 11. This Resolution shall take effect from and after its date of adoption.

PASSED AND ADOPTED this 3rd day of June, 2025, by the Board of Education of the Los Angeles Unified School District.

By: _____
Executive Officer, Board of Education

EXECUTIVE **OFFICER'S** CERTIFICATE

I, Michael McLean, Executive Officer of the Board of Education of the Los Angeles Unified School District, County of Los Angeles, California, hereby certify as follows:

The attached is a full, true and correct copy of a resolution duly adopted at a regular meeting of said Board of Education of said District duly and regularly held at the regular meeting place thereof on June 3, 2025, at which meeting all of the members of said Board of Education had due notice and at which a quorum thereof was present; and at said meeting said resolution was adopted by the following vote:

AYES:

NOES:

ABSTAIN:

ABSENT:

An agenda of said meeting was posted at least 72 hours before said meeting at 333 South Beaudry Avenue, Los Angeles, California, a location freely accessible to members of the public, and a brief description of said resolution appeared on said agenda. A copy of said agenda is attached hereto.

I have carefully compared the same with the adopted resolution on file and of record in my office. Said resolution has not been amended, modified or rescinded since the date of its adoption, and the same is now in full force and effect.

WITNESS my hand this 3rd day of June, 2025.

By: _____
Executive Officer of the Board of
Education of Los Angeles Unified
School District

This Preliminary Official Statement and the information contained herein are subject to completion and amendment. Under no circumstances shall this Preliminary Official Statement constitute an offer to sell or the solicitation of an offer to buy, nor shall there be any sale of these securities, in any jurisdiction in which such offer, solicitation or sale would be unlawful.

PRELIMINARY OFFICIAL STATEMENT DATED _____, 2025

NEW ISSUE
FULL BOOK-ENTRY

RATINGS: Fitch : "[]"
Moody's : "[]"
(See "RATINGS" herein)

[DAC Logo]

In the opinion of Dannis Woliver Kelley, Bond Counsel to the District, under existing law, interest on the Bonds is exempt from personal income taxes of the State of California. Bond Counsel also observes that interest on the Bonds for federal income tax purposes will not be excludable from the gross income of the owners thereof pursuant to section 103 of the Internal Revenue Code of 1986, as amended to the date of initial delivery of the Bonds. See "TAX MATTERS" herein.

\$ _____ *

[District
Logo]

**LOS ANGELES UNIFIED SCHOOL DISTRICT
JUDGMENT OBLIGATION BONDS, SERIES 2025B
(Federally Taxable)**

Dated: Date of Delivery

Due: [October] 1, as described herein

This cover page contains information for reference only. Investors must read the entire Official Statement to obtain information essential in making an informed investment decision. Capitalized terms used in this cover page shall have the meanings given such terms herein.

The Los Angeles Unified School District Judgment Obligation Bonds, Series 2025B, in the aggregate principal amount of \$ _____* (the "Series 2025B Bonds"), are being issued by the Los Angeles Unified School District (the "District") pursuant to the provisions of Articles 10 and 11 (commencing with Section 53570) of Chapter 3 of Division 2 of Title 5 of the California Government Code and all laws amendatory thereof or supplemental thereto (the "Act") and under that certain Indenture, (the "Original Indenture"), dated as of _____ 1, 2025, by and between the District and _____, as trustee (the "Trustee"), as supplemented by that certain First Supplemental Indenture (the "First Supplement," and, together with the Original Indenture, the "Indenture"). The Series 2025B Bonds are being issued to refund the District's obligation under certain court approved settlement agreements and certain Series 2025B Notes (as defined herein) issued in satisfaction of a court approved settlement agreement (collectively, the "Series 2025B Judgments") to make payments to certain persons (the "Series 2025B Judgment Obligees"). The obligation of the District to pay the Series 2025B Bonds to finance and refinance these obligations is an existing obligation of the District and is an obligation imposed by law. See "THE JUDGMENTS AND THE PLAN OF FINANCE" and "ESTIMATED SOURCES AND USES OF FUNDS" herein. Pursuant to the Indenture, additional bonds ("Additional Bonds") may be issued by the District on a parity with the Series 2025B Bonds, as described in this Official Statement. The Series 2025B Bonds and any such Additional Bonds are collectively referred to as the "Bonds."

The obligations of the District under the Bonds and under the Indenture, including the obligation to make all payments of the interest on and the principal of the Bonds when due are obligations of the District imposed by law and are absolute and unconditional, without any right of set-off or counterclaim. The Bonds do not constitute an obligation of the District for which the District is obligated to levy or pledge any form of taxation or for which the District has levied or pledged any form of taxation, and neither the Bonds nor the obligation of the District to make payment of the interest on or the principal of the Bonds constitutes an indebtedness of the District or the State of California, or any of its political subdivisions, in contravention of any constitutional or statutory debt limitation or restriction.

The Series 2025B Bonds will be dated as of their initial date of delivery and will mature on [October] 1 of each year and in the amounts and will bear interest (calculated on the basis of a 360-day year comprised of twelve 30-day months) at the rates per annum set forth on the inside front cover page hereof. Interest on the Series 2025B Bonds will be payable on [April] 1 and [October] 1 of each year, commencing [October 1, 2026], so long as any Series 2025B Bonds remain Outstanding. See "THE SERIES 2025B BONDS" herein.

The Series 2025B Bonds will be initially delivered only in book-entry form and will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York ("DTC"), which will act as securities depository for the Series 2025B Bonds. Individual purchases of the Series 2025B Bonds will be made in book-entry form only. Purchasers of Series 2025B Bonds will not receive physical certificates representing their ownership interests in the Series 2025B Bonds purchased. The Series 2025B Bonds will be delivered in denominations of \$5,000 or any integral multiple thereof. Principal and interest payments on the Series 2025B Bonds are payable directly to DTC by the Trustee. Upon receipt of payments of principal and interest on the Series 2025B Bonds, DTC will in turn distribute such payments to DTC Participants for subsequent disbursement to the beneficial owners of the Series 2025B Bonds. See "THE SERIES 2025B BONDS – Book-Entry Only System" and APPENDIX G – "BOOK-ENTRY-ONLY SYSTEM."

[The Series 2025B Bonds are subject to redemption prior to maturity as described herein. See "THE SERIES 2025B BONDS – Redemption."]

See "RISK FACTORS" for a discussion of factors that should be considered, in addition to the other matters set forth herein, in evaluating the investment quality of the Series 2025B Bonds.

MATURITY SCHEDULE – See Inside Cover

The Series 2025B Bonds will be offered when, as and if issued, and received by the Underwriter, subject to the approval as to their legality by Dannis Woliver Kelley, Long Beach, California, Bond Counsel to the District, and certain other conditions. Certain legal matters will be passed upon for the District by the General Counsel to the District and by Dannis Woliver Kelley, Long Beach, California, Disclosure Counsel to the District, and for the Underwriter by [_____] , [CITY, STATE]. It is anticipated that the Series 2025B Bonds, in book-entry form, will be available for delivery through the facilities of DTC on or about _____, 2026.

[UW LOGO]

Dated: _____, 2026.

* Preliminary, subject to change.

MATURITY SCHEDULE*

\$ _____
LOS ANGELES UNIFIED SCHOOL DISTRICT
JUDGMENT OBLIGATION BONDS, SERIES 2025B
(Federally Taxable)

BASE CUSIP[†]: 544648

Maturity Date ([October 1])	Principal Amount	Interest Rate	Yield	CUSIP [†] Number
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* Preliminary, subject to change.

[†] CUSIP® is a registered trademark of The American Bankers Association. CUSIP Global Services (CGS) is managed on behalf of The American Bankers Association by FactSet Research Systems Inc. Copyright© 2025 CUSIP Global Services. All rights reserved. CUSIP® data herein is provided by CUSIP Global Services. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. CUSIP® numbers are provided for convenience of reference only. None of the District, the Underwriter or their respective agents or counsel assume responsibility for the accuracy of such numbers.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
BOARD OF EDUCATION**

<u>District</u>	<u>Member</u>	<u>Term Ending</u>
3	Scott Schmerelson, President	December 10, 2028
2	Dr. Rocio Rivas, Vice President	December 13, 2026
1		December 10, 2028
4	Nick Melvoin	December 13, 2026
5	Karla Griego	December 10, 2028
6	Kelly Gonez	December 13, 2026
7	Tanya Ortiz Franklin	December 10, 2028

DISTRICT OFFICIALS

Alberto M. Carvalho, *Superintendent*
Jaime G. Torrens, *Senior Advisor to the Superintendent*
Pedro Salcido, *Deputy Superintendent of Business Services and Operations*
Devora Navera Reed, *General Counsel*
Christopher D. Mount-Benites, *Chief Financial Officer*
Nolberto Delgadillo, *Deputy Chief Financial Officer*
Ernie Thomas, *Controller*
Timothy S. Rosnick, *Deputy Controller*

PROFESSIONAL SERVICES

Bond and Disclosure Counsel

Dannis Woliver Kelley
Long Beach, California

Municipal Advisor

Public Resources Advisory Group
Los Angeles, California

Counsel to the District

Office of the General Counsel
Los Angeles, California

Trustee

[U.S. Bank Trust Company, National Association]
Los Angeles, California

No dealer, broker, salesperson, or other person has been authorized by the District or the Underwriter to give any information or to make any representations with respect to the Series 2025B Bonds other than those contained in this Official Statement and, if given or made, such other information or representations must not be relied upon as having been authorized by the District or the Underwriter. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy nor shall there be any sale of the Series 2025B Bonds by a person in any jurisdiction in which it is unlawful for such person to make such an offer, solicitation, or sale.

This Official Statement is not to be construed as a contract with the purchasers of the Series 2025B Bonds. Statements contained in this Official Statement which involve estimates, forecasts or matters of opinion, are intended solely as such and are not to be construed as representations of fact.

The information contained herein has been obtained from sources that are believed to be reliable. The information and expressions of opinion herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, give rise to any implication that there has been no change in the affairs of the District since the date hereof.

The Underwriter has provided the following sentence for inclusion in this Official Statement. The Underwriter has reviewed the information in this Official Statement in accordance with, and as part of, their respective responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information.

THE SERIES 2025B BONDS HAVE NOT BEEN REGISTERED WITH THE U.S. SECURITIES AND EXCHANGE COMMISSION UNDER THE SECURITIES ACT OF 1933, AS AMENDED, NOR HAS THE INDENTURE BEEN QUALIFIED UNDER THE TRUST INDENTURE ACT OF 1939, AS AMENDED, IN RELIANCE UPON EXEMPTIONS CONTAINED IN SUCH ACTS.

When used in this Official Statement or in any continuing disclosure by the District, in any press release by the District or in any oral statement made with the approval of an authorized officer of the District, the words or phrases “will likely result,” “are expected to,” “will continue,” “is anticipated,” “estimate,” “project,” “forecast,” “expect,” “intend” and similar expressions identify “forward-looking statements.” Such statements are subject to risks and uncertainties that could cause actual results to differ materially from those contemplated in such forward looking statements. Any forecast is subject to such uncertainties. Inevitably, some assumptions used to develop the forecasts will not be realized and unanticipated events and circumstances may occur. Therefore, there are likely to be differences between forecasts and actual results, and those differences may be material.

The District maintains a website at www.lausd.org. However, reference to such website address is for informational purposes only. Unless specified otherwise, such website and the information or links contained therein are not incorporated by reference herein, should not be relied upon in making an investment decision with respect to the Series 2025B Bonds, and are not part of this Official Statement for purposes of and as that term is defined in Rule 15c2-12 adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934.

CUSIP® is a registered trademark of The American Bankers Association. CUSIP Global Services (CGS) is managed on behalf of The American Bankers Association by FactSet Research Systems Inc. CUSIP data herein is set forth for convenience of reference only. The District and the Underwriter assume no responsibility for the selection or uses of the CUSIP data or for the accuracy or correctness of such data. The CUSIP numbers for the Series 2025B Bonds are subject to being changed after the delivery of the Series 2025B Bonds as a result of various subsequent actions.

The Underwriter may offer and sell the Series 2025B Bonds to certain securities dealers and dealer banks and banks acting as agent at prices lower than the public offering prices stated on the inside cover page hereof and said public offering prices may be changed from time to time by the Underwriter.

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OFFICIAL STATEMENT

\$[_____]*

LOS ANGELES UNIFIED SCHOOL DISTRICT
JUDGMENT OBLIGATION BONDS, SERIES 2025B
(Federally Taxable)

INTRODUCTION

This Introduction is not a summary of this Official Statement. It is only a brief description of, and is qualified by, more complete and detailed information contained in the entire Official Statement, including the cover page and inside cover page, through the appendices hereto, and the documents summarized or described herein. The offering of the Series 2025B Bonds to potential investors is made only by means of the entire Official Statement. A full review should be made of the entire Official Statement

This Official Statement (which includes the cover page, inside cover page, and Appendices hereto) (this “Official Statement”), sets forth certain information concerning the issuance by the Los Angeles Unified School District (the “District”) of its Los Angeles Unified School District Judgment Obligation Bonds, Series 2025B (Federally Taxable), in the aggregate principal amount of \$_____ (the “Series 2025B Bonds”). The Series 2025B Bonds are being issued pursuant to the provisions of Articles 10 and 11 (commencing with Section 53570) of Chapter 3 of Division 2 of Title 5 of the California Government Code and all laws amendatory thereof or supplemental thereto (the “Act”) and under that certain Indenture, dated as of _____ 1, 2025 (the “Original Indenture”), as supplemented by that certain First Supplemental Indenture, dated as of _____, 2025 (the “First Supplement,” and, together with the Original Indenture, the “Indenture”), by and between the District and [U.S. Bank Trust Company, National Association], as trustee (the “Trustee”).

The Series 2025B Bonds are being issued to refund the District’s obligation under [a] court approved settlement agreement(s) and certain Series 2025B Notes (as defined herein) issued in satisfaction of a court approved settlement agreements (the “Series 2025B Judgments”), as a result of litigation brought by application of California Code of Civil Procedure Section 340.1 and California Assembly Bill Number 218, chaptered by the California Secretary of State on October 13, 2019 (“AB 218”), to make payments to certain persons (the “Series 2025B Judgment Obligees”). The obligation of the District to pay the Series 2025B Bonds to refinance the District’s obligations to the Series 2025B Judgment Obligees pursuant to the terms of the Series 2025B Judgments is an existing obligation of the District and is an obligation imposed by law. See “THE JUDGMENTS AND THE PLAN OF FINANCE.”

Pursuant to the Indenture, additional bonds (“Additional Bonds”) may be issued by the District on a parity with the Series 2025B Bonds, as described in this Official Statement to refund obligations pursuant to the terms of any similar court approved settlement agreement (the “Judgments”), as a result of litigation brought by application of California Code of Civil Procedure Section 340.1 and AB 218, or similar claims of tort liability, to make payments to certain persons (the “Judgment Obligees”). The Series 2025B Bonds and any such Additional Bonds are collectively referred to as the “Bonds.”

* Preliminary, subject to change.

The District

The District, encompassing approximately 710 square miles, is located in the western section of the County of Los Angeles (the “County”) in the State of California (the “State”). The District’s boundaries include virtually all of the City of Los Angeles (the “City”), all of the Cities of Cudahy, Gardena, Huntington Park, Lomita, Maywood, San Fernando, Vernon and West Hollywood, and portions of the Cities of Bell, Bell Gardens, Beverly Hills, Calabasas, Carson, Commerce, Culver City, Downey, Hawthorne, Inglewood, Long Beach, Lynwood, Montebello, Monterey Park, Rancho Palos Verdes, Rolling Hills Estates, Santa Clarita, Santa Monica, South Gate, and Torrance. In addition, the District provides services to several unincorporated areas of the County which include residential and industrial areas. The boundaries for the District are approximately 80% coterminous with the City, with the remaining 20% included in the smaller neighboring cities and unincorporated County areas described above. The District was formed in 1854 as the Common Schools for the City and became a unified school district in 1960. Additional information on the District is set forth in APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION” and APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024.”

The District is the largest public school district in the State and the largest self-governing public school district in the United States. At the time of preparation of the District’s second interim report for fiscal year 2024-25 (the “2024-25 Second Interim Report”), the transitional kindergarten (“TK”) through 12th grade enrollment in the District for fiscal year 2024-25 was projected to be approximately 402,561 students, including those attending magnet, opportunity, and continuation schools and centers, Affiliated Charter Schools, and schools for people with disabilities. Such enrollment represents a projected decrease of 892 students or a decrease of approximately (0.22)% from the budgeted TK-12 enrollment in the District at the time of preparation of the District’s original adopted budget for fiscal year 2024-25 (the “Fiscal Year 2024-25 Budget”). Such enrollment does not include students attending Fiscally Independent Charter Schools that was budgeted at 108,520 students at the time of preparation of the Fiscal Year 2024-25 Budget. Based on enrollment projections at the time of preparation of the 2024-25 Second Interim Report, the District projected enrollment to decline by (1.99)% on average through fiscal year 2025-26. For more information regarding District enrollment and average daily attendance, see APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT GENERAL INFORMATION – Enrollment and Average Daily Attendance.” See also APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION – District Budget – *LACOE’s Responses to Fiscal Year 2024-25 Budget*,” for information regarding District declining enrollment.

As reflected in the District’s Audited Annual Financial Report for fiscal year 2023-24, the District operated 1,232 schools and centers in fiscal year 2023-24, which consisted of 435 elementary schools, 78 middle/junior high schools, 87 senior high schools, 59 options schools, 29 multi-level schools, 12 special education schools, 264 magnet centers, 67 magnet schools, 18 primary school centers, 2 community adult schools, 7 regional occupational centers, 2 skills centers, 87 early education centers, 4 infant centers, and 81 California State preschools. As reflected in the District’s Audited Annual Financial Report for fiscal year 2023-24, 51 of the District’s schools were operated as Affiliated Charter Schools in fiscal year 2023-24. In addition, as reflected in the District’s Audited Annual Financial Report for fiscal year 2023-24, the District oversaw 221 Fiscally Independent Charter Schools within the District’s boundaries in fiscal year 2023-24. See APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – STATE FUNDING OF SCHOOL DISTRICTS – Charter School Funding.”

Assembly Bill 218 and Tort Liabilities

AB 218, which became effective on January 1, 2020, extended the statute of limitations for commencing an action for recovery of damages suffered as a result of childhood sexual assault to 22 years after the plaintiff reaches the age of majority (i.e., until age 40) or within five years of the date the plaintiff discovers or reasonably should have discovered that the psychological injury or illness occurring after the age of majority was caused by sexual assault, whichever is later. AB 218 also revived a three-year window to file certain claims that were previously barred and excluded certain claims from the procedures set forth in the Government Claims Act. The District is defending a significant number of lawsuits arising from AB 218 and similar childhood sexual assault, abuse and/or molestation claims for tort liability. The Series 2025B Notes, including as issued to refund the Series 2025B Judgments, each relate to the settlement of [] AB 218 [and similar childhood sexual assault, abuse and/or molestation] related claims against the District.

Since the District is in the middle of litigation on many of the pending AB 218 and similar childhood sexual assault, abuse and/or molestation lawsuits, the District cannot fully predict the extent of its liability in such cases, whether the claimants will prevail, and if so, how a final court decision or settlement agreement with respect to each such lawsuit may affect the financial status, policies or operations of the District, as the nature of the applicable courts' remedies and the responses thereto are unknown at the present time. The District may finance or refinance other Judgments entered against the District as a result of such cases, including by issuing Additional Bonds on parity with the Series 2025B Bonds.

For specific information on the Series 2025B Notes, the Series 2025B Judgments, and the impact of litigation resulting from AB 218 and similar childhood sexual assault, abuse and/or molestation claims for tort liability on the District's operations and finances, see "RISK FACTORS – Assembly Bill 218 and Related Claims" and APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – STATE FUNDING OF SCHOOL DISTRICTS – Risk Management and Litigation" and "– Sexual Misconduct Cases – Assembly Bill 218 and Related Claims" thereunder.

Additional information on the District is set forth in Appendices A and B. See APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION" and APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024." For information regarding potential additional financings the District may undertake relating to the Judgments and other capital needs, see APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION – Future Financings."

The Series 2025B Bonds

The Series 2025B Bonds will be dated as of their initial date of delivery and will mature on [October] 1 of each year and will bear interest (calculated on the basis of a 360-day year comprised of twelve 30-day months) at the rates per annum as set forth on the inside cover page hereof. Interest on the Series 2025B Bonds will be payable on [April] 1 and [October] 1 of each year, commencing [October 1, 2026], so long as any Series 2025B Bonds remain Outstanding. See "THE SERIES 2025B BONDS" herein. The Series 2025B Bonds will be initially delivered only in book-entry form and will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York ("DTC"), which will act as securities depository for the Series 2025B Bonds. Purchasers of Series 2025B Bonds will not receive certificates representing their ownership interests in the Series 2025B Bonds purchased. The Series 2025B Bonds are issuable as fully registered Series 2025B Bonds without coupons in denominations of \$5,000 or any integral multiple thereof. Payments of principal of and interest on the Series 2025B Bonds

are payable directly to DTC by the Trustee. Upon receipt of payments of principal and interest, DTC will in turn distribute such payments to the beneficial owners of the Series 2025B Bonds. See APPENDIX G – “BOOK-ENTRY-ONLY SYSTEM.”

[The Series 2025B Bonds are subject to redemption prior to maturity as described herein. See “THE SERIES 2025B BONDS – Redemption.”]

Security and Sources of Payment

The Series 2025B Bonds are obligations imposed by law payable from funds to be appropriated by the District. The Series 2025B Bonds are unconditional obligations of the District, payable as to principal, premium (if any) and interest from all taxes, income, revenue, cash receipts and other legally available money of the District. Payment of principal of and interest on the Series 2025B Bonds is not limited to any special source of funds. The District has covenanted in the Indenture to include in its budget in each Fiscal Year a provision for funds in an amount sufficient to pay the principal of and interest on the Bonds coming due in such Fiscal Year.

The obligations of the District under the Bonds and under the Indenture, including the obligation to make all payments of the interest on and the principal of the Bonds when due are obligations of the District imposed by law and are absolute and unconditional, without any right of set-off or counterclaim. The Bonds do not constitute an obligation of the District for which the District is obligated to levy or pledge any form of taxation or for which the District has levied or pledged any form of taxation, and neither the Bonds nor the obligation of the District to make payment of the interest on or the principal of the Bonds constitutes an indebtedness of the District or the State, or any of its political subdivisions, in contravention of any constitutional or statutory debt limitation or restriction. Reference is made to the Act and to the Indenture for a description of the terms on which the Bonds are issued, for the rights of the Owners of the Bonds, for the security for payment of the Bonds, for the remedies upon default and limitations thereon and for the provisions for the amendment of the Indenture.

For more complete and detailed information, see “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS.” For a discussion of certain risks associated with the District’s ability to pay debt service on the Bonds, see “RISK FACTORS.”

Bond Owners’ Risks

Certain events could affect the ability of the District to pay debt service on the Bonds when due. See “RISK FACTORS” for a discussion of certain factors that should be considered, in addition to other matters set forth herein, in evaluating an investment in the Bonds.

Continuing Disclosure

annual reports and notices of Listed Event filings are available at the website of Digital Assurance Certification, L.L.C. (“DAC”), www.dacbond.com, and at the website of the Emma System, emma.msrb.org. The information presented on these websites is not incorporated by reference in this Official Statement and should not be relied upon in making an investment decision with respect to the Series 2025B Bonds. These covenants have been made in order to assist the Underwriter in complying with Rule 15c2-12(b)(5) of the Securities and Exchange Commission (“SEC”).

[Due to the impact of COVID-19 on California school district operations during fiscal year 2019-20, California Senate Bill 98 extended the deadline for school districts to file their audited financial statements for fiscal year 2019-20 with the State to March 31, 2021. As a result, at the time of filing the District’s Annual Report for fiscal year 2019-20, the District’s audited financial statements for fiscal year 2019-20 were not yet available. The District’s audited financial statements for fiscal year 2019-20 were subsequently filed to EMMA on March 30, 2021. Additionally, within the past five years, certain of the District’s annual reports and Listed Events filings required in connection with its prior continuing disclosure undertakings were not properly linked to all CUSIP numbers for the District’s outstanding bonds. [UPDATE/CONFIRM ALL CATCHUP FILINGS WERE MADE]

Forward-Looking Statements

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements.” Such statements are generally identifiable by the terminology used, such as “plan,” “expect,” “estimate,” “budget,” “intend” or other similar words. The achievement of certain results or other expectations contained in such forward-looking statements involve known and unknown risks, uncertainties and other factors which may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. The District does not plan to issue any updates or revisions to those forward-looking statements if or when their expectations, or events, conditions, or circumstances on which such statements are based, occur.

Other Information

The information and expressions of opinion herein speak only as of their date and are subject to change without notice. Neither the delivery of this Official Statement nor any sale made hereunder nor any future use of this Official Statement shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof. The presentation of information, including tables of receipt of revenues, is intended to show recent historical information and is not intended to indicate future or continuing trends in the financial position or other affairs of the District. No representation is made that past experience, as it might be shown by such financial and other information, will necessarily continue or be repeated in the future. This Official Statement is current only as of its date, and the information contained herein is subject to change.

For a more complete description of the Bonds and the basic documentation pursuant to which they are being sold and delivered, see “THE SERIES 2025B BONDS,” “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS” and APPENDIX C – “SUMMARY OF INDENTURE.” The summaries and descriptions in this Official Statement of the Indenture and other agreements relating to the Bonds are qualified in their entirety by the respective form thereof and the information with respect thereto included in such documents. The descriptions herein of the Indenture and any other agreements relating to the Bonds are qualified in their entirety by reference to such documents, and the descriptions herein of the Bonds are qualified in their entirety by the form thereof and the information with respect thereto included in the aforementioned documents. See APPENDIX C – “SUMMARY OF INDENTURE.”

Copies of the Indenture and the Revolving Credit Agreement are available for inspection at the District at 333 South Beaudry Avenue, Los Angeles, California 90017, by request to the Office of the Chief Financial Officer, and, following delivery of the Series 2025B Bonds, will be on file at the offices of the Trustee in Los Angeles, California.

THE SERIES 2025B BONDS

General

The Series 2025B Bonds will be dated as of their initial date of delivery and will mature on [October] 1 of each year and will bear interest at the rates per annum as set forth on the inside cover page hereof. Interest on the Series 2025B Bonds will be payable on [April] 1 and [October] 1 of each year, commencing [October 1, 2026], so long as any Series 2025B Bonds remain Outstanding (each, an “Interest Payment Date”). Interest on the Series 2025B Bonds will be computed on the basis of a 360-day year consisting of twelve, 30-day months. The Series 2025B Bonds will be issued as fully registered bonds without coupons in denominations of \$5,000 or any integral multiple thereof. The principal of and premium, if any, on the Series 2025B Bonds will be payable in lawful money of the United States of America upon presentation and surrender thereof upon maturity or earlier redemption at the Office of the Trustee.

The Series 2025B Bonds will be initially delivered only in book-entry form and will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York (“DTC”), which will act as securities depository for the Series 2025B Bonds. Individual purchases of the Series 2025B Bonds will be made in book-entry form only. Purchasers of Series 2025B Bonds will not receive certificates representing their ownership interests in the Series 2025B Bonds purchased. Rather, in accordance with the Book-Entry System, purchasers of Series 2025B Bonds will have beneficial ownership interests in the purchased Series 2025B Bonds through DTC Participants. For more information concerning the Book-Entry System, see APPENDIX G – “BOOK-ENTRY-ONLY SYSTEM” herein.

Interest on the Series 2025B Bonds will be payable from the Interest Payment Date next preceding the date of authentication thereof unless (i) a Series 2025B Bond is authenticated on or before an Interest Payment Date and after the close of business on the preceding Record Date, in which event it will bear interest from such Interest Payment Date; (ii) a Series 2025B Bond is authenticated on or before the first Record Date, in which event interest thereon will be payable from the Series 2025B Closing Date; or (iii) interest on any Series 2025B Bond is in default as of the date of authentication thereof, in which event interest thereon will be payable from the date to which interest has been paid in full or made available for such payment, payable on each Interest Payment Date. Interest will be paid in lawful money of the United States on each Interest Payment Date to the Persons in whose names the ownership of the Series 2025B Bonds is registered on the Registration Books at the close of business on the immediately preceding Record Date, except as provided below. Except as otherwise provided in the Letter of Representations, interest will be paid by check of the Trustee mailed by first class mail, postage prepaid, on each Interest Payment Date to the Owners at their respective addresses shown on the Registration Books as of the close of business on the preceding Record Date, except that in the case of an Owner of \$1,000,000 or more in aggregate principal amount of Series 2025B Bonds, upon the written request of such Owner to the Trustee, received at least ten days prior to a Record Date, specifying the account or accounts to which such payment will be made, payment of interest will be made by wire transfer of immediately available funds on the following Interest Payment Date. Any such request shall remain in effect until revoked or revised by such Owner by an instrument in writing delivered to the Trustee. Payments of principal of and interest on the Series 2025B Bonds are payable directly to DTC by the Trustee. Upon receipt of payments of principal and interest, DTC will in turn distribute such payments to the beneficial owners of the Series 2025B Bonds. See APPENDIX G – “BOOK-ENTRY-ONLY SYSTEM.” As defined in the Indenture, the term “Record Date” means the

15th calendar day of the month preceding each Interest Payment Date, whether or not such day is a Business Day.

The Trustee and the District may treat DTC (or its nominee) as the sole and exclusive Owner of the Series 2025B Bonds registered in its name for the purposes of payment of the principal or Redemption Price of, or interest on the Series 2025B Bonds, selecting the Series 2025B Bonds or portions thereof to be redeemed, giving any notice permitted or required to be given to Owners of Series 2025B Bonds under the Indenture, registering the transfer of Series 2025B Bonds, obtaining any consent or other action to be taken by Owners of Series 2025B Bonds and for all other purposes whatsoever, and neither the Trustee nor the District will be affected by any notice to the contrary. Neither the Trustee nor the District will have any responsibility or obligation to any Participant, any person claiming a beneficial ownership interest in the Series 2025B Bonds under or through DTC or any Participant, or any other person which is not shown on the Registration Books as being an Owner, with respect to the accuracy of any records maintained by DTC or any Participant; the payment by DTC or any Participant of any amount in respect of the principal or Redemption Price of, or interest on the Series 2025B Bonds; any notice which is permitted or required to be given to Owners of Series 2025B Bonds under the Indenture; the selection by DTC or any Participant of any person to receive payment in the event of a partial redemption of the Series 2025B Bonds; or any consent given or other action taken by DTC as Owner of Series 2025B Bonds. While the Series 2025B Bonds are subject to the Book-Entry System, payments of principal or Redemption Price of, or interest on, the Series 2025B Bonds will be made by the Trustee to DTC, which in turn is obligated to remit such principal and interest to its DTC Participants for subsequent disbursement to beneficial owners of the Series 2025B Bonds as described herein. See APPENDIX G – “BOOK-ENTRY-ONLY SYSTEM” herein.

Redemption of Series 2025B Bonds

Optional Redemption of Series 2025B Bonds. [The Series 2025B Bonds maturing on or after [October] 1, 20__ are subject to redemption prior to their respective stated maturities at the written direction of the District, from any moneys deposited by the District, as a whole or in part on any date (in such maturities as are designated in writing by the District to the Trustee) on or after [October] 1, 20__, at a redemption price of 100% of the principal amount of Series 2025B Bonds called for redemption, together with accrued interest to the date fixed for redemption.

[Make-Whole Call Provision ?]

Mandatory Sinking Fund Redemption of Series 2025B Bonds. The Series 2025B Bonds maturing on [October] 1, 20__ will be subject to mandatory sinking fund redemption, in part, on [October] 1 in each year, commencing [October] 1, 20__, at a redemption price equal to the principal amount of the Series 2025B Bonds to be redeemed, without premium, plus accrued interest thereon to the date of redemption, in the aggregate respective principal amounts in the respective years as follows:

Sinking Fund Redemption Date ([October] 1)		Principal Amount
		\$

If some but not all of the Series 2025B Bonds are redeemed by optional redemption, the principal amount of the Series 2025B Bonds to be subject to sinking fund redemption on any subsequent [October]

1 will be reduced by the aggregate principal amount of the Series 2025B Bonds so redeemed by optional redemption, such reduction to be allocated among redemption dates in Authorized Denominations, as designated by the District in a Written Certificate of the District.

The Series 2025B Bonds maturing on [October] 1, 20__ will be subject to mandatory sinking fund redemption, in part, on [October] 1 in each year, commencing [October] 1, 20__, at a redemption price equal to the principal amount of the Series 2025B Bonds to be redeemed, without premium, plus accrued interest thereon to the date of redemption, in the aggregate respective principal amounts in the respective years as follows:

Sinking Fund Redemption Date ([October] 1)	Principal Amount
	\$

If some but not all of the Series 2025B Bonds are redeemed by optional redemption, the principal amount of the Series 2025B Bonds to be subject to sinking fund redemption on any subsequent [October] 1 will be reduced by the aggregate principal amount of the Series 2025B Bonds so redeemed by optional redemption, such reduction to be allocated among redemption dates in Authorized Denominations, as designated by the District in a Written Certificate of the District.

Selection of Series 2025B Bonds for Redemption. [Whenever provision is made in the Indenture for the redemption of less than all of the Bonds, the Trustee will select the Bonds to be redeemed from all Bonds not previously called for redemption (a) with respect to any optional redemption of Bonds, as directed in a Written Certificate of the District, and (b) with respect to any other redemption of Additional Bonds, among maturities as provided in the Supplemental Indenture pursuant to which such Additional Bonds are issued, and by lot among Bonds of the same Series with the same maturity in any manner which the Trustee in its sole discretion shall deem appropriate and fair. The Trustee will promptly notify the District in writing of the numbers of the Bonds so selected for redemption on such date. For purposes of such selection, any Bond may be redeemed in part in Authorized Denominations.]

[Whenever provision is made in the Indenture for the redemption of less than all of the Series 2025B Bonds, the Trustee will select the Series 2025B Bonds to be redeemed from all Series 2025B Bonds not previously called for redemption as directed in a Written Certificate of the District. For purposes of such selection, all Series 2025B Bonds will be deemed to be comprised of separate Authorized Denominations and such separate denominations will be treated as separate Series 2025B Bonds which may be separately redeemed.]

Partial Redemption of Bonds. Upon surrender of any Bonds redeemed in part only, the District will execute and the Trustee will authenticate and deliver to the Owner thereof, at the expense of the District, a new Bond or Bonds of the same Series in Authorized Denominations equal in aggregate principal amount representing the unredeemed portion of the Bonds surrendered.

Notice of Redemption. The Trustee on behalf and at the expense of the District will mail (by first class mail) notice of any redemption to the respective Owners of any Bonds designated for redemption at their respective addresses appearing on the Registration Books at least 20 but not more than 60 days prior to the date fixed for redemption. Such notice will state the date of the notice, the redemption date, the

redemption place and the redemption price and will designate the CUSIP numbers, if any, the Series, the Bond numbers of the Bonds to be redeemed, and, if all of the Outstanding Bonds are being redeemed on such redemption date, will require that such Bonds be then surrendered at the Office of the Trustee for redemption at the redemption price, giving notice also that further interest on such Bonds will not accrue from and after the date fixed for redemption. Neither the failure to receive any notice so mailed, nor any defect in such notice, shall affect the validity of the proceedings for the redemption of the Bonds or the cessation of accrual of interest thereon from and after the date fixed for redemption.

With respect to any notice of any optional redemption of Bonds of a Series, unless at the time such notice is given the Bonds to be redeemed shall be deemed to have been paid in accordance with the Indenture, such notice will state that such redemption is conditional upon receipt by the Trustee, on or prior to the date fixed for such redemption, of moneys that, together with other available amounts held by the Trustee, are sufficient to pay the redemption price of, and accrued interest on, the Bonds to be redeemed, and that if such moneys shall not have been so received said notice will be of no force and effect and the District will not be required to redeem such Bonds. In the event a notice of redemption of Bonds contains such a condition and such moneys are not so received, the redemption of Bonds as described in the conditional notice of redemption will not be made and the Trustee will, within a reasonable time after the date on which such redemption was to occur, give notice to the Persons and in the manner in which the notice of redemption was given, that such moneys were not so received and that there will be no redemption of Bonds pursuant to such notice of redemption.

Effect of Notice of Redemption. Notice having been mailed as aforesaid, and moneys for the redemption (including the interest to the applicable redemption date) of the Series 2025B Bonds to be redeemed having been deposited in the Bond Fund, such Series 2025B Bonds will become due and payable on said date, and said Series 2025B Bonds will be paid at the redemption price thereof, together with interest accrued and unpaid to said date.

If, on said redemption date, moneys for the redemption of all the Series 2025B Bonds to be redeemed, together with interest to said date, will be held by the Trustee so as to be available therefor on such date, and, if notice of redemption thereof shall have been mailed as aforesaid and not canceled, then, from and after said date, interest on said Series 2025B Bonds will cease to accrue and become payable. All moneys held by or on behalf of the Trustee for the redemption of Series 2025B Bonds will be held in trust for the account of the Owners of the Series 2025B Bonds so to be redeemed.

All Series 2025B Bonds paid at maturity or redeemed prior to maturity pursuant to the Indenture will be canceled upon surrender thereof and the Trustee will deliver a certificate of destruction to the District.

Transfer and Exchange of Series 2025B Bonds

The following provisions regarding the exchange and transfer of the Series 2025B Bonds apply only during any period in which the Series 2025B Bonds are not subject to the Book-Entry System. While the Series 2025B Bonds are subject to the Book-Entry System, their exchange and transfer will be effected through DTC and the DTC Participants and will be subject to the procedures, rules and requirements established by DTC.

Any Series 2025B Bond may, in accordance with its terms, be transferred upon the Registration Books by the Person in whose name it is registered, in person or by his duly authorized attorney, upon surrender of such bond for cancellation, accompanied by delivery of a written instrument of transfer, duly executed in a form acceptable to the Trustee. Whenever any Series 2025B Bond or Series 2025B Bonds will be surrendered for transfer, the District will execute and the Trustee will authenticate and will deliver

a new Series 2025B Bond or Series 2025B Bonds of the same maturity in a like aggregate principal amount, in any authorized denomination. The Trustee will require the Owner requesting such transfer to pay any tax or other governmental charge required to be paid with respect to such transfer.

The Series 2025B Bonds may be exchanged at the Office of the Trustee for a like aggregate principal amount of Series 2025B Bonds of the same maturity of other authorized denominations. The Trustee will require the payment by the Owner requesting such exchange of any tax or other governmental charge required to be paid with respect to such exchange.

Book-Entry Only System

General. DTC will act as securities depository for the Series 2025B Bonds. The Series 2025B Bonds will be executed and delivered as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully registered Series 2025B Bond will be issued for each stated Principal Payment Date of the Series 2025B Bonds, each in the aggregate amount of the principal evidenced by Series 2025B Bonds with such stated Principal Payment Date, and will be deposited with DTC. See APPENDIX G – "BOOK-ENTRY ONLY SYSTEM."

Discontinuance of DTC. In the event that (a) DTC determines not to continue to act as securities depository for the Series 2025B Bonds or (b) the District determines that continuation of the book-entry system is not in the best interest of the beneficial owners of the Series 2025B Bonds or the District, then the District may discontinue the book-entry system with DTC. If the District determines to replace DTC with another qualified securities depository, the District shall prepare or direct the preparation of a new single, separate, fully registered Series 2025B Bond for each of the different maturity dates and interest rates of such Series 2025B Bonds, registered in the name of such successor or substitute qualified securities depository or its nominee as provided in Indenture. If the District fails to identify another qualified securities depository to replace DTC, then the Series 2025B Bonds shall no longer be restricted to being registered in the Series 2025B Bond Register in the name of the nominee, but shall be registered in whatever name or names the Owners transferring or exchanging such Series 2025B Bonds shall designate, in accordance with the transfer and exchange provisions of the Indenture summarized in APPENDIX C – "SUMMARY OF INDENTURE."

SECURITY AND SOURCES OF PAYMENT FOR THE BONDS

Nature of the Bonds

The Indenture provides that the District is obligated to transfer to the Trustee, not later than two days prior to each Interest Payment Date, an amount which, together with the amount then on deposit in the Bond Fund, will equal the amount of the principal of and interest on the Bonds becoming due on such Interest Payment Date. The District has covenanted in the Indenture to include in its budget in each Fiscal Year a provision for funds in an amount sufficient to pay the principal of and interest on the Bonds coming due in such Fiscal Year.

As provided in the Indenture, the District pledges and grants a lien on and a security interest in all of the amounts held in the Bond Fund as security for the payment of the principal of and interest on the Bonds in accordance with their terms, the provisions of the Indenture and the Refunding Law. The Indenture provides that said pledge shall constitute a first lien on such assets. The District expressly reserves the right to issue or incur other obligations for any of its corporate purposes.

In accordance with the Indenture, the Trustee will establish, maintain, and hold in trust a special fund designated the “Refunding Fund” and a special fund designated the “Bond Fund.” The Indenture provides that not later than two days prior to each Interest Payment Date, the District will transfer to the Trustee an amount which, together with the amount then on deposit in the Bond Fund, will equal the amount of the principal of and interest on the Bonds becoming due on such Interest Payment Date. The Indenture provides that the Trustee shall, upon receipt, deposit such amount in the Bond Fund. On or before each Interest Payment Date, the Trustee is required to withdraw from the Bond Fund for payment to the Owners of the Bonds the principal, if any, of and interest then due and payable on the Bonds. If there are insufficient funds in the Bond Fund to pay the principal, if any, of and interest on the Bonds, the Trustee shall apply the available funds first to the payment of interest on the Bonds, then to the payment of principal of the Bonds.

THE OBLIGATIONS OF THE DISTRICT UNDER THE SERIES 2025B BONDS AND UNDER THE INDENTURE, INCLUDING THE OBLIGATION TO MAKE ALL PAYMENTS OF THE INTEREST ON AND THE PRINCIPAL OF THE SERIES 2025B BONDS WHEN DUE ARE OBLIGATIONS OF THE DISTRICT IMPOSED BY LAW AND ARE ABSOLUTE AND UNCONDITIONAL, WITHOUT ANY RIGHT OF SET-OFF OR COUNTERCLAIM. THE SERIES 2025B BONDS DO NOT CONSTITUTE AN OBLIGATION OF THE DISTRICT FOR WHICH THE DISTRICT IS OBLIGATED TO LEVY OR PLEDGE ANY FORM OF TAXATION OR FOR WHICH THE DISTRICT HAS LEVIED OR PLEDGED ANY FORM OF TAXATION, AND NEITHER THE SERIES 2025B BONDS NOR THE OBLIGATION OF THE DISTRICT TO MAKE PAYMENT OF THE INTEREST ON OR THE PRINCIPAL OF THE SERIES 2025B BONDS CONSTITUTES AN INDEBTEDNESS OF THE DISTRICT OR THE STATE, OR ANY OF ITS POLITICAL SUBDIVISIONS, IN CONTRAVENTION OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION OR RESTRICTION.

If an Event of Default, as that term is defined in the Indenture, will occur, the principal of all Bonds may be declared due and payable upon the conditions, in the manner and with the effect provided in the Indenture; provided, that the Indenture provides that in certain events such declaration and its consequences may be rescinded under the circumstances as provided therein. See “Action on Default” below.

The Indenture and the rights and obligations of the District, the owners of the Bonds and the Trustee may be modified or amended from time to time and at any time in the manner, to the extent, and upon the terms provided in the Indenture; provided that no such modification or amendment will (a) extend the fixed maturity of any Bonds, or reduce the amount of principal thereof, or reduce the interest rate borne thereby, or extend or accelerate the time of payment thereof, or modify the redemption provisions applicable thereto, without the consent of the owner of each Bond so affected, or (b) reduce the percentage of Bonds the consent of the owners of which is required to effect any such amendment or modification, without the consent of the owners of all outstanding Bonds.

For a discussion of certain risks associated with the District’s ability to pay debt service on the Bonds, see “RISK FACTORS.”

Covenant to Appropriate Funds

The District has covenanted in the Indenture to include in its budget in each Fiscal Year a provision to provide funds in an amount sufficient to pay the principal of and interest on the Bonds coming due in such Fiscal Year.

Absolute Obligation

As provided in the Indenture, nothing in any provision of the Indenture or in the Bonds shall affect or impair the obligation of the District, which is absolute and unconditional, to pay the principal of and interest on the Bonds to the respective Owners of the Bonds at their respective dates of maturity, as provided therein, or affect or impair the right of such Owners, which is also absolute and unconditional, to enforce such payment by virtue of the contract embodied in the Bonds.

No Reserve Fund

The Indenture does not require a reserve fund in connection with the issuance of the Series 2025B Bonds. Amounts held or to be held in a debt service reserve fund or account established for any other obligations payable from the District's General Fund may not be used or drawn upon to pay principal of or interest on the Series 2025B Bonds.

Risk Management, Insurance and General Fund Reserves

For information regarding the District's risk management programs, insurance, and operating reserves, see APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION" and APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024."

Additional Bonds

The District may at any time issue Additional Bonds on a parity with the Series 2025B Bonds, but only subject to the following specific conditions, which are hereby made conditions precedent to the issuance of any such Additional Bonds:

(a) The District shall be in compliance with all agreements and covenants contained in the Indenture.

(i) The purpose for which such Additional Bonds are to be issued; provided that such Additional Bonds shall be applied solely for (i) refunding the District's obligations to the Judgment Obligees evidenced by the Judgments, (ii) refunding the District's obligations to any Lender or other holders of Notes then outstanding and issued in satisfaction of any Judgment or Judgments from time to time (including, without limitation, the obligation to pay all amounts allocable, as and when due and owing under the related Notes, Revolving Credit Agreement, and Fee Agreement, and costs of issuance of such Notes (including underwriter's discount or placement agent fee), , (iii) refunding Bonds Outstanding under the Indenture, and (iv) paying costs incidental to or connected with the issuance of Additional Bonds for such purpose;

(ii) Specification of the respective Judgment Obligees and/or the respective Lenders or other holders of the related Notes to be refunded by such Additional Bonds;

(iii) The principal amount and Series designation of such Series of Additional Bonds and the denomination or denominations of the Additional Bonds, which shall be Authorized Denominations;

(iv) That such Additional Bonds shall be payable as to interest on the Interest Payment Dates, except that the first installment of interest may be payable on either [April] 1 or [October] 1.

(v) The date, the maturity date or dates and the dates on which mandatory sinking fund redemptions, if any, are to be made for such Additional Bonds; provided, that (A) the serial Bonds of such Series of Additional Bonds shall be payable as to principal annually on [October] 1 of each year in which principal falls due, and the term Bonds of such Series of Additional Bonds shall have annual mandatory sinking fund redemptions on [October] 1, (B) all Additional Bonds of a Series of like maturity shall be identical in all respects, except as to number or denomination, and (C) serial maturities of serial Bonds or mandatory sinking fund redemptions for term Bonds, or any combination thereof, shall be established to provide for the redemption or payment of such Additional Bonds on or before their respective maturity dates;

(vi) The redemption premiums, if any, and the redemption terms, if any, for such Additional Bonds; and

(vii) Such other provisions (including the requirements of a book-entry bond registration system, if any) as are necessary or appropriate and not inconsistent herewith.

At any time after the sale of any Additional Bonds in accordance with the Refunding Law, the District shall execute such Additional Bonds for issuance under the Indenture and shall deliver them to the Trustee, and thereupon such Additional Bonds shall be authenticated and delivered by the Trustee to the purchaser thereof upon the Written Request of the District, as provided in the Indenture. APPENDIX C – “SUMMARY OF INDENTURE – THE BONDS – Conditions for the Issuance of Additional Bonds” and “– Procedure for the Issuance of Additional Bonds.”

Action on Default

Should the District default under the Indenture, the Trustee may, and upon the written direction of the Owners of not less than 25% in aggregate principal amount of the Outstanding Bonds, will, by written notice to the District, declare immediately due and payable as provided in the Indenture the principal of all Outstanding Bonds and the accrued interest thereon. See APPENDIX C – “SUMMARY OF INDENTURE – Events of Default and Remedies.” All money in the Refunding Fund and the Bond Fund upon the date of the declaration of acceleration by the Trustee and all amounts thereafter received by the Trustee under the Indenture will be applied by the Trustee to the payment of any expenses of the Trustee incurred in and about the performance of its powers and duties under the Indenture and thereafter to the payment of the principal of and interest then due on the Bonds as provided in the Indenture. For a description of the events of default and permitted remedies of the Trustee under the Indenture, see APPENDIX C – “SUMMARY OF INDENTURE – Events of Default and Remedies.”

THE JUDGMENTS AND THE PLAN OF FINANCE

Refunding of the Series 2025B Judgments

The Series 2025B Bonds are being issued to refund the District's obligation under certain court approved settlement agreements and certain Notes (as defined herein) issued in satisfaction of the Series 2025B Judgments to make payments to the Series 2025B Judgment (the "2025B Notes"). To ease the financial burden and the potential hardship on the District, the District resolved the issue of damages with the Series 2025B Judgment Obligees, which resolution was memorialized in those certain Settlement and Release Agreements (the "Settlement Agreements"). The Settlement Agreements collectively establish an exact sum for the payment of damages at \$ _____ as of _____, 2026, plus interest to accrue thereon until payment, in settlement of claims brought by _____ claimants pursuant to California Code of Civil Procedure Section 340.1 and AB 218. The Superior Court of California, County of Los Angeles, has entered the Series 2025B Judgments in the actions which approved and incorporated the terms of the Settlement Agreements as the judgment of the Court. On _____, 2025, the Series 2025B Judgments were refunded with an advance of funds under the revolving credit agreement dated as of __, 2025 (the "Series 2025B Revolving Credit Agreement") by and between the District and _____, as lender, and the issuance of the 2025 B Notes in accordance therewith.

The Series 2025B Bonds are being issued to refund the Series 2025B Judgments. The proceeds from the sale of the Series 2025B Bonds will be used to (i) refund the Series 2025B Notes evidencing the payment of the Series 2025B Judgments, (ii) refund the Series 2025B Judgments payable to the 2025B Judgment Obligees and (iii) pay the costs incurred in connection with the authorization and issuance of the Series 2025B Bonds. See "ESTIMATED SOURCES AND USES OF FUNDS."

The obligation of the District to pay the Series 2025B Bonds to refinance these obligations is an existing obligation of the District and is an obligation imposed by law. Additionally, the Series 2025B Bonds, the Indenture and any and all contracts and agreements relating thereto, relate to and constitute the refunding of such obligation imposed by law exempt from the debt limitation of Article XVI, Section 18 of the California Constitution. See "VALIDATION PROCEEDING."

For additional current information, see APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION - DISTRICT FINANCIAL INFORMATION - Risk Management and Litigation" and "– Sexual Misconduct Cases – Assembly Bill 218 and Related Claims" thereunder.

Refunding Program (AB 218)

In response, the District has coordinated a program of short-term and longer-term borrowings for the purposes of providing interim satisfaction and refunding of the District's obligations to the Judgment Obligees evidenced by the Judgments, including revolving credit agreements (each, a "Revolving Credit Agreement" or, collectively, the "Revolving Credit Agreements") with one or more banks, each as a lender (each, a "Lender" or, collectively, the "Lenders"), with the District's obligations under each Revolving Credit Agreement to be evidenced by judgment obligation promissory notes to be issued by the District as provided therein, as well as other forms of temporary borrowing by the District in the form of notes to be issued from time to time (each, a "Temporary Note" or, collectively, the "Temporary Notes" and, together with the Promissory Notes, the "Notes"), the proceeds of which are used to satisfy and refund one or more Judgments and which will be drawn upon only as funds are needed to satisfy any Judgment or Judgments.

For purposes of providing a more permanent financing solution for the District's obligations to the Judgment Obligees evidenced by the Judgments consistent with the District's long-term budgetary objectives, the Board has authorized under the Resolution the issuance of its Los Angeles Unified School District Judgment Obligation Bonds in or more series on parity with the Series 2025B Bonds (as further defined herein, the "Bonds") to represent the aggregate amounts to be payable to Judgment Obligees.

As an obligation of the District, each and every refunding Note issued to refund and discharge a related Judgement and/or Bond issued to refund and discharge a related Note and/or Judgement, take on the character of and represent the refunded obligation of the District as an obligation imposed by law to pay a Judgment Obligee or Judgment Obligees as a result of a Judgment or Judgments.

Risk Management Authority Reinsurance Coverage

[The District has established and capitalized a Risk Management Authority to provide an insurance program for the District and the Los Angeles Trust Children's Health Inc. The Risk Management Authority allows the District to purchase reinsurance for excess liability coverage which is not presently available to self-insured public agencies such as the District. This insurance program provides an alternative source of funds to resolve claims determined not to be refunded as described herein. For additional current information, see APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION - DISTRICT FINANCIAL INFORMATION - Risk Management and Litigation" and "– Sexual Misconduct Cases – Assembly Bill 218 and Related Claims" thereunder.]

ESTIMATED SOURCES AND USES OF FUNDS

The estimated sources and uses of funds with respect to the Series 2025B Bonds are shown below.

Estimated Sources of Funds

Principal Amount of Series 2025B Bonds
Plus [Net] Original Issue Premium
Total Sources

Estimated Uses of Funds

[Refunding Fund]
2026 Judgment Obligees
Underwriter's Discount
Costs of Issuance⁽¹⁾
Total Uses

⁽¹⁾ Includes legal, municipal advisor and rating agency fees, printing and other fees and miscellaneous costs of issuance of the Series 2025B Bonds.

DEBT SERVICE SCHEDULE

The table below sets forth the amount required in each fiscal year for the payment of principal of and interest on the Series 2025B Bonds assuming no prior redemptions. The Bonds mature on [October] 1 of each year as set forth below.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
JUDGMENT OBLIGATION BONDS, SERIES 2025B
DEBT SERVICE SCHEDULE**

<u>Interest Payment Date</u>	<u>Principal</u>	<u>Interest</u>	<u>Total Semi-Annual Debt Service</u>	<u>Total Annual Debt Service</u>
10/01/2026				
04/01/2027				
10/01/2027				
04/01/2028				
10/01/2028				
04/01/2029				
10/01/2029				
04/01/2030				
10/01/2030				
04/01/2031				
10/01/2031				
04/01/2032				
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10/01/2037				
04/01/2038				
10/01/2038				
04/01/2039				
10/01/2039				
04/01/2040				
10/01/2040				
04/01/2041				
10/01/2041				
Total:	=====	=====	=====	=====

RISK FACTORS

The following factors, along with the other information in this Official Statement, should be considered by potential investors in evaluating the purchase of the Series 2025B Bonds. They do not, however, purport to be an exhaustive listing of risks and other considerations which may be relevant to an investment in the Series 2025B Bonds. In addition, the order in which the following factors are presented is not intended to reflect the relative importance of any such risks.

Bonds are a General Fund Obligation of the District

The obligation of the District to make debt service payments on the Bonds does not constitute an obligation of the District for which the District is obligated to levy or pledge any form of taxation or for which the District has levied or pledged any form of taxation.

The Indenture does not create a pledge, lien, or encumbrance upon the funds of the District. Pursuant to law, the Bonds are payable from any available funds of the District. The District covenants in the Indenture to punctually pay the interest on and principal of every Bond in strict conformity with the terms thereof and of the Indenture. The District is liable and may become liable on other obligations payable from general revenues, some of which may have a priority over payments of the principal of, premium, if any, and interest on, the Bonds, or which the District, in its discretion, may determine to pay prior to the principal of, premium, if any, and interest on, the Bonds.

The District has the capacity to enter into other obligations payable from the District's General Fund without the consent of or prior notice to the Owners of the Bonds, and has expressly reserved the right to issue or incur other obligations for any of its corporate purposes. To the extent that additional obligations are incurred by the District, the funds available to make payments of the principal of, premium, if any, and interest on, the Bonds may be decreased. In the event the District's revenue sources are less than its total obligations, the District could choose to fund other activities before making payment of the principal of, premium, if any, and interest on, the Bonds. The same result could occur if State constitutional expenditure limitations were to prohibit the District from appropriating and spending all of its otherwise available revenues.

Cash Management

[To the extent the Board is required to make needed budget adjustments and to maintain a balanced budget, the District has numerous internal or external means to manage its cash flow, including but not limited to interfund borrowing, intrafund borrowing and tax and revenue anticipation notes. If the District does not take required actions and the budget remains out of balance, the cash requirements of the District may exceed available cash flow. The ability of the District to borrow on an interim basis to meet any cash shortfalls also may be limited if the budget remains out of balance for a sustained period of time.] See APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION” and APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024.”

The obligation of the District to make debt service payments on the Series 2025B Bonds does not constitute an obligation of the District for which the District is obligated to levy or pledge any form of taxation or for which the District has levied or pledged any form of taxation, and neither the Series 2025B Bonds nor the obligation of the District to make payment of the interest on or the principal of the Series

2025B Bonds constitutes an indebtedness of the District or the State, or any of its political subdivisions, in contravention of any constitutional or statutory debt limitation or restriction.

The District is currently liable and may become liable on other obligations payable from the District's General Fund, such as employee salaries and benefits, some of which may have a priority over the District's obligations to make debt service payments on the Bonds. For a discussion of certain other obligations of the District, see APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION." The District has the capacity to enter into other obligations which may constitute additional charges against its revenues. To the extent that additional obligations are incurred by the District, the funds available to make debt service payments on the Bonds may be decreased. In the event the District's revenue sources are less than its total obligations, the District could choose to fund other activities before making debt service payments on the Bonds and other payments due under the Indenture. The same result could occur if, because of California Constitutional limits on expenditures, the District is not permitted to appropriate and spend all of its available revenues. See APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO AD VALOREM PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Article XIII B of the State Constitution."

Assembly Bill 218 and Related Claims

Pursuant to Assembly Bill 218 (AB 218 herein), which became effective on January 1, 2020, certain changes were made to the claim prerequisites and the applicable statute of limitations periods for claims of childhood sexual assault, including claims against public entities like the District. AB 218 has impacted the District's liability exposure because it (1) extended the statute of limitations periods for claims of childhood sexual assault, (2) did away altogether with the Tort Claims Act's presentation requirements for claims involving childhood sexual assault under which many claims were found to be late, and (3) revived certain claims for which applicable statute of limitations periods have otherwise already expired (if brought within three years of January 1, 2020). As of January 1, 2026, the District is currently defending approximately [] lawsuits (totaling 247 claimants) arising from AB 218 and similar childhood sexual assault, abuse and/or molestation claims for tort liability, relating to allegations of misconduct by former employees. Since the District is in the middle of litigation on many of the pending AB 218 lawsuits, the District cannot fully predict the extent of its liability in such cases, whether the claimants will prevail, and if so, how a final court decision or settlement agreement with respect to each such lawsuit may affect the financial status, policies or operations of the District, as the nature of the court's remedy and the responses thereto are unknown at the present time. Neither can the District predict the ultimate number of claimants nor the full extent of any monetary liability. As described herein, the District currently estimates its liability for the existing claims arising from AB 218 will likely exceed \$[] million. While the District has set aside an amount in its liability self-insurance fund to pay existing claims arising under AB 218 as well as other, unrelated claims based on an independent third-party actuarial estimate, the District's total liability arising from existing AB 218 claims could exceed the actuarial estimate and the amount available in its liability self-insurance fund.] See APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION - DISTRICT FINANCIAL INFORMATION - Risk Management and Litigation" and "– Sexual Misconduct Cases – Assembly Bill 218 and Related Claims" thereunder.

Default; Remedies Upon Default; Acceleration

Upon the occurrence of an Event of Default under the Indenture, the Trustee may and, upon the written direction of the Owners of not less than 25% in aggregate principal amount of the Outstanding

Bonds, shall, [with the consent of the Insurer,] by written notice to the District, declare immediately due and payable the principal of all Outstanding Bonds and the accrued interest thereon, whereupon the same shall become immediately due and payable without any further action or notice; provided, however, that if at any time after such acceleration and before any judgment or decree for the payment of money with respect thereto has been entered all amounts payable to the Trustee under the Indenture on the Bonds subject to acceleration under this paragraph (except interest on or principal of the Bonds which are due solely by reason of such acceleration) shall have been paid or provided for by deposit with the Trustee and all existing Events of Default shall have been cured or waived, then the Owners of not less than 25% in aggregate principal amount of the Outstanding Bonds may[, with the consent of the Insurer,] annul such acceleration and its consequences by written notice to the District and the Trustee, which annulment shall be binding upon the District, the Trustee and all of the Owners, but no such annulment shall extend to or affect any subsequent Event of Default or impair any right or remedy consequent thereon.

All rights of action under the Indenture or the Bonds or otherwise may be prosecuted and enforced by the Trustee without the possession of any of the Bonds or the production thereof in any proceeding relating thereto, and any such suit, action or proceeding instituted by the Trustee shall be brought in the name of the Trustee for the benefit and protection of the Owners of such Bonds, subject to the provisions of the Indenture. If one or more of the events of default shall happen and be continuing, the Trustee may with the prior written consent of the Insurer, and upon the written request of the Holders of a majority in principal amount of the Bonds then Outstanding, and upon being indemnified to its satisfaction therefor, shall, proceed to protect or enforce its rights or the rights of the Holders of Bonds under the Indenture by a suit in equity or action at law, either for the specific performance of any covenant or agreement contained in the Indenture, or in aid of the execution of any power granted under the Indenture, or by mandamus or other appropriate proceeding for the enforcement of any other legal or equitable remedy as the Trustee shall deem most effectual in support of any of its rights and duties under the Indenture.

No Owner of any Bonds shall have the right to institute any suit, action or proceeding at law or in equity, for the protection or enforcement of any right or remedy under the Indenture, the Refunding Law or any other applicable law with respect to such Bonds, unless (a) such Owner shall have given to the Trustee written notice of the occurrence of an Event of Default, (b) the Owners of a majority in aggregate principal amount of the Bonds then Outstanding shall have made written request upon the Trustee to exercise the powers hereinbefore granted or to institute such suit, action or proceeding in its own name, (c) such Owner or said Owners shall have tendered to the Trustee indemnity against the costs, expenses and liabilities to be incurred in compliance with such request, and (d) the Trustee shall have refused or omitted to comply with such request for a period of 60 days after such written request shall have been received by, and said tender of indemnity shall have been made to, the Trustee.

Such notification, request, tender of indemnity and refusal or omission are hereby declared, in every case, to be conditions precedent to the exercise by any Owner of Bonds of any remedy under the Indenture or under law; it being understood and intended that no one or more Owners of Bonds shall have any right in any manner whatever by his or their action to affect, disturb or prejudice the security of the Indenture or the rights of any other Owners of Bonds, or to enforce any right under the Bonds, the Indenture, the Refunding Law or other applicable law with respect to the Bonds, except in the manner provided in the Indenture, and that all proceedings at law or in equity to enforce any such right shall be instituted, had and maintained in the manner herein provided and for the benefit and protection of all Owners of the Outstanding Bonds, subject to the provisions of the Indenture.

APPENDIX C – “SUMMARY OF INDENTURE – EVENTS OF DEFAULT AND REMEDIES.”

Limitations on Remedies

The enforcement of any remedies provided in the Indenture could prove both expensive and time consuming. The rights of the Owners of the Series 2025B Bonds are subject to certain limitations on legal remedies against governmental entities in the State, including but not limited to a limitation on enforcement against funds that are otherwise needed to serve the public welfare and interest. Additionally, the rights of the Owners of the Series 2025B Bonds may be subject to (i) bankruptcy, insolvency, reorganization, moratorium, or similar laws limiting or otherwise affecting the enforcement of creditors' rights generally (as such laws are now or hereafter may be in effect), (ii) equity principles (including but not limited to concepts of materiality, reasonableness, good faith and fair dealing) and the possible unavailability of specific performance or injunctive relief, regardless of whether considered in a proceeding in equity or law, (iii) the exercise by the United States of America of the powers delegated to it by the Constitution, and (iv) the reasonable and necessary exercise, in certain exceptional situations, of the police powers inherent in the sovereignty of the State and its governmental bodies in the interest of serving a significant and legitimate public purpose. Under Chapter 9 of the Bankruptcy Code (Title 11, United States Code), which governs bankruptcy proceedings for public agencies, there are no involuntary petitions in bankruptcy. If the District were to file a petition under Chapter 9 of the Bankruptcy Code, the Owners and the Trustee could be prohibited or severely restricted from taking any steps to enforce their rights under the Indenture and from taking any steps to collect amounts due from the District under the Indenture. See "Bankruptcy" below and APPENDIX C – "SUMMARY OF INDENTURE – EVENTS OF DEFAULT AND REMEDIES."

Bond Counsel has limited its opinion as to the enforceability of the Series 2025B Bonds and of the Indenture to the extent that enforceability may be limited by bankruptcy, insolvency, reorganization, fraudulent conveyance or transfer, moratorium, or other similar laws affecting generally the enforcement of creditor's rights, by equitable principles and by the exercise of judicial discretion. Additionally, the Series 2025B Bonds are not subject to acceleration in the event of the breach of any covenant or duty under the Indenture. The lack of availability of certain remedies or the limitation of remedies may entail risks of delay, limitation, or modification of the rights of the Owners of the Series 2025B Bonds.

Bankruptcy

Generally. In addition to the limitations on remedies described above, the rights and remedies provided in the Indenture may be limited by and are subject to provisions of federal bankruptcy laws, as now or hereafter enacted, and to other laws or equitable principles that may affect the enforcement of creditors' rights.

Bankruptcy of District. The District may be eligible to become a debtor in a Chapter 9 bankruptcy case. If the District is in bankruptcy, the parties (including the Trustee and the Owners of the Series 2025B Bonds) may be prohibited from taking any action to collect any amount from the District or to enforce any obligation of the District, unless the permission of the bankruptcy court is obtained. These restrictions may also prevent the Trustee from making payments to the Owners of the Series 2025B Bonds from funds in the Trustee's possession.

The District may be able, without the consent and over the objection of the Trustee and the Owners of the Series 2025B Bonds, to alter the priority, interest rate, principal amount, payment terms, collateral, maturity dates, payment sources, covenants (including tax-related covenants), and other terms or provisions of the Indenture, the Series 2025B Bonds, and other transaction documents, as long as the bankruptcy court determines that the alterations are fair and equitable.

The District could threaten to take any of the actions described above as part of negotiations to alter its obligations under the Indenture, or other transaction documents.

Regardless of any specific adverse determinations in a bankruptcy case of the District, the fact of such a bankruptcy case could have an adverse effect on the liquidity and value of the Series 2025B Bonds.

Limitation on Remedies. The opinion of Bond Counsel, the proposed form of which is included as APPENDIX D, is qualified by reference to bankruptcy, insolvency and other laws relating to or affecting creditor's rights. As discussed above, bankruptcy proceedings, if initiated, could subject the owners of the Series 2025B Bonds to judicial discretion and interpretation of their rights in bankruptcy or otherwise, and consequently may entail risks of delay, limitation, or modification of their rights.

Natural Disasters, Drought, Climate Change and Sea Level Rise

Earthquakes. The District, like most regions in the State, and its facilities are located in an area of seismic activity from movements along active fault zones and, therefore, could be subject to potentially destructive earthquakes. Additionally, numerous minor faults transect the area. Active earthquake faults include the San Andreas Fault that runs throughout the County, the Palos Verdes fault that runs along the coast and through a small portion of the County, and other smaller faults including the Lower Elysian Park thrust, the Upper Elysian Park fault and Puente Hills blind thrust system. Seismic hazards encompass both potential surface rupture and ground shaking. Although its facilities have been designed and constructed or retrofitted and modernized pursuant to earthquake-resistant standards in accordance with the Field Act (Section 17280 *et seq.* of the Education Code), damage from an earthquake could be substantial. The occurrence of severe seismic activity could result in substantial damage and interference with the District's right to use and occupy all or a substantial portion of the District's facilities, which could result in a material impact to District operations. The District is not required to obtain or maintain earthquake insurance for its facilities [and maintains minimal coverage for such damage.

Wildfires. In recent years, portions of California, including the County and adjacent counties, have experienced wildfires that have burned thousands of acres and destroyed thousands of homes and structures. The occurrence of wildfires in the area of the District could result in substantial damage and interference with the District's right to use and occupy a portion of its facilities. [The District maintains casualty insurance insuring its facilities against fire and other risks (excluding earthquake). See APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION – Risk Management and Litigation."

2025 Wildfires. In early January 2025, multiple fires broke out across areas of Los Angeles County burning thousands of acres and damaging or destroying thousands of structures, several of which are still burning. The three largest of said fires are the Hughes Fire, Eaton Fire, and Palisades Fires. The Hughes Fire has burned approximately 10,400 acres, although no information is available on the amount of structures that have been damaged or destroyed. The Eaton Fire has burned approximately 14,000 acres and has damaged or destroyed at least 11,000 structures. The Palisades Fire has burned approximately 23,500 acres and has damaged or destroyed at least 7,000 structures. Properties damaged or destroyed in the Palisades Fire are included within the boundaries of the District. The County Assessor's Office allows for the reassessment of properties that are damaged or destroyed as a result of misfortune or calamity, which includes wildfires. Property owners may submit an application for the reassessment of the property within 12 months of the damage or destruction. Any such reassessment is retroactive to the date of damage or destruction. [The District is not able at this time to quantify the loss in assessed value as a result of any such reassessment.] [UPDATE ON LOSSES TO COME FROM DISTRICT/COUNTY AV?]

Additionally on January 16, 2025, the California Governor issued an executive order that (1) suspends until April 10, 2026, certain state tax laws that impose penalties, costs, and interest for late payment of property taxes due in calendar year 2025, (ii) suspends certain additional state tax laws requiring the filing of various property tax statements, and (iii) the orders apply to properties in zip codes included

in the boundaries of the District. The District cannot predict the effect this executive order will have on the timely collection of property taxes.

[UPDATE FROM COUNTY ON AV AND DISTRICT RE LOSSES?]

Drought. Most recently, the State has experienced periods of extreme precipitation, after having experienced severe drought conditions that led to the Governor of California (the “Governor”) declaring a Statewide drought emergency in spring 2021. While storms have helped ease drought impacts, regions and communities across the State continue to experience water supply shortages, especially communities that rely on groundwater supplies that have been severely depleted in recent years. In March 2023, the Governor rolled back some drought emergency provisions that are no longer needed due to current water conditions, while maintaining other measures that support regions and communities still facing water supply challenges, and that continue building up long-term water resilience. The District cannot predict the extent to which drought conditions within the County or any of the adjoining counties could cause reduced economic activity within the boundaries of the District or the extent to which drought conditions may impact District facilities or the assessed value of taxable property within the District.

Flood. As discussed further below in “– Climate Change and Sea Level Rise,” the District may be susceptible to flooding from extreme rainfall events and from sea level rise.

Climate Change and Sea Level Rise. The direct risks posed by climate change currently include or are expected to include more extreme heat events, rising sea levels, changes in precipitation levels, flooding, and more intense storms. In order to address these risks, California law (the Global Warming Solutions Act) requires the State to significantly reduce its emissions of greenhouse gases (GHGs), which contribute to climate change.

Sources of GHG emissions in the District include cars and trucks, electricity and natural gas use in buildings, decomposition of solid waste, landscaping and construction equipment, and water and wastewater distribution, treatment, and use. On-road vehicle use represents the largest source of GHGs, followed by energy use in residential and nonresidential buildings. As a part of the State’s effort to reduce GHG emissions, the California Air Resources Board approved a regulation to rapidly scale down emissions from cars starting with the 2026 model year through the 2035 model year, at which time all new car sales in the State must be zero-emission vehicles. Going forward, the GHG emissions within the District will continue to change due to new policies, technological improvements, and population growth and new development.

Current science indicates that sea level rise is directly linked to climate change, and sea level is expected to increase over time. Sea level rise threatens even inland areas by exacerbating flooding from very high tides, and by contributing to flooding from extreme rainfall events. The various scientific studies that forecast the amount and timing of adverse impacts of climate change are based on assumptions contained in such studies, but actual events may vary materially. In addition, the scientific understanding of climate change and its effects continues to evolve. Accordingly, the District cannot predict the timing, extent, or severity of climate change, GHG emissions or sea level rise, and the impact on the District and its facilities, and on the State and local economies.

Events of Force Majeure. Operation of District facilities may also be at risk from other events of force majeure, such as damaging storms, fires and explosions, strikes, sabotage, riots, and spills of hazardous substances, among other events. The District cannot predict what force majeure events may occur in the future. For additional information regarding the District’s risk management programs and required insurance coverages, see APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION –

Risk Management and Litigation” and APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024.”

Economic Conditions in California; State Funding of Education

State income tax and other receipts can fluctuate significantly from year to year, depending on economic conditions in the State and the nation. Because much of the District’s revenues derive from State funding under the local control funding formula (the “LCFF”), the District’s revenues can vary significantly from year to year, even in the absence of significant education policy changes. Decreases in the State’s general fund revenues may significantly affect appropriations made by the State to school districts, including the District. See APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – STATE FUNDING OF SCHOOL DISTRICTS – State Budget Act.”

While the California Constitution contains certain minimum funding requirements for public education pursuant to Proposition 98, State funding can be affected by a number of factors, including poor performance of the California economy and State budget shortfalls. At times since the implementation of Proposition 98, the State has sought to preserve general fund cash while avoiding increases in the base guaranteed amount through various mechanisms: by treating any excess appropriations as advances against subsequent years’ Proposition 98 minimum funding levels rather than current year increases; by deferring apportionments of Proposition 98 funds from one fiscal year to the next, as the State did in fiscal years 2019-20 and 2020-21; by suspending Proposition 98, as the State did in fiscal year 2004-05, fiscal year 2010-11, fiscal year 2011-12 and fiscal year 2012-13; and by proposing to amend the State Constitution’s definition of the guaranteed amount and settle-up requirement under certain circumstances.

The State and national economy reflect some signs of an economic slowdown that could push the State and national economy into a recession. In the event the State or national economy experiences a recession during the term to maturity or earlier redemption of the Series 2025B Bonds, there may continue to be adverse effects on the budgets of school districts caused by the general economic slowdowns in the State and the State’s own budget difficulties. See APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – STATE FUNDING OF SCHOOL DISTRICTS – State Budget Act “– *2024-25 State Budget*,” and “– *Governor’s Fiscal Year 2025-26 State Budget Proposal*.” Other events resulting in changing economic conditions may also impact State revenue sources and have negative effects upon the amount of and the manner in which the District receives money from the State. The District cannot predict whether events that may result in changing economic conditions will occur or the extent that a change in economic conditions will impact the financial outlook of the State or the District from year to year.

Information about the State budget and State spending for education is regularly available at various State-maintained websites. Text of proposed and adopted budgets may be found at the website of the Department of Finance, www.dof.ca.gov, under the heading “California Budget.” An impartial analysis of the budget is posted by the Office of the Legislative Analyst at www.lao.ca.gov. In addition, various State official statements, many of which contain a summary of the current and past State budgets and the impact of those budgets on school districts in the State, may be found at the website of the State Treasurer, www.treasurer.ca.gov. The information referred to is prepared by the respective State agency maintaining each website and not by the District, and the District can take no responsibility for the continued accuracy of these internet addresses or for the accuracy, completeness or timeliness of information posted there, and such information is not incorporated herein by these references. See APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – STATE FUNDING OF SCHOOL DISTRICTS – State Budget Act.”

Infectious Disease Outbreak

In general, the outbreak of a highly contagious disease or epidemic disease could harm the District's financial results or result in a temporary shutdown of the District's facilities. Many school districts in the State are funded based on the LCFF, which allocates a base grant per unit of average daily attendance with additional supplemental grants based on certain factors. Thus, a temporary shutdown of a school or an entire school district would reduce the average daily attendance and could impact the funding a school district receives (unless the State legislature or California Department of Education takes action to exclude such days from the calculations for funding purposes). Further, any impact on the State's tax and other revenue receipts as a result of a highly contagious or epidemic disease may in turn impact other educational funding that the District receives from the State. See " – Economic Conditions in California; State Funding of Education" above. In addition, the District may incur increased operational costs to clean, sanitize and maintain its facilities either before or after an outbreak of an infectious disease.

The outbreak of COVID-19 and the resulting pandemic has significantly impacted school districts throughout California, including the District. For more information regarding the impact of the COVID-19 pandemic on the District's operations and finances, see APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – STATE FUNDING OF SCHOOL DISTRICTS – Infectious Disease Outbreak."

Cybersecurity

School districts, like other governmental and business entities, face significant risks relating to the use and application of computer software and hardware for educational, operational and management purposes. The District collects, processes, and distributes an enormous amount of private, protected, and personal information on students, staff, parents, visitors, and contractors. As the custodian of such information, the District is constantly facing a variety of persistent and evolving cybersecurity threats. For more information regarding recent cyber incidents involving the District and actions the District has taken to protect its systems and minimize future cyberattacks, see APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT GENERAL INFORMATION – Cybersecurity."

THE DISTRICT

A description of the District, including information concerning its finances and organization, its major revenue sources, funds, liabilities and indebtedness, and certain factors affecting its finances and operations, is set forth in Appendix A.

The District's Audited Annual Financial Report for fiscal year ended June 30, 2024, including its general purpose financial statements for the fiscal year ended June 30, 2024, is included as Appendix B. The basic financial statements of the District for the fiscal year 2023-24 have been audited by Simpson & Simpson, independent certified public accountants, as stated in their report appearing in Appendix B. The District has not requested nor has the District obtained the consent of Simpson & Simpson to the inclusion of its report in Appendix B. Simpson & Simpson has not been engaged to perform and has not performed, since the date of its report included herein, any procedures on the financial statements addressed in that report. Simpson & Simpson has not been requested to perform and has not performed any procedures relating to the Official Statement.

MATERIAL LITIGATION

[The District is currently defending approximately [] lawsuits (totaling [] claimants) relating to allegations of misconduct by former employees with respect to childhood sexual assault, abuse and/or molestation. These claims in this number, and potentially more, are brought pursuant to California Code of Civil Procedure Section 340.1 and by application of a change in California law, brought by AB 218, which became effective on January 1, 2020, and similar childhood sexual assault, abuse and/or molestation claims for tort liability. There are also a number of other lawsuits and claims pending against the District. [Update current litigation, including AB 218] See APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – STATE FUNDING OF SCHOOL DISTRICTS – Risk Management and Litigation” and “– Sexual Misconduct Cases – Assembly Bill 218 and Related Claims” thereunder.

Except as described above, there is no material litigation pending against the District or, to the knowledge of its executive officers, threatened, (i) in any way affecting the existence of the District or in any way challenging the respective powers of the several offices or the titles of the officials of the District to such offices; (ii) seeking to restrain or enjoin the issuance or delivery of the Series 2025B Bonds, the application of the proceeds of the sale of the Series 2025B Bonds, or in any way contesting or affecting the validity of the Bonds, the Revolving Credit Agreement, the Indenture, or the Continuing Disclosure Certificate, or materially affecting payment of the Series 2025B Bonds or payment of any other obligations of the District, or contesting the powers of the District or any authority for the issuance of the Series 2025B Bonds; (iii) contesting the completeness or accuracy of the preliminary or final Official Statement; or (iv) in which a final adverse decision could result in any material adverse change in the business, properties, assets or the financial condition of the District or which may have a material adverse effect on the ability of the District to meet its obligations under the Series 2025B Bonds, the Revolving Credit Agreement, the Indenture, or the Continuing Disclosure Certificate. See APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION – Risk Management and Litigation.”

TAX MATTERS

In the opinion of Dannis Woliver Kelley, bond counsel to the District (“Bond Counsel”), based upon an analysis of existing laws, regulations, rulings, and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Series 2025B Bonds is not excluded from gross income for federal income tax purposes under Section 103 of the Code. Bond Counsel is of the opinion that interest on the Series 2025B Bonds is exempt from State of California personal income taxes. Bond Counsel expresses no opinion regarding any other tax consequences relating to the ownership or disposition of, or the amount, accrual, or receipt of interest on, the Series 2025B Bonds.

The proposed form of the opinion of Dannis Woliver Kelley relating to the Bonds is set forth in APPENDIX D — “PROPOSED FORM OF OPINION OF BOND COUNSEL.”

RATINGS

Fitch Ratings, Inc. (“Fitch”) and Moody’s Investors Service Inc. (“Moody’s”) have assigned their ratings of “[]” and “[],” respectively, to the Series 2025B Bonds. Each rating agency may have obtained and considered information and material which has not been included in this Official Statement. Generally, rating agencies base their ratings on information and material so furnished and on their own investigations, studies and assumptions made by them (which may include information and material from the District which is not included in this Official Statement). Each rating is not a recommendation to buy,

sell or hold the Series 2025B Bonds. Each rating reflects only the view of the respective rating agency, and an explanation of the significance of such rating may be obtained from it. There is no assurance that any such rating of a rating agency will be maintained for any given period of time or that such rating may not be revised downward or withdrawn entirely by the rating agency, if in its own judgment, circumstances warrant. Any such downward change in or withdrawal may have an adverse effect on the market price of the Series 2025B Bonds. Neither the Underwriter nor the District have undertaken any responsibility after the issuance and delivery of the Series 2025B Bonds to assure the maintenance of the ratings or to oppose any such revision or withdrawal.

VALIDATION PROCEEDING

On June 20, 2024, the District filed a complaint in the Superior Court of the State of California for the County of Los Angeles seeking judicial confirmation of the validity of the transactions relating to its authorizing and approving the issuance of the Bonds including, without limitation, the Series 2025A Bonds and the execution and delivery of the Indenture, the Revolving Credit Agreement and related Notes, and any and all contracts and agreements executed and delivered in connection therewith, and with respect to certain obligations of the District arising under the Judgments. The action was brought against all interested persons pursuant to the provisions of Sections 860 *et seq.* of the California Code of Civil Procedure. The court entered a judgment in the District's favor on April 24, 2025 to the effect, among other things, that the District has the authority under California law to issue the Series 2025A Bonds, and that the Bonds, the Indenture, the Notes and the Revolving Credit Agreement are valid, legal, and binding obligations of the District under California law. Pursuant to Section 870 of the California Code of Civil Procedure and Rule 2(a) of the California Rules of Court, the period during which a notice of appeal to this judgment could be timely filed expired on _____, 2025 and the judgment is binding and conclusive in accordance with California law.

CERTAIN LEGAL MATTERS

Certain legal matters are subject to the approving opinion of Dannis Woliver Kelley, Long Beach, California, Bond Counsel. A complete copy of the proposed form of Bond Counsel opinion is contained in Appendix D. Bond Counsel, as such, undertakes no responsibility for the accuracy, completeness, or fairness of this Official Statement. Certain legal matters will be passed upon for the District by Dannis Wolive, as Disclosure Counsel to the District, for the Underwriter by [_____,] and for the District by General Counsel to the District.

Each of Bond Counsel, Disclosure Counsel and Underwriter's Counsel will receive compensation contingent upon the execution and delivery of the Series 2025B Bonds. From time to time, Bond Counsel and Disclosure Counsel each may represent the Underwriter in matters unrelated to the District or the Series 2025B Bonds.

MUNICIPAL ADVISOR

Public Resources Advisory Group (the "Municipal Advisor"), has been engaged by the District to perform financial services in connection with the issuance of the Series 2025B Bonds and certain other financial matters. The Municipal Advisor is an independent advisory firm and is not engaged in the business of underwriting, trading, or distributing municipal securities or other public securities. The Municipal Advisor is not contractually obligated to undertake, and has not undertaken to make, an independent verification or to assume responsibility for the accuracy, completeness or fairness of the information contained in this Official Statement.

UNDERWRITING

The Series 2025B Bonds are being purchased by _____ (the “Underwriter”). The Underwriter has agreed, subject to certain terms and conditions set forth in that certain Bond Purchase Agreement, dated _____, 2025, by and between the Underwriter and the District, to purchase the Series 2025B Bonds at a purchase price of \$ _____ (which represents the aggregate principal amount of the Series 2025B Bonds, plus \$ _____ of original issue premium, and less \$ _____ of Underwriter’s discount). The Underwriter will purchase all the Series 2025B Bonds if any are purchased.

The Series 2025B Bonds may be offered and sold to certain dealers (including dealers depositing said Series 2025B Bonds into investment trusts) and others at prices lower than the initial public offering price, and the public offering price may be changed from time to time by the Underwriter.

The Underwriter and its respective affiliates are full service financial institutions engaged in various activities, which may include sales and trading, commercial and investment banking, advisory, investment management, investment research, principal investment, hedging, market making, brokerage and other financial and non-financial activities and services. Under certain circumstances, the Underwriter and their affiliates may have certain creditor and/or other rights against the District and its affiliates in connection with such activities. In the various course of their various business activities, the Underwriter and its respective affiliates, officers, directors and employees may purchase, sell or hold a broad array of investments and actively trade securities, derivatives, loans, commodities, currencies, credit default swaps and other financial instruments for their own account and for the accounts of their customers, and such investment and trading activities may involve or relate to assets, securities and/or instruments of the District (directly, as collateral securing other obligations or otherwise) and/or persons and entities with relationships with the District. The Underwriter and its respective affiliates may also communicate independent investment recommendations, market color or trading ideas and/or publish or express independent research views in respect of such assets, securities or instruments and may at any time hold, or recommend to clients that they should acquire, long and/or short positions in such assets, securities, and instruments.

[UW DISTRIBUTION LANGUAGE TO COME.]

References are made herein to certain documents and reports which are brief summaries thereof which do not purport to be complete or definitive and reference is made to such documents and reports for full and complete statements of the contents thereof.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact. This Official Statement is not to be construed as a contract or agreement between the District and the purchasers or Owners of any of the Series 2025B Bonds.

The District has duly authorized the execution and delivery of this Official Statement.

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____
Chief Financial Officer

APPENDIX A

**DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC
AND DEMOGRAPHIC INFORMATION**

APPENDIX B

**AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT
FOR FISCAL YEAR ENDED JUNE 30, 2024**

APPENDIX C
SUMMARY OF INDENTURE

APPENDIX D
FORM OF BOND COUNSEL OPINION

APPENDIX E
FORM OF CONTINUING DISCLOSURE CERTIFICATE

APPENDIX F

THE LOS ANGELES COUNTY TREASURY POOL

The Treasurer and Tax Collector of the County of Los Angeles (the “Treasurer”) manages, in accordance with California Government Code Section 53600 et seq., funds deposited with the Treasurer by County school and community college districts, various special districts and some cities. State law generally requires that all moneys of the County, school districts and certain special districts be held in the County’s Treasury Pool (the “Treasury Pool”) as described below. The composition and value of investments under management in the Treasury Pool vary from time to time, depending on the cash flow needs of the County and the other public agencies invested in the Treasury Pool, the maturity or sale of investments, purchase of new securities and fluctuations in interest rates generally. Additionally, the Treasurer, with the consent of the Board of Supervisors of the County of Los Angeles (the “County”), may change the County investment policy at any time. Therefore, there can be no assurance that the values of the various investments in the Treasury Pool will not vary significantly from the values described herein. Neither the District, the Municipal Advisor nor the Underwriter make any representation as to the accuracy or adequacy of such information or as to the absence of material adverse changes in such information subsequent to the date hereof, or that the information contained herein is correct as of any time subsequent to its date. The Treasurer maintains a website, the address of which is <https://ttc.lacounty.gov/monthly-reports/>, on which the Treasurer periodically places information relating to the Treasury Pool. The information presented there, however, is not part of this Official Statement, is not incorporated by reference herein and should not be relied upon in making an investment decision with respect to the Bonds.

The County of Los Angeles Pooled Surplus Investments
[TO BE UPDATED PRIOR TO POS POSTING]

The Treasurer and Tax Collector (the “Treasurer”) of the County of Los Angeles (the “County”) has the delegated authority to invest funds on deposit in the County Treasury (the “Treasury Pool”). As of _____, 2025, investments in the Treasury Pool were held for local agencies including school districts, community college districts, special districts and discretionary depositors such as cities and independent districts in the following amounts:

Local Agency	Invested Funds (in billions)
County of Los Angeles and Special Districts	
Schools and Community Colleges	
Discretionary Participants	
Total	

The Treasury Pool participation composition is as follows:

Non-discretionary Participants	
Discretionary Participants:	
Independent Public Agencies	
County Bond Proceeds and Repayment Funds	
Total	

Decisions on the investment of funds in the Treasury Pool are made by the County Investment Officer in accordance with established policy, with certain transactions requiring the Treasurer’s prior approval. In Los Angeles County, investment decisions are governed by Chapter 4 (commencing with Section 53600) of Part 1 of Division 2 of Title 5 of the California Government Code, which governs legal

investments by local agencies in the State of California, and by a more restrictive Investment Policy developed by the Treasurer and adopted by the Los Angeles County Board of Supervisors on an annual basis. The Investment Policy adopted on _____, 2024, reaffirmed the following criteria and order of priority for selecting investments:

1. Safety of Principal
2. Liquidity
3. Return on Investment

An internal controls system for monitoring cash accounting and investment practices is in place. The Treasurer's Compliance Auditor, who operates independently from the Investment Officer, reconciles cash and investments to fund balances daily. The Compliance Auditor's staff also reviews each investment trade for accuracy and compliance with the Board adopted Investment Policy. On a quarterly basis, the County's outside independent auditor (the "External Auditor") reviews the cash and investment reconciliations for completeness and accuracy. Additionally, the External Auditor reviews investment transactions on a quarterly basis for conformance with the approved Investment Policy and annually accounts for all investments.

The following table identifies the types of securities held by the Treasury Pool as of November 30, 2024:

<u>Type of Investment</u>	<u>% of Pool</u>
Certificates of Deposit	
U.S. Government and Agency Obligations	
Bank Acceptances	
Commercial Paper	
Municipal Obligations	
Corporate Notes & Deposit Notes	
Repurchase Agreements	
Asset Backed Instruments	
Other	

The Treasury Pool is highly liquid. As of _____, 2025, approximately ____% of the investments mature within 60 days, with an average of ____ days to maturity for the entire portfolio.

APPENDIX G

BOOK-ENTRY ONLY SYSTEM

The following information has been provided by DTC for use in securities offering documents, and none of the District or the Underwriter takes any responsibility for the accuracy or completeness thereof.

The Depository Trust Company (“DTC”), will act as securities depository for the Series 2025B Bonds. The Series 2025B Bonds will be executed and delivered as fully-registered securities registered in the name of Cede & Co. (DTC’s partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully registered Series 2025B Bond will be issued for each stated Principal Payment Date of the Series 2025B Bonds, each in the aggregate amount of the principal evidenced by Series 2025B Bonds with such stated Principal Payment Date, and will be deposited with DTC.

DTC, the world’s largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a “banking organization” within the meaning of the New York Banking Law, a member of the Federal Reserve System, a “clearing corporation” within the meaning of the New York Uniform Commercial Code, and a “clearing agency” registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC’s participants (“Direct Participants”) deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants’ accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation (“DTCC”). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly (“Indirect Participants”). DTC has a Standard & Poor’s rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com. The information on such website is not incorporated into this Official Statement by reference or otherwise.

Purchases of Series 2025B Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Series 2025B Bonds on DTC’s records. The ownership interest of each actual purchaser of each Series 2025B Bond (“Beneficial Owner”) is in turn to be recorded on the Direct and Indirect Participants’ records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners, however, are expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Series 2025B Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Series 2025B Bonds, except in the event that use of the book-entry system for the Series 2025B Bonds is discontinued.

To facilitate subsequent transfers, all Series 2025B Bonds deposited by Direct Participants with DTC are registered in the name of DTC’s partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Series 2025B Bonds with DTC and their

registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Series 2025B Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Series 2025B Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Series 2025B Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Series 2025B Bonds, such as redemptions, tenders, defaults, and proposed amendments to the Indenture and the Revolving Credit Agreements. For example, Beneficial Owners of Series 2025B Bonds may wish to ascertain that the nominee holding the Series 2025B Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices will be sent to DTC. If less than all of the Series 2025B Bonds with a particular stated Principal Payment Date are being prepaid, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such Series 2025B Bonds to be prepaid.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Series 2025B Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the District as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Series 2025B Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Payments of principal, premium, if any, interest, and other payments evidenced by the Series 2025B Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts, upon DTC's receipt of funds and corresponding detail information from the District or the Trustee, on the payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Trustee, or the District, subject to any statutory or regulatory requirements as may be in effect from time to time. Payments of principal, premium, if any, interest, and other payments evidenced by the Series 2025B Bonds to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the District or the Trustee, and disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

The District may decide to discontinue use of the system of book-entry only transfers through DTC (or a successor securities depository). In that event, Series 2025B Bonds will be printed and delivered to DTC.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the accuracy thereof.

THE DISTRICT AND THE TRUSTEE CANNOT AND DO NOT GIVE ANY ASSURANCES THAT DTC WILL DISTRIBUTE TO PARTICIPANTS, OR THAT PARTICIPANTS OR OTHERS WILL DISTRIBUTE PAYMENTS OF PRINCIPAL, INTEREST OR ANY PREMIUM EVIDENCED BY THE SERIES 2025B BONDS PAID TO DTC OR ITS NOMINEE AS THE REGISTERED OWNER, OR ANY PREPAYMENT OR OTHER NOTICES, TO THE BENEFICIAL OWNERS, OR THAT THEY WILL DO SO ON A TIMELY BASIS OR WILL SERVE AND ACT IN THE MANNER DESCRIBED IN THIS OFFICIAL STATEMENT. THE DISTRICT AND THE TRUSTEE ARE NOT RESPONSIBLE OR LIABLE FOR THE FAILURE OF DTC OR ANY PARTICIPANTS TO MAKE ANY PAYMENT OR GIVE ANY NOTICE TO A BENEFICIAL OWNER WITH RESPECT TO THE SERIES 2025B BONDS OR ANY ERROR OR DELAY RELATING THERETO.

THE FOREGOING DESCRIPTION OF THE PROCEDURES AND RECORD KEEPING WITH RESPECT TO BENEFICIAL OWNERSHIP INTERESTS IN THE SERIES 2025B BONDS, PAYMENT OF PRINCIPAL, INTEREST AND OTHER PAYMENTS EVIDENCED BY THE SERIES 2025B BONDS TO PARTICIPANTS OR BENEFICIAL OWNERS, CONFIRMATION AND TRANSFER OF BENEFICIAL OWNERSHIP INTERESTS IN SUCH BONDS AND OTHER RELATED TRANSACTIONS BY AND BETWEEN DTC, THE PARTICIPANTS AND THE BENEFICIAL OWNERS IS BASED ON INFORMATION PROVIDED BY DTC. ACCORDINGLY, THE DISTRICT TAKES NO RESPONSIBILITY FOR THE ACCURACY THEREOF.

APPENDIX A

**DISTRICT FINANCIAL INFORMATION AND
REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION**

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This Appendix A provides information concerning the operations and finances of the Los Angeles Unified School District (the “District”) and certain demographic information in the area covered by the District. The Bonds are general obligation bonds of the District, secured and payable from ad valorem property taxes assessed on taxable properties within the District and are not an obligation of the County (defined herein) or of the general fund of the District. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS” in the forepart of this Official Statement. See also “GLOSSARY OF CERTAIN TERMS AND ABBREVIATIONS” herein for a description of certain terms and abbreviations used in this Appendix A.

DISTRICT GENERAL INFORMATION

District Boundaries

The District, encompassing approximately 710 square miles, is located in the western section of the County of Los Angeles (the “County”) in the State of California (the “State”). The District’s boundaries include virtually all of the City of Los Angeles (the “City”), all of the Cities of Cudahy, Gardena, Huntington Park, Lomita, Maywood, San Fernando, Vernon and West Hollywood, and portions of the Cities of Bell, Bell Gardens, Beverly Hills, Calabasas, Carson, Commerce, Culver City, Downey, Hawthorne, Inglewood, Long Beach, Lynwood, Montebello, Monterey Park, Rancho Palos Verdes, Rolling Hills Estates, Santa Clarita, Santa Monica, South Gate, and Torrance. In addition, the District provides services to several unincorporated areas of the County, which include residential and industrial areas. The boundaries for the District are approximately 80% coterminous with the City, with the remaining 20% included in the smaller neighboring cities and unincorporated County areas described above. The District was formed in 1854 as the Common Schools for the City and became a unified school district in 1960.

District Governance; Senior Management

District Board. The District is governed by a seven-member Board of Education (the “District Board”), each member of which is a voting member and elected by voters within such member’s designed district. The members of the District Board are elected to four-year terms in alternate slates of three and four, with elections held every two years. In an election year, if a candidate receives a majority of the votes cast for a District Board seat in the primary election, that candidate is elected to the office. In the event no candidate receives a majority of the votes cast for a District Board seat, there is a runoff election at the general election between the two candidates receiving the highest number of votes for the seat in the primary election. The current members of the District Board along with their district and term are set forth below.

District	Member	Term Ending
	Scott Schmerelson, President	December 10, 2028
2	Dr. Rocio Rivas, Vice President	December 13, 2026
1	Sherlett Hendy Newbill	December 10, 2028
4	Nick Melvoin	December 13, 2026
5	Karla Griego	December 10, 2028
6	Kelly Gonez	December 13, 2026
7	Tanya Ortiz Franklin	December 10, 2028

Superintendent. The chief executive officer of the District, appointed by the District Board to manage the day-to-day operations of the District, is the Superintendent of Schools (the “Superintendent”). The District Board appointed Alberto M. Carvalho to serve as the Superintendent effective February 2022.

Strategic Plan. On June 21, 2022, the District Board unanimously adopted a strategic plan outlining the student outcomes expected by 2026 (the “2022-26 Strategic Plan”) that focuses on the goal of ensuring that all District students graduate “ready for the world” and prepared to thrive in college, career, and life.

The 2022-26 Strategic Plan revolves around four goals, postsecondary preparedness, literacy, numeracy, and social-emotional wellness, and five pillars, each consisting of priorities that represent critical areas the District will focus on: academic excellence; joy and wellness; engagement and collaboration; operational effectiveness; and investing in staff.

Pursuant to the 2022-26 Strategic Plan, the first pillar of “Academic Excellence” prioritizes improving student outcomes through high-quality instruction, delivering enriching experiences to instill lifelong learning, eliminating opportunity gaps, and encouraging multiple paths for college and career readiness. The second pillar of “Joy and Wellness” prioritizes creating welcoming and inclusive learning environments, addressing student well-being through health, nutrition, and wellness services, cultivating strong social-emotional skills, and ensuring outstanding attendance to achieve consistent learning. The third pillar of “Engagement and Collaboration” prioritizes strengthening relationships between students, families, and schools, providing accessible information to the community, leading on local, state, and national levels, and honoring the perspectives of students. The fourth pillar of “Operational Effectiveness” prioritizes developing data-driven decision-making, modernizing facilities and technological infrastructure, sustainably implementing school and District budgets, and making the District a district of choice of families. The fifth pillar of “Investing in Staff” prioritizes recruiting and retaining a diverse workforce, providing rigorous and relevant professional learning, cultivating staff wellness, and maintaining consistent and high performance standards.

The District developed an Implementation Guide for the 2022-26 Strategic Plan with actions and practices for practitioners to implement in schools and classrooms. Pursuant to the 2022-26 Strategic Plan, the District intends to, among other endeavors, ensure processes and systems are in alignment by reviewing budgets, updating reporting structures, offering professional development for school and central office staff, and providing additional support for aligning school-level plans to the 2022-26 Strategic Plan. Furthermore, to ensure the 2022-26 Strategic Plan remains on track, the District is regularly engaging with the community to solicit feedback on its actions and expenditures, and has established districtwide systems to monitor progress of ongoing implementation, as well as progress toward achieving its targets for success – at both the central-office and school-site levels. The District has released a Year One Report (2022-23) and Year Two Report (2023-24) regarding the District’s progress on implementation of the 2022-26 Strategic Plan.

Regions. In addition to the Superintendent of the District, the District organizes its schools into four (formerly six) geographically-based regions (each, a “Region”). Each Region has a separate superintendent to oversee the schools in the related area of the District. The current Region Superintendents are Dr. David Baca (North), Andre Spicer (South), José P. Huerta (East), and Dr. Denise Collier (West).

Biographies. Brief biographical information for Superintendent Alberto M. Carvalho and other senior management of the District is set forth below.

Alberto M. Carvalho, Superintendent. Alberto M. Carvalho has served as Superintendent of the District, the nation’s second-largest school district, since February 2022. He was selected by the District Board in a unanimous vote following a comprehensive community engagement process and a nationwide search.

Since starting at the District, Superintendent Carvalho has led the development and implementation of the District’s unanimously approved 2022-2026 Ready for the World Strategic Plan. Numerous initiatives and ideas have enhanced the plan, including the launch of the STEAM Lab Makerspaces, Education Transformation Office, Cultural Arts Passport, and Family Academy. Through Superintendent Carvalho’s leadership, the District has also established nine new education compacts between the District and local municipalities, made significant progress in greening schools, and secured upgraded credit ratings, generating millions in savings.

During his 14-year tenure as Superintendent of Miami-Dade County Public Schools (“M-DCPS”), Superintendent Carvalho garnered local, state, national and international recognition. His honors include being named Florida’s 2014 Superintendent of the Year; the 2014 National Superintendent of the Year; the 2016 Magnet Schools of America Superintendent of the Year, the 2016 winner of the Harold W. McGraw Prize in Education; the 2018 National Urban Superintendent of the Year; and the 2019 National Association for Bilingual Education (NABE) Superintendent of the Year.

Under his leadership, M-DCPS became one of the nation’s highest-performing urban school systems, receiving systemwide accreditation from AdvancEd in 2014 and 2019. M-DCPS was named as the 2014 College Board Advanced Placement Equity and Excellence District of the Year and the 2012 winner of the Broad Prize for Urban Education. Superintendent Carvalho is now seeking to elevate the District to the premier spot in American urban education.

Superintendent Carvalho was appointed by the U.S. Secretary of Education to serve on the National Assessment Governing Board. He has served as a committee member for the National Academies of Science, Engineering, and Medicine and is currently serving as an Advisory Committee Member to the Harvard Program on Education Policy and Governance. Superintendent Carvalho is also a dedicated member the Homeland Security Academic Partnership Council, the National Board of Directors for Common Threads, the Posse Foundation, the Aspen Institute’s Planet Media Task Force, and Code.org. He is a member of the Leadership Table for the Los Angeles County Executive Committee on Homelessness and serves on the Board of Directors of The Music Center of Los Angeles.

Superintendent Carvalho has been awarded many honorary degrees. He has been honored by the President of Portugal with the “Ordem de Mérito Civil” and by Mexico with the “Ohtli Award.” He was also knighted by King Felipe VI of Spain with the Cross of the Orden de Isabel la Católica.

Jaime G. Torrens, Senior Advisor to the Superintendent. Mr. Torrens, Senior Advisor to the Superintendent of the District, is responsible for assisting and supporting the Superintendent in the overall operation of the District, the largest self-governing public school district in the nation. Mr. Torrens also oversees the district’s eco-sustainability, compliance and audits, and environmental health and safety functions. Mr. Torrens previously served as Deputy Superintendent and Chief of Staff for Miami-Dade County Public Schools (“M-DCPS”) where he oversaw a broad portfolio of functional areas. Among other duties, he led the M-DCPS’ response and recovery related to COVID-19 (as defined herein).

As Chief Facilities Officer for over 12 years, he was responsible for all aspects of facilities planning, construction, maintenance, operations and inspections at the fourth largest school system in the nation. As a member of the Superintendent’s Cabinet, he directed a staff of 1,000 professional and technical personnel responsible for all aspects of 3,100 buildings comprising 45 million square feet on over 400 school campuses and ancillary facilities.

Mr. Torrens also led the implementation of M-DCPS’ \$1.2 billion general obligation bond program approved by voters in 2012 to renovate, construct, and modernize school facilities throughout Miami-Dade County. This extensive capital improvement program included instructional technology upgrades at every school to provide equity throughout all campuses. Concurrently, he helped launch a comprehensive business development program which drastically expanded participation of small, minority and women-owned businesses that had been historically underrepresented in the construction industry.

Mr. Torrens served M-DCPS in various positions of increasing responsibility related to facilities management and district/emergency operations. He led M-DCPS’ infusion of sustainability principles into design criteria and specifications for capital projects, implemented the Guaranteed Energy Performance

Contracting Program, and opened the first Gold Certified comprehensive high school under the LEED for Schools Program.

Mr. Torrens holds a Master of Science in Management Information Systems and a Bachelor of Science in Electrical Engineering from Florida International University, and he is a LEED Accredited Professional.

Mr. Pedro Salcido, Deputy Superintendent Business Services and Operations. Pedro Salcido has been a dedicated member of the District since 2012, advancing through a variety of roles that reflect his deep commitment to both educational equity and operational excellence. Currently serving as the Deputy Superintendent of Business Services and Operations, Mr. Salcido oversees the essential divisions that keep the District running, including finance, food services, facilities, information technology, medical services, procurement, school operations, school police, and transportation. His strategic priorities include addressing the digital divide, advancing school bus electrification and systems modernization, improving school meals, modernizing wireless networks, leading school building renovations, and implementing strategic budgeting efforts.

Since his appointment in November 2022, Mr. Salcido has spearheaded multiple initiatives that are critical to the District's long-term goals. Notably, he has been instrumental in efforts to close the digital divide and modernize technological systems, ensuring that all students and staff have access to state-of-the-art tools for teaching, learning, and communication. His leadership also extends to the District's sustainability efforts, such as the transition to electric school buses, and his work on improving the quality of school meals, making them both healthier and more appealing to students.

Before becoming Deputy Superintendent of Business Services and Operations, Mr. Salcido served as the Chief of Staff, where he played a pivotal role in managing the District's academic and non-academic operations. As the Superintendent's principal liaison to the Board of Education, he facilitated the execution of policies and worked closely with Superintendent Carvalho on the development of both the 100-Day Plan and the Strategic Plan. His work continues to focus on aligning the District's resources with its most urgent priorities, ensuring that every decision is made with a focus on equity and efficiency.

One of Mr. Salcido's most significant contributions to the District has been his leadership in the development and implementation of the Student Equity Needs Index (SENI), a funding allocation model designed to address the District's most pressing equity challenges. Today, SENI has grown to distribute nearly \$700 million to the schools that need it most. This initiative is just one example of how Mr. Salcido has worked tirelessly to expand both equitable financial practices and programmatic efforts across the District.

Mr. Salcido's experience also includes serving as Senior Executive Director of Finance and Policy and Director of Government Relations, where he led state, federal, and local advocacy efforts, managed labor negotiations, and oversaw the District's financial operations and policy development. He played a key role in the establishment of the District's Local Control and Accountability Plan, aligning budget practices with a system of accountability and community engagement that continues to guide the District's efforts.

Mr. Salcido holds a Master of Public Administration from the University of Southern California and holds dual degrees in Politics and Latin American Studies from the University of California, Santa Cruz.

Devora Navera Reed, General Counsel. Devora Navera Reed serves as the General Counsel for the District, the largest school district in California. She was appointed by the Board of Education in 2020. She has served as legal counsel in various roles since 2006. As the General Counsel for the District, Devora is responsible for administering and overseeing the legal activities of the District's legal staff of over 100 talented individuals and outside legal firms. In addition, she advises the Board of Education, Superintendent, and senior leadership on matters of major importance to the District. She is a critical member of the executive cabinet focused on accelerating student achievement and equity in the District. Prior to joining the District in 2006, Devora served as an attorney for the Children's Law Center of Los Angeles for nearly a decade, where she represented and advocated for children in dependency court and the foster care system. In addition to her legal responsibilities, Devora serves as a board member of the California Minority Counsel Program promoting diversity, equity and inclusion in the legal field. Devora earned a Bachelor of Arts from the University of Southern California in 1992 and a Juris Doctorate degree from the University of San Francisco School of Law in 1996.

Christopher D. Mount-Benites, Chief Financial Officer. Mr. Mount began serving as the District's Interim Chief Financial Officer in August of 2024, and now holds the position, and previously served as the District's Chief Procurement Officer. Prior to coming to the District, Mr. Mount served as a Superintendent for three years and as a Deputy Superintendent, Chief Business Official and Chief Financial Official of various schools in the San Francisco Bay Area and Sacramento for over a decade with a specialization in schools that were experiencing fiscal distress. Prior to working on the business side of education, Mr. Mount was a Director of Curriculum and Instruction and both a high school and elementary school Principal for six years in New York and Los Angeles. He also taught high school English and Social Studies for a decade and served as an Operations Executive for an Educational and Training Company in Los Angeles. Mr. Mount earned his Bachelor's Degree from the State University of New York at Oswego, his Master of Arts degree in European and Asian History from the State University of New York at Cortland, his Master of Arts degree in Educational and Public Administration from California State University at Dominguez Hills and his California Chief Business Official certification from the University of Southern California.

Nolberto Delgadillo, Deputy Chief Financial Officer – Finance. Mr. Delgadillo joined the District in July 2023, taking on the role to support the District's fiscal strategy. He came to the District from Portland Public Schools (Oregon) where he served as Chief Financial Officer. Prior to his time at Portland Public Schools he served in the same role for Tulsa Public Schools (Oklahoma). Mr. Delgadillo has a track record for being responsible for ensuring that school district funds are managed responsibly and reported accurately while leading the full spectrum of financial services. Before his time with Tulsa Public Schools, Mr. Delgadillo served as Chief Operations Officer in Los Angeles, at the LA Promise Fund. He also previously supported finance operations at Green Dot Public Schools (California). Mr. Delgadillo also spent over 12 years in the health care sector. He is a graduate of the University of Southern California earning degrees in Chemistry and Spanish and earning a Master of Business Administration from Loyola Marymount University. He also completed a two-year program through The Broad Center, earning a Master's in Educational Leadership.

Ernie Thomas, Controller. Mr. Thomas joined the District in January 2024 from a national non-profit organization focused on education where he served for a decade, first as Controller and eventually as Treasurer and Controller for the last six years. He previously served as Corporate Controller for a community sector organization for two years. Prior to that, he served as Vice President at National Community Renaissance for a year. Before that, Mr. Thomas served at an entertainment company for over

a decade, where he first held the position of Controller for three years, and then Chief Financial Officer for the last nine years. Mr. Thomas was also an auditor at Arthur Andersen & Co. and is a Certified Public Accountant (inactive). Mr. Thomas graduated from the University of California, Los Angeles with a Bachelor of Arts degree in Economics.

Timothy S. Rosnick, Deputy Controller. Mr. Rosnick joined the District in October 2006 and served as the District's Director of Accounting Controls from October 2006 through June 2007 and the Director of Treasury and Accounting Controls from July 2007 through June 2008. Mr. Rosnick served as the District's Controller from June 2008 through June 2011 and served as the District's Deputy Controller from June 2011 through September 2023. Mr. Rosnick served as Director of Capital Planning and Budgeting from September 2023 to June 2025. Prior to joining the District, Mr. Rosnick served as an Administrator at the Orange County Department of Education and as a Financial Officer with the Los Angeles County Office of Education. Mr. Rosnick graduated from the University of Washington with a Bachelor of Arts degree with Distinction in Economics and received a Master of Business Administration degree from the University of Texas at Austin. Mr. Rosnick is a member of the Government Finance Officers Association and the CFA Institute.

School Facilities

The District is the largest public school district in the State and the largest self-governing public school district in the United States. As reflected in the District's Audited Annual Financial Report for fiscal year 2023-24, the District operated 1,232 schools and centers in fiscal year 2023-24, which consisted of 435 elementary schools, 78 middle/junior high schools, 87 senior high schools, 59 options schools, 29 multi-level schools, 12 special education schools, 264 magnet centers, 67 magnet schools, 18 primary school centers, 2 community adult schools, 7 regional occupational centers, 2 skills centers, 87 early education centers, 4 infant centers, and 81 California State preschools. As reflected in the District's Audited Annual Financial Report for fiscal year 2023-24, 51 of the District's schools were operated as Affiliated Charter Schools in fiscal year 2023-24. In addition, as reflected in the District's Audited Annual Financial Report for fiscal year 2023-24, the District oversaw 221 Fiscally Independent Charter Schools within the District's boundaries in fiscal year 2023-24. See "STATE FUNDING OF SCHOOL DISTRICTS – Charter School Funding."

At the time of preparation of the District's second interim report for fiscal year 2024-25 (the "2024-25 Second Interim Report"), the transitional kindergarten ("TK") through 12th grade enrollment in the District for fiscal year 2024-25 was projected to be approximately 402,561 students, including those attending magnet, opportunity, and continuation schools and centers, locally funded affiliated charter schools ("Affiliated Charter Schools"), and schools for people with disabilities. Such enrollment represents a projected decrease of 892 students or a decrease of approximately (0.22)% from the budgeted TK-12 enrollment in the District at the time of preparation of the District's original adopted budget for fiscal year 2024-25 (the "Fiscal Year 2024-25 Budget"). Such enrollment does not include students attending charter schools located within the District's boundaries and receiving funding directly from the State ("Fiscally Independent Charter Schools"), that was budgeted at 108,520 students at the time of preparation of the Fiscal Year 2024-25 Budget. Based on enrollment projections at the time of preparation of the 2024-25 Second Interim Report, the District projected enrollment to decline by (1.99)% on average through fiscal year 2025-26. For more information regarding District enrollment and average daily attendance, see APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT GENERAL INFORMATION – Enrollment and Average Daily Attendance." While the District expects enrollment to continue to decline, the District's projected enrollment declines are subject to change as conditions change and more data becomes available throughout

the fiscal year. The District attributes declining enrollment to, among other things, the reduced birth rate in the County, increased costs of living and housing costs in southern California, declining immigration trends in the Los Angeles area, and residual impacts of the Coronavirus Disease 2019 (“COVID-19”) pandemic. The District’s Strategic Enrollment & Program Planning Office continues to lead coordination of District-wide enrollment efforts by utilizing data-driven decision-making to expand successful district programs, improve marketing and outreach to communities, implement student retention and matriculation strategies, and streamline TK-12 pathways and programs. Additionally, the recent 2025 wildfires could additionally impact enrollment. See “2025 Wildfires” in the front part of the Official Statement. See also APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION – District Budget – LACOE’s Responses to Fiscal Year 2024-25 Budget,” for information regarding District declining enrollment.

As a result of declining enrollment in District schools, the District’s annual average daily attendance (“ADA”) has declined in recent years and is expected to further decline in fiscal years 2024-25 through 2026-27 based on projections contained in the 2024-25 Second Interim Report. To ensure funding stability regardless of instructional model in light of the COVID-19 pandemic, the State budget for fiscal year 2020-21 included a hold-harmless provision for the purpose of calculating apportionments in fiscal year 2020-21, and it provided that average daily attendance for fiscal year 2020-21 was based on fiscal year 2019-20 (specifically, the period July 1, 2019 through February 29, 2020). Although the State budget for fiscal year 2021-22 did not include an extension of the ADA hold-harmless provision in fiscal year 2021-22, school districts with enrollment declines in fiscal year 2021-22, like the District, retained the ability to receive their apportionment based on the higher of their fiscal year 2019-20 or fiscal year 2021-22 ADA as provided under the Local Control Funding Formula (the “LCFF”). See “STATE FUNDING OF SCHOOL DISTRICTS – Local Control Funding Formula.” In light of pervasive declining enrollment throughout nearly all school districts in the State, the Governor’s State budget for fiscal year 2022-23 revised the LCFF calculation beginning with fiscal year 2022-23 to consider the greater of a school district’s current fiscal year, prior fiscal year, or the average of three prior fiscal years’ ADA to allow school districts more time to adjust to enrollment-related LCFF funding declines. For purposes of fiscal year 2021-22, if a school district could demonstrate it provided independent study offerings to students in fiscal year 2021-22, such school district could consider the greater of its fiscal year 2021-22 ADA or its fiscal year 2021-22 enrollment adjusted for pre-COVID-19 absence rates. Such adjustment was applicable to fiscal year 2021-22 for purposes of calculating a school district’s prior year ADA or the average of three prior years’ ADA in fiscal year 2022-23 and beyond in accordance with the amendments made in connection with the Governor’s State budget for fiscal year 2022-23. The following Table A-1 sets forth the District’s actual and funded ADA for fiscal years 2015-16 through 2024-25. As reflected in Table A-1, the District’s funded ADA for fiscal years 2015-16 through 2021-22 was based largely on actual prior year ADA for the second period of attendance (“P-2”) for traditional TK-12 students, but current year P-2 ADA for students attending Affiliated Charter Schools. For fiscal years 2022-23 through 2024-25, the District’s funded ADA was based largely on the average of three prior fiscal years’ P-2 ADA for traditional TK-12 students, as adjusted in accordance with the COVID-19 ADA relief measures, but current year P-2 ADA for students attending Affiliated Charter Schools. As is shown in Table A-1, the revised LCFF calculation allowing the greater of a school district’s current fiscal year, prior fiscal year, or the average of three prior fiscal years’ ADA delays, but does not eliminate, the effects of enrollment declines on LCFF funding, such effects to eventually be felt as higher attendance levels from earlier years continue phasing out of the District’s average.

TABLE A-1
LOS ANGELES UNIFIED SCHOOL DISTRICT
Average Daily Attendance
Fiscal Years 2015-16 through 2024-25⁽¹⁾

Fiscal Year	Actual ADA			Funded ADA
	TK-12 ⁽²⁾	Affiliated Charter Schools ⁽³⁾	Total	
2015-16	463,735	39,632	503,367	512,625 ⁽⁷⁾
2016-17	450,713	41,143	491,856	500,648 ⁽⁷⁾
2017-18	438,359	40,232	478,591	483,710 ⁽⁷⁾
2018-19	415,100	38,910	454,010	470,127 ⁽⁷⁾
2019-20 ⁽⁴⁾	413,965	40,940	454,905	454,792 ⁽⁷⁾
2020-21 ⁽⁵⁾	N/A	N/A	N/A	455,356 ⁽⁷⁾
2021-22	345,896	35,043	380,939	449,937 ⁽⁷⁾
2022-23	348,544	35,466	384,010	433,929 ⁽⁸⁾
2023-24	345,702	35,587	381,289	410,914 ⁽⁸⁾
2024-25 ⁽⁶⁾	336,961	35,302	372,263	386,478 ⁽⁸⁾

⁽¹⁾ Data may differ from other District disclosures because adjustments were made in certain fiscal years due to additional attendance for non-public students, corrected attendance reports for District students, and/or audit findings.

⁽²⁾ Includes non-public school special education students and District students attending schools operated by the County.

⁽³⁾ Includes charter schools that are fiscally-affiliated with the District.

⁽⁴⁾ Condensed reporting period. Does not reflect actual student attendance after February 29, 2020 due to the COVID-19 pandemic.

⁽⁵⁾ Attendance reporting not required for fiscal year 2020-21. The fiscal year 2020-21 State budget included a hold harmless provision for the purpose of calculating apportionments under LCFF in fiscal year 2020-21, providing that ADA for fiscal year 2020-21 was based on ADA for fiscal year 2019-20 (specifically, the period July 1, 2019 through February 29, 2020), as discussed in more detail above.

⁽⁶⁾ Funded ADA, as reflected in the 2024-25 Second Interim Report; Actual ADA is based on projections provided in the 2024-25 Second Interim Report.

⁽⁷⁾ Funded ADA is based largely on actual prior year P-2 ADA for TK-12 and current year P-2 ADA for Affiliated Charter Schools. For more information, see the discussion of ADA funding in the paragraph immediately preceding this table.

⁽⁸⁾ Funded ADA is based largely on the average of three prior fiscal years' P-2 ADA for TK-12, as adjusted in accordance with the COVID-19 ADA relief measures, and current year P-2 ADA for Affiliated Charter Schools. For more information, see the discussion of ADA funding in the paragraph immediately preceding this table.

Sources: Los Angeles Unified School District; the District's Audited Annual Financial Report for fiscal year 2021-22 (actual ADA for fiscal years 2012-13 through 2021-22); unaudited actuals reports for fiscal years 2012-13 through 2022-23 (funded ADA for fiscal years 2012-13 through 2022-23; actual ADA for fiscal year 2022-23); Fiscal year 2023-24 Audited Annual Financial Report; and 2024-25 Second Interim Report (funded ADA for fiscal year 2024-25).

Federal Funding

The federal government provides funding for several District programs. On January 20, 2025, President Trump issued a series of executive orders, which include ensuring that federal funds are used in a manner approved by the current administration. In response to and in an effort to carry out such orders, on January 27, 2025, the White House Office of Management and Budget ("OMB") released its Memorandum M-25-13, Temporary Pause of Agency Grant, Loan, and Other Financial Assistance Programs (the "OMB Memorandum"). The OMB Memorandum directed federal agencies to temporarily pause all activities related to obligation or disbursement of all federal financial assistance in order to review spending for consistency with the Trump Administration's policies, stating that the temporary pause was to become effective at 5:00 p.m. on January 28, 2025. The OMB Memorandum caused uncertainty as to whether certain Federal funding and grants would be paused.

Before the OMB Memorandum became effective, two separate lawsuits were filed in federal district courts in Rhode Island and the District of Columbia challenging the OMB Memorandum and seeking injunctions. On January 28, 2025, shortly before the OMB Memorandum became effective, a District of Columbia federal judge issued an emergency administrative stay through February 3, 2025, at which time a preliminary injunction hearing was set. On January 29, 2025, OMB rescinded the OMB

Memorandum. Although the OMB Memorandum was rescinded, the executive orders are in effect and the matter is ongoing as spending reviews are ongoing. On January 31, 2025, a Rhode Island federal judge issued a temporary restraining order on the pause. On February 3, 2025, the District of Columbia federal judge issued a temporary restraining order as well. On February 10, 2025, the Rhode Island federal judge granted a motion for a preliminary injunction and issued an Enforcement Order clarifying the scope of the temporary restraining order and ordering the Trump Administration to release federal funds and comply with the earlier order. The Trump Administration appealed the temporary restraining order to the U.S. Court of Appeals for the First Circuit. The Trump Administration's request to stay the temporary restraining order pending appeal was denied. The District cannot predict any action to be taken in carrying out the executive orders nor its effect on the District's federal funding or operations of the District. See also APPENDIX A "– District Debt."

On March 20, 2025, President Trump signed an executive order instructing the Secretary of Education to take all necessary steps to close the Department of Education (the "DOE") to the maximum extent appropriate and permitted by law. The executive order followed the mass dismissal of approximately half of the DOE's staff on March 11, 2025, and the cancellation of \$1.5 billion in grants and contracts for the performance of DOE functions. The DOE provides funding to local school districts nationwide, including the District, primarily for special education services under the Individuals with Disabilities Education Act and under Title I to the Elementary and Secondary Education Act to districts that serve large populations of economically disadvantaged students.

Two separate complaints were filed on March 24, 2025, the first in the U.S. District Court for the District of Massachusetts by Democracy Forward, a plaintiff group acting on behalf of the Easthampton School District and certain labor and parent groups. The second complaint was filed in the U.S. District Court for the District of Maryland, by a plaintiff group including the National Association for the Advancement of Colored People, the National Education Association, and other parent groups and education proponents. Each lawsuit generally challenges the layoffs of DOE staff and the executive order dismantling the DOE as exceeding the constitutional authority of the executive branch.

The District is unable to predict whether the Trump Administration's review of spending will be upheld in full or in part or whether legal challenges to any freeze or pause in spending will be successful. Similarly, the District is unable to predict whether the executive order dismantling the DOE or the staff reductions or grant cancellations will be upheld after legal challenge. If the reductions in funding, elimination of the DOE, or staff layoffs are upheld in whole or in part, the District cannot anticipate whether the amount of federal revenues in the District's General Fund will be reduced, or the extent of any reduction, or whether any reduction would occur in the current or any future fiscal year.

Cybersecurity

General. The District collects, processes, and distributes large amounts of private, protected and personal information on students, staff, parents, visitors, vendors and contractors. The size of the District's information assets creates a target-rich environment for a variety of threats such as cyber criminals and natural disasters. In March 2020, in response to the COVID-19 pandemic, the District rapidly implemented new remote learning and remote working capabilities, which increased the District's cyberattack surface area. The District implemented additional layers of technical and administrative controls to mitigate remote access risks.

2019 Cyberattack. In 2019, the District experienced a cyberattack that resulted in unauthorized access to a limited number of student records; the software vulnerability was resolved the same day it was discovered, and no material impact occurred.

August 2022 Outage. In August 2022, a Data Center power outage triggered by a failed electrical transformer owned by Los Angeles Department of Water and Power, resulted in temporary unavailability of some information systems. The District mitigated the risk by increasing electrical line and backup power capacity and successfully performing functional load tests.

September 2022 Cyberattack. On September 3, 2022, the District became aware of a cyberattack on its information technology assets and proactively suspended network traffic in and out of its data centers. In response to such incident, the District swiftly activated its incident response protocol and commenced an investigation with support from Kroll, LLC, an outside cybersecurity firm, to assist with containment, remediation, and forensic analysis. The Microsoft Detection and Response Team also assisted with the forensic investigation. The District also notified local and federal law enforcement agencies and continues to support their ongoing investigations. The District has identified, contained, and remediated the ransomware, and it found no evidence of additional malware related to the cyberattack or any other persistent malicious activity on its network or systems.

The District's investigation of the incident determined that on or about July 31, 2022, the threat actor began conducting digital monitoring of the District's environment remotely using a contractor account to gain unauthorized access to systems. The District did not pay a ransom to the threat actor in connection with the incident. The threat actor posted approximately 500 gigabytes of data it stole from the District to its "leak site" on the dark web. Most of the files exfiltrated by the threat actor were located on the District's facilities servers and systems. The District provided required notifications to those individuals and entities with personal information included among those materials posted by the threat actor. This included employees, former employees, job applicants, and employees and contractors of facilities services division vendors who had personally identifiable information posted. The District offered credit monitoring services to such individuals. Notifications were also provided to individuals, including students and employees, who had personal "medical information" posted in the form of positive COVID-19 test results collected through the District's COVID-19 testing program, and to individuals, mostly former students, who had information contained in student assessment reports, most of which was dated, posted.

As a result of the incident, the District initially restricted access to its servers and systems, including access to user accounts, email, and software applications. Many operations and processes that were automated or facilitated by technology had to be completed manually, and some still remain manual at this time. Nonetheless, school sites remained operational. Most servers and systems were gradually restored within days as they were determined to be safe, with the District's most critical systems being restored first. The District restored certain impacted systems from backups and continues to work to rebuild others. While the District maintains cyber liability insurance, not all costs incurred are covered thereunder, and certain covered costs, which continue to be identified and calculated may ultimately exceed applicable coverage limits. Further, the District implemented various security enhancements in light of the incident.

Three related lawsuits relating to the incident remain pending against the District, which were filed on behalf of individuals allegedly impacted by the cyberattack, and unidentified classes of others impacted. The District cannot predict the outcome or any potential financial impact that may result from such litigation. Further, the District cannot predict whether any other claims or litigation will be filed or estimate any potential financial impact that may result. For more information about the existing lawsuits, see "DISTRICT FINANCIAL INFORMATION – Risk Management and Litigation."

June 2024 Cyberattack. On June 6, 2024, the District became aware of a malicious actor purporting to offer certain student and employee data for sale. Upon learning of this, the District launched an investigation and notified law enforcement. The District found no evidence that this incident involved any unauthorized access to its network or systems. Rather, the District's investigation found evidence that the data involved was taken from Snowflake, a cloud-based platform used for mass data storage by a former

vendor of the District, and appears to have been stolen in a manner consistent with recently publicized thefts involving numerous Snowflake accounts. The District has recently concluded its investigation into the scope and extent of the data impacted, and is in the process of ensuring compliance under the Family Educational Rights and Privacy Act, and the District will provide any notifications that may be required to impacted individuals under applicable law.

Protective Measures. The District has implemented several protective measures with respect to access requirements to its systems to reduce the likelihood of a similar incident from occurring in the future. The District established an Independent Information Technology Task Force comprised of cybersecurity experts from private and public sectors to develop a set of recommendations to further strengthen the District's cybersecurity. The District has augmented its cybersecurity team, retained cybersecurity service providers, and implemented additional security controls and monitoring of its systems.

To minimize the impact and frequency of cybersecurity incidents, the District previously hired a Director of Information Technology Security in 2016 to develop and implement a risk-based information security management program ("ISMP"). The ISMP is designed to protect the confidentiality, integrity, and availability of information assets managed by the District's Information Technology Division and comply with all applicable information protection regulations including the Family Educational Rights and Privacy Act, Children's Internet Protection Act, and the Health Insurance Portability and Accountability Act. The ISMP includes a number of technical, administrative, and physical security safeguards that take into account the District's unique threats and vulnerabilities. The District and its third-party IT vendors are required to carry cyber liability insurance to offset the cost of business disruptions caused by cybersecurity incidents.

No assurance can be made in any networked environment that a future cyberattack or natural disaster would not compromise the confidentiality, integrity or availability of District information assets. The only viable mitigation of cybersecurity risks is a layered defense strategy. The District implements layered defenses as a principal driver of its information security program and continuously monitors the effectiveness of the program to proactively modify it when the cyberattack landscape changes.

Potential Vulnerabilities of Third Parties. The District relies on other entities and service providers in the course of operating the District, including the County with respect to the levy and collection of *ad valorem* property taxes and its servers and systems for accounting and other matters, as well as other trustees, fiscal agents, dissemination agents and project management firms. No assurance can be given that future cyber threats and attacks against third party entities or service providers will not directly or indirectly impact the District or the owners of the Bonds, including the possibility of impacting the timely payments of debt service on the Bonds or timely filings pursuant to the District's continuing disclosure undertakings.

STATE FUNDING OF SCHOOL DISTRICTS

School districts in the State receive operating revenues from federal, State and local sources, including appropriations from the State's general fund and local property taxes derived from a school district's share of the 1% *ad valorem* property tax. School districts also currently receive revenues from the State attributable to temporary tax increases implemented by Proposition 30 (defined herein). In connection with voter approval of Proposition 55 (defined herein), certain of such temporary tax increases were extended by twelve years through 2030. See "CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Proposition 30" herein. School districts, such as the District, may be eligible for other special categorical funding, including funding for certain State and federal programs. The amount of categorical funding appropriated to a school district may vary significantly from other school districts and

yearly. At the time of preparation of the 2024-25 Second Interim Report, the District budgeted to receive approximately 68.18% of District General Fund revenues from funds of or controlled by the State related to LCFF funding. As a result, decreases in State revenues, or in State legislative appropriations made to fund education, may significantly affect District operations. For more information regarding the District's funding for fiscal year 2024-25, see “– State Budget Act – 2024-25 *State Budget*,” “– Local Control Funding Formula” and “DISTRICT FINANCIAL INFORMATION – District Budget” herein. See also, “District General Information – Federal Funding” herein.

Article XVI of the State Constitution requires that from all State revenues, there first be set apart the moneys to be applied by the State for support of the public school system and public institutions of higher education. See “CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Constitutionally Required Funding of Education” herein. The State Legislature and the Governor approve the State's authorized appropriations for school districts each fiscal year in connection with the adoption of the State Budget Act (defined herein). Proposition 98 (“Proposition 98”), approved in November 1988 as a combined initiative constitutional amendment and statute called the “Classroom Instructional Improvement and Accountability Act,” provides the minimum funding formula for school districts. See “CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Proposition 98” herein. Under Proposition 98 (as modified by Proposition 111, which was enacted on June 5, 1990), there are currently three tests which determine the minimum level of K-14 funding. See “CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS” and “STATE FUNDING OF SCHOOL DISTRICTS– Local Control Funding Formula” herein. Proposition 98 permits the State Legislature, by two-thirds vote of both houses and with the Governor's concurrence, to suspend the K-14 schools' minimum funding formula for a one-year period. The amount of suspension is required to be repaid according to a specified State Constitutional formula, thereby restoring Proposition 98 funding to the level that would have been required in the absence of such suspension.

The actual appropriations and the timing of such appropriations are subject to, among other things, the estimated amount of State general fund revenues during the fiscal year and subsequent changes in State law. At times since the implementation of Proposition 98, the State has also sought to preserve general fund cash while avoiding increases in the base guaranteed amount through various mechanisms: by treating any excess appropriations as advances against subsequent years' Proposition 98 minimum funding levels rather than current year increases; by deferring apportionments of Proposition 98 funds from one fiscal year to the next, as the State did in fiscal years 2019-20 and 2020-21; by suspending Proposition 98, as the State did in fiscal year 2004-05, fiscal year 2010-11, fiscal year 2011-12 and fiscal year 2012-13; and by proposing to amend the State Constitution's definition of the guaranteed amount and settle-up requirement under certain circumstances. For more information on the Proposition 98 minimum guarantee under the 2024-25 State Budget, see “– State Budget Act – 2024-25 *State Budget*” herein.

Since fiscal year 2013-14, the amount of funds an individual school district receives from State revenues depends on the amount of revenues the State calculates that the school district should receive based on the LCFF, less the amount the school district derives from such school district's share of the 1% *ad valorem* property tax. See “– Local Control Funding Formula” and “CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Constitutionally Required Funding of Education” herein.

The State Budget Process

The State's fiscal year begins on July 1 and ends on June 30. According to the State Constitution, the Governor of the State (the "Governor") is required to propose a budget for the next fiscal year (the "Governor's Budget") to the State Legislature no later than January 10 of each year. State law requires the Governor to update the Governor's Budget projections and budgetary proposals by May 14 of each year (the "May Revision"). Proposition 25, which was adopted by voters in the State at an election held on November 2, 2010, amended the State Constitution such that a final budget must be adopted by a simple majority vote of each house of the State Legislature by no later than June 15 and the Governor must sign the adopted budget by no later than June 30. The budget becomes law upon the signature of the Governor (the "State Budget Act").

Under State law, the annual proposed Governor's Budget cannot provide for projected expenditures in excess of projected revenues and balances available from prior fiscal years. Following the submission of the Governor's Budget, the State Legislature takes up the proposal. Under the State Constitution, money may be drawn from the State Treasury only through an appropriation made by law. The primary source of the annual expenditure authorizations is the State Budget Act, as approved by the State Legislature and signed by the Governor. The Governor may reduce or eliminate specific line items in the State Budget Act or any other appropriations bill without vetoing the entire bill. Such individual line-item vetoes are subject to override by a two-thirds majority vote of each House of the State Legislature. Appropriations also may be included in legislation other than the State Budget Act. Bills containing appropriations (except for K-14 education) must be approved by a two-thirds majority vote in each House of the State Legislature and be signed by the Governor. Bills containing K-14 education appropriations require only a simple majority vote. Continuing appropriations, available without regard to fiscal year, may also be provided by statute or the State Constitution. Funds necessary to meet an appropriation need not be in the State Treasury at the time such appropriation is enacted; revenues may be appropriated in anticipation of their receipt. However, delays in the adoption of a final State budget in any fiscal year may affect payments of State funds during such budget impasse. See "— State Funding of Schools Without a State Budget" herein for a description of payments of appropriations during a budget impasse.

The description above and below of the State's budget has been obtained from publicly available information which the District believes to be reliable; however, the District, its counsel (including Bond Counsel and Disclosure Counsel), the Municipal Advisor, the Underwriters and their counsel do not guarantee the accuracy or completeness of this information and have not independently verified such information. Additional information regarding State budgets is available at various State-maintained websites, including www.dof.ca.gov. The website is not incorporated herein by reference and the District, its counsel (including Bond Counsel and Disclosure Counsel), the Municipal Advisor, the Underwriters and their counsel do not make any representation as to the accuracy of the information provided therein.

State Budget Act

In this regard, the 2024-25 State Budget includes provisions intended to address a budget deficit of approximately \$46.8 billion while also creating a positive fund balance in the State's Special Fund for Economic Uncertainties (the "SFEU") in fiscal years 2024-25 and 2025-26 and maintaining core programs for vulnerable populations. The 2024-25 State Budget includes approximately \$16.0 billion in budgetary reductions, comprising (a) an approximately 7.95% reduction in the State's operations budget resulting in State general fund savings of approximately \$2.2 billion, (b) a \$1.5 billion permanent reduction in State departments' budgets for vacant positions, (c) a reduction of approximately \$358.0 million in the State Department of Corrections and Rehabilitation budget in fiscal year 2024-25 and a total reduction of approximately \$740.0 million in fiscal years 2022-23 through 2024-25, (d) a \$500.0 million reduction to the State Student Housing Revolving Loan Program, (e) a \$485.0 million reduction in unspent one-time Learning-Aligned Employment Program resources, (f) an ongoing reduction of \$110.0 million to the Middle Class Scholarship Program, beginning in fiscal year 2025-26, (g) a \$1.1 billion reduction in various affordable housing programs, and (h) a \$746.1 million reduction for various healthcare workforce programs. The 2024-25 State Budget includes a \$13.6 billion increase in revenues in fiscal year 2024-25 through fiscal year 2026-27 by means of additional revenue sources and internal borrowing from special funds. As part of this revenue increase, the 2024-25 State Budget includes suspension of net operating loss deductions for companies with over \$1.0 million in taxable income and limits business tax credits to \$5.0 million in fiscal years 2023-2024 through 2025-2026, which is projected to increase revenues by \$5.95 billion in fiscal year 2024-25, \$5.5 billion in fiscal year 2025-26 and \$3.4 billion in fiscal year 2026-27. Additionally, the 2024-25 State Budget includes an increased managed care organization tax generating a projected \$5.1 billion in fiscal year 2024-25, \$4.6 billion in fiscal year 2025-26, and \$4.0 billion in fiscal year 2026-27. Significantly, the 2024-25 State Budget provides for the withdrawal of approximately \$12.2 billion from the State Rainy Day Fund (the "Rainy Day Fund" or "State Rainy Day Fund") over fiscal years 2024-25 and 2025-26 and approximately \$900.0 million from the State Safety Net Reserve in fiscal year 2024-25.

Additional budgeting maneuvers include \$6.0 billion in fund shifts, including (a) applying a prior CalPERS supplemental pension payment to the State's overall pension liability which reduces the State's required employer contributions in fiscal year 2024-25 by \$1.7 billion, (b) shifting approximately \$958.0 million from the State general fund to the State's Greenhouse Gas Reduction Fund for the Formula and Competitive Transit and Intercity Rail Capital Program, and (c) shifting approximately \$3.0 billion from the State general fund to the State's Greenhouse Gas Reduction Fund for clean energy and other climate programs. The 2024-25 State Budget also delays funding for programs such as the State Food Assistance Program Expansion, Developmental Services, childcare slots and the State's broadband program by a total amount of approximately \$3.1 billion. The 2024-25 State Budget also includes approximately \$2.1 billion in payroll and University of California and California State University compact deferrals.

The 2024-25 State Budget projects total resources available in fiscal year 2023-24 of approximately \$236.5 billion, including revenues and transfers of approximately \$189.4 billion and a prior year balance of approximately \$47.1 billion, and total expenditures in fiscal year 2023-24 of approximately \$223.1 billion. The 2024-25 State Budget projects total resources available for fiscal year 2024-25 of approximately \$225.6 billion, inclusive of revenues and transfers of approximately \$212.1 billion and a prior year balance of approximately \$13.4 billion. The 2024-25 State Budget projects total expenditures in fiscal year 2024-25 of approximately \$211.5 billion, inclusive of non-Proposition 98 expenditures of approximately \$128.9 billion and Proposition 98 expenditures of approximately \$82.6 billion. The 2024-25 State Budget projects total reserve balances of \$22.2 billion at the end of fiscal year 2024-25. This includes \$17.6 billion in the State Rainy Day Fund, \$3.5 billion in the SFEU, and \$1.1 billion in the Public School System Stabilization Account (the "Proposition 98 Rainy Day Fund"). In addition, the 2024-25 State Budget maintains approximately \$10.6 billion in the Reserve for Liquidation of Encumbrances. The 2024-25 State Budget includes total funding of \$133.8 billion for all K-12 education programs, including \$81.5 billion from the State's general fund and \$52.3 billion from other funds. The 2024-25 State Budget reflects

significant Proposition 98 funding that enables increased support for core programs such as the LCFF, special education, transitional kindergarten, nutrition, and preschool.

Certain budgeted programs and adjustments for K-12 education set forth in the 2024-25 State Budget include the following:

- Proposition 98 Minimum Guarantee. The 2024-25 State Budget suspends the Proposition 98 minimum guarantee in fiscal year 2023-24 and projects the Proposition 98 minimum guarantee to be in Test 1 in fiscal year 2024-25. In Test 1 years, the Proposition 98 minimum guarantee is equal to the percentage of State general fund appropriated for K-14 schools in fiscal year 1986-87. Suspending the Proposition 98 minimum guarantee is projected to create a maintenance factor obligation of approximately \$8.3 billion in fiscal year 2023-24 and is projected to result in a \$4.1 billion maintenance factor payment in fiscal year 2024-25, which will be paid in addition to the Proposition 98 minimum guarantee level in fiscal year 2024-25. The 2024-25 State Budget reflects Proposition 98 funding levels of \$103.7 billion in fiscal year 2022-23, \$98.5 billion in fiscal year 2023-24, and \$115.3 billion in fiscal year 2024-25. Such funding represents approximately 39.2% of the State's general fund revenues, plus local property tax revenues and a \$4.1 billion maintenance factor payment. To accommodate enrollment increases related to the expansion of transitional kindergarten, the 2024-25 State Budget increased the funding level from approximately 38.6% to approximately 39.2% to increase the percentage of State general fund revenues obligated to the Proposition 98 minimum guarantee.
- Proposition 98 Rainy Day Fund. The 2024-25 State Budget includes a withdrawal of the entire \$8.4 billion balance in the Proposition 98 Rainy Day Fund in fiscal year 2023-24 and a discretionary payment of approximately \$1.1 billion in fiscal year 2024-25, leaving a projected balance of \$1.1 billion at the end of fiscal year 2024-25. Because there is no ending balance at the end of fiscal year 2023-24 and a balance of \$1.1 billion at the end of fiscal year 2024-25, school district reserve caps would not be triggered in fiscal year 2024-25 and are not projected to be triggered in fiscal year 2025-26. See “ – School District Reserves” and “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Proposition 2 – SB 751.”
- Local Control Funding Formula. The 2024-25 State Budget includes an LCFF cost-of-living adjustment of 1.07%. The cost-of-living adjustment, when combined with population growth adjustments, increases discretionary funding for local agencies by approximately \$983.0 million. To fully fund the LCFF, the 2024-25 State Budget withdraws approximately \$5.3 billion from the Proposition 98 Rainy Day Fund to support LCFF costs in fiscal year 2023-24, and uses available reappropriation and reversion funding of \$253.9 million to support ongoing LCFF costs in fiscal year 2024-25.
- Deferrals. The 2024-25 State Budget reflects LCFF apportionment deferrals from fiscal year 2023-24 to fiscal year 2024-25 of approximately \$3.6 billion and from fiscal year 2024-25 to fiscal year 2025-26 of approximately \$246.0 million. Additionally, the 2024-25 State Budget reflects approximately \$2.3 billion in categorical program deferrals from fiscal year 2022-23 to fiscal year 2023-24, with the deferred categorical amount being repaid using Proposition 98 Rainy Day Fund resources.
- Learning Recovery Emergency Block Grant. The 2024-25 State Budget focuses the use of allocated but unexpended Learning Recovery Emergency Block Grant funds on actions to address the needs of students most impacted by learning loss, based on an assessment of needs, and incorporates the use of these funds into the existing Local Control and Accountability Plan development process.

- Employee Protections. To ensure stable employment for school staff, the 2024-25 State Budget includes a suspension of the August 15, 2024, layoff window for certificated and classified staff.
- Instructional Continuity and Attendance Program. The 2024-25 State Budget includes statutory changes to allow local educational agencies to provide attendance recovery opportunities to students to make up lost instructional time, thereby offsetting student absences, and mitigating learning loss, as well as related fiscal impacts to local educational agencies. Beginning in fiscal year 2024-25, the 2024-25 State Budget allows local educational agencies to add up to 10 days of attendance recovery time per pupil to the attendance data submitted to the California Department of Education for funding purposes. Beginning July 1, 2025, the 2024-25 State Budget requires local educational agencies to include an instructional continuity plan in their School Safety Plan as a component of their emergency funding application. The plan must include procedures for student engagement within 5 days of an emergency and a plan to provide hybrid or remote learning opportunities to students within 10 instructional days. The 2024-25 State Budget also includes a \$4.0 million in one-time Proposition 98 general fund resources to research existing, and develop new models of hybrid and remote learning to support students' attendance, including developing and disseminating guidance and resources for local educational agencies to develop their own hybrid and remote learning programs to enable instructional continuity.
- Teacher Professional Development and Preparation. To expand the State's educator training infrastructure, the 2024-25 State Budget (a) provides \$25.0 million of one-time Proposition 98 general fund resources to support necessary costs, including training for educators to administer literacy screenings to meet the requirement to screen students in kindergarten through second grade for risk of reading difficulties, including dyslexia, by the 2025-26 school year; and (b) provides \$20.0 million in one-time Proposition 98 general fund resources for a county office of education to work with the University of California Subject Matter Projects, as well as other well-qualified governmental or non-profit providers, to develop and provide training aligned with the new California Mathematics Framework for mathematics coaches and leaders who in turn can provide training and support to mathematics teachers to deliver high-quality instruction.
- State Preschool Program. The 2024-25 State Budget provides approximately \$53.7 billion of State general fund resources to support reimbursement rate increases previously supported by available one-time federal stimulus funding. The 2024-25 State Budget reflects one-time savings of \$190.7 million general fund and \$522.3 million Proposition 98 general fund. The 2024-25 State Budget authorized State Preschool Program providers to serve two-year-old children, in addition to three and four-year old children, until June 30, 2027. The 2024-25 State Budget maintains that the State Preschool Program continue to require providers to reserve 5% of funded enrollment for children with disabilities. However, the 2024-25 State Budget suspends provisions to increase this requirement to 7.5% in fiscal year 2025-26 and 10% in fiscal year 2026-27.
- Transitional Kindergarten. The 2024-25 State Budget provides approximately \$988.7 million in Proposition 98 general fund resources for the 2023-24 school year to support the second year of expanded eligibility for transitional kindergarten to all children turning five-years-old between September 2 and April 2. The 2024-25 State Budget also provides approximately \$390.2 million in Proposition 98 general fund resources to support the second year of adding one additional certificated or classified staff person in each transitional kindergarten classroom. Additionally, the 2024-25 State Budget provides approximately \$1.5 billion in ongoing Proposition 98 general fund resources beginning in fiscal year 2024-25 to support the third year of expanded eligibility for transitional kindergarten to all children turning five-years-old between September 2 and June 2. The 2024-25 State Budget also provides approximately \$515.5 million in ongoing Proposition 98

general fund resources to support the third year of adding one additional certificated or classified staff person in each transitional kindergarten classroom.

The 2024-25 State Budget solution-oriented measures that directly impact funding for school districts, including forgoing planned investments of (a) \$875.0 million to support the School Facility Program, (b) \$550.0 million support to the State Preschool, Transitional Kindergarten And Full-Day Kindergarten Facilities Grant Program, and (c) \$500.0 million one-time Proposition 98 general fund investment in zero-emission school buses.

Additional budgeted programs and adjustments for K-12 education set forth in the 2024-25 State Budget include the following:

- Arts and Music in Schools. The 2024-25 State Budget provides approximately \$907.1 million to support arts and music in schools.
- Nutrition. The 2024-25 State Budget provides an additional \$179.4 million in ongoing Proposition 98 general fund resources and an additional \$120.8 million one-time Proposition 98 general fund resources to fully fund the universal school meals program in fiscal years 2023-24 and 2024-25. This is in addition to the \$1.6 billion base funding for such program.

The complete 2024-25 State Budget is available from the California Department of Finance website at www.dof.ca.gov or www.ebudget.ca.gov. The District can take no responsibility for the continued accuracy of these internet addresses or for the accuracy, completeness or timeliness of information posted therein, and such information is not incorporated herein by such reference.

LAO Analysis of the 2024-25 State Budget. The Legislative Analyst’s Office (the “LAO”), a nonpartisan State office which provides fiscal and policy information and advice to the State legislature, released its report on the 2024-25 State Budget entitled “The 2024-25 Budget: Overview of the Spending Plan” on September 6, 2024 (the “2024-25 State Budget Analysis”). In the 2024-25 State Budget Analysis, the LAO assesses the budget problem that was addressed in the 2024-25 State Budget and analyzes the major proposals for K-12 education.

The LAO estimates that the State addressed a budget shortfall of \$55.0 billion, which is larger than the budget shortfall of \$47.0 billion cited in the 2024-25 State Budget. The main driver for the \$8.0 billion difference is the difference in treatment of assumptions about baseline spending for schools and community colleges.

The LAO notes that the 2024-25 State Budget uses various maneuvers to address the budget shortfall, including reserve withdrawals, spending reductions, revenue increases, and cost shifts. The LAO indicates that spending-related adjustments (including school spending) were the largest component of the budget package, accounting for \$39.0 billion and approximately 70% of the total solutions. The LAO also shows that reserve withdrawals were the second largest component, totaling \$6.0 billion from the State Rainy Day Fund and the Safety Net Reserve. The report further details that cost shifts and revenue-related solutions were smaller components, amounting to \$2.0 billion and \$8.0 billion, respectively. The LAO estimates \$16.0 billion in one time or temporary spending solutions (excluding school spending) and \$4.0 billion in ongoing reductions, which grow to approximately \$6 billion over time.

The LAO notes that the budget emergency proclamation by the Governor on June 26, 2024 allowed the 2024-25 State Budget to withdraw approximately \$5.0 billion from the State Rainy Day Fund. The 2024-25 State Budget also includes a withdrawal of the \$900.0 million balance from the Safety Net Reserve.

The LAO estimates that, pursuant to the 2024-25 State Budget, the State would end the 2024-25 fiscal year with \$21.1 billion in General Fund reserves, including \$17.6 billion in the State Rainy Day Fund and \$3.5 billion in the SFEU. The LAO also estimates that the State would have room under the State appropriations limit in fiscal years 2022-23 through 2024-25. The LAO projects that revenues from the major tax sources would grow from fiscal year 2023-24 to fiscal year 2024-25, but not enough to offset the revenue shortfalls in the prior and current fiscal years.

The LAO explains that the 2024-25 State Budget includes \$12.7 billion in reductions to Proposition 98 funding for schools and community colleges over fiscal years 2022-23 through 2024-25. This includes a reduction to the Proposition 98 funding by \$2.6 billion for fiscal year 2022-23. For fiscal year 2023-24, the 2024-25 State Budget invokes a provision allowing the State to suspend the minimum requirement and reduces the amount of Proposition 98 funding by \$8.3 billion. The LAO states that these reductions lower the Proposition 98 requirement on an ongoing basis but create an obligation to increase funding more rapidly in the future. Additionally, the 2024-25 State Budget introduces a new type of fiscal maneuver that accrues \$6.2 billion in previous school and community college payments to future fiscal years. Specifically, the State will not recognize these payments as a cost to the State general fund in the year it provided them *i.e.*, fiscal year 2022-23. The maneuver does not delay or reduce any payments to schools or community colleges, nor does it reduce the Proposition 98 funding requirement in future fiscal years.

The LAO notes that the 2024-25 State Budget contains reserve withdrawals from the Proposition 98 Rainy Day Fund to mitigate the funding reductions to schools in fiscal year 2023-24. Additionally, the LAO estimates cost savings because the COVID-19 attendance policies preserving attendance numbers to pre-pandemic levels are being phased out. The LAO describes other minor savings for schools and community colleges from (1) deferring payments from fiscal year 2024-25 to fiscal year 2025-26, (2) reducing funding for the State Preschool program that is expected to go unused, and (3) repurposing certain unspent appropriations from previous years. The payment deferral involved deferring \$487.0 million in payments from fiscal year 2024-25 to fiscal year 2025-26 by delaying a portion of payment to school districts from June 2025 to July 2025. The LAO notes that school districts may be exempt from this deferral if they can show the delay would cause fiscal insolvency. The purpose of the deferral is to reduce spending in fiscal year 2024-25 to the minimum level required by Proposition 98.

The LAO indicates that after accounting for these actions, the State has \$1.5 billion available to augment school and community college programs. The LAO highlights that the budget allocates \$1.0 billion of this amount to cover a 1.07 percent cost-of-living adjustment for existing programs. For schools, the 2024-25 State Budget also provides an increase of \$300.0 million to cover cost increases of universal school meals. For community colleges, the 2024-25 Budget also provides \$75.0 million to cover increased costs.

The 2024-25 State Budget Analysis is available on the LAO website at www.lao.ca.gov. The District can take no responsibility for the continued accuracy of this internet address or for the accuracy, completeness or timeliness of information posted therein, and such information is not incorporated herein by such reference.

Governor's Fiscal Year 2025-26 State Budget Proposal

On January 10, 2025, the Governor released his proposed State budget for fiscal year 2025-26 (the "2025-26 Proposed State Budget"). The 2025-26 Proposed State Budget reflects the Governor's projection that the fiscal year 2025-26 Budget will be roughly balanced, and will represent a return to historical norms following a period of revenue volatility and a federal tax filing delay that contributed to significant State budget shortfalls over the past two fiscal years. The 2025-26 Proposed State Budget projects \$217.9 billion in 2025-26 General Fund revenues.

Regarding the State’s reserves and fund balances, the 2025-26 Proposed State Budget contemplates the continuation of a two-year drawdown of the State’s Budget Stabilization account that began in the 2024-25 State Budget (with a withdrawal of \$5.1 billion in 2024-25 and a projected withdrawal \$7.1 billion projected in 2025-26). The balance of the Budget Stabilization account is projected to be \$10.9 billion following the projected 2025-26 drawdown. The 2025-26 Proposed State Budget includes \$376 million contribution to fund the Public School System Stabilization Account.

The stronger-than-anticipated performance of the economy, stock market, and cash receipts, combined with an improved economic outlook, have all contributed to the upgraded revenue forecast. While the 2025-26 Proposed State Budget does not forecast a recession, it recognizes several risk factors that could negatively affect the economy and state revenues, including stock market and asset price volatility and declines—particularly those affecting high-income earners—as well as geopolitical instability. Additional risks come from stated policy changes by the incoming federal administration that could negatively impact the State’s economy—especially in the areas of international trade and immigration, as well as in health care. The 2025-26 Proposed State Budget does not include any adjustments to account for the damage caused by the Los Angeles-area fires, which is expected to be significant.

The Legislative Analyst’s Office’s analysis of the 2025-26 Proposed State Budget identifies three categories of discretionary proposals (those that are not already committed to under current law or policy): (1) proposals provide short-term budget savings that create more budget capacity which the LAO projects to generate a total of \$2.2 billion General Fund savings within the budget window, (2) new discretionary spending proposals that use budget capacity by increasing spending or reducing revenues which the LAO projects to increase General Fund expenditures within the budget window by \$700 million, and (3) increases to the State’s discretionary reserves.

Discretionary savings proposals identified by Legislative Analyst’s Office’s Analysis include:

- **\$1.6 Billion Reduction in School and Community College Settle-Up Obligations.** The 2025-26 Proposed State Budget proposes providing \$1.6 billion less in total funding for schools and community colleges than the estimated constitutional minimum funding level for 2024-25. This provides one-time General Fund savings in that year, but also creates a “settle-up” obligation, which will need to be paid in a future year if revenues for 2024-25 were to remain unchanged. If revenues for 2024-25 come in below current projections, this obligation would also decline—potentially to zero. While the administration indicates it will provide this payment in the future—after the final calculation of the minimum funding requirement—it also has not scored this future obligation in its multiyear budget.
- **Increases Revenue by Around \$300 Million.** The 2025-26 Proposed State Budget changes the rules about how taxable profits are determined for financial institutions. This change would increase revenues on an ongoing basis by around \$300 million per year.
- **Shifts Nearly \$300 Million in General Fund Spending to Proposition 4 (2024) Climate Bond.** The 2025-26 Proposed State Budget reduces and reverts significant General Fund appropriations for a variety of climate- and environmental-related activities totaling \$273 million, achieving General Fund savings. These include funds for water recycling, wildfire prevention activities at state parks, and dam safety activities. The proposal would then provide a like amount of funding from Proposition 4, the climate bond approved by voters in November 2024. This would result in maintaining prior funding levels for these activities but would preclude this amount of Proposition 4 funds from supporting expanded service levels or additional projects.

New spending proposals identified by Legislative Analyst’s Office’s Analysis include:

- **New Spending Proposals of Nearly \$600 Million.** The 2025-26 Proposed State Budget includes \$570 million in new discretionary General Fund spending. After 2025-26, these proposals would add about \$300 million in ongoing spending. Some of the largest spending augmentations proposed include: (1) \$60 million to provide additional grants under the Cal Competes program; (2) the intent to partially restore an ongoing reduction to the trial courts, which, if enacted, would cost \$42 million ongoing; and (3) a proposed expansion to College Corps, which would cost \$5 million in 2025-26, but grow to \$84 million ongoing.
- **New Tax Expenditures of \$150 Million.** The 2025-26 Proposed State Budget includes revenue proposals, which would expand existing tax expenditures and create new ones. These include increasing the existing film tax credit from \$330 million to \$750 million per year and excluding some military retirement income from taxation. Taken together, these proposals would reduce revenues by around \$150 million in 2025-26, reaching \$300 million by 2028-29.

Adjustments to the State's discretionary reserves identified by Legislative Analyst's Office's Analysis include an increase of approximately \$500 million to the State's Special Fund for Economic Uncertainties (SFEU). The SFEU is a general-purpose reserve used to provide capacity for unanticipated expenditures, including state costs associated with disasters and other emergencies. The state constitution has a balanced budget requirement, which means the balance of the SFEU must be set above zero for the upcoming fiscal year. Any level above zero is up to the discretion of the Legislature. Recent budgets have set the SFEU between \$3.5 billion and \$4 billion. The 2025-26 Proposed State Budget sets a \$4.5 billion SFEU balance for the end of 2025-26.

K-12 Education Spending. The 2025-26 Proposed State Budget reduces total funding for all K-12 education programs by \$300 million compared to 2024-25 State Budget funding levels, with total expenditures of \$118.9 billion, including \$83.1 billion from the State general fund and \$35.8 billion from other sources. The 2025-26 Proposed State Budget includes a roughly \$376 million discretionary payment into the Proposition 98 Rainy Day Fund in fiscal year 2025-26 to bring the fund balance to approximately \$1.5 billion.

Significant features of the 2025-26 Proposed State Budget relating to K-12 and higher education funding identified by the Legislative Analyst's Office include the following:

- **Funding for Schools and Community Colleges Up \$7.1 Billion Across the Budget Window.** The 2025-26 Proposed State Budget projects that the constitutional minimum funding level for schools and community colleges is up \$7.1 billion. Of this increase, \$3.9 billion is attributable to 2024-25 and \$3.2 billion is attributable to 2025-26. (Spending is unchanged in 2023-24.) The increase is due primarily to higher General Fund revenue estimates. In addition, approximately \$4 billion in one-time spending expires in 2025-26, freeing-up the underlying funding for other school and community college purposes.
- **Funds Some Ongoing Increases.** The 2025-26 Proposed State Budget provides approximately \$2.5 billion to fund a 2.43% statutory cost-of-living adjustment (COLA) for existing school and community college programs. The 2025-26 Proposed State Budget also sets aside \$1.1 billion to complete the expansion of transitional kindergarten in 2025-26. The 2025-26 Proposed State Budget also provides \$746 million to reduce student-to-adult ratios in transitional kindergarten classrooms from 12:1 to 10:1. The 2025-26 Proposed State Budget provides a \$435 million increase for the Expanded Learning Opportunities Program to increase the number of school districts that must offer enrichment programs (such as after school activities and summer school) to all of their students. The 2025-26 Proposed State Budget also includes \$30 million to support 0.5 percent systemwide community college enrollment growth.

- Allocates One-Time Funds for Discretionary Grants, Staffing Enhancements, and Technology Activities. The largest education-related one-time proposal in the 2025-26 Proposed State Budget is to provide \$1.8 billion for schools through a new discretionary block grant that could be used to fund new activities or cover costs of existing programs. The 2025-26 Proposed State Budget also includes \$500 million to fund literacy and mathematics coaches at high-poverty schools that would expand upon a program the state funded in previous budgets. In addition, the 2025-26 Proposed State Budget includes a series of initiatives intended to advance teacher training and recruitment efforts at schools and implement a common technology platform across the community college system.
- Delays \$1.6 Billion Payment in 2024-25 Pending Revised Revenue Data. As described above, under the 2025-26 Proposed State Budget, total funding for schools and community colleges in 2024-25 would be \$1.6 billion less than the administration's estimate of the constitutional minimum funding level that year. The administration indicates it will provide this payment in the future after finalizing the calculation of the minimum requirement. If State revenues come in below the levels estimated in the 2025-26 Proposed State Budget, the constitutional funding requirement also would decrease.

The State has not entered into any contractual commitment with the District, the County, the Underwriters nor the Owners of the Bonds to provide State budget information to the District or the Owners of the Bonds. Although they believe the State sources of information listed herein are reliable, none of the District, the Municipal Advisor or the Underwriters assumes any responsibility for the accuracy of the State budget information set forth or referred to herein or incorporated by reference herein.

Future Budgets and Budgetary Actions. The District cannot predict what future actions will be taken by the State legislature and the Governor to address changing State revenues and expenditures or the impact such actions will have on State revenues available in the current or future years for education. The State budget will be affected by national and State economic conditions and other factors beyond the District's ability to predict or control. Certain actions could result in a significant shortfall of revenue and cash and could impair the State's ability to fund schools during the current fiscal year and in future fiscal years. Certain factors, like an economic recession, could result in State budget shortfalls in any fiscal year and could have a material adverse financial impact on the District. As the Bonds are payable from *ad valorem* property taxes, the 2024-25 State Budget is not expected to have a material impact on the payment of the Bonds.

Additional Information. Information about the State budget and State spending for education is regularly available at various State-maintained websites. Text of the State budget may be found at the website of the Department of Finance, www.dof.ca.gov, under the heading "California Budget." Various analyses of the budget may be found at the website of the LAO at www.lao.ca.gov. In addition, various State official statements, many of which contain a summary of the current and past State budgets and the impact of those budgets on school districts in the State, may be found via the website of the State Treasurer, www.treasurer.ca.gov. The information presented in these websites is not incorporated by reference in this Official Statement.

State Funding of Schools Without a State Budget

Although the State Constitution requires that the State Legislature adopt a budget for the State by June 15 of the prior fiscal year and that the Governor sign a budget by June 30, this deadline has been missed from time to time. Delays in the adoption of a Budget Act in any fiscal year could impact the receipt of State funding by the District. On May 29, 2002, the California Court of Appeal for the Second District decided the case of *Howard Jarvis Taxpayers Association, et al. v. Kathleen Connell* (as Controller of the

State of California), et al. (also referred to as *White v. Davis*) (“Connell”). The California Court of Appeal concluded that, absent an emergency appropriation, the State Controller may authorize the payment of State funds during a budget impasse only when payment is either (i) authorized by a “continuing appropriation” enacted by the State Legislature, (ii) authorized by a self-executing provision of the State Constitution, or (iii) mandated by federal law. The Court of Appeal specifically concluded that the provisions of Article XVI, Section 8 of the State Constitution—the provision establishing minimum funding of K-14 education enacted as part of Proposition 98—did not constitute a self-executing authorization to disburse funds, stating that such provisions merely provide formulas for determining the minimum funding to be appropriated every budget year but do not appropriate funds. Nevertheless, the State Controller has concluded that the provisions of the State Education Code establishing K-12 and county office of education revenue limit funding (the predecessor to the LCFF) do constitute continuing appropriations enacted by the State Legislature and, therefore, has indicated that State payments of such amounts would continue during a budget impasse. The State Controller, however, has concluded that K-12 categorical programs are not authorized pursuant to a continuing appropriation enacted by the State Legislature and, therefore, cannot be paid during a budget impasse. To the extent the Connell decision applies to State payments reflected in the District’s budget, the requirement that there be either a final budget bill or an emergency appropriation may result in the delay of some payments to the District while such required legislative action is delayed, unless the payments are self-executing authorizations, continuing appropriations or are subject to a federal mandate. The District, however, does not expect any delays in payments from the State to adversely affect its ability to pay the principal of and interest on the Bonds described in the forepart of this Official Statement, which are payable from voter-approved *ad valorem* property taxes.

Local Control Funding Formula

General. Funding for school districts, charter schools and county offices of education in connection with the LCFF includes State apportionments for general operating costs (“State Aid”) and funding for categorical programs. During fiscal year 2023-24, approximately 60.04% of the District’s General Fund revenues were pursuant to the LCFF. At the time of preparation of the 2024-25 Second Interim Report, the District projected that approximately 68.40% of the District’s fiscal year 2024-25 General Fund revenues will consist of funds determined under the LCFF. For fiscal years 2020-21 through 2023-24, LCFF revenues comprised a lower percentage of the District’s total General Fund revenues as a result of increases in one-time federal funding for COVID-19 relief. The following Table A-2 sets forth the percentage of the District’s General Fund revenues that are derived from revenues under the LCFF, federal revenues, other State revenues and other local revenues for fiscal years 2020-21 through 2024-25.

TABLE A-2
LOS ANGELES UNIFIED SCHOOL DISTRICT
General Fund Revenue Sources
Percentage of Total District General Fund Revenues⁽¹⁾
Fiscal Years 2020-21 through 2024-25

Revenue Source		Fiscal Year 2021-22	Fiscal Year 2022-23	Fiscal Year 2023-24⁽²⁾	Fiscal Year 2024-25⁽³⁾
LCFF	64.68%	62.42%	55.99%	60.04%	68.40%
Federal Revenues	19.15	19.13	19.57	18.91	7.63
Other State Revenues	13.99	18.08	22.77	15.85	18.18
Other Local Revenues	2.18	0.37	1.67	5.19	5.80

⁽¹⁾ Sum of percentages may not equal 100% due to rounding.

⁽²⁾ Audited.

⁽³⁾ Projected. For more information regarding State funding during fiscal year 2024-25, see “– State Budget Act – 2024-25 State Budget” and “DISTRICT FINANCIAL INFORMATION – District Budget.”

Sources: Audited Annual Financial Report for fiscal years 2020-21 through 2023-24; and 2024-25 Second Interim Report.

The LCFF allocates State funding based on a school district's demographics. Each school district receives a base grant (the "Base Grant") per ADA in an amount determined by the State. The Governor's State budget for fiscal year 2022-23 revised the LCFF calculation beginning with fiscal year 2022-23 to consider the greater of a school district's current fiscal year, prior fiscal year, or the average of three prior fiscal years' ADA. See "DISTRICT GENERAL INFORMATION – Enrollment and Average Daily Attendance." Pursuant to the LCFF, each local education agency ("LEA") is required to, among other things, show progress toward an average class enrollment of no more than 24 pupils in kindergarten through grade 3, unless the LEA has entered into a collective bargaining agreement specifying an annual alternative average class enrollment in those grades for each school. Accordingly, the LCFF includes an adjustment to the Base Grant for kindergarten through grade 3 (the "K-3 Grade Span Adjustment") of approximately 10.4% in order to cover the costs associated with class size reduction. In addition, the LCFF includes an adjustment to the Base Grant for grades 9 through 12 of approximately 2.6% to cover the costs of, among other things, providing career technical education.

Based on the ADA of the given demographic classification, school districts are eligible to receive a 20% supplemental grant (the "Supplemental Grant") for students classified as English learners ("EL"), students eligible to receive a free or reduced-price meal ("FRPM"), and students classified as foster youth ("LI"). The State expects the Supplemental Grants to reflect the additional costs associated with the education of EL, FRPM and LI students. In addition, school districts are eligible to receive a concentration grant (the "Concentration Grant") if the school district has a significant concentration of students classified as EL, FRPM or LI (collectively, "Unduplicated Pupils"). The LCFF uses an unduplicated student count to determine the amount of the Supplemental Grant and Concentration Grant authorized for a school district. A school district may only count a student one time if such student is classified in more than one of the EL, FRPM and LI categories. In the event the percentage of Unduplicated Pupils exceeds 55% of a school district's total enrollment, the LCFF provides additional funding to the school district through a Concentration Grant. The Concentration Grant will be an amount equal to an additional 65% of the school district's adjusted Base Grant, which includes the cost of living adjustment and grade span adjustments, if any, for each Unduplicated Pupil above the 55% threshold.

Starting with the 2023-24 fiscal year, an additional Equity Multiplier was added for LEAs who qualify by having both (1) a prior year nonstability rate of greater than 25% and (2) a prior year socioeconomically disadvantaged pupil rate of greater than 70%. The nonstability rate refers to the percentage of students who do not complete the year due to factors like expulsion or other reason without stable subsequent enrollment at another school. The socioeconomically disadvantaged pupil rate refers to the percentage of students who (i) do not have a parent with a high school diploma, (ii) are eligible for free or reduced-price meals, (iii) are migratory, (iv) are homeless youth, (v) are foster youth or (vi) are enrolled in a county juvenile court school. Every year, the state will allocate \$300 million to the qualifying LEAs on a per-unit basis based on the LEA's prior year adjusted cumulative enrollment, but each qualifying school will receive at least \$50,000. The Equity Multiplier revenue must be used for evidence-based services and support for pupils.

The Base Grants are based on four uniform, grade-span base rates. For fiscal year 2024-25, the LCFF provided to school districts and charter schools: (a) a Base Grant for each LEA equivalent to \$11,068 per ADA for transitional kindergarten/kindergarten through grade 3 (including the grade span adjustment); (b) a Base Grant for each LEA equivalent to \$10,177 per ADA for grades 4 through 6; (c) a Base Grant for each LEA equivalent to \$10,478 per ADA for grades 7 and 8; (d) a Base Grant for each LEA equivalent to \$12,460 per ADA for grades 9 through 12 (including the grade span adjustment). The Base Grant amount for fiscal year 2024-25 includes a COLA of 1.07%. The amount of actual funding allocated to the Base Grant, Supplemental Grants and Concentration Grants is subject to the discretion of the State.

Since the full implementation of the LCFF in fiscal year 2018-19, there is no longer a gap between a school district's prior year funding and the target amount of funding under the LCFF for the current year. Further, there is no longer a difference between the District's target entitlement under the LCFF – the amount available once the LCFF is fully funded – and the District's transition entitlement. In fiscal year 2018-19, the District reached its target entitlement for the District and the Affiliated Charter Schools, such that there is no transition entitlement for the District and the Affiliated Charter Schools. Accordingly, the District's historically significant increases in LCFF funding from year to year are not reflective of the District's current and expected LCFF funding since the LCFF is fully funded.

The difference between the amount a school district or charter school would have received under the old funding system and the estimated amount it would receive for LCFF funding at full implementation, based on certain criteria is referred to as the "Economic Recovery Target." Only school districts and charter schools that were at, or below, the 90th percentile of per-pupil funding rates of school districts under the pre-fiscal year 2013-14 funding system, as determined at the certification of the State's second principal apportionment in fiscal year 2013-14, are eligible for Economic Recovery Target payments. Based on this criteria, the District is not entitled to receive Economic Recovery Target funding. Certain of the District's Affiliated Charter Schools, however, are entitled to the Economic Recovery Target funding and received \$990,310, collectively, in fiscal year 2023-24, and budget to receive approximately the same amount, collectively, in fiscal year 2024-25.

The District has the largest ADA in the State. See "DISTRICT GENERAL INFORMATION – Enrollment and Average Daily Attendance" herein. In addition, the District's ADA includes a significant number of students classified as Unduplicated Pupils. Accordingly, the District expects to receive more LCFF funding than other school districts in the State. The 2024-25 Second Interim Report projects that approximately 85.72% of students attending non-charter schools of the District will be classified as Unduplicated Pupils under the LCFF during fiscal year 2024-25. The percentage of students classified as Unduplicated Pupils is based on a three-year rolling average. The District's calculation of ADA with respect to Unduplicated Pupils, which is used to determine Supplemental and Concentration Grant revenues, is subject to adjustment upon review thereof by the District's independent auditor.

The following Table A-3 sets forth the District's Base Grant per ADA with grade span adjustments for fiscal years 2015-16 through 2024-25 under the LCFF.

TABLE A-3
LOS ANGELES UNIFIED SCHOOL DISTRICT
Adjusted Base Grant Per Average Daily Attendance
Fiscal Years 2015-16 through 2024-25

<u>Fiscal Year</u>		<u>Grades 4-6</u>	<u>Grades 7-8</u>	<u>Grades 9-12</u>
2015-16	\$ 7,820	\$ 7,189	\$ 7,403	\$ 8,801
2016-17	7,820	7,189	7,403	8,801
2017-18	7,941	7,301	7,518	8,939
2018-19 ⁽¹⁾	8,235	7,571	7,796	9,269
2019-20	8,503	7,818	8,050	9,572
2020-21	8,503	7,818	8,050	9,572
2021-22	8,935	8,215	8,458	10,057
2022-23	10,119	9,304	9,580	11,391
2023-24	10,951	10,069	10,367	12,327
2024-25	11,068	10,177	10,478	12,460

⁽¹⁾ LCFF was fully funded in fiscal year 2018-19.

Sources: California Department of Education.

Local Control and Accountability Plan. Pursuant to the LCFF, since July 1, 2014, school districts, county offices of education and charter schools have been required to develop, adopt and annually update a three-year LCAP. The LCAP is required to identify goals and measure progress for student subgroups across multiple performance indicators. The Education Code requires each school district to file with the county superintendent of schools such school district's LCAP or annual update thereof not later than five days after its adoption. On or before August 15 of each year, the county superintendent of schools may seek clarification, in writing, from the governing board of such school district about the contents of the LCAP. The school district has the opportunity to respond to such request and the county superintendent is authorized to submit recommendations for amendments to the LCAP. On or before October 8 of each year, the county superintendent of schools is required to approve each school district's LCAP pending a determination that the school district has adhered to the template adopted by the State Board of Education, the school district's budget includes expenditures sufficient to implement the specific actions and strategies included in the LCAP based on projected costs, and the school district has adhered to the Education Code with respect to funds apportioned for Unduplicated Pupils.

The State's priorities for each LCAP include, among other things, compliance with requirements with respect to appropriateness of teacher assignments, ensuring that teachers are fully credentialed in the subject areas and for the pupils they are teaching, and ensuring that every pupil in the school district has sufficient access to the standards-aligned instructional materials as determined in accordance with the Education Code. In addition, school facilities are to be maintained in good repair. The State requires proper implementation of the academic content and performance standards adopted by the State Board of Education and will measure parental involvement (e.g., efforts to seek input from parents or guardians regarding decisions for the district and the school site), pupil achievement (e.g. performance on Statewide assessments, the academic performance index, readiness for college or career technical education, progress towards English proficiency, performance on advance placement examinations), pupil engagement (e.g., school attendance rates, chronic absenteeism rates, middle school dropout rates, high school dropout and graduation rates, pupil suspension and expulsion rates, etc.), access and enrollment in a broad course of study including the core subject areas and programs and services developed and provided to Unduplicated Pupils, and pupil outcomes in the subject areas comprising a broad course of study.

In November 2014, the State Board of Education adopted final regulations to govern the expenditure of the Supplemental Grant and Concentration Grant funding. These regulations require school districts, county offices of education, and charter schools to increase and improve services for Unduplicated Pupils and provide authority for school districts to spend funds school-wide when significant populations of Unduplicated Pupils attend a school. Pursuant to the regulations, LEAs are required to obtain input from parents of students and the general public in connection with the development, revision and updates of LCAPs. In addition, the regulations require County superintendents to review school district LCAPs and require county offices of education to provide technical assistance if they disapprove an LCAP. The Education Code grants the State Superintendent of Public Instruction authority to intervene if a school district or charter school fails to show improvement across multiple subgroups in three out of four consecutive years.

Risks Affecting School District Revenue. Many school districts in the State are funded based on the LCFF, which allocates a Base Grant per unit of ADA with additional supplemental funding in the form of Supplemental Grants and Concentration Grants based on certain factors. Thus, a temporary shutdown of a school or an entire school district or other event resulting in reduced enrollment or attendance would reduce the ADA of a school district and could impact the funding a school district receives. For example, events like the outbreak of a highly contagious disease or epidemic disease could harm a school district's financial results or result in a temporary shutdown of the school district's facilities. Such an event could also have impacts on the State's tax and other revenue receipts which may, in turn, impact educational

funding that school districts receive from the State. The outbreak of the respiratory disease caused by COVID-19 was declared a pandemic by the World Health Organization, a national emergency by former President Trump and a state of emergency by the Governor. While State and federal one-time COVID-19 relief funding provided some immediate relief to school districts, including the District, during the COVID-19 pandemic, the District cannot predict whether similar legislation providing State and federal one-time relief funding would be enacted in the future in the event the outbreak of COVID-19 were to increase in intensity or a similar or other outbreak of a highly contagious disease or epidemic disease or other event resulting in reduced enrollment or attendance were to occur in the future.

In January 2025, multiple fires broke out across areas of the County burning thousands of acres and damaging or destroying thousands of structures. The three largest of said fires are the Hughes Fire, Eaton Fire, and Palisades Fires. The Hughes Fire burned approximately 10,400 acres, although no information is available on the number of structures that have been damaged or destroyed. The Eaton Fire has burned approximately 14,000 acres and has damaged or destroyed at least 10,000 structures. The Palisades Fire has burned approximately 23,500 acres and has damaged or destroyed at least 7,000 structures. Properties damaged or destroyed in the Palisades Fire are included within the boundaries of the District and represent a small percentage of the assessed value in the District. As a result of the fires, schools in the District were closed for 3 days and approximately 2,400 students were displaced. Three school campuses within District boundaries, Marquez Elementary School, Palisades Elementary School, and Palisades High School/Palisades Charter High School (Palisades Charter High School is a Fiscally Independent Charter School), were significantly damaged by the fires and remain closed. The District estimates that the costs of rebuilding the three damaged campuses will be approximately \$600 million, and debris removal at the sites is nearly complete. The District expects to rebuild its damaged campuses, however, no assurances can be given that the District will rebuild any or all of its damaged facilities. The District is unable at this time to quantify the overall loss as a result of the fires.

The County Assessor's Office allows for the reassessment of properties that are damaged or destroyed as a result of misfortune or calamity, which includes wildfires. Property owners may submit an application for the reassessment of the property within 12 months of the damage or destruction. Any such reassessment is retroactive to the date of damage or destruction. The District is unable at this time to quantify the loss in assessed value as a result of any such reassessment. The California Legislative Analyst's Office currently estimates a reduction of assessed value in the County, including impacted areas located within and outside of the boundaries of the District, to be between \$10 and \$20 billion.

Additionally on January 16, 2025, the California Governor issued Executive Order 10-25 that (i) suspends until April 10, 2026, certain state tax laws that impose penalties, costs, and interest for late payment of property taxes due in calendar year 2025, and (ii) suspends certain additional state tax laws requiring the filing of various property tax statements. The orders apply to properties located in 9 zip codes that are included in the boundaries of the District. Additional executive orders have been issued to allow for a quicker redevelopment in fire-damaged areas. The District cannot predict the effect any executive orders will have on the timely collection of property taxes.

Charter School Funding

A charter school is a public school authorized by a school district, county office of education or the State Board of Education. State law requires that charter petitions be approved if they comply with the statutory criteria. The District has certain fiscal oversight and other responsibilities with respect to both Affiliated Charter Schools and Fiscally Independent Charter Schools located in the District geographic boundaries. Fiscally Independent Charter Schools, however, are separate LEAs and receive revenues directly from the State. Affiliated Charter Schools receive their funding from the District and are included in the District's budgets and audit reports. Information regarding enrollment, ADA, budgets and other

financial information relating to Fiscally Independent Charter Schools is not included in the District’s audit reports or in this Official Statement unless otherwise noted.

Pursuant to the LCFF, Fiscally Independent Charter Schools and Affiliated Charter Schools will receive a Base Grant per ADA and are eligible to receive Supplemental Grants, Concentration Grants and Equity Multiplier funds. See “– Local Control Funding Formula” herein. In fiscal year 2023-24, the District operated 51 Affiliated Charter Schools and oversaw 221 Fiscally Independent Charter Schools within the District boundaries. The fiscal year 2023-24 funded ADA of the Affiliated Charter Schools and the Fiscally Independent Charter Schools was 35,586 and 101,451 (unaudited), respectively. An increase in the number of Fiscally Independent Charter Schools within the boundaries of a school district or an increase in the number of students transferring to a Fiscally Independent Charter School or an Affiliated Charter School from a traditional school within a school district may cause a net reduction in the District’s ADA.

Limitations on School District Reserves

Unless a school district is granted an exemption by its county superintendent of schools, amounts in its reserves may not exceed the limitations set forth in the Education Code once certain conditions precedent are met. Pursuant to Section 42127.01 of the Education Code, in a fiscal year immediately after a fiscal year in which the amount of moneys in the Proposition 98 Rainy Day Fund is equal to or exceeds 3% of the combined total of State general fund revenues appropriated for school districts and allocated local proceeds of taxes for that fiscal year, a school district budget that is adopted or revised shall not contain a combined assigned or unassigned ending general fund balance that is in excess of 10% of total General Fund expenditures and other financing uses. A county superintendent of schools may grant a school district under its jurisdiction an exemption from the reserves limitation for up to two consecutive fiscal years within a three-year period if the school district provides documentation indicating that extraordinary fiscal circumstances, including, but not limited to, multiyear infrastructure or technology projects, substantiate the need for a combined assigned or unassigned ending general fund balance that is in excess of the reserves limitation. The limitation applies once the Superintendent of Public Instruction notifies school districts and county offices of education that the conditions precedent are met. The Superintendent of Public Instruction is also required to notify school districts and county offices of education when those conditions no longer exist.

The State-imposed minimum recommended reserve for the District is accounted for in the District’s reserve for economic uncertainties. Payments allocated to the Proposition 98 Rainy Day Fund by the State in fiscal years 2021-22 and 2022-23 triggered the limitations on school district reserves under the Education Code in fiscal years 2022-23 and 2023-24. The State’s economic and revenue outlook, however, has changed. Although the 2024-25 State Budget provides for a discretionary payment of approximately \$1.1 billion to the Proposition 98 Rainy Day Fund in fiscal year 2024-25, the 2024-25 State Budget also provides for a withdrawal of the entire \$8.4 billion balance in the Proposition 98 Rainy Day Fund in fiscal year 2023-24, leaving a projected balance of \$1.1 billion at the end of fiscal year 2024-25. Given 2024-25 State Budget provisions relating to the Proposition 98 Rainy Day Fund, school district reserve caps will not be triggered in fiscal year 2024-25 and are not projected to be triggered in fiscal year 2025-26. See “– State Budget Act.”

DISTRICT FINANCIAL INFORMATION

District Financial Policies and Related Practices

General. The District has three key financial policies: a budget and finance policy (the “Budget and Finance Policy”), a debt management policy (the “Debt Management Policy”) and an investment policy (the “Investment Policy”).

Budget and Finance Policy. The District has adopted a Budget and Finance Policy pursuant to which the District creates and funds reserves for operating purposes (collectively, the “Operating Reserves”) and liability management purposes. The Budget and Finance Policy reflects reserve categories promulgated by the Government Accounting Standards Board (“GASB”) and incorporates certain reserve categories established by the District. See “STATE FUNDING OF SCHOOL DISTRICTS – Limitations on School District Reserves” herein.

Operating Reserves. The District uses the Operating Reserves to manage its budget for each fiscal year. A portion of the District’s authorized appropriations are set aside in the Operating Reserves. The District generally appropriates amounts from the General Fund based on the amount estimated in its budget. The District may, however, appropriate funds from unspent balances within the Operating Reserves, if necessary. Accordingly, the District uses the Operating Reserves to ensure that appropriations reflect the District’s actual General Fund expenditures. The current Operating Reserves include nonspendable reserves, restricted reserves, committed reserves, assigned reserves, and unassigned reserves (generally described as fund balances), the latter of which includes the District’s reserve for economic uncertainties. Pursuant to the California Code of Regulations, school districts with an ADA of over 250,001 students, such as the District, must maintain a reserve for economic uncertainties of 1% of General Fund appropriations.

Pursuant to the Budget and Finance Policy, the District’s total General Fund balance may not be less than an amount equal to 5% of total General Fund expenditures and net transfers out during a fiscal year (the “5% Minimum Reserve Threshold”). In addition, the Budget and Finance Policy requires the projected General Fund balance to satisfy the 5% Minimum Reserve Threshold in each of the two subsequent fiscal years which the District includes in its interim financial reports. In the event that the District’s estimates indicate that the total General Fund balance will not satisfy the 5% Minimum Reserve Threshold in any of the current fiscal year or two subsequent fiscal years, the Budget and Finance Policy directs the District to develop and implement budget proposals to restore reserve balances to the 5% Minimum Reserve Threshold.

Based on the 2024-25 Second Interim Report, the District’s Operating Reserves are expected to satisfy both the 5% Minimum Reserve Threshold and the 1% statutory reserve requirement for fiscal years 2024-25, 2025-26 and 2026-27. Unlike the 5% Minimum Reserve Threshold, the 1% statutory reserve requirement is based on the unrestricted and unassigned ending fund balance (including the reserve for economic uncertainties) only and does not take into account the restricted, committed, or assigned ending fund balances. See “– District Budget – 2024-25 Second Interim Report” herein.

Liability Management. Pursuant to the Budget and Finance Policy, the District has established a health and welfare reserve (the “Health and Welfare Benefits Fund”), and an other-post-employment benefits (“OPEB”) trust (the “OPEB Trust Fund”). Annual appropriations are made to address other identified liabilities, such as pension, vacation, and retiree healthcare.

The District is in the process of transitioning certain liabilities and potential claims previously covered by District reserves and purchased lines of coverage to a captive insurance company, designed to mitigate financial risks, enhance control over the insurance processes, potentially reduce costs, and tailor coverage to meet the District’s specific needs. The Captive Insurer (as defined below) is a separate legal entity. See “Risk Management and Litigation – *Captive Insurance Program.*” The Captive Insurer will determine the reserves, liabilities, and insurance policy premiums charged to the District from actuarial information. The Captive Insurer is liable for losses and will record the liability on its books.

The liability for auto, general, and workers’ compensation, prior to July 1, 2024, was based upon information from an independent actuary. Effective July 1, 2024, coverage and reserves with respect to

automobile, general, sexual abuse and molestation, and workers' compensation liabilities was and is being transferred to the Captive Insurer, with required reserves, liabilities and insurance policy premiums determined by the Captive Insurer and charged to the District using actuarial information. See "Risk Management and Litigation – *Captive Insurance Program*." The District is currently evaluating the following lines of coverage to be provided by the Captive Insurer: boiler and machinery; crime and fiduciary; property; cyber security; and medical malpractice.

For certain current claims for sexual abuse and molestation pending settlement, funds have been set aside or transferred to the Captive Insurer. Remaining sources of funds to resolve claims for sexual abuse and molestation are expected to include limited insurance including through the Risk Management Authority (as defined herein), amounts provided and available to the Captive Insurer, and other legally available funds whether made payable as due or by payments spread over several years for a period commencing with the judgment or court's order approving a settlement with dismissal of the action. See "Risk Management and Litigation – Sexual Misconduct Cases" and "Future Financings – AB 218 and Similar Claims."

Prior to the establishment of the Captive Insurer, the District maintained a workers' compensation reserve (the "Workers' Compensation Fund") with the amount required to be on deposit therein established with information from an independent actuary at an amount necessary to fund its outstanding workers' compensation liability to the actuarially recommended level based on the central estimate approach and by additionally calculating the amount necessary for claims and operation of the Workers' Compensation Fund. See "– Risk Management and Litigation" herein. As used herein, the central estimate represents an expected value over the range of reasonably possible outcomes.

The Health and Welfare Benefits Fund is used to pay all health and welfare payments for active employees and retirees. The District determines funding of the Health and Welfare Benefits Fund based on the applicable health benefits agreement for each of the applicable years. See "– Employees and Labor Relations – Negotiations Regarding Labor Contracts" herein. As of June 30, 2024, the net position of the Health and Welfare Benefits Fund was in deficit at approximately \$(2.0) million. The deficit will be addressed by increasing the annual employee contribution rate for fiscal year 2024-25, from \$15,500 to \$18,400 per employee. The Fiscal Year 2024-25 Budget includes contributions of \$1.4 billion for the Health and Welfare Benefits Fund.

The District Board approved the creation of the OPEB Trust Fund in May 2014 as an irrevocable trust for its OPEB liability. The Budget and Finance Policy directs the District, subject to approval by the District Board, to make annual contributions to the OPEB Trust Fund when the balance in the General Fund exceeds the 5% Minimum Reserve Threshold to the extent possible. In the event that the unrestricted portion of the General Fund balance is above 5% of the unrestricted revenues (after the annual OPEB contribution has been determined), the Budget and Finance Policy directs the District to make an additional contribution to the OPEB Trust Fund. See "– Other Postemployment Benefits" herein. As of a June 30, 2024 measurement date, the net position of the OPEB Trust Fund was approximately \$820 million.

Budgeting Practices. Since Fiscal Year 2022-23 the District has updated and implemented new budgeting practices to improve timeliness, accuracy and transparency. In Fiscal Year 2024-25, the District named these collective actions as strategic budgeting. To support this effort, departments are now able to view daily updates of budget to actuals analysis for their respective departments, which facilitates effective and timely decision-making regarding opportunities for internal budget adjustments and/or reallocations that may be available for both labor and non-labor resources (this data is refreshed on a nightly basis). The District also implemented budget sweeps of positions that have been vacant for more than 180 days. In addition, to improve transparency of anticipated underspend in multi-year projections, the District refined its use of contras (i.e. underspend projections) in budgeting to better reflect actual expenditures for current

and future years. The district is also beta testing a budget transparency dashboard for public use to improve the communication of central office and school site budgetary information (to external audiences); the first phase is scheduled to go live July 1, 2025. In summary, the strategic budgeting process aims to align non-labor budgeting to need, eliminate aged vacancies, reassess budget needs with actual spend and enrollment trends, while improving transparency for both internal and external stakeholders.

Debt Management Policy. The Debt Management Policy establishes formal guidelines for the issuance and management of the District’s debt and other financial obligations. The Debt Management Policy establishes targets and ceilings for certificates of participation (“COPs”) and unhedged variable rate exposure and sets forth benchmark debt ratios that include both COPs and the District’s general obligation bonds. The Debt Management Policy also requires the District to annually publish a comprehensive debt report that, among other things, provides information on tax rates related to the District’s general obligation bonds and credit factors that reflect the District’s ratings.

The Debt Management Policy is required to be reviewed annually. The current Debt Management Policy was approved by the District Board on June 18, 2024. The District is in compliance with the Debt Management Policy. The Debt Management Policy establishes a ceiling of 2.0% for the ratio of COPs gross annual debt service to District General Fund expenditures. The District Board may increase the target at the time a new debt issuance is proposed, but such authority is not intended to exceed the ceiling established in the Debt Management Policy. As of January 1, 2025, the maximum fiscal year COPs debt service was approximately 0.45% of the District’s General Fund budgeted expenditures for Fiscal Year 2024-25. As of January 1, 2025, the District has outstanding COPs in the aggregate principal amount of approximately \$443.0 million, which includes the portion to be refunded by the Series B Bonds. (See “ – District Debt – Certificates of Participation” for more information.) The Debt Management Policy limits unhedged variable rate debt to \$100 million and requires reporting of the debt ratios and benchmarks. The District currently has a variable interest rate exposure of \$69.95 million. The variable rate debt is associated with the District’s 2024-25 Tax and Revenue Anticipation Notes which serve as an interim financing mechanism in connection with the District’s refinancing of claims arising from AB 218 and similar claims.

Investment Policy. The foremost objective of the District’s Investment Policy is safety. In addition, the Investment Policy directs the District to invest public funds in a manner that will maximize the investment return on all of its funds with maximum security while meeting the daily cash flow demands of each portfolio of the District and conforming to all federal, State, and local statutes governing the investment of public funds. Further, the Investment Policy directs that all investments of the District be undertaken to ensure the preservation of capital in the overall portfolio. To attain this objective, the District may diversify its investments by investing funds among a variety of securities offering independent returns. In addition, the Investment Policy requires the District’s investment portfolios remain sufficiently liquid to enable the District to meet its operating requirements and be structured to attain a maximum return commensurate with its investment risk constraints and the cash flow characteristics of each portfolio.

The District’s operating funds and all of the debt service funds maintained for repayment of general obligation bonds are deposited in the County Treasury Pool in accordance with State law and managed pursuant to the County’s Investment Policy, a copy of which can be found at <http://ttc.lacounty.gov/>. Such website is not incorporated herein by reference and the District, its counsel (including Bond Counsel and Disclosure Counsel), the Municipal Advisor, the Underwriters and their counsel do not make any representation as to the accuracy of the information provided therein. See APPENDIX F – “THE LOS ANGELES COUNTY TREASURY POOL.” With the concurrence of the County’s Treasurer and Tax Collector, however, the District may direct the investment of funds in certain of its operating funds and debt service funds so long as such direction complies with both the County’s investment policy and the District’s Investment Policy. In addition, the District can direct the investment of indentured funds held by

third party trustees with regard to certain issuances of COPs pursuant to a prescribed list of permitted investments.

Significant Accounting Policies, System of Accounts and Audited Financial Statements

The CDE imposes by law uniform financial reporting and budgeting requirements for K-12 school districts. Financial transactions are accounted for in accordance with the California School Accounting Manual. The District uses fund accounting and maintains governmental funds, proprietary funds and fiduciary funds. The General Fund is the chief operating fund of the District. For a description of the other major funds of the District, see the description thereof contained in APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024.” Note 1 to such audited financial statements sets forth significant accounting policies that the District follows. Simpson & Simpson Certified Public Accountants (“Simpson”), Los Angeles, California, served as independent auditor to the District for its audited financial statements for fiscal year 2023-24. Simpson has not been requested to consent to the use or to the inclusion of its reports in this Official Statement, and it has not audited or reviewed this Official Statement. The District’s audited financial statements for the fiscal year ended June 30, 2024, are included as Appendix B to this Official Statement. The complete audited financial statements of the District, including the notes thereto, are an integral part of this Official Statement.

Typically, the District is required to file its audited financial statements for the preceding fiscal year with the State Controller’s Office, the CDE and the County Superintendent of Schools by December 15 of each year. During the last five years, the District timely filed its audited financial reports with the State Controller’s Office, the CDE, and LACOE pursuant to the Education Code and any applicable legislation amending the filing deadline thereof by the respective deadlines therefor.

The audited financial statements for fiscal year 2023-24 include certain audit findings and questioned costs. With respect to the audited financial statements for fiscal year 2023-24, Simpson identified 13 audit findings and questioned costs totaling approximately \$770.1 million. For detailed information regarding such findings and questioned costs, see Appendix B. Notably, in fiscal year 2023-24 – like the three previous fiscal years – the District did not meet the minimum threshold of General Fund spending on classroom teacher salaries and benefits in accordance with Education Code Section 41372. Under Education Code Section 41372, a unified school district, like the District, is required to spend a minimum of 55% of its General Fund resources on classroom salaries and benefits. In fiscal year 2023-24, the District spent approximately 47.08% of its General Fund resources on classroom salaries and benefits, which is approximately 7.92% or \$763.9 million below such minimum threshold set forth in the Education Code. Such discrepancy is the result of the COVID-19 pandemic that caused the District to spend significant General Fund revenues on COVID-19 related expenses that were non-classroom teacher salaries and benefits. In each of fiscal year 2020-21, fiscal year 2021-22, and fiscal year 2022-23, the District Board approved the submission of a waiver request to the County Superintendent, and each was approved by the County Superintendent. The District expects to submit a waiver request for fiscal year 2023-24 to the County Superintendent after notice is received from the Los Angeles County Office of Education.

In addition, the audited financial statements for fiscal year 2023-24 included a finding that the District did not meet the transitional kindergarten and early enrollment average class enrollment and adult-to-pupil requirements pursuant to Education Code Section 48000. The District has implemented measures to ensure compliance with class size and adult-to-pupil ratio requirements, including the distribution of a Transitional Kindergarten Resources and Communication Toolkit to school sites and district administrators.

Copies of the District’s audited financial statements as well as budgets and interim financial reports may be obtained from the website of the District: www.lausd.org. The website is not incorporated herein

by reference and the District, its counsel (including Bond Counsel and Disclosure Counsel), the Municipal Advisor, the Underwriters and their counsel do not make any representation as to the accuracy of the information provided therein.

Audited Financial Report

Fiscal Year 2023-24 Audited Annual Financial Report. The District’s fiscal year 2023-24 Audited Annual Financial Report (the “Fiscal Year 2023-24 Audit”) has been submitted to the District. The Fiscal Year 2023-24 Audit reflects the District’s audited financial results for fiscal year 2023-24. The Fiscal Year 2023-24 Audit reflects a General Fund adjusted beginning balance of approximately \$5.71 billion, total revenues of \$11.22 billion, total expenditures of \$10.55 billion, other financing sources and uses of \$45.64 million, and an ending balance of \$6.42 billion. The Fiscal Year 2023-24 Audit indicates that the General Fund ending balance of approximately \$6.42 billion consists of approximately \$244.90 million for the mandatory reserve for economic uncertainties, \$2.92 million of non-spendable revolving cash, stores, and prepaid expenditures, \$1.79 billion of restricted ending balances, \$2.97 billion of committed ending balances, \$491.52 million of assigned ending balances and \$869.03 million of unassigned and unappropriated ending balances. In fiscal year 2023-24, the District was able to meet its financial commitments and its required ending balances, as set forth in the Budget and Finance Policy. See “– District Financial Policies and Related Practices” for more information on the Budget and Finance Policy.

District Budget

General School District Budget Process and Oversight. State law requires that each school district maintain a balanced budget in each fiscal year. The California Department of Education imposes a uniform budgeting and accounting format for school districts. Under current law, a school district governing board must adopt and file with the county superintendent of schools a budget by July 1 of each fiscal year. The District is under the jurisdiction of the County of Los Angeles Superintendent of Schools.

The county superintendent of schools must approve, conditionally approve, or disapprove the adopted budget for each school district by September 15 in accordance with the Education Code. The county superintendent of schools is required to examine the adopted budget for compliance with the standards and criteria adopted by the State Board of Education and identify technical corrections necessary to bring the budget into compliance with the established standards. The county superintendent of schools is also required to determine whether the adopted budget will allow the school district to meet its financial obligations during the fiscal year and is consistent with a financial plan that will enable the school district to satisfy its multiyear financial commitments. The Education Code directs the county superintendent of schools to disapprove any school district budget if it determines that the budget does not include expenditures necessary to implement an LCAP or an annual update to the LCAP. See “STATE FUNDING OF SCHOOL DISTRICTS – Local Control Funding Formula – *Local Control and Accountability Plan*” herein for more information about LCAP.

The governing board of the school district, together with the county superintendent of schools, must review and respond to the recommendations of the county superintendent of schools before October 8 at a regular meeting of the governing board of the school district. The county superintendent of schools will examine and approve or disapprove of the revised budget by November 8 of such year. If the county superintendent of schools disapproves a revised budget, the county superintendent of schools will call for the formation of a budget review committee. By December 31 of each year, every school district must have an adopted budget, or the county superintendent of schools may impose a budget and will report such school district to the State Legislature and the Department of Finance. In prior years, LACOE has granted a conditional approval to certain of the District's budgets pending, among other things, approval of the District's LCAP, information regarding collective bargaining and other budgetary considerations. However, in the last ten years, LACOE has not disapproved any budget submitted to it by the District. LACOE approved the Fiscal Year 2024-25 Budget. See “– *Fiscal Year 2024-25 Budget*” and “– *LACOE's Response to Fiscal Year 2024-25 Budget*” below.

Subsequent to approval, the county superintendent of schools will monitor each school district under its jurisdiction throughout the fiscal year pursuant to its adopted budget to determine on an ongoing basis if the school district can meet its current or subsequent year financial obligations. If the county superintendent of schools determines that a school district cannot meet its current or the subsequent year's obligations, the county superintendent of schools will notify the school district's governing board, the Superintendent of Public Instruction and the president of the State board (or the president's designee) of the determination and take at least one of the following actions, and all actions that are necessary to ensure that the school district meets its financial obligations: (a) develop and impose, after also consulting with the Superintendent of Public Instruction and the school district's governing board, revisions to the budget that will enable the school district to meet its financial obligations in the current fiscal year, (b) stay or rescind any action inconsistent with the ability of the school district to meet its obligations for the current or subsequent fiscal year, (c) assist in developing, in consultation with the school district's governing board, a financial plan that will enable the school district to meet its future obligations, (d) assist in developing, in consultation with the school district's governing board, a budget for the subsequent fiscal year and (e) as necessary, appoint a fiscal advisor to perform the aforementioned duties. The county superintendent of schools will also make a report to the Superintendent of Public Instruction and the president of the State board or the president's designee about the financial condition of the school district and the remedial actions proposed by the county superintendent of schools. The county superintendent of schools, however, may not abrogate any provision of a collective bargaining agreement that was entered into prior to the date upon which the county superintendent of schools assumed authority.

Fiscal Stabilization Plans. While LACOE and the District will partner to implement actions necessary to stabilize and improve the financial condition of the District as and when needed, LACOE has not required nor has the District implemented a fiscal stabilization plan since 2019 in light of the District's positive certification on its recent interim reports. In the event that the District's financial condition were to change in future fiscal years, LACOE may require the District to implement a fiscal stabilization plan to stabilize and improve the financial condition of the District.

Fiscal Year 2024-25 Budget. The Fiscal Year 2024-25 Budget was adopted by the District Board on June 25, 2024. The Fiscal Year 2024-25 Budget was developed with the assumptions contained in the Governor's May revision to the proposed fiscal year 2024-25 State Budget. The Fiscal Year 2024-25 Budget projects a General Fund beginning balance of approximately \$6.36 billion, total budgeted revenues of \$9.41 billion, total budgeted expenditures of \$11.16 billion, budgeted other financing sources and uses of negative \$20.16 million, and a budgeted ending balance of \$4.58 billion. The Fiscal Year 2024-25 Budget projects that its budgeted General Fund ending balance of \$4.58 billion is expected to consist of approximately \$112.24 million for the mandatory reserve for economic uncertainties, \$47.98 million of non-spendable revolving cash, stores, and prepaid expenditures, \$1.67 billion of restricted ending balances,

\$1.80 billion of committed ending balances, \$726.09 million of assigned ending balances, and \$224.78 million of undesignated and unassigned ending balances.

The Fiscal Year 2024-25 Budget includes certain assumptions and policies, including:

- a COLA of 1.07% for the LCFF, Special Education and selected categorical programs outside of LCFF;
- a net enrollment decline of 8,888 to 403,453 in fiscal year 2024-25 from 412,341 in fiscal year 2023-24 for non-charter and Affiliated Charter Schools and a Fiscally Independent Charter School enrollment decline of 1,227 to 108,520 in fiscal year 2024-25 from 109,747 in fiscal year 2023-24;
- LCFF-funded ADA of 351,116 for non-charter schools, which is based on the average of 3 prior years' ADA, and 35,231.96 for Affiliated Charter Schools, which is based on projected fiscal year 2024-25 P-2 ADA; the percentage of ADA to enrollment is 92%;
- State Special Education funding reflects increased base rate to \$897 per ADA;
- estimated unduplicated pupil count and three-year rolling average unduplicated pupil percentage of 314,904 and 85.75%, respectively, for non-charter schools (including County Program students) and 18,018 and 48.10%, respectively, on average for Affiliated Charter Schools;
- an LCFF allocation of \$1.22 billion from the Education Protection Account (the "Education Protection Account") established by Proposition 30 (defined herein) to be spent for instruction;
- LCFF supplemental and concentration expenditure of \$1.51 billion;
- lottery unrestricted rate per ADA is estimated at \$177 per ADA and restricted rate per ADA is estimated at \$72 per ADA;
- receipt of approximately \$472.0 million from the ELOP in fiscal year 2024-25, which the District anticipates using, together with approximately \$472.0 million in ELOP funds carried over from fiscal year 2023-24;
- receipt of approximately \$74.0 million from Arts and Music in Schools and LCFF Equity Multiplier of \$21.5 million;
- certificated and classified salaries include bargaining agreements with AALA (Certificated and Classified Management), LASPMA, LASPA, Los Angeles/Orange Counties Building & Construction Trades Council, District Represented, and UTLA, and the agreement for revised instructional calendar is also included (See "– Employees and Labor Relations – *Negotiations Regarding Labor Contracts*" for information regarding labor agreements not reflected in Fiscal Year 2024-25 Budget.);
- funding for employee health and medical benefits at the per participant rate set forth in the Health and Welfare Agreement (defined herein);
- a contribution to the OPEB Trust Fund of \$40 million from all funds of the District for fiscal year 2024-25;
- a contribution rate for CalSTRS (defined herein) of 19.10%;

- an increase of 0.37% of CalPERS (defined herein) employer contribution rate for fiscal year 2024-25 from 26.68% to 27.05%;
- a California consumer price index of 3.1% on other operating expenditures, except utilities which is projected to decline by 13.6% as result of lifting the 24-hour heating, ventilation, and air conditioning runtime and switching to occupancy-based usage;
- ongoing and major maintenance resources totaling \$326.9 million, reflecting approximately 3% of budgeted General Fund expenditures and other financing uses, excluding CalSTRS on behalf payments made by the State;
- a contribution from all funds of \$102.0 million to the Workers' Compensation Fund and inclusion of total Workers' Compensation actuarially determined funded liability of \$380.5 million;
- inclusion of bond measure, debt service, COP proceeds funds, and other financing sources/uses;
- inclusion of beginning balances in the General Fund and other funds for fiscal year 2024-25, reflecting the updated estimated actual ending balance as of June 30, 2024;
- estimated ending balances for the General Fund and other funds for fiscal year 2024-25, which reflect the difference between estimated revenue and expenditure levels for fiscal year 2024-25;
- adherence to the 10% cap on reserves (combined assigned and unassigned balances);
- release of a committed balance of \$211 million for OPEB, as approved by the District Board on June 20, 2023;
- authority to transfer amounts, as necessary, to implement technical adjustments related to the Fiscal Year 2024-25 Budget;
- authority to implement new revenues for fiscal year 2024-25, if any, and increase budgeted appropriations accordingly; and
- a transfer from the Community Redevelopment Agency Fund to repay the General Fund of \$30 million initially allocated for ongoing and major maintenance resources.

The District does not expect to adopt revisions to the Fiscal Year 2024-25 Budget prior to what is incorporated into the District's second interim report for fiscal year 2024-25.

LACOE's Response to Fiscal Year 2024-25 Budget. In its August 2024 letter to the District, LACOE approved the Fiscal Year 2024-25 Budget. LACOE noted that the District projected operating deficits in fiscal years 2024-25, 2025-26 and 2026-27 of unrestricted General Fund expenditures and other outgo, indicating that the unrestricted General Fund is projected to decrease from a beginning balance of \$4,475.8 million in 2024-25 to an ending balance of \$1,452.42 million in 2026-27, a decline of approximately \$3,023.44 million, or 67.55% over three years. LACOE indicated that, while the District projected maintaining the required reserve levels by releasing assigned and committed fund balances, LACOE is concerned about the projected trend of deficit spending and recommends that the District monitor the causes for deficit spending to keep it manageable and prevent further erosion of the fund

balance. LACOE noted further that the Fiscal Year 2024-25 Budget reflected declining enrollment and funded three-year average daily attendance from fiscal year 2024-25 to fiscal year 2026-27, reflecting a two-year loss of 20,109 of funded ADA, or a 5.20% decline. As LACOE explained more specifically, continued declines in enrollment and attendance will result in a loss of revenue for the District in future years. Accordingly, LACOE recommended that the District carefully monitor its enrollment and attendance trends and adjust financial projections for the current and subsequent fiscal years accordingly to reflect the resulting impact and indicated that staffing needs and facilities planning should be assessed and adjusted based on the projected rate of decline in enrollment. For more information on the Fiscal Year 2024-25 Budget, see “–Fiscal Year 2024-25 Budget.” See also “DISTRICT GENERAL INFORMATION – Enrollment and Average Daily Attendance,” for more information regarding the District’s declining enrollment.

District General Fund Budgets and Audited Actuals. The following Table A-4 sets forth the District’s Adopted Budgets for the District General Fund, inclusive of regular and specially funded programs, for fiscal years 2020-21 through 2024-25, the audited results for fiscal years 2020-21 through 2023-24. The budgeted beginning balance for each fiscal year reflects the estimated ending balance for the prior fiscal year based upon information as of the budget adoption date. Accordingly, the budgeted ending balance for a fiscal year and the subsequent budgeted beginning balance may differ from the actual ending balance and actual beginning balance.

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TABLE A-4
LOS ANGELES UNIFIED SCHOOL DISTRICT
GENERAL FUND BUDGET FOR FISCAL YEARS 2020-21 THROUGH 2024-25
AUDITED ACTUALS FOR FISCAL YEARS 2020-21 THROUGH 2023-24⁽¹⁾⁽²⁾
(\$ IN MILLIONS)

	Revised Adopted Budget 2020-21⁽³⁾	Audited Actuals 2020-21	Adopted Budget 2021-22	Audited Actuals 2021-22	Adopted Budget 2022-23	Audited Actuals 2022-23	Adopted Budget 2023-24	Audited Actuals 2023-24	Adopted Budget 2024-25⁽⁴⁾
Beginning Balance	\$ 1,866.7	\$ 2,049.5	\$ 2,714.4	\$ 2,855.3	\$ 3,567.6	\$ 3,328.3	\$ 5,179.3	\$ 5,708.3	\$ 6,356.9
Revenue									
State Apportionment	\$ 4,122.2	\$ 4,133.6	\$ 4,357.5	\$ 4,487.2	\$ 4,573.8	\$ 4,844.3	\$ 5,080.1	\$ 4,963.7	\$ 4,725.7
Property Taxes	<u>1,407.7</u>	<u>1,522.3</u>	<u>1,466.2</u>	<u>1,551.0</u>	<u>1,511.6</u>	<u>1,749.9</u>	<u>1,658.2</u>	<u>1,771.8</u>	<u>1,721.6</u>
Total LCFF	<u>5,529.9</u>	<u>5,655.9</u>	<u>5,823.7</u>	<u>6,038.2</u>	<u>6,085.4</u>	<u>6,594.2</u>	<u>6,738.3</u>	<u>6,735.5</u>	<u>6,447.3</u>
Federal	1,576.6	1,674.4	4,446.0	1,850.5	2,823.3	2,304.2	1,840.5	2,121.5	862.8
Other State	963.1	1,223.8	1,374.3	1,748.8	1,717.9	2,681.9	1,678.0		1,694.7
Other Local	<u>142.5</u>	<u>190.8</u>	<u>132.5</u>	<u>35.5</u>	<u>168.1</u>	<u>196.2</u>	<u>274.2</u>	<u>582.3</u>	<u>402.5</u>
Total Revenue	<u>\$ 8,212.1</u>	<u>\$ 8,745.0</u>	<u>\$11,776.5</u>	<u>\$ 9,672.9</u>	<u>\$10,794.7</u>	<u>\$11,776.5</u>	<u>\$10,531.0</u>	<u>\$11,217.6</u>	<u>\$ 9,407.3</u>
Total Beginning Balance and Revenue	<u>\$10,078.8</u>	<u>\$10,794.5</u>	<u>\$14,490.9</u>	<u>\$12,528.2</u>	<u>\$14,362.3</u>	<u>\$15,104.8</u>	<u>\$15,710.3</u>	<u>\$16,925.9</u>	<u>\$15,764.3</u>
Expenditures									
Certificated Salaries	\$ 3,252.1	\$ 3,086.7	\$ 3,411.4	\$ 3,379.8	\$ 3,772.5	\$ 3,474.9	\$ 3,730.4	\$ 3,877.7	\$ 4,185.7
Classified Salaries	1,073.5	1,159.8	1,107.2	1,257.2	1,260.8	1,346.1	1,434.0	1,516.3	1,574.1
Employee Benefits	2,169.1	2,151.4	2,437.6	2,370.1	2,798.4	2,592.9	2,820.2	2,919.8	3,069.8
Books and Supplies	1,001.9	621.3	1,638.0	479.4	2,793.8	670.5	1,893.1	602.8	1,196.8
Other Operating Expenses	893.4	1,067.8	1,076.5	1,726.4	1,045.9	1,272.1	1,718.5	1,506.1	1,069.3
Capital Outlay	81.5	95.7	54.3	94.9	17.9	111.1	53.6	113.1	104.3
Debt Service	0.4	0.1	0.3	5.7	0.1	22.4	4.8	26.8	-
Other Outgo	7.7	5.5	7.7	5.5	5.3	6.9	5.8	7.1	6.9
Transfers of Indirect Cost	<u>(27.0)</u>	<u>(22.3)</u>	<u>(31.6)</u>	<u>(24.9)</u>	<u>(30.4)</u>	<u>(24.0)</u>	<u>(20.0)</u>	<u>(20.1)</u>	<u>(43.4)</u>
Total Expenditures	<u>\$ 8,452.7</u>	<u>\$ 8,166.0</u>	<u>\$ 9,701.5</u>	<u>\$ 9,294.1</u>	<u>\$11,664.3</u>	<u>\$ 9,472.9</u>	<u>\$11,640.2</u>	<u>\$10,549.6</u>	<u>\$11,163.5</u>
Excess (Deficiency) of Revenue Over (Under) Expenditures	\$ (240.6)	\$ 579.0	\$ 2,075.0	\$ 378.9	\$ (869.6)	\$2,303.6	\$ (1,109.2)	\$ 668.0	\$ (1,756.2)
Total Other Financing Sources (Uses)	\$ 286.6	\$ 226.8	\$ (25.1)	\$ 94.2	\$ 4.6	\$ 76.3	\$ 2.8	\$ 45.6	\$ (20.2)
Change in Fund Balance	\$ 46.0	\$ 805.8	\$ 2,049.9	\$ 473.0	\$ (865.0)	\$2,379.9	\$ (1,106.4)	\$ 713.6	\$ (1,776.4)
Ending Balance	<u>\$ 1,912.7</u>	<u>\$2,855.3</u>	<u>\$ 4,764.3</u>	<u>\$ 3,328.3</u>	<u>\$2,702.6</u>	<u>\$5,708.2</u>	<u>\$ 4,072.9</u>	<u>\$ 6,421.9</u>	<u>\$ 4,580.5</u>

Source: Los Angeles Unified School District.

TABLE A-4 (CONT.)

LOS ANGELES UNIFIED SCHOOL DISTRICT
General Fund Budget for Fiscal Years 2020-21 through 2024-25
Audited Actuals for Fiscal Years 2020-21 through 2023-24⁽¹⁾⁽²⁾⁽³⁾
(Continued)
(\$ in millions)

Fund Balance⁽⁵⁾									
Nonspendable	\$ 27.3	\$ 58.0	\$ 37.7	\$ 48.0	\$ 46.6	\$ 47.5	\$ 43.0	\$ 49.8	\$ 48.0
Restricted	55.2	200.0	2,731.6	544.3	208.6	1,843.0	1,258.0	1,794.5	1,672.6
Committed	--	--	--	--	1,491.3	2,920.9	1,972.8	2,972.0	1,796.9
Assigned	568.2	1,064.1	592.1	1,596.0	351.6	510.9	451.9	491.5	726.1
Reserved for Economic Uncertainties	85.2	92.0	97.7	199.9	234.1	238.8	233.5	244.9	112.2
Undesignated/Unassigned	<u>1,176.8</u>	<u>1,441.3</u>	<u>1,305.3</u>	<u>940.2</u>	<u>370.4</u>	<u>147.1</u>	<u>113.7</u>	<u>869.0</u>	<u>224.8</u>
	<u>\$1,912.7</u>	<u>\$2,855.3</u>	<u>\$4,764.3</u>	<u>\$3,328.3</u>	<u>\$2,702.6</u>	<u>\$5,708.2</u>	<u>\$4,072.9</u>	<u>\$6,421.9</u>	<u>\$4,580.5</u>

⁽¹⁾ Totals may not equal sum of component parts due to rounding.

⁽²⁾ Includes the Regular Program and the Specially-Funded Programs.

⁽³⁾ The District's original budget for fiscal year 2020-21 was adopted by the District Board on June 30, 2020. On August 25, 2020, the District Board adopted a revised budget for fiscal year 2020-21, which reflects the revised assumptions contained in the Governor's fiscal year 2020-21 State budget. Figures are based on the revised budget for fiscal year 2020-21.

⁽⁴⁾ For information regarding labor agreements not reflected in Fiscal Year 2024-25 Budget, see "-- Employees and Labor Relations -- *Negotiations Regarding Labor Contracts*" below.

⁽⁵⁾ The nonspendable, restricted, committed, assigned, reserved for economic uncertainties and undesignated/unassigned general fund balances in millions of dollars for fiscal years 2013-14 through 2019-20 are as follows: \$19.6, 192.9, --, 336.4, 65.4 and 85.9, respectively, for fiscal year 2013-14; \$20.7, 126.5, --, 418.4, 65.4 and 188.8, respectively, for fiscal year 2014-15; \$31.1, 182.8, 218.3, 558.7, 72.4 and 247.0, respectively, for fiscal year 2015-16; \$23.5, 163.1, --, 783.9, 73.4, and 721.3, respectively, for fiscal year 2016-17; \$27.6, 135.8, --, 1,057.4, 75.4, and 714.7, respectively, for fiscal year 2017-18; \$27.3, 114.6, 174.6, 916.1, 75.6, and 908.6, respectively, for fiscal year 2018-19; and \$37.3, 103.9, 87.6, 1,248.9, 79.0, and 492.4, respectively, for fiscal year 2019-20.

Sources: Los Angeles Unified School District's Adopted Budgets for fiscal years 2020-21 through 2024-25; Audited Annual Financial Report for fiscal years 2020-21 through 2023-24.

Historical Review of District General Fund Actual Revenues and Expenditures. The following Table A-5 sets forth the District’s total revenues, total expenditures and the difference reflected in the actual results for fiscal years 2004-05 through 2023-24.

TABLE A-5
LOS ANGELES UNIFIED SCHOOL DISTRICT
Historical Review of District General Fund Audited Revenues and Expenditures for
Fiscal Years 2004-05 through 2023-24
(\$ in millions)

Fiscal Year	Total Revenues⁽¹⁾	Total Expenditures⁽²⁾	Difference
2004-05		\$ 6,436.35	\$ 25.58
2005-06	6,572.70	6,487.75	84.95
2006-07	6,994.08	6,733.36	260.72
2007-08	6,954.29	6,992.29	(38.00)
2008-09	6,764.50	6,671.80	92.70
2009-10	6,302.12	6,389.17	(87.05)
2010-11	6,428.93	6,193.37	235.56
2011-12	5,919.59	5,998.31	(78.72)
2012-13	5,722.96	5,955.05	(232.09)
2013-14	5,896.35	5,788.82	107.53
2014-15	6,452.84	6,333.28	119.56
2015-16	7,213.53	6,723.15	490.38
2016-17	7,292.27	6,837.31	454.96
2017-18	7,308.08	7,062.45	245.63
2018-19	7,788.71	7,582.63	206.08
2019-20	7,613.72	7,781.09	(167.37)
2020-21 ⁽³⁾	9,010.00	8,204.19	805.82
2021-22 ⁽³⁾	9,781.49	9,308.46	473.03
2022-23 ⁽³⁾	11,868.39	9,488.47	2,379.92
2023-24 ⁽³⁾	11,288.37	10,574.69	713.68

⁽¹⁾ Includes Other Financing Sources.

⁽²⁾ Includes Other Financing Uses.

⁽³⁾ Increases due to revenues and expenditures related to COVID-19.

Sources: Audited Annual Financial Report for fiscal years 2004-05 through 2023-24.

District Interim Financial Reports. A State law adopted in 1991 (known as “A.B. 1200”) imposed financial reporting requirements on school districts and established guidelines for emergency State aid apportionments. Under the provisions of A.B. 1200 and the Education Code (Section 42100 *et. seq.*), each school district is required to file two interim certifications with the county superintendent of schools (on December 15, for the period ended October 31, and by mid-March for the period ended January 31) as to its ability to meet its financial obligations for the remainder of the then-current fiscal year and, based on current forecasts, for the subsequent fiscal year. The county superintendent of schools reviews the certification and issues either a positive, negative or qualified certification. In the past five fiscal years, the District has received a qualified certification for its first interim report for fiscal year 2021-22.

A positive certification is assigned to any school district that, based on then current projections, will meet its financial obligations for the current fiscal year and the subsequent two fiscal years. A negative certification is assigned to any school district that, based on then current projections, will be unable to meet its financial obligations for the remainder of the fiscal year or the subsequent fiscal year. A qualified certification is assigned to any school district that, based on then current projections, may not meet its financial obligations for the current fiscal year or the two subsequent fiscal years. A certification may be revised to a negative or qualified certification by the county superintendent of schools, as appropriate. A school district that receives a qualified or negative certification for its second interim report must provide to the county superintendent of schools, the State Controller and the Superintendent no later than June 1,

financial statement projections of the school district's fund and cash balances through June 30 for the period ending April 30. Any school district that receives a qualified or negative certification in any fiscal year may not issue, in that fiscal year or in the next succeeding fiscal year, certificates of participation, tax and revenue anticipation notes, revenue bonds or any other debt instruments that do not require the approval of the voters of the school district, unless the county superintendent of schools determines that the school district's repayment of indebtedness is probable.

For school districts under fiscal distress, the county superintendent of schools is authorized to take a number of actions to ensure that the school district meets its financial obligations, including budget revisions. However, the county superintendent of schools is not authorized to approve any diversion of revenue from *ad valorem* property taxes levied to pay debt service on district general obligation bonds. A school district that becomes insolvent may, upon the approval of a fiscal plan by the county superintendent of schools, request an emergency appropriation from the State, in which case the county superintendent of schools, the Superintendent of Public Instruction and the president of the State board or the president's designee will appoint a trustee to serve the school district until it has adequate fiscal systems and controls in place. The acceptance by a school district of an emergency apportionment exceeding 200% of the reserve recommended for that school district constitutes an agreement that the county superintendent of schools will assume control of the school district in order to ensure the school district's return to fiscal solvency.

In the event the State elects to provide an emergency apportionment to a school district, such apportionment will constitute an advance payment of apportionments owed to the school district from the State School Fund and the Education Protection Account. The emergency apportionment may be accomplished in two ways. First, a school district may participate in a two-part financing in which the school district receives an interim loan from the State general fund, with the agreement that the school district will subsequently enter into a lease financing with the California Infrastructure and Economic Development Bank for purposes of financing the emergency apportionment, including repaying such amounts advanced to the State general fund. State law provides that so long as bonds from such lease financing are outstanding, the recipient school district (via its administrator) cannot file for bankruptcy. As an alternative, a school district may receive an emergency apportionment from the State general fund that must be repaid in 20 years. Each year, the Superintendent of Public Instruction will withhold from the apportionments to be made to the school district from the State School Fund and the Education Protection Account an amount equal to the emergency apportionment repayment that becomes due that year. The determination as to whether the emergency apportionment will take the form of a lease financing or an emergency apportionment from the State general fund will be based upon the availability of funds within the State general fund.

Second Interim Financial Report for Fiscal Year 2024-25. The District submitted the Fiscal Year 2024-25 Second Interim Report to LACOE with a positive certification. Based on the 2024-25 Second Interim Report, the District expects to meet its financial commitments and satisfy the 5% Minimum Reserve Threshold and the 1% statutory reserve requirement for fiscal years 2024-25, 2025-26 and 2026-27. The 2024-25 Second Interim Report provides that the District continues to be challenged with deficit spending wherein expenditures are greater than projected revenues.

The 2024-25 Second Interim Report projects a General Fund ending balance of approximately \$4.188 billion for fiscal year 2024-25, consisting of a projected unrestricted General Fund ending balance of approximately \$3.38 billion and a projected restricted General Fund ending balance of \$804.3 million for fiscal year 2024-25. The projected Fiscal Year 2024-25 unrestricted General Fund ending balance consists of non-spendable, assigned, unassigned reserve for economic uncertainties and unassigned/unappropriated components in the amounts of approximately \$49.47 million, \$1.22 billion, \$132.75 million, and \$1.98 billion, respectively.

The 2024-25 Second Interim Report acknowledges the 2024-25 State Budget addressed a \$47 billion deficit through a mix of solutions and included plans to tackle the fiscal year 2025-26 budget deficit

as well. The 2024-25 Second Interim Report further acknowledges LAO’s warning of potential annual operating State deficits beginning in fiscal year 2026-27. See “STATE FUNDING OF SCHOOL DISTRICTS – State Budget Act.” In May 2025, the Governor will revise the Proposed 2025-26 State Budget based on updated information available at such time. Such revision may differ substantially from the Proposed 2025-26 State Budget, and could result in negative impacts to State K-12 education funding in fiscal year 2024-25. The District cannot predict the impact that the final fiscal year 2025-26 State budget, or subsequent budgets, will have on its finances and operations.

The District revises its projections of revenues, expenditures, and ending fund balances contained in the Fiscal Year 2024-25 Budget as more financial data becomes available throughout the fiscal year. The 2024-25 Second Interim Report reflects the District’s projections for fiscal year 2024-25 for the period from July 1, 2024 through January 31, 2025. It also reflects multi-year projections through fiscal year 2026-27. The achievement of certain results or other expectations contained in the 2024-25 Second Interim Report involves known and unknown risks, uncertainties and other factors that may cause actual results, performance or achievements described therein to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. All projections, forecasts, assumptions, expressions of opinions, estimates, and other forward-looking statements contained in the 2024-25 Second Interim Report are expressly qualified in their entirety by the foregoing and the other cautionary statements.

The following Table A-6 sets forth budgeted revenues and expenditures and projected year-end amounts, including projected and year-end General Fund Balances, as reported in the Fiscal Year 2024-25 Budget and the 2024-25 Second Interim Report.

TABLE A-6
LOS ANGELES UNIFIED SCHOOL DISTRICT
District General Fund Summary of Fund Balances, Revenues and Expenditures
Fiscal Year 2024-25
(\$ in millions)

	Fiscal Year 2024-25 Final Adopted Budget	Fiscal Year 2024-25 Second Interim Report
Beginning Balance	\$6,413.6 ⁽¹⁾	\$6,413.6 ⁽²⁾
Revenues	9,407.3	9,425.2
Expenditures	11,163.6	11,046.8
Excess (Deficiency) of Revenues Over Expenditures Before Other Financing Sources and Uses	(1,756.2)	(1,621.6)
Other Financing Sources/Uses	(20.16)	(612.7)
Ending Balance	\$4,580.5	\$4,187.6

⁽¹⁾ Does not include restatements.

⁽²⁾ Does not include audit adjustments.

Sources: Los Angeles Unified School District Fiscal Year 2023-24 Final Adopted Budget; 2024-25 Second Interim Report.

LACOE’s Review of Fiscal Year 2024-25 First Interim Report. In its January 2025 letter to the District, LACOE concurred with the District’s positive certification on the 2024-25 First Interim Report. LACOE pointed out that the 2024-25 First Interim Report projected operating deficits in fiscal years 2024-25 and 2025-26, emphasizing the erosion of projected General Fund balances. LACOE acknowledged that the 2024-25 First Interim Report projected maintaining the required level of reserves but recommended that the District monitor causes for deficit spending to prevent additional fund balance erosion. LACOE also indicated that the 2023-24 First Interim Report reflected declining enrollment and funding under LCFF based on three-year average daily attendance for fiscal years 2024-25, 2025-26, and 2026-27, and

highlighted the impacts of declining enrollment, emphasizing that continued declines in enrollment and attendance will result in a loss of revenue for the District in future years. LACOE recommended the District carefully monitor its enrollment and attendance trends and adjust financial projections for the current and subsequent fiscal years accordingly to reflect the resulting impact. LACOE also indicated that staffing needs and facilities planning should also be assessed and adjusted based on the projected rate of decline in enrollment.

Employees and Labor Relations

General. The District has twelve bargaining units with existing contracts. The largest bargaining unit among the District’s employees is United Teachers Los Angeles (“UTLA”), which is comprised of among other employees, teachers, counselors, advisers, nurses, psychologists, and social workers. In addition, certain employees are not represented by a formal bargaining unit (the “District Represented Employees”). The following Table A-7 sets forth the number of members of each bargaining unit as of January 1, 2025, and the expiration dates of the existing or successor labor agreements with each of the District’s employee bargaining units.

TABLE A-7
LOS ANGELES UNIFIED SCHOOL DISTRICT
Employee Bargaining Units and Contract Expiration Dates
As of January 1, 2025

Employee Bargaining Unit		Contract Expiration Date (June 30)
Associated Administrators of Los Angeles (“AALA”) (Certificated)	2,599	2025
Unit A (School Police)	258	2025
Unit B (Instructional Aides)	14,245	2024 ⁽²⁾
Unit C (Operations – Support Services)	8,189	2024 ⁽²⁾
Unit D (Office – Technical and Business Services)	4,512	2026
Unit E (Skilled Crafts)	1,436	2025
Unit F (Teacher Assistants)	1,328	2024 ⁽²⁾
Unit G (Playground Aides)	6,757	2024 ⁽²⁾
Unit H (Sergeants and Lieutenants)	50	2025
Unit J (Classified Management)	429	2025
Unit S (Classified Supervisors)	3,271	2024 ⁽²⁾
United Teachers Los Angeles	37,399	2025
District Represented Employees ⁽¹⁾	488	N/A

⁽¹⁾ District-represented employees include employees that are not represented by a union due to their designation as management, confidential or unrepresented employees. Does not include unrepresented seasonal employees or employees in positions not yet assigned to a union.

⁽²⁾ Each bargaining unit with an expired contract is operating under the terms of the expired contract until a new contract is negotiated and agreed upon.

Source: Los Angeles Unified School District Office of Labor Relations.

Negotiations Regarding Labor Contracts. The United Teachers Los Angeles (“UTLA”) and the District reached a three-year agreement for fiscal years 2022-23 through 2024-25 (the “UTLA Agreement”). For fiscal year 2022-23, the UTLA Agreement provides for a 3% on schedule retroactive wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2022, and a 4% on schedule retroactive wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2023. For fiscal year 2023-24, the UTLA Agreement provides for a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2023, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2024. For fiscal year 2024-25, the UTLA Agreement provides for a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2024, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2025. In addition, the UTLA Agreement (a) provides for certain on schedule

salary increases for certain employee groups, including special and early education teachers, nurses and table employees, (b) provides for academic class size reduction in certain schools, (c) for adjustments in staffing ratios for counselors, pupil services and attendance counselors (PSA) and psychiatric social workers (PSW), (d) provides for additional funding for certain community schools, (e) for additional community school coach positions, and (f) includes differential pay increases for certain positions and programs. There are no reopeners provided for in the UTLA Agreement. The financial impacts of the UTLA Agreement are incorporated as expenditures in the Fiscal Year 2024-25 Budget. UTLA and the District have commenced successor negotiations for a three-year agreement for fiscal years 2025-26 through 2027-28.

SEIU Local 99 (Units B, C, F and G) and the District reached a one-year agreement for fiscal year 2020-21, and a three-year agreement for fiscal years 2021-22 through 2023-24 (collectively, the “SEIU Agreements”). Under the SEIU Agreements, (a) based on the salary table effective July 1, 2021, all SEIU bargaining unit members will receive a 6% on-schedule wage increase applied to all pay scale groups and levels of the base salary tables; (b) based on the salary table effective July 1, 2022, all SEIU bargaining unit members will receive a 7% on-schedule wage increase applied to all pay scale groups and levels of the base salary tables; (c) based on the salary table effective July 1, 2023, all SEIU bargaining unit members will receive a 7% on-schedule wage increase applied to all pay scale groups and levels of the base salary tables, and (d) based on the salary table effective January 1, 2024, there will be a \$2.00 per hour on-schedule wage increase applied to all pay scale groups and levels of the base salary table. In addition, the SEIU Agreements (a) provide for the funding an Education and Professional Development Fund in the amount of \$3 million, (b) effective January 1, 2024, make employees assigned 4 hours per day or 80 hours per month, with respect to Units F and G, eligible (along with eligible dependents) to enroll in certain low cost health insurance plans or receive a cash amount if the employee opts out, and (c) include certain pay differentials and one-time pay increases. There are no reopeners provided for in the SEIU Agreements. SEIU Local 99 (Units B, C, F and G) and the District are in successor negotiations for a three-year agreement for Fiscal Years 2024-25, 2025-26 and 2026-27. Any financial impacts of a successor agreement will be incorporated into future budget projections once negotiations are concluded and the agreements are ratified by the unions and adopted by the Board.

AALA (Certificated Administrators) and the District reached a three-year agreement for fiscal years 2022-23 through 2024-25 (the “AALA (Certificated Administrators) Agreement”) with on schedule salary increases to be applied to the AALA (Certificated Administrators) master salary table comparable to the increases provided to UTLA in the UTLA Agreement. There are no reopeners provided for in the AALA (Certificated Administrators) Agreement. As a result of such agreement, the District anticipates an increase in fiscal year 2023-24 expenditures of approximately \$87.07 million (all funds), of which approximately \$81.10 million relate to the District’s general fund. Of such amounts, approximately \$25.07 million (all funds) of such expenditures (\$23.36 million related to the District’s general fund) reflect expenditures attributable to fiscal year 2022-23 and are to be paid in fiscal year 2023-24. The financial impacts of the AALA (Certificated Administrators) Agreement are incorporated as expenditures in the Fiscal Year 2024-25 Budget. AALA (Certificated Administrators) and the District have commenced successor negotiations for a three-year agreement for fiscal years 2025-26 through 2027-28.

CSEA (Unit D – Technical and Business Services) and the District have reached a three-year agreement for fiscal years 2023-24 through 2025-26 (the “CSEA Agreement”). The CSEA Agreement provides for one reopener for fiscal year 2024-25 and fiscal year 2025-26. Based on the salary table effective July 1, 2023, all CSEA bargaining unit members will receive a 7% on-schedule wage increase applied to all pay scale groups and levels of the base salary tables, and based on the salary table effective January 1, 2024, there will be a \$2.00 per hour on-schedule wage increase applied to all pay scale groups and levels of the base salary table. The CSEA Agreement also provides for an increase to \$22.52 effective January 1, 2024, for the classifications of Office Technician, Parent Education Support Assistant, Parent Resource Assistant, Microfilm Operator, Clerk, and Student Integration Helper. The financial impacts of the CSEA Agreement are incorporated in the Fiscal Year 2024-25 Budget. CSEA (Unit D – Technical and Business

Services) and the District are expected to begin successor negotiations for a three-year agreement for fiscal years 2026-27 through 2028-29 after January 1, 2026.

Teamsters (Unit S – Classified Supervisors) and the District reached a three-year agreement for fiscal years 2021-22 through 2023-24 (the “Teamsters Agreement”). Under the Teamsters Agreement (a) based on the salary table effective July 1, 2021, all Teamsters bargaining unit members will receive a 1% on-schedule wage increase applied to all pay scale groups and levels of the base salary tables (which is in addition to the 5% increase previously agreed to and applied); (b) based on the salary table effective July 1, 2022, all Teamsters bargaining unit members will receive a 7% on-schedule wage increase applied to all pay scale groups and levels of the base salary tables; (c) based on the salary table effective July 1, 2023, all Teamsters bargaining unit members will receive a 7% on-schedule wage increase applied to all pay scale groups and levels of the base salary tables, and (d) based on the salary table effective January 1, 2024, there will be a \$2.00 per hour on-schedule wage increase applied to all pay scale groups and levels of the base salary table. Teamsters (Unit S – Classified Supervisors) and the District are in successor negotiations for a three-year agreement for Fiscal Years 2024-25, 2025-26 and 2026-27. Any financial impacts of a successor agreement will be incorporated into future budget projections once negotiations are concluded and the agreements are ratified by the unions and adopted by the Board.

LASPA (Unit A – School Police) and the District reached a three-year agreement for fiscal years 2022-23 through 2024-25 (the “LASPA Agreement”). The LASPA Agreement provides, with respect to sworn officers, (a) for fiscal year 2022-23, a 3% retroactive on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2022, and a 4% retroactive on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2023; (b) for fiscal year 2023-24, a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2023, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2024; and (c) for fiscal year 2024-25, a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2024, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2025. The LASPA Agreement provides, with respect to school safety officers, (a) for fiscal year 2022-23, a 7% retroactive on schedule wage increase applied to the base salary tables effective July 1, 2022; (b) for fiscal year 2023-24, a 7% on schedule wage increase applied to the base salary tables effective July 1, 2023; and (b) for a Step 1 an increase to \$22.52 effective January 1, 2024, with the subsequent Steps applied accordingly. The classification of school safety officer is not included in the on-schedule fiscal year 2024-25 wage increase as the additional increase is being provided on January 1, 2024. There are no reopeners provided for in the LASPA Agreement. The financial impacts of the LASPA Agreement are incorporated as expenditures into the Fiscal Year 2024-25 Budget. LASPA and the District are currently in dispute over LASPA’s assertion that they are entitled to a \$1.00 per hour increase for fiscal year 2019-20. LASPA (Unit A – School Police) and the District are expected to begin successor negotiations for a three-year agreement for fiscal years 2025-26 through 2027-28 in 2025.

LASPMA (Unit H – School Police Management) and the District reached a three-year agreement for fiscal years 2022-23 through 2024-25 (the “LASPMA Agreement”). For fiscal year 2022-23, the LASPMA Agreement provides for a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2022, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2023. For fiscal year 2023-24, the LASPMA Agreement provides for a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2023, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2024. For fiscal year 2024-25, the LASPMA Agreement provides for a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2024 and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2025. There are no reopeners provided for in the LASPMA Agreement. The financial impacts of the LASPMA Agreement are incorporated as expenditures into the Fiscal Year 2024-25 Budget. LASPMA (Unit H – School Police Management) and

the District are expected to begin successor negotiations for a three-year agreement for fiscal years 2025-26 through 2027-28 in 2025.

“Trades” (Unit E) and the District reached agreements for fiscal years 2022-23 through 2024-25 (the “Trades Agreement”). The Trades Agreement provides (a) for fiscal year 2022-23, a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2022, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2023; (b) for fiscal year 2023-24, a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2023, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2024; and (c) for fiscal year 2024-25, a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2024, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2025. During the term of the Trades Agreement for fiscal years 2022-23 through 2024-25, the District and Trades have agreed to reopen on two items – health and welfare and deferred compensation, but have not begun negotiations. The financial impacts of the Trades Agreement for scheduled wage increases are incorporated into the Fiscal Year 2024-25 Budget. “Trades” (Unit E) and the District are expected to begin successor negotiations for a three-year agreement for fiscal years 2025-26 through 2027-28 in 2025.

AALA (Unit J – Classified Managers) and the District reached a three-year agreement for fiscal years 2022-23 through 2024-25 (the “AALA Agreement”). The AALA Agreement provides (a) for fiscal year 2022-23, a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2022, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2023; (b) for fiscal year 2023-24, a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2023, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2024; and (c) for fiscal year 2024-25, a 3% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective July 1, 2024, and a 4% on schedule wage increase applied to all pay scale groups and levels of the base salary tables effective January 1, 2025. There are no reopeners provided for in the AALA Agreement. The financial impacts of the AALA Agreement are incorporated as expenditures in the Fiscal Year 2024-25 Budget. AALA (Unit J – Classified Managers) and the District have commenced successor negotiations for a three-year agreement for fiscal years 2025-26 through 2027-28.

Employees that are classified as “District-represented” are not in a formal bargaining unit. In alignment with District Board-approved labor agreements discussed above, District-represented employees will receive comparable compensation adjustments. District-represented employees as well as employees in positions that have not yet been assigned a union, totaling approximately 2,200 positions, with salaries within the range of union-represented classifications, will receive a 21% wage increase, beginning with 3% effective July 1, 2022; 4% on January 1, 2023; 3% on July 1, 2023; 4% on Jan. 1, 2024; 3% on July 1, 2024; and 4% on Jan. 1, 2025. District-represented employees, totaling approximately 87 positions, with salaries outside of the range of union-represented classifications, will receive a 15% wage increase, beginning with 3% effective July 1, 2022; 4% on January 1, 2023; 2% on July 1, 2023; 2% on Jan. 1, 2024; 2% on July 1, 2024; and 2% on Jan. 1, 2025. The financial impacts of the District-represented agreement are incorporated as expenditures into the Fiscal Year 2024-25 Budget.

The District entered a memorandum of understanding with SEIU and UTLA modifying the three-year tentative instructional calendar approved by the District Board on March 27, 2023, to a two-year instructional calendar (fiscal years 2023-24 and 2024-25). The memorandum of understanding maintains a three-week (15 days) winter break, provides for three additional instructional days to make up for lost instructional days in March 2023, and provides for instruction, enrichment, nutrition and child supervision through a voluntary winter recess academy in each such fiscal year. Subsequently, on December 11, 2023, the District entered a memorandum of understanding with CSEA with the same provisions outlined above

in the SEIU and UTLA instructional calendar memorandum of understanding. The financial impacts of the memorandum of understanding with SEIU and UTLA and memorandum of understanding with CSEA are incorporated into the Fiscal Year 2024-25 Budget.

Health and Welfare Agreement. On October 5, 2023, the District reached a two-year agreement (the “Health and Welfare Agreement”) with all of its bargaining units for calendar years 2024 and 2025 to continue providing health and welfare benefits for active employees and retirees at no additional cost to participants. Under the Health and Welfare Agreement, the District will make contributions to fully fund the per-participant actual costs of current health and welfare benefits, including administrative cost, for the 2024 and 2025 calendar years. This is exclusive of any plan design changes that increase benefit costs and is different than previous agreements where the District’s obligation was to pay a fixed dollar amount for each participant category. The Health and Welfare Agreement also provides that any unspent health care reserve funds held pursuant to the District’s prior health and welfare agreements will be maintained as reserves for the term of the Health and Welfare Agreement and used to improve or adjust health care plan designs as agreed to from time to time by the parties and approved by the District Board. As of June 30, 2023, and June 30, 2024, the District had \$107.7 million and \$(7.0) million, respectively, in health care reserves. The deficit has been addressed by increasing the annual rate for fiscal year 2024-25, from \$15,500 to \$18,400 per employee. The financial impacts of the Health and Welfare Agreement are incorporated as expenditures in the Fiscal Year 2024-25 Budget. Future District health and welfare contributions are subject to negotiations for a successor agreement. It is anticipated that such negotiations will commence in 2025.

Reduction in Force and Release Notices. In general, pursuant to Sections 44949 and 44951 of the Education Code, the District must give written notice to a certificated employee no later than March 15 if such certificated employee is to be released or reassigned for the ensuing school year. Similarly, pursuant to Section 45117 of the Education Code, the District must give written notice to a classified employee no later than March 15 if such classified employee is to be laid off for the ensuing school year. Further, pursuant to Sections 44955.5 and 45117(d) of the Education Code (as applicable), the District Board has the authority to terminate the services of certificated and classified employees between the period commencing five days after the enactment of the annual State Budget Act and August 15 of the fiscal year to which the State Budget Act applies if the District’s LCFF apportionment per unit of ADA has not increased by at least 2% for such fiscal year. To provide flexibility in the event budget reductions are necessary in a given fiscal year, the District Board may approve the use of reduction in force and release notices for a portion of its certificated and classified employees. The Board approved release notices, which were sent to certificated employees before March 15, 2025. To date, however, no employees have been released. There were no reduction in force notices approved by the District before March 15, 2025, for the 2025-26 school year.

Retirement Systems

General. The District currently participates in CalSTRS, CalPERS and PARS (defined herein). The amounts of the District’s contributions to CalSTRS, CalPERS and PARS are subject to, among other things, modifications to or approvals of collective bargaining agreements and any changes in actuarial assumptions used by CalSTRS, CalPERS and PARS.

The information set forth below regarding CalSTRS and CalPERS and their respective actuarial valuations and comprehensive annual financial reports has been obtained from publicly available sources and has not been independently verified by the District and is not guaranteed as to the accuracy or completeness thereof by or to be construed as a representation by the District. Furthermore, the summary data below should not be read as current or definitive, as recent gains or losses on investments made by the retirement systems generally may have changed the unfunded actuarial accrued liabilities stated below.

The following Table A-8 sets forth the District’s aggregate contributions to CalSTRS, CalPERS and PARS, inclusive of employee contributions to CalPERS paid by the District, for fiscal years 2020-21

through 2023-24 and the budgeted contribution for fiscal year 2024-25 and these contributions as a percentage of the District's Total Governmental Funds expenditures for fiscal years 2020-21 through 2024-25. See Table A-8 "Annual Regular CalSTRS Contributions," Table A-10 "Annual CalPERS Regular Contributions" and Table A-13 "Annual PARS Contribution." See also the District's financial statements contained in APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024."

TABLE A-8
LOS ANGELES UNIFIED SCHOOL DISTRICT
Aggregate Employer Contributions to CalSTRS, CalPERS and PARS
Fiscal Years 2020-21 through 2024-25
(\$ in millions)

Fiscal Year	District Contributions⁽¹⁾	District Contribution as Percentage of Total Governmental Funds Expenditures
2020-21	\$ 762.30	7.06%
2021-22	869.20	7.12
2022-23	1,040.40	8.36
2023-24 ⁽²⁾	1,201.06	8.60
2024-25 ⁽³⁾	1,344.09	8.58

⁽¹⁾ Reflects data for all District Funds, including the District's General Fund. Excludes on-behalf payments from the State to CalSTRS and CalPERS.

⁽²⁾ Audited.

⁽³⁾ Budgeted in Fiscal Year 2024-25 Budget. Amounts do not reflect labor agreements not reflected in Fiscal Year 2024-25 Budget. For a discussion of pending labor agreements not reflected in the Fiscal Year 2024-25 Budget, see "– Employees and Labor Relations – Negotiations Regarding Labor Contracts" above.

Sources: Audited Annual Financial Report for fiscal years 2020-21 through 2023-24; Fiscal Year 2024-25 Budget; and the District for the percentage of Total Governmental Funds Expenditures.

California State Teachers' Retirement System. CalSTRS is a defined benefit plan that covers all full-time certificated District employees and some classified District employees, which are District employees employed in a position that does not require a teaching credential from the State. Benefit provisions are established by State legislation in accordance with the State Teachers' Retirement Law. CalSTRS is operated on a Statewide basis and, based on publicly available information, has substantial unfunded liabilities. Additional funding of CalSTRS by the State and the inclusion of adjustments to such State contributions based on consumer price changes were provided for in 1979 Statutes, Chapter 282. Copies of CalSTRS' comprehensive annual financial reports may be obtained from CalSTRS, P.O. Box 15275, Sacramento, California 95851-0275. The information presented in these reports is not incorporated by reference in this Official Statement.

Member benefits are determined pursuant to the Education Code and are generally based on a member's age, final compensation and years of credited service. Members are 100% vested in retirement benefits after five years of credited service and are eligible for "normal" retirement at age 60 and for early retirement at age 55 or at age 50 with 30 years of credited service. The normal retirement benefit is 2% of final compensation (as defined in the Education Code) for each year of credited service (up to 2.4% of final compensation for members retiring after age 60), and members who retire on or after January 1, 2011 with 30 or more years of service by December 31, 2010 receive monthly bonus payments of up to \$400 per month. Members hired on or after January 1, 2013 who retire at age 62 are eligible for a benefit equal to 2% of final compensation for each year of credited service (up to 2.4% of final compensation for members retiring after age 62). Benefits include a 2% cost of living increase (computed on a simple, non-compounded, basis based on the initial allowance) on each September 1 following the first anniversary of the effective date of the benefit. See "– California Public Employees' Pension Reform Act of 2013" herein and Note 9 set forth in APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024."

Funding; Contributions. The CalSTRS defined benefit plan (the “DB Plan”) is funded through a combination of investment earnings and statutorily set contributions from members of CalSTRS, the participating employers (including the District) and the State. Prior to fiscal year 2014-15, the statutorily-set rate did not vary annually to adjust for funding shortfalls or actuarial surpluses. As a result, the combined employer, employee and State contributions to the DB Plan were not sufficient to pay actuarially required amounts. To address the shortfall, Assembly Bill 1469 (“AB 1469”), signed into law by the Governor as part of the State budget for fiscal year 2014-15, increased member, employer and State contributions as part of a plan to eliminate by June 30, 2046, CalSTRS’ unfunded liability for service credited to members of the CalSTRS defined benefit program before July 1, 2014.

Pursuant to AB 1469, since fiscal year 2021-22, the State Teachers’ Retirement Board is authorized to modify the percentages paid by employers and employees to eliminate by June 30, 2046, CalSTRS’ unfunded liability for service credited to members of the CalSTRS defined benefit program before July 1, 2014, based upon actuarial recommendations and subject to certain limitations. The State Teachers’ Retirement Board may not increase the employer contribution rate by more than 1% in any fiscal year up to a maximum contribution rate of 20.25%. The State Teachers’ Retirement Board may also adjust the State’s contribution rate by a maximum of 0.5% from year to year, based on the funding status of the CalSTRS actuarially determined unfunded liability. A decrease in investment earnings may result in increased employer contribution rates in order to timely eliminate by June 30, 2046, ’ unfunded liability for service credited to members of the CalSTRS defined benefit program before July 1, 2014, based upon actuarial recommendations. The District cannot predict the impact of State, national, and international events on investment earnings and contribution rates or the amount the District will be required to pay for pension related costs in future fiscal years.

The State is not an employer (with certain limited exceptions) in any of the CalSTRS programs but contributes to the DB Plan and a supplemental benefits maintenance account pursuant to provisions of the Education Code. For fiscal year 2023-24, the State contributed 8.328% of members’ annual earnings to the DB Plan and an additional 2.5% of member earnings into the CalSTRS supplemental benefit maintenance account, which is used to maintain the purchasing power of benefits. The State’s contribution rate for fiscal year 2024-25 will remain at 8.328% of members’ annual earnings to the DB Plan and an additional payment of 2.5% of member earnings into the CalSTRS supplemental benefit maintenance account.

The District’s employer contribution rate for fiscal year 2023-24 was 19.10% of covered payroll. The District’s employer contribution rate for fiscal year 2024-25 will remain at 19.10% of covered payroll. The District’s employer contribution rate is inclusive of the employer base contribution of 8.25% of payroll provided by the Education Code.

The employee contribution rate for CalSTRS members first hired on or before December 31, 2012 to perform CalSTRS creditable activities (i.e., CalSTRS 2% at 60 members) was 10.25% for fiscal years 2016-17 through 2023-24 and will remain at 10.25% for fiscal year 2024-25. The employee contribution rate for CalSTRS members first hired on or after January 1, 2013 to perform CalSTRS creditable activities (i.e., CalSTRS 2% at 62 members) was 9.205% for fiscal years 2016-17 and 2017-18, 10.205% for fiscal years 2018-19 through 2023-24, and will remain at 10.205% for fiscal year 2024-25.

The following Table A-9 sets forth the District’s regular annual contributions to CalSTRS for fiscal years 2020-21 through 2023-24 and the budgeted contribution for fiscal year 2024-25 and such contributions as a percentage of the District’s Total Governmental Funds expenditures for fiscal years 2020-21 through 2024-25. The District has always paid all required CalSTRS annual contributions. As of January 1, 2025, 39,045 District employees were members of CalSTRS.

TABLE A-9
LOS ANGELES UNIFIED SCHOOL DISTRICT
Annual Regular CalSTRS Contributions
Fiscal Years 2020-21 through 2024-25
(\$ in millions)

Fiscal Year	CalSTRS Employer Rate	District Contributions⁽¹⁾	District Contribution as Percentage of Total Governmental Funds Expenditures
2020-21	16.15%	\$497.7	4.61%
2021-22	16.92	563.9	4.62
2022-23	19.10	663.9	5.33
2023-24 ⁽²⁾	19.10	740.7	5.30
2024-25 ⁽³⁾	19.10	819.5	5.23

⁽¹⁾ Reflects data for all District Funds, including the District's General Fund. Excludes on-behalf payments from the State to CalSTRS.

⁽²⁾ Audited.

⁽³⁾ Budgeted in Fiscal Year 2024-25 Budget. Amounts do not reflect labor agreements not reflected in Fiscal Year 2024-25 Budget. For a discussion of pending labor agreements not reflected in the Fiscal Year 2024-25 Budget, see "– Employees and Labor Relations – *Negotiations Regarding Labor Contracts*" above.

Sources: Audited Annual Financial Report for fiscal years 2020-21 through 2023-24; Fiscal Year 2024-25 Budget; and the District for the percentage of Total Governmental Funds Expenditures.

Actuarial Valuation. The State Teachers' Retirement Board has sole authority to determine the actuarial assumptions and methods used for the valuation of the DB Plan. CalSTRS actuarial consultant (the "Actuarial Consultant") determines the actuarial value of the DB Plan's assets by using a one-third smoothed recognition method of the difference between the actual market value of assets to the expected actuarial value of assets. Accordingly, the actuarial value of assets will not reflect the entire impact of certain investment gains or losses on an actuarial basis as of the date of the valuation or legislation enacted subsequent to the date of the valuation.

The actuarial valuation for the entire CalSTRS defined benefit program as of June 30, 2023 (the "2023 CalSTRS Actuarial Valuation") showed an estimated unfunded actuarial liability of \$86.59 billion, a decrease of approximately \$1.97 billion from the June 30, 2022, valuation. Such estimated unfunded actuarial liability was projected to decrease in the June 30, 2022, valuation, which projected an unfunded actuarial liability of \$88.10 billion as of June 30, 2023. The actual unfunded actuarial liability as of June 30, 2023, represents a net actuarial gain of approximately \$1.52 billion. Such net actuarial gain is due primarily to change in actuarial value assumptions based on the most recent experience analysis, member salary increases being more than assumed, market value returns (estimated at 6.50%) being less than assumed (7.00%) and returns on actuarial value of assets (estimated at 7.20%) being greater than assumed as the recognition of actuarial investment gains which were previously deferred had a greater impact on recognition of the less-than-assumed market return for the most recent year. The funded ratios of the actuarial value of valuation assets over the actuarial accrued liabilities as of June 30, 2023, and June 30, 2022, based on the actuarial assumptions, were approximately 75.90% and 74.40%, respectively. According to the 2023 CalSTRS Actuarial Valuation, the funded ratio increased by 1.50% during the past year. As described in the 2023 CalSTRS Actuarial Valuation, the increase in the funded ratio is primarily due to the new assumptions and contributions made to pay down the unfunded actuarial obligation in fiscal year 2022-23. Persistent negative returns on investments may result in increased employer contribution rates above the current level of expected increases. The District cannot predict the impact of State, national, and international events on investment returns and employer contribution rates or the amount the District will be required to pay for pension related costs. Accordingly, there can be no assurances that the District's required contributions to CalSTRS will not increase in the future, subject to the limitations of AB 1469.

The following are certain of the actuarial assumptions set forth in the 2023 CalSTRS Actuarial Valuation: measurement of accruing costs by the "Entry Age Normal Actuarial Cost Method," an assumed

7.00% investment rate of return for measurements subsequent to June 30, 2016, 3.00% interest on member accounts, 3.50% projected wage growth, 3.25% payroll growth, and 2.75% projected inflation and demographic assumptions relating to mortality rates, length of service, rates of disability, rates of withdrawal, probability of refund, and merit salary increases. Future estimates of the actuarial unfunded liability may change due to market performance, legislative actions and other experience that may differ from the actuarial assumptions used for the CalSTRS valuation. The 2023 CalSTRS Actuarial Valuation also assumes that all members hired on or after January 1, 2013, are subject to the provisions of PEPRA (as defined herein). See “– *California Public Employees’ Pension Reform Act of 2013*” below for a discussion of the pension reform measure signed by the Governor in September 2012 expected to help reduce future pension obligations of public employers with respect to employees hired on or after January 1, 2013.

The CalSTRS ACFR for fiscal year 2022-23 (the “2022-23 CalSTRS ACFR”) states that during fiscal year 2022-23, CalSTRS included 39,127 covered employees of the District in its State Teachers’ Retirement Program and 3,956 covered employees of the District in its tax-deferred defined contribution plans under Sections 403(b) and 457 of the Internal Revenue Code (the “Pension2 Program”). Accordingly, covered employees of the District represented approximately 7.60% and 11.40% of covered employees in the State Teachers’ Retirement Program and Pension2 Program, respectively.

The UAAL and funded status of the CalSTRS pension fund as of June 30 of fiscal years ended June 30, 2019, through June 30, 2023, are set forth in the following Table A-10. The fair market value of the CalSTRS pension fund as of June 30, 2022, and June 30, 2023, was approximately \$260.29 billion and \$274.17 billion, respectively, based on total system assets less amounts allocable to the CalSTRS Supplemental Benefits Maintenance Account Reserve. The individual funding progress for the District and the District’s proportionate share of CalSTRS’ net pension liability is set forth in the District’s audited financial statements. See “– *Pension Accounting and Financial Reporting Standards*” herein and Note 9 set forth in APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024.”

TABLE A-10
Actuarial Value of CalSTRS Defined Benefit Program
Valuation Dates June 30, 2019 through June 30, 2023
(\$ in billions)

Valuation Date (June 30)	Actuarial Obligation		Market Value of Assets	Unfunded Actuarial Obligation	Funded Ratio (Actuarial Value)	Funded Ratio (Fair Market Value)
2019	\$310.719	\$205.016	\$225.466	\$105.7	66.0%	67.0%
2020	322.127	216.252	233.253	105.9	67.1	66.5
2021	332.082	242.363	292.980	89.7	73.0	81.9
2022	346.089	257.537	283.340	88.6	74.4	75.2
2023	359.741	273.155	299.148	86.6	75.9	76.2

⁽¹⁾ Actuarial Value of Assets does not include amounts allocable to the CalSTRS Supplemental Benefits Maintenance Account Reserve which was \$17.38 billion as of June 30, 2019, \$19.13 billion as of June 30, 2020, \$21.03 billion as of June 30, 2021, and \$23.05 billion as of June 30, 2022; and \$24.98 billion as of June 30, 2023.

Sources: California State Teachers’ Retirement System Defined Benefit Program Actuarial Valuations as of June 30, 2019 through June 30, 2023.

District Proportionate Share. As of June 30, 2024, the District’s proportionate share of CalSTRS’ net pension liability was approximately \$4.0 billion, based on a discount rate of 7.10%. The net pension liability was measured as of June 30, 2023, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District’s proportion of the net pension liability was based on the fiscal year 2022-23 employer contributions calculated by CalSTRS with consideration given to separately financed and irregular employer contributions relative to the projected contributions of all participating employer and non-employer contributing entities. At June 30, 2023, the District’s proportionate rate was 5.133%. See Note 9(b) of the District’s financial statements in APPENDIX

B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024.”

California Public Employees’ Retirement System. CalPERS is a defined benefit plan that covers classified personnel who work four or more hours per day. CalPERS is operated on a Statewide basis and, based on publicly available information, has significant unfunded liabilities. CalPERS issues a comprehensive annual financial report and actuarial valuations that include financial statements and required supplementary information. Copies of the CalPERS ACFRs and actuarial valuations may be obtained from the CalPERS Financial Services Division, P.O. Box 942703, Sacramento, California 94229-2703. The information set forth therein is not incorporated by reference in this Official Statement. Benefit provisions are established by State legislation in accordance with the Public Employees’ Retirement Law and are generally based on a member’s age, final compensation, and years of credited service. For a description of member benefits for both the Safety Plan and Miscellaneous Plan of the District administered by CalPERS, see Note 9(a) set forth in APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024.”

Funding; Contributions. All qualifying classified employees of K-12 school districts in the State are members in CalPERS. All school districts contributing to CalPERS participate in the same plan and share the same contribution rate in each year. Unlike contributions to CalSTRS, however, which incrementally increase at statutorily set rates, school districts’ contributions to CalPERS fluctuate each year and include a normal cost component and a component equal to an amortized amount of the unfunded liability of CalPERS. Accordingly, the District cannot provide any assurances that the District’s required contributions to CalPERS in future years will not significantly vary from any current projected levels of contributions to CalPERS.

CalPERS is funded by employee contributions and investment earnings, with the balance of the funding provided by employer contributions. School districts’ contributions decrease when investment earnings rise and increase when investment earnings decline. As a result, declines in investment earnings may result in substantial increases in school district contributions. The District cannot make any predictions as to the effect of State, national or international events on investment earnings and school district contributions. Participating employees enrolled in CalPERS prior to January 1, 2013 contribute 7.00% of their respective salaries, while participating employees enrolled after January 1, 2013 contribute the higher of fifty percent of normal costs of benefits or an actuarially determined rate of 8.00% in fiscal year 2023-24, which remains at 8.00% in fiscal year 2024-25. School districts are required to contribute to CalPERS at an actuarially determined rate, which was originally 20.733% and 22.68% of eligible salary expenditures for fiscal years 2019-20 and 2020-21, respectively. The employer contribution rate for fiscal year 2019-20, however, was reduced to 19.721% as a result of the State’s buy-down of employer contribution rates in fiscal year 2019-20. Similarly, the fiscal year 2020-21 State budget allocated funding to buy down employer contribution rates in fiscal years 2020-21 and 2021-22 to approximately 20.70% and 22.91%, respectively. The actuarially determined rate for employer contributions was 25.37% for fiscal year 2022-23 and 26.68% for fiscal year 2023-24 and is 27.05% for fiscal year 2024-25. For a description of employer and member contribution rates, see Note 9(a) set forth in APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024.”

The following Table A-11 sets forth the District’s employer contribution rates, regular annual contributions, inclusive of employee contributions paid by the District to CalPERS for fiscal years 2020-2021 through 2023-24, and the budgeted contribution for fiscal year 2024-25, and such contributions as a percentage of the District’s Total Governmental Funds expenditures for said fiscal years. The District has always paid all required CalPERS annual contributions. As of January 1, 2025, 31,329 District employees were members of CalPERS.

TABLE A-11
LOS ANGELES UNIFIED SCHOOL DISTRICT
Annual CalPERS Regular Contributions
Fiscal Years 2020-21 through 2024-25
(\$ in millions)

Fiscal Year	CalPERS Employer Rate (Miscellaneous)	CalPERS Employer Rate (Safety)	District Contributions⁽¹⁾	
2020-21	20.700%	47.268%	\$257.3	2.38%
2021-22	22.910	48.900	298.4	2.44
2022-23	25.370	50.130	370.3	2.98
2023-24 ⁽²⁾	26.680	53.680	453.0	3.24
2024-25 ⁽³⁾	27.050	64.58	516.7	3.30

⁽¹⁾ Reflects data for all District Funds, including the District's General Fund.

⁽²⁾ Audited.

⁽³⁾ Budgeted in Fiscal Year 2024-25 Budget. Amounts do not reflect labor agreements not reflected in Fiscal Year 2024-25 Budget. For a discussion of pending labor agreements not reflected in the Fiscal Year 2024-25 Budget, see "– Employees and Labor Relations – *Negotiations Regarding Labor Contracts*" above.

Sources: Audited Annual Financial Report for fiscal years 2020-21 through 2023-24 ; Fiscal Year 2024-25 Budget; and the District for the percentage of Total Governmental Funds Expenditures.

Actuarial Valuation. Since the June 30, 2015, valuation, CalPERS has employed an amortization and smoothing policy that apportions all gains and losses over a fixed 30-year period with the increases or decreases in the rate spread directly over a five-year period. In contrast, the previous policy spread investment returns over a 15-year period with experience gains and losses spread over a rolling 30-year period. The amounts of the pension/award benefit obligation or UAAL will vary from time to time depending upon actuarial assumptions, and actual rates of return on investments, salary scales, and levels of contribution. See Table A-12 – "Actuarial Value of Schools Portion of CalPERS – Historical Funding Status" herein.

The CalPERS Schools Pool Actuarial Valuation as of June 30, 2023 (the "2023 CalPERS Schools Pool Actuarial Valuation"), was released in August 2024, and such valuation reported an actuarial accrued liability of approximately \$124.92 billion with the market value of assets at approximately \$84.29 billion, and a funded status of approximately 67.50%. From June 30, 2022, to June 30, 2023, the funded status of the CalPERS Schools Pool decreased by approximately 0.40%, and the unfunded accrued liability increased by approximately \$3.04 billion, largely due to salary increases in Fiscal Year 2022-23 being higher than expected.

CalPERS reported a 5.8% net return on investments for fiscal year 2022-23. In Fiscal Year 2021-22, however, CalPERS' reported its first negative return on investments since fiscal year 2008-09. Such negative return generated an actuarial investment loss of approximately \$12.40 billion, which will be amortized over 20 years with a five-year phase in, and increased the component of the expected employer contribution rate related to the unfunded liability contribution in fiscal year 2023-24 by 1.69% of payroll. The 2023 CalPERS Schools Pool Actuarial Valuation reports that the employer contribution rates for fiscal years 2025-26, 2026-27, 2027-28, 2028-29, and 2029-30 are projected to be 27.60%, 28.00%, 29.20%, 29.00%, and 28.80%, respectively. Such projections assume that all actuarial assumptions will be realized, including net investment returns in such fiscal years of 6.80%, and that no further changes to assumptions, contributions, benefits or funding will occur during such fiscal years. Persistent negative returns on investments may result in increased employer contribution rates above the current level of expected increases reflected in the 2023 CalPERS Schools Pool Actuarial Valuation. Actual contribution rates will differ from such projections. The District cannot predict the impact of State, national, and international

events on investment returns and employer contribution rates. Accordingly, there can be no assurances that the District's required contributions to CalPERS will not significantly increase in the future.

The 2023 CalPERS Schools Pool Actuarial Valuation as summarized assumes, among other things, 2.30% price inflation, 2.80% wage inflation and payroll growth of 2.80% compounded annually. The 2023 CalPERS Schools Pool Actuarial Valuation as summarized reflects a discount rate of 6.80% compounded annually (net of investment and administrative expenses) as of June 30, 2023. The CalPERS Board of Administration adopted new demographic assumptions on November 17, 2021, including a reduction in the discount rate from 7.00% as of June 30, 2020, to 6.80% as of June 30, 2021, a reduction in the inflation assumption from 2.50% as of June 30, 2020 to 2.30% as of June 30, 2021, and an increase in payroll growth from 2.75% as of June 30, 2020 to 2.80% as of June 30, 2021. Such assumption changes result in increases in both the normal cost and unfunded liabilities contributions to be paid in the future. The actuarial funding method used in the 2023 CalPERS Schools Pool Actuarial Valuation is the "Entry Age Normal Cost Method."

In November 2024, PERS released its 2024 Annual Review of Funding Levels and Risk (the "2024 PERS Funding Levels and Risk Report"), which provided a summary of the current funding levels of the system, the near-term outlook for required contributions and risks faced by the system in the near and long-term. The 2024 PERS Funding Levels and Risk Report notes that over the next several years there is the potential for various factors to either further increase required contributions or add additional financial strain on employers and their ability to make required contributions, including inflation and near-term economic turmoil. The 2024 PERS Funding Levels and Risk Report notes that over the last few years, price inflation has been significantly higher than the PERS long-term assumption of 2.3%, which can affect liability measures and investment returns in several ways and which can be difficult to quantify. The most direct impact of high inflation is that retirees can receive higher than expected cost of-living adjustments and active employees can receive higher than expected salary increases, which could increase actuarial losses in the future. The 2024 PERS Funding Levels and Risk report concludes that, as of June 30, 2023, the PERS Retirement System had experienced a couple of years of investment returns below the expected return of 6.8%, and actuarial losses primarily due to high inflation which resulted in unexpected cost of living adjustments for retirees and higher than expected member pay increases, which resulted in increased employer contributions along with further increases forecasted for the near future. Despite the strong investment return for the fiscal year ending June 30, 2024, the 2024 PERS Funding Levels and Risk Report notes that employer contributions are currently at relatively high levels due to large amounts of unfunded accrued liability, and uncertainty within the economy suggests possible economic turmoil in the near future. The 2024 PERS Funding Levels and Risk Report concludes that the ability of employers to continue making required contributions to the system is the area of greatest concern.

The UAAL and funded status of the schools portion of CalPERS as of June 30 of fiscal years ended June 30, 2019 through June 30, 2023 are set forth in the following Table A-12.

TABLE A-12
Actuarial Value of Schools Portion of CalPERS
Historical Funding Status
Valuation Dates June 30, 2019 through June 30, 2023
(\$ in millions)

Valuation Date (June 30)	Actuarial Accrued Liabilities	Market Value of Assets (MVA)	Funded Status (MVA)	Unfunded Liability/ (Surplus) (MVA)	Projected Payroll for Determining Contributions	Unfunded Liability/ (Surplus) as % of Payroll
2019	\$ 99,528	\$ 68,177	68.5%	31,351	14,844	211.2
2020	104,062	71,400	68.6	32,662	15,295	213.6
2021	110,507	86,519	78.3	23,988	15,181	158.0
2022	116,982	79,386	67.9	37,596	16,731	224.7
2023	124,924	84,292	67.5	40,632	19,055	

Source: CalPERS Schools Pool Actuarial Valuation as of June 30, 2023.

District Proportionate Share. As of June 30, 2024, the District reported a net pension liability of \$2.8 billion for its proportionate share of the net pension liability of the Miscellaneous Plan. The net pension liability of the Miscellaneous Plan was measured by CalPERS as of June 30, 2023, and the total pension liability for the Miscellaneous Plan used to calculate the net pension liability was determined by CalPERS pursuant to an actuarial valuation as of June 30, 2022 rolled forward to June 30, 2023 using standard update procedures. The District's proportion of the net pension liability was based on the fiscal year 2022-23 employer contributions calculated by CalPERS. As of June 30, 2024, the District's proportion of the CalPERS net pension liability was approximately 7.746%. See “– *Pension Accounting and Financial Reporting Standards*” herein and Note 9(a) to the audited financial statements of the District contained in APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024.”

Safety Plan Actuarial Valuation; Net Pension Liability. The CalPERS Safety Plan of the Los Angeles Unified School District (Employer # 3614620780) Annual Valuation Report as of June 30, 2023 uses the “Entry Age Normal Cost Method” as the actuarial funding method and assumes, among other things, a 6.80% investment rate of return (net of administrative expenses), projected annual salary increases based on category, entry age, and duration of service, projected inflation of 2.30% and projected payroll growth of 2.80%. The UAAL and funded status of the District's Safety Plan, which is an individual component of CalPERS, as of June 30 of fiscal years ended June 30, 2019 through June 30, 2023, are set forth in the following Table A-13. As of June 30, 2024, the District's net pension liability under the CalPERS Safety plan was \$128.0 million. The net pension liability of the CalPERS Safety plan is measured as of June 30, 2023, using standard update procedures. See Note 9(a) to the audited financial statements of the District contained in APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024.”

TABLE A-13
CalPERS Actuarial Value of LAUSD Safety Plan⁽¹⁾
Historical Funding Status
Valuation Dates June 30, 2019 through June 30, 2023
(\$ in millions)

Valuation Date (June 30)	Accrued Liability	Market Value of Assets⁽²⁾	Unfunded Liability	Funded Ratio	Annual Covered Payroll
2019	\$438.7	\$320.7	\$118.0	73.1%	\$33.7
2020	459.1	335.9	123.2	73.2	33.3
2021	479.3	412.9	66.4	86.1	26.2
2022	508.4	377.1	131.3	74.2	23.5
	540.0	394.3	145.6	73.0	23.2

⁽¹⁾ Reflects information relating to the District's Safety Plan and does not include information relating to the Miscellaneous Plan. Actuarial information relating to the historical funding status of the District's Miscellaneous Plan is not available from CalPERS as a separate report but is incorporated in the combined schools portion of CalPERS' pension fund as set forth in Table A-12 above.

⁽²⁾ CalPERS no longer uses an actuarial value of assets and only uses the market value of assets.

Source: CalPERS Safety Plan of the Los Angeles Unified School District (Employer # 3614620780) Annual Valuation Report as of June 30, 2023.

Public Agency Retirement System. On July 1, 1992, the District joined the Public Agency Retirement System ("PARS"), a multiple-employer retirement trust. This defined contribution plan covers the District's part-time, seasonal, temporary and other employees not otherwise covered by CalPERS or CalSTRS, but whose salaries would otherwise be subject to Social Security tax. Benefit provisions and other requirements are established by District management based on agreements with various bargaining units. The District is unable to predict the amount of the contributions which the District may be required to make to PARS in the future. Accordingly, there can be no assurances that the District's required contributions to PARS will not significantly increase in the future above current levels. The District has always paid all required PARS annual contributions. As of January 1, 2025, 12,691 active District employees were members of PARS.

The following Table A-14 sets forth the District's annual contributions to PARS for fiscal years 2020-21 through 2023-24 and the budgeted annual contribution to PARS for fiscal year 2024-25, and the contributions as a percentage of the District's Total Governmental Funds expenditures for fiscal years 2020-21 through 2024-25.

TABLE A-14
LOS ANGELES UNIFIED SCHOOL DISTRICT
Annual PARS Contribution
Fiscal Years 2020-21 through 2024-25
(\$ in millions)

Fiscal Year	District Contributions⁽¹⁾⁽²⁾	District Contribution as Percentage of Total Governmental Funds Expenditures
2020-21		0.07%
2021-22	6.9	0.06
2022-23	6.2	0.05
2023-24 ⁽³⁾	7.4	0.05
2024-25 ⁽⁴⁾	7.9	0.05

⁽¹⁾ Reflects payments to PARS for pension costs associated with the District's regular and specially funded programs.

⁽²⁾ Includes amounts related to prior years' PARS contributions.

⁽³⁾ Audited.

⁽⁴⁾ Budgeted in Fiscal Year 2024-25 Budget. Amounts do not reflect labor agreements not reflected in Fiscal Year 2024-25 Budget. For a discussion of pending labor agreements not reflected in the Fiscal Year 2024-25 Budget, see "– Employees and Labor Relations – *Negotiations Regarding Labor Contracts*" above.

Sources: Audited Annual Financial Report for fiscal years 2020-21 through 2023-24; Fiscal Year 2024-25 Budget; and the District for the percentage of Total Governmental Funds Expenditures.

California Public Employees' Pension Reform Act of 2013. In September 2012, the Governor approved Assembly Bill 340, the California Public Employees' Pension Reform Act of 2013 ("PEPRA"). Among other things, PEPRA establishes new retirement formulas for employees hired on or after January 1, 2013 ("PEPRA Employees") and prohibits public employers from offering defined benefit pension plans to PEPRA Employees that exceed the benefits provided thereunder. PEPRA increases the retirement age for new State, school, city and local agency employees depending on job function and limits the annual CalPERS and CalSTRS pension benefit payouts. PEPRA applies to all public employers except the University of California, charter cities and charter counties. PEPRA is, however, applicable to those entities which contract with CalPERS.

PEPRA mandates equal sharing of normal costs between a contracting agency or school employer and their employees and that employers not pay any of the required employee contribution. PEPRA limits, however, the contribution to an amount not in excess of 8% of pay for local miscellaneous or school members, not more than 12% of pay for local police officers, local firefighters, and county peace officers, and not more than 11% of pay for all local safety members. PEPRA requires employers to complete a good faith bargaining process as required by law prior to implementing changes regarding the contribution requirements. The contribution requirements of PEPRA went into effect on January 1, 2018. See "– *California State Teachers' Retirement System*" and "– *California Public Employees' Retirement System*" herein.

In addition, PEPRA amends existing laws to redefine final compensation for purposes of pension benefits for PEPRA Employees. Further, PEPRA permits certain public employers who have offered a lower defined benefit retirement plan before January 1, 2013 to continue to offer such plan to PEPRA Employees. If a public employer adopts a new defined benefit plan on or after January 1, 2013, however, such plan will be subject to PEPRA requirements unless, among other things, its retirement system's chief actuary and retirement board certify that the new plan is not riskier or costlier to the public employer than the defined benefit formula required under PEPRA.

Pension Accounting and Financial Reporting Standards. In 2012, the Governmental Accounting Standards Board issued Governmental Accounting Standards Board Statement No. 68 – “Accounting And Financial Reporting For Pensions” (“GASB 68”), which revises and establishes new financial reporting requirements for most public employers, such as the District, that provide pension benefits to their employees. GASB 68, among other things, requires public employers providing defined benefit pensions to recognize their long-term obligation for pension benefits as a liability and provides greater guidance on measuring the annual costs of pension benefits, including thorough guidelines on projecting benefit payments, use of discount rates and use of the “entry age” actuarial cost allocation method. GASB 68 also enhances accountability and transparency through revised and new note disclosures and required supplementary information. GASB 68 became effective for the financial statements of plan employers, including the District’s financial statements, commencing the fiscal year ended June 30, 2015.

Pursuant to GASB 68, CalSTRS and CalPERS will use a new blended rate that reflects a long-term rate of return on plan assets, which reflects a pension fund’s long-term investment strategy, and a high-quality, non-taxable municipal bond index rate, to account for the potential need to borrow funds to pay pension benefits after net assets have been fully depleted. CalSTRS has cautioned that use of the new, blended discount rate may cause the financial statements of plans, such as CalSTRS, to reflect an increased unfunded liability.

Other Postemployment Benefits

General. In addition to employee health care costs, the District provides post-employment health care benefits (“OPEB”) in accordance with collective bargaining agreements and the health benefits agreement. The District’s OPEB consists of post-employment benefits for health, prescription drug, dental, and vision coverage for retirees and their dependents. As of June 30, 2024, there were approximately 61,692 active employees who meet the eligibility requirements for OPEB benefits, 39,777 inactive employees or beneficiaries currently receiving benefits, and 183 inactive employees entitled to but not yet receiving benefits, for a total of 101,652 current and former employees entitled to receive benefits under the District’s OPEB plan. Historically, the District has funded these benefits on a pay-as-you-go basis, paying an amount in each fiscal year equal to the benefits distributed or disbursed in that fiscal year. Beginning in fiscal year 2013-14, the District’s policy, subject to District Board approval, is to prefund a portion of its OPEB costs for employees, retirees and their beneficiaries by allocating funds for the express purpose of funding future other postemployment benefit costs to the extent possible. See “– District Financial Policies and Related Practices – *Budget and Finance Policy* – Liability Reserves” herein. The District Board approved the creation of the OPEB Trust Fund in May 2014.

As of June 30, 2024, the District has contributed approximately \$583.3 million to the OPEB Trust Fund, inclusive of the District’s contributions of \$60 million in July 2014, \$30 million in September 2014, \$45 million in September 2015, \$6 million in March 2016, \$78 million in October 2016, \$120 million in October 2017, \$33.3 million in August 2023, \$52.8 million in September 2023, \$17.6 million in each of October 2023, November 2023, December 2023, January 2024, February 2024, March 2024, April 2024 and May 2024, and \$17.4 million in June 2024. The District did not contribute to the Trust Fund in fiscal years 2018-19, 2019-20, 2020-21, 2021-22 and 2022-23, although the District, for internal purposes, designated \$33.3 million of the \$244.3 million contributed to the OPEB Trust Fund in fiscal year 2023-24 as a fiscal year 2022-23 contribution. As of a June 30, 2024 measurement date, the OPEB Trust Fund’s net position was \$820 million. Based on the Fiscal Year 2024-25 Budget, the District has budgeted to contribute \$40.0 million from all funds of the District with eligible employees (not just the General Fund) to the OPEB Trust Fund in fiscal year 2024-25, \$33.0 million of which has been deposited in the OPEB Trust Fund as of April 8, 2025. The District expects to deposit the remaining \$7.0 million budgeted for fiscal year 2024-25 into the OPEB Trust Fund monthly in the amount of \$3.3 million in May 2025 and \$3.7 million in June 2025.

In the April 2024 Actuarial Valuation Report Postretirement Health Benefits as of the June 30, 2023, measurement date for fiscal year 2023-24 (the “2023 Actuarial Valuation”), Aon Hewitt indicated that based on the District’s current funding policy, projected cash flows, and the assumed asset return, the assets in the OPEB Trust Fund are projected to be depleted in fiscal year 2037-38 if such assets were drawn upon to pay benefits as they come due without the District funding such benefits on a pay-as-you-go basis. The year of depletion was projected to be fiscal year 2035-36 in the District’s audited financial statements for fiscal year ended June 30, 2024. See Note 9 to the audited financial statements of the District contained in APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024.”

The following Table A-14 sets forth the District’s funding of other postemployment benefits for fiscal years 2020-21 through 2023-24, the budgeted contribution for fiscal year 2024-25, and the contributions as a percentage of the District’s Total Governmental Funds expenditures for said fiscal years. In addition, Table A-15 sets forth the District’s contribution to the OPEB Trust Fund for fiscal years 2020-21 through 2024-25.

TABLE A-15
LOS ANGELES UNIFIED SCHOOL DISTRICT
Expenditures for Other Postemployment Benefits
Fiscal Years 2020-21 through 2024-25
(\$ in millions)

Fiscal Year	Pay-as-You-Go Amount		Total Amount	Expenditure as Percentage of Total Governmental Funds Expenditures
2020-21	\$231.2	\$0.0	\$231.2	2.14%
2021-22	231.1	0.0	231.1	1.89
2022-23	235.9	0.0 ⁽³⁾	235.9	1.90
2023-24	245.8	244.3 ⁽³⁾	490.1	3.58
2024-25 ⁽¹⁾	219.9	40.0 ⁽⁴⁾	259.9	1.66

⁽¹⁾ Budgeted.

⁽²⁾ As of June 30, 2024, the District has contributed approximately \$583.3 million to the OPEB Trust Fund, inclusive of the District’s contributions of \$60 million in July 2014, \$30 million in September 2014, \$45 million in September 2015, \$6 million in March 2016, \$78 million in October 2016, \$120 million in October 2017, \$33.3 million in August 2023, \$52.8 million in September 2023, \$17.6 million in each of October 2023, November 2023, December 2023, January 2024, February 2024, March 2024, April 2024 and May 2024, and \$17.4 million in June 2024.

⁽³⁾ The District, for internal purposes, designated \$33.3 million of the \$244.3 million contributed to the OPEB Trust Fund in fiscal year 2023-24 as a fiscal year 2022-23 contribution.

⁽⁴⁾ As of April 8, 2025, \$33.0 million of which has been deposited in the OPEB Trust Fund. The District expects to deposit the remaining \$7.0 million budgeted for fiscal year 2024-25 into the OPEB Trust Fund monthly in the amount of \$3.3 million in May 2025 and \$3.7 million in June 2025.

Sources: Audited Annual Financial Reports for fiscal years 2019-20 through 2023-24; Fiscal Year 2024-25 Budget; and the District for the percentage of Total Governmental Funds Expenditures.

Postemployment Benefits Other Than Pensions Accounting and Financial Reporting Standards.

In June 2015, the GASB issued Statement No. 75, Accounting and Financial Reporting for Postemployment Benefits Other than Pensions (“GASB 75”), which revised and established new accounting and financial reporting requirements for state and local governments, such as the District, that offer OPEB to employees. Pursuant to GASB 75, net OPEB liabilities are required to be recognized in the financial statements for such state and local governments. In addition, GASB 75 provides additional guidance with respect to recognizing and measuring liabilities, deferred outflows and inflows of resources, and expense/expenditures. GASB 75 directs the use of “entry age normal” as the actuarial cost allocation method to be used and the various procedures, assumptions and discount rates to be used in connection with the calculation of liabilities. In connection therewith, states and local governments that do not pre-fund their respective OPEB obligations may report increased liabilities. GASB 75, among other things, requires additional note disclosures and the presentation of required supplementary information in financial statements. GASB 75 was implemented in the District’s audited financial statements beginning in fiscal year 2017-18.

The District’s net OPEB liability takes into consideration the adoption of GASB 75, under which the District is required to recognize in full its total net OPEB liability rather than on an incremental basis. Over the past few years, the District has taken steps to (i) reduce its OPEB liability through a more cost-effective healthcare plan and (ii) pre-fund its OPEB liability by making deposits from time to time to an irrevocable trust when its reserves exceed the 5% Minimum Reserve Threshold, subject to District Board approval.

Changes in Net OPEB Liability. The District’s net OPEB liability has fluctuated over time based on a variety of factors, including changes in healthcare plans and actuarial assumptions and the funded status of the OPEB Trust Fund. In the June 2023 Actuarial Valuation Report Postretirement Health Benefits as of the June 30, 2022, measurement date for fiscal year 2022-23 (the “2022 Actuarial Valuation”), the District’s actuary, Aon Hewitt, pointed out that a byproduct of the GASB 75 standards is the potential for increased volatility of results from year to year, which the District has experienced since the implementation of GASB 75. In January 2019, the District implemented a less costly healthcare plan, the Anthem Preferred PPO (50 state Medicare Advantage Plan) (the “Anthem PPO”), which replaced the United HealthCare Group Medicare Advantage Plan and the Anthem Blue Cross Medicare (EPO) plan. The implementation of the Anthem PPO together with certain updated actuarial assumptions resulted in a significant reduction in the District’s net OPEB liability from \$14.97 billion as of June 30, 2018 (prior to the Anthem PPO implementation) to \$11.18 billion as of June 30, 2019 (after the Anthem PPO implementation) to \$8.58 billion as of June 30, 2020 (based on further revised actuarial assumptions). However, the District’s net OPEB liability as of June 30, 2021 increased to \$11.06 billion and then decreased to \$10.19 billion as of June 30, 2022 based on certain changes in actuarial assumptions described in more detail below. As of June 30, 2023, the District’s net OPEB liability decreased to \$8.48 billion also based on certain changes in actuarial assumptions also described in more detail below. See “– 2022 Actuarial Valuation” below for more information. As of June 30, 2024, the District net OPEB liability increased to \$8.99 billion. See “– 2023 Actuarial Valuation” below for more information.

2022 Actuarial Valuation. The District’s net OPEB liability decreased by approximately \$1.70 billion from \$10.19 billion as of June 30, 2022 to \$8.48 billion as of June 30, 2023. According to the 2022 Actuarial Valuation, the 150-basis point increase in the discount rate from the March 2022 Actuarial Valuation Report Postretirement Health Benefits as of the June 30, 2021 measurement date for fiscal year 2021-22 (the “2021 Actuarial Valuation”) had a considerable impact in the 2022 Actuarial Valuation, decreasing the value of liabilities by more than 20%. As explained in the 2022 Actuarial Valuation, such impact, which is somewhat offset by low asset returns as of the measurement date, decreases the net OPEB liability and the OPEB expense for fiscal year 2022-23. The 2022 Actuarial Valuation reflects updated financial information for fiscal year 2022-23 and is based on the census data, actuarial assumptions, and plan provisions used in the 2021 Actuarial Valuation with the following changes:

- Assets: \$469,939,493 as of June 30, 2022, measurement date
- Municipal Bond Rate: 3.54% as of June 30, 2022, based on the *Bond Buyer* General Obligation Bond 20-Bond Municipal Bond Index
- Contributions: Additional contribution of \$211 million to OPEB Trust Fund scheduled to be made for fiscal years ending 2023, 2024 and 2025. The District currently budgets to contribute \$244.3 million in fiscal year 2023-24, \$33.3 million of which the District, for internal purposes, designated as a fiscal year 2022-23 contribution.
- Expected Long-Term Return on Assets: 6.10% as of June 30, 2022, based on District's revised expectations for certain asset allocations
- Discount Rate: 3.70% as of June 30, 2022, after reassessment based on updated assets and municipal bond rate as of June 30, 2022

2023 Actuarial Valuation. The District's net OPEB liability increased by approximately \$509 million from \$8.48 billion as of June 30, 2023 to \$8.99 billion as of June 30, 2024. The 2023 Actuarial Valuation reflects updated financial information for fiscal year 2023-24 and is based on the census data, actuarial assumptions, and plan provisions used in the 2022 Actuarial Valuation with the following changes:

- Assets: \$499,889,641 as of June 30, 2023, measurement date
- Municipal Bond Rate: 3.65% as of June 30, 2023, based on the *Bond Buyer* General Obligation Bond 20-Bond Municipal Bond Index
- Contributions: Additional contribution of \$33.3 million for fiscal year ending 2023, to be made in fiscal year ending 2024; \$211 million to be made in fiscal year ending 2024; and \$40 million for all future fiscal years.
- Expected Long-Term Return on Assets: 6.20% as of June 30, 2023, based on District's revised expectations for certain asset allocations
- Discount Rate: 3.80% as of June 30, 2023, after reassessment based on updated assets and municipal bond rate as of June 30, 2023

The following Table A-16 shows the impact of the changes to the actuarial assumptions in the 2023 Actuarial Valuation on the District's Net OPEB Liability for the fiscal year ending June 30, 2024 compared to fiscal year June 30, 2023 that was based on the 2022 Actuarial Valuation.

TABLE A-16
LOS ANGELES UNIFIED SCHOOL DISTRICT
NET OPEB LIABILITY
As of June 30, 2023 and June 30, 2024
(\$ in billions)

	Fiscal Year Ending June 30, 2023	Fiscal Year Ending June 30, 2024
(1) OPEB Liability		
	\$2.755	\$3.353
(b) Active Participants	6.197	6.139
(c) Total	8.952	9.491
(2) Plan Fiduciary Net Position	0.470	0.500
(3) Net OPEB Liability	8.482	8.991
(4) Plan Fiduciary Net Position as a Percentage of the Total OPEB Liability	5.25%	5.27%
(5) Deferred Outflow of Resources for Contributions Made After Measurement Date	\$0.236	-

Source: 2023 Actuarial Valuation.

The District cannot predict the impact future changes in healthcare plans and actuarial assumptions and the funded status of the OPEB Trust Fund will have on the District's net OPEB liability.

For more information on the District's OPEB plan, OPEB liability and related assumptions for fiscal year ended June 30, 2024, see Note 9 to the audited financial statements of the District contained in APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2024" attached hereto.

Risk Management and Litigation

General. The District's administration of claims liabilities, insurance coverage and retentions is under review and transition as the District begins to employ the use of a recently-formed Captive Insurer (as defined below) which was incorporated for the benefit of the District. The District created the Captive Insurer in June 2024, effective July 1, 2024, to insure and manage the non-insured/retained auto liability, general liability, and workers' compensation exposures of the District as well as other insurance coverages deemed necessary by the Captive Insurer in the future. The lines of insurance coverage provided by the Captive Insurer are intended to replace certain of the District's third-party insurance and its program of self-insurance and reserves for the related liabilities.

In the aggregate, the District's outstanding liability (losses plus loss adjustment expense) for general, auto, and sexual molestation as of June 30, 2024, on a nominal basis and at the central estimate, is approximately \$621 million. See "– Sexual Misconduct Cases – Current Claims Exposure" below. This estimate is substantially based on an independent third-party actuarial report. The District is in the process of analyzing pending claims, timing of liabilities and potential liabilities, and estimates of liability for claims in accordance with GASB Statement Nos. 10 and 56, which require that the District recognize liabilities as of June 30, 2024, to the extent that the liability is (1) probable, and (2) an amount of the liability can be reasonably estimated. As described above, this liability estimate reflects an accounting perspective. Detailed information is not yet final, and this estimate is provided based on certain averages, assumptions, and opinion.

Captive Insurance Program. The District has reorganized its insurance program to include a captive insurance company, effective July 1, 2024, officially named the Los Angeles Unified School District Insurance Company, LLC (the "Captive Insurer"), a manager-managed Vermont limited liability

company. The Captive Insurer was organized for the purpose of writing insurance and/or reinsurance as a pure captive insurance company operating pursuant to Title 8, Vermont Statutes Annotated, Chapter 141, Captive Insurance, and other relevant laws of the State of Vermont.

The primary purpose of the Captive Insurer is to manage certain risks of the District, offering tailored insurance that may not be available or affordable in the traditional insurance market. Advantages sought with the Captive Insurer include: (a) greater flexibility in customizing coverage to meet specific needs, which may not be fully addressed by conventional insurance policies; (b) enhanced ability to control claims management and underwriting processes, leading to more efficient handling and potentially reduced claims costs; and (c) strategic management of investments and reserves to optimize returns and ensure adequate funding for future claims.

The Captive Insurer evaluates risks, sets premium levels, and invests capitalization and premium payments for future claim payouts. This structure is expected to provide the District with greater control over its insurance costs, claims handling, and risk management practices. The Captive Insurer was established initially to insure and manage the District's non-insured/retained automobile, general, sexual abuse and molestation, and workers' compensation liabilities as well as other insurance coverages deemed necessary by the Captive Insurer in the future. The District will continue to assess its insurance portfolio to identify additional lines of insurance to include in the Captive Insurer. The District is currently evaluating the following lines of coverage to include in the Captive Insurer: boiler and machinery; crime and fiduciary; property; cyber security; and medical malpractice. Currently, a portion of the District's liabilities for sexual abuse and molestation are included in the Captive Insurer.

The District is authorized to budget and appropriate funds for the development and implementation of the Captive Insurer, including capital, premiums, funds and fees in lines of insurance coverage to be provided by the Captive Insurer. Upon substantial implementation of the Captive Insurer in Fiscal Year 2024-25, the District expects to transfer applicable and eligible portions of the District's Internal Service Fund and Liability Self Insurance Fund to the Captive Insurer to be managed, invested, and applied to pay claims. As of July 9, 2024, approximately \$50 million had been transferred to the Captive Insurer. The District has completed subsequent transfers to the Captive Insurer of approximately \$998 million in Fiscal Year 2024-25 and anticipates approximately \$230 million in Fiscal Year 2025-26. Upon its substantial implementation, the District expects that use of the Captive Insurer, together with traditional insurance, reinsurance, and self-insured retentions, will efficiently regulate and minimize insurance costs and secure liability insurance coverage in order to mitigate financial risks.

For fiscal year 2024-25, the Captive Insurer has provided the District with \$5 million of general liability (automobile and sexual abuse and molestation) coverage for lawsuits and settlements. Thereafter, the Captive Insurer has a commercial policy for \$15 million in aggregate in excess of the \$5 million. Lawsuits and settlements over that threshold are covered by the Captive Insurer. As an authorized self-insurer for workers' compensation claims, which reserves the Captive Insurer will manage, invest, and apply to claims, such insurance will provide initial coverage and the District will continue its practice of unlimited coverage for such claims, actuarially determined by, and annually capitalized to, the Captive Insurer.

Traditional Insurance. In addition to the insurance coverage provided by the Captive Insurer, the District maintains various excess property, casualty, and fidelity insurance with varying self-insured retentions. The District's excess property coverage is provided currently through its membership in the Public Entity Property Insurance Program ("PEPIP"), an insurance pool comprised of certain cities, counties, and school districts. The District maintains excess property insurance on all District facilities under a combination of self-insurance retentions and varying sublimits through the excess insurance policies of PEPIP. The current self-insured retention for fire loss damage for excess property coverage is \$2,500,000 per occurrence maintained through a combination of excess policies with an occurrence limit of \$500 million. With respect to this exposure, the District maintains what it considers to be adequate

reserves to cover losses within the self-insurance retention. District General Fund resources are used to pay for property loss insurance and uninsured repairs for property damage. In addition to the above excess property policies, the District purchases a separate boiler and machinery policy with \$100 million in occurrence limits and a Fidelity crime coverage policy with \$15 million in occurrence limits.

Prior to Fiscal Year 2013-14, the District's liability coverage generally included coverage for sexual misconduct and molestation claims with some limited exceptions as described herein with respect to claims potentially revived and made actionable after the passage of Assembly Bill 218. See “– Sexual Misconduct Cases – Assembly Bill 218 and Statute of Limitations in Childhood Sexual Assault Claims” herein. Liability coverage beginning in Fiscal Year 2013-14 did not include this coverage because the District determined that it was not available at reasonable rates from any insurance provider. In March 2014, the District Board approved a joint powers authority agreement by and between the District and Los Angeles Trust Children's Health Inc., a nonprofit public benefit corporation organized under the laws of the State of California, to establish the Los Angeles Unified School District Risk Management Authority (the “Risk Management Authority”) which became effective July 1, 2014. The Risk Management Authority allows the District to purchase reinsurance for excess liability coverage for incidents such as sexual misconduct and molestation, to the extent such coverage is available. The Risk Management Authority was capitalized by the District and provides an insurance program for the District and the Los Angeles Trust Children's Health Inc. The Risk Management Authority allows the District to purchase reinsurance for excess liability coverage which is not presently available to self-insured public agencies such as the District. See “– Sexual Misconduct Cases” herein. The District currently maintains excess liability coverage for lawsuit settlements which covers certain sexual misconduct and molestation claims, among others, with a limit of \$15 million above a \$5 million self-insurance retention; see “Risk Management and Litigation – Captive Insurance Program” above.

Workers' Compensation. The District is authorized to self-insure for workers' compensation claims and had previously established the Workers' Compensation Fund for such claims. With the establishment of the Captive Insurer, the District will fund such self-insurance through the Captive Insurer for its workers' compensation liability, which amounts the Captive Insurer will manage, invest, and apply to claims. As described above, a portion of this liability may be covered by insurance obtained by the Captive Insurer.

Pollution Legal Liability Policy. The District purchased a pollution legal liability (“PLL”) policy through Allied World National Assurance Company with coverage of \$10.0 million per incident and \$10.0 million in aggregate, effective May 1, 2023 to May 1, 2026.

Owner-Controlled Insurance Program. The District has arranged for its construction projects to be insured under its owner-controlled insurance program (“OCIP”). An OCIP is a single insurance program that insures the District, the District Board, all enrolled contractors, and enrolled subcontractors, and other designated parties for work performed at project sites. The District pays the insurance premiums for the OCIP coverages and requires each eligible bidder to exclude from its bid price the cost of insurance coverage. The exclusion of the cost of insurance premiums from each bid is intended to result in lower overall bids for projects, which would in turn lower the contract award amount and general obligation bond and other funds spent. In addition, the District may be able to pay a lower overall insurance cost than a single contractor because of the economies of scale gained by the purchase of an OCIP.

in the Los Angeles Superior Court entitled *Los Angeles Unified School District v. AIU Insurance Company, et. al.* (the “Telfair Coverage Action”), seeking more than \$40 million in damages from eight of the District’s current and former insurance providers in connection with the lawsuits filed against the District alleging that negligence of its employees in hiring, retaining, and supervising Paul Chapel resulted in sexual abuse of approximately twenty students at Telfair Elementary School. In August 2017, the District filed a third lawsuit in the Los Angeles Superior Court entitled *Los Angeles Unified School District v. Allied World et al.* (the “De La Torre Coverage Action”), seeking more than \$60 million in damages from seven of the District’s current and former insurance providers who failed to fund the defense and reimburse the District for settlement amounts paid by the District in connection with claims by over twenty students and their parents alleging that negligent hiring, supervision, and retention of former teacher Robert Pimentel at De La Torre Elementary School resulted in sexual abuse of the students. The District has not been reimbursed by any of the defendants for amounts expended in conjunction with resolving the underlying sexual abuse litigation described in this section. While no insurer agreed to pay any of the District’s defense costs before the coverage actions were filed, rulings obtained in the Miramonte Coverage Action have forced AIG to reimburse the District for over \$21 million in defense costs. Further, the District has alleged that the insurance providers have not only breached their respective insurance obligations owed to the District in connection with underlying litigation but also breached the implied covenant of good faith and fair dealing. In 2021, following a bench trial, the court found that the insurer breached its duty to indemnify the District under one insurance policy at issue in the Miramonte Coverage Action for its settlements of the underlying claims. In the Miramonte Coverage Action and Telfair Coverage Action, the Court has provided guidance to the District in allocating defense costs to exhaustion of the District’s self-insured retentions for specific policy periods, which has allowed the District to recover some additional indemnity payments from certain insurers. In the De La Torre Coverage Action, the Court entered judgment in favor of Lexington Insurance Company, and the District has filed a notice of appeal from that judgment. The District is considering its options with respect to additional motion practice and appellate review.

On November 4, 2020, the District filed another round of lawsuits against its insurers, *Los Angeles Unified School District v. Starr Indemnity & Liability Co., et al.* (the “Cahuenga Coverage Action”) and *Los Angeles Unified School District v. Ins. Co. of the State of Pennsylvania, et al.* (the “Franklin Coverage Action”), in which it is seeking more than \$25 million and \$8 million, respectively, in settlement reimbursements plus defense costs relating to underlying litigation involving the alleged abuse of multiple students at Franklin High School and Cahuenga High School. The District cannot predict the final outcome of or remedy imposed by any court with respect to these complaints or the amounts, if any, by which any of the insurance providers will reimburse the District for settlements and defense costs in the underlying litigation matters. In 2021, the District moved for summary adjudication to establish that the Insurance Company of State of Pennsylvania (an AIG Co.) had breached its duty to defend the District under a 2002-2003 insurance policy, which the court denied. In April 2024, in the Cahuenga Coverage Action, the Court denied the motion for summary judgment of Starr Indemnity & Liability Company, finding triable issues of fact under the Starr policies. In July 2024, in the Franklin Coverage Action, the Court granted the defendant insurers’ motion for summary judgment and entered judgment in favor of the defendants. The District is considering its options with respect to additional motion practice and a limited trial in the Cahuenga Coverage Action.

On September 29, 2022, the District filed a new lawsuit against its insurers, *Los Angeles Unified School District v. Everest National Insurance Company, et al.*, in which it is seeking more than \$11 million in settlement reimbursements plus defense costs relating to underlying litigation involving the alleged abuse of multiple students at El Sereno Elementary School. One insurer has reimbursed some, but not all, of the District’s defense costs in connection with the underlying litigation. The District cannot predict the final outcome of or remedy imposed by any court with respect to this complaint or the amount, if any, by which any of the insurance providers will reimburse the District for settlements and defense costs in the underlying litigation. In April 2024, the Court granted the motion for summary adjudication by Insurance Company of State of Pennsylvania regarding its duties to defend and indemnify under a 2003-2004 policy. The District is considering its options with respect to additional motion practice and appellate review.

On June 26, 2024, the District filed a new lawsuit against its insurers, *Los Angeles Unified School District v. Aetna Insurance Company, et al.*, in which it is seeking more than \$9 million in settlement reimbursements, declaratory relief that would result in its insurers indemnifying future settlement and/or verdict payments, defense costs incurred to defend approximately sixty lawsuits arising out of sexual abuse allegations from the 1950s, 1960s, and 1970s, and punitive damages. The District cannot predict the final outcome of or remedy imposed by any court with respect to this complaint or the amount, if any, by which any of the insurance providers will reimburse the District for settlements and defense costs in the underlying litigation.

Wrongful Death Cases. In August 2020, the mother of an elementary school student filed a lawsuit seeking unspecified damages in excess of \$1,000,000 against the District for the alleged wrongful death of her son on December 26, 2019, after he died from injuries sustained while at a District employee's home, during the employee's non-working hours and when school was out for winter break. The death was later ruled a homicide and the employee was subsequently criminally convicted. A jury trial in the wrongful death matter commenced on July 31, 2023, in the Van Nuys Courthouse of the Los Angeles Superior Court and on August 10, 2023, the jury found the District 90% at fault and plaintiff 10% at fault and awarded plaintiff a total of \$30 million. On October 17, 2023, the District brought a motion for a new trial which the Court denied. On November 8, 2023, the District filed its Notice of Appeal and will seek to overturn the verdict based on a number of grounds that the District believes to have strong merit. Should the District's appeal be unsuccessful, thus obligating the District to pay its share of the judgment (\$27 million), the District's expected share will be \$5 million (self-insured retention amount) and the balance of the judgment would be expected to be covered by the District's reinsurers through the Risk Management Authority. The matter has been fully briefed, and the parties are awaiting an oral argument hearing date.

In September 2022, two high school students overdosed in a bathroom on campus after ingesting a pill believed to have been laced with Fentanyl. The students were found on campus after school hours: one deceased in the bathroom and the second student in the courtyard outside the bathroom. The surviving student found in the courtyard was transported to the hospital. On December 12, 2022, the deceased student's mother filed a complaint in the Los Angeles Superior Court against the District seeking unspecified damages for negligence and wrongful death. She has since made an offer to dismiss her lawsuit in exchange for \$50 million. Trial in that matter is currently set for May 9, 2025. On October 13, 2023, the surviving student filed a lawsuit against the District in the Los Angeles Superior Court, seeking unspecified damages for negligence. The surviving student has not made any offers to resolve her lawsuit. The trial in that matter is currently scheduled for September 9, 2025.

On March 5, 2024, a high school student was involved in a fight on campus, wherein she allegedly sustained injuries, including head trauma. It is further alleged that as a result of these claimed injuries, the student passed away ten days later. A report issued by the Los Angeles County Medical Examiner's Office concluded that the cause of death was head trauma sustained from a fall down a set of stairs on March 10, 2024, while the decedent was attending a party. On September 20, 2024, the mother and the decedent's estate filed a complaint in the Los Angeles Superior Court against the District, seeking unspecified damages for wrongful death. Trial in the matter is currently set for August 3, 2026 and the litigation is in the discovery phase.

In April 2016, a middle school student experienced sudden cardiac arrest during physical education class and died. On July 21, 2017, the father of the student filed a complaint in the Los Angeles Superior Court against the District, seeking unspecified damages for wrongful death. The case was tried in April 2023, resulting in a \$15 million jury verdict. On August 11, 2023, the District filed a Notice of Appeal, which is currently pending. The matter has been fully briefed and oral argument was recently scheduled for April 30, 2025.

Catastrophic Injury Cases. In January 2020, a non-verbal special education student claims to have sustained injury on a District special education campus when he allegedly pulled a soccer goal post net,

causing himself and the goal to fall, hitting him on the head. The student underwent emergency cervical spine surgery as a result of the incident, and his medical bills/costs known to date exceed \$1,000,000. On January 11, 2022, the court appointed conservator for the student filed a complaint in the Los Angeles Superior Court against the District, seeking unspecified damages. The matter settled on September 23, 2024 for \$4.2M and approved by the Board of Education on November 20, 2024.

In February 2017, an elementary school student claimed to have fallen and struck her head during the school day, on campus. On November 22, 2017, the mother of the student filed a complaint in the Los Angeles Superior Court against the District, seeking unspecified damages for traumatic brain injury. Plaintiff alleged the District failed to provide the requisite medical care and failed to contact emergency medical personnel in a timely manner. A verdict was entered against the District in the amount of \$7,083,194.86.

In February 2018, a middle school student suffered a non-fatal injury when a gun, brought to school by another student, accidentally discharged in class causing a bullet fragment to strike the student in the temple. A personal injury action was subsequently filed on behalf of the injured student in the Los Angeles Superior Court against the District and other parties seeking unspecified damages for traumatic brain injury. During litigation, the District brought a motion for summary judgment which the trial court granted in its entirety. Plaintiff subsequently appealed the granting of the motion for summary judgment and dismissal of the case and the California Court of Appeal reversed, in part, the trial court's ruling and remanded the matter to the trial court. Plaintiff's last settlement demand was in excess of \$20 million. In November 2024 the jury returned a defense verdict; plaintiff is pursuing an appeal.

COVID-19 Distance Learning Lawsuits. On September 24, 2020, a class action lawsuit was filed on behalf of nine named plaintiffs in the Los Angeles Superior Court asserting that the District's instructional plan in response to the COVID-19 pandemic denied plaintiffs' children their basic education rights under the California Constitution. The complaint alleges that the District's distance learning approach was inadequate in that it allegedly reduced instructional and professional development time, eliminated student assessments, failed to provide adequate access to technology, and failed to reengage students who did not participate in online learning in the spring of 2020 after the closure of school facilities due to the COVID-19 pandemic. The operative first amended complaint asserts various causes of action for injunctive and declaratory relief, including claims for alleged violations of statutory and Constitutional rights and claims of discrimination and disparate treatment. On April 9, 2021, the District's motion to strike certain allegations in the complaint with respect to individualized education program services was granted, but its demurrer to the first amended complaint was overruled. After plaintiffs filed a second amended complaint, the District filed another demurrer. On August 16, 2021, the Court sustained the District's demurrer with leave to amend. The Court further struck plaintiffs' claims seeking retrospective injunctive relief on a class wide basis. Plaintiffs were given 20 days to file an amended complaint. In September 2021, the Court dismissed the action in its entirety, with prejudice, and entered judgment in favor of the defendants, including the District. Plaintiffs subsequently filed a notice of appeal with the Court of Appeal of California, Second Appellate District. On September 19, 2023, the California Court of Appeal issued its decision reversing in part the September 2021 order dismissing the lawsuit. The Court of Appeal found that dismissal of the case and denial of class certification was premature, permitting the plaintiffs to move forward on three of their eight causes of action, but sustaining the dismissal of the remaining claims in favor of the District. The matter has now been remanded back to the trial court to proceed. Discovery and settlement negotiations are in process. The District will continue to defend the case and also determine any potential settlement options.

COVID-19 Employee Vaccinations Lawsuit. Since the Fall of 2021, the District has been named in at least thirty-four different lawsuits challenging the District's previous COVID-19 vaccination mandate, filed by current and former employees and job applicants, asserting various causes of action for wrongful termination, employment discrimination, and violations of Constitutional rights, among other theories of recovery. As of January 2025, twelve of the thirty-four cases had settled. While certain of the lawsuits have

been filed on behalf of a single named plaintiff, others are filed on behalf of groups of plaintiffs ranging from 6 to 167. The earliest filed of such actions, *Health Freedom Defense Fund v. Carvalho, et al.*, is presently on appeal before the Ninth Circuit Court of Appeals, following the U.S. District Court for the Central District of California's grant of the District's motion for judgment on the pleadings in September 2022. On June 7, 2024, the Ninth Circuit reversed the Central District of California's decision. On February 4, 2025, the Ninth Circuit ordered En Banc review.

In general, the District believes it has strong defenses to these employee vaccination mandate lawsuits, and anticipates that most will result in defense verdicts. Nevertheless, given the inherent uncertainty of litigation and the different factual scenarios presented in each of them, the District faces potential exposure to claims for damages, including lost wages, a claim in at least one case for emotional distress damages, claims for punitive damages, and perhaps most significantly, exposure to potential awards of prevailing party attorneys' fees, which in some employment cases, can reach seven figures. The damages sought in these lawsuits vary significantly, particularly depending on the number of plaintiffs involved, the causes of action asserted, and remedies sought. As such, the District cannot predict the total damages that might be recovered in the event that it does not prevail in one or more of the lawsuits.

Sexual Misconduct Cases. The District is occasionally subject to claims relating to the sexual misconduct of District personnel and other students. There are currently threatened and pending claims against the District brought on behalf of minor students as a result of such alleged sexual misconduct. The District is in various stages of litigation relating to such pending claims and cannot predict the outcome and effects of such claims or provide any assurances that such claims will not be successful. The damages requested by the plaintiffs in the various pending sexual misconduct cases are substantial, but vary significantly, in multiple instances there are demands for several million dollars. The District, however, cannot predict any final award of damages or settlement amounts. The District also cannot predict the damages sought by any threatened litigation.

As described above, the information below reflects an accounting perspective. The District is in the process of analyzing pending claims, the timing of liabilities and potential liabilities, and estimates of liability for claims by class and at levels of potential exposure. Detailed information is not yet final, and this estimate is provided based on certain averages, assumptions, and opinion.

Miramonte. In the Miramonte sexual abuse litigation, involving Mark Berndt (who in 2013 pleaded no contest to 23 felony counts of lewd acts on children and was sentenced to 25 years in prison), there have previously been over \$250 million in settlements with 225 students. This amount was a contingent liability reported in the Fiscal Year 2023-24. There are multiple active cases pending with 75 plaintiffs. This includes several recent complaints filed and served on behalf of 29 plaintiffs. The earliest trial date is scheduled for November 3, 2025, in a four-plaintiff matter. The other remaining matters do not have trial dates yet.

Assembly Bill 218 and Statute of Limitations in Childhood Sexual Assault Claims. Pursuant to Assembly Bill 218 ("AB 218"), which became effective on January 1, 2020, certain changes were made to the claim prerequisites and the applicable statute of limitations periods for claims of childhood sexual assault, including claims against public entities like the District. AB 218 impacted the District's liability exposure because it (1) extended the statute of limitations periods for claims of childhood sexual assault, (2) did away altogether with the Tort Claims Act's presentation requirements for claims involving childhood sexual assault under which many claims were found to be late, and (3) revived certain claims for which applicable statute of limitations periods have otherwise already expired (if brought within three years of January 1, 2020). Pursuant to AB 218, a plaintiff's ability to bring a claim was extended to twenty-two years from the age of majority or five years after the plaintiff discovered or reasonably should have discovered psychological injury or illness occurring after the age of majority caused by the alleged childhood sexual assault. With respect to claims that otherwise would have been barred as of January 1, 2020, AB 218 revived such claims for a period of three years, which period expired on December 31, 2022.

In 2023, the California State Legislature passed, and the Governor signed into law, AB 452 which eliminated the statute of limitations for the recovery of civil damages suffered as a result of childhood sexual assault. AB 452 applies prospectively for civil claims that arise on or after January 1, 2024.

Currently, the District has active cases involving 222 AB 218 claimants who allege misconduct by former employees. Since the District is in the middle of litigation on many of the pending AB 218 lawsuits, the District cannot fully predict the extent of its liability in such cases, whether the claimants will prevail, and if so, how a final court decision or settlement agreement with respect to each such lawsuit may affect the financial status, policies or operations of the District, as the nature of the court's remedy and the responses thereto are unknown at the present time.

Current Claims Exposure. Based on information available to the District as of June 30, 2024, the District estimates its liability for claims arising from AB 218 and similar sexual abuse and molestation claims (losses and allocated loss adjustment expenses) at levels of potential exposure of approximately \$500 million. This estimate is substantially based on an independent third-party actuarial report. Without the benefit of a current actuarial report, which is pending, the District anticipates that its exposure to these types of claims may be closer to \$650 million. It should be noted that these cases include a significant number of claimants in the Miramonte sexual abuse litigation matters described above, among others, and does not include that amount settled with claims dismissed. Further, funds have been set aside as accrued expenses for all current claims pending settlement. As further described elsewhere herein, this exposure estimate reflects an accounting perspective and the District is in the process of analyzing pending claims. Detailed information is not yet final, and this estimate is provided based on certain averages, assumptions, and opinion.

In the aggregate, the District's outstanding liability (losses plus loss adjustment expense) for general, auto, and sexual molestation as of June 30, 2024, on a nominal basis and at the central estimate, is approximately \$621 million. This estimate is substantially based on an independent third-party actuarial report issued in 2024. Without the benefit of a current actuarial report, which is pending, the District anticipates that its exposure to these claims may be closer to \$770 million. The District is in the process of analyzing pending claims, timing of liabilities and potential liabilities, and estimates of liability for claims in accordance with GASB Statement Nos. 10 and 56, which require that the District recognize liabilities as of June 30, 2024, to the extent that the liability is (1) probable, and (2) an amount of the liability can be reasonably estimated. As described above, this liability estimate reflects an accounting perspective. Detailed information is not yet final, and this estimate is provided based on certain averages, assumptions, and opinion.

It is important to note that this projected liability is an estimate, subject to variables including the potential for a changing claims environment over time as may be informed by jury verdicts involving the District and other public agencies subject to the provisions of AB 218 and the results of the District's further analysis of pending claims, with the potential for the movement of claims into higher loss layers than were initially assumed or assumed over time. This potential for claims includes inflation over time, among other variables, and may be inconsistent with the accounting perspective described above and, future loss emergence will likely deviate, perhaps substantially, from these estimates.

Certain recent sexual molestation claims, as described immediately below, have been outside of District expectations and actuarial assumptions at the per claims level and are, for example, respectively, proceeding to trial and approved for settlement on an assumed expectation for coverage since denied. Notwithstanding, the District believes that its expected nominal, central estimate of total liability is within the range of probabilities, based on current claims analysis. As discussed, the estimates herein at this time are subject to the variables described above and necessarily constitute forward looking statements. Actual results may differ or differ materially from those contemplated in such forward-looking statements.

From October 8, 2020, to June 3, 2022, seventeen former elementary school students filed complaints (nine total complaints) in the Los Angeles Superior Court against the District seeking unspecified damages for negligence and the failure to file a mandatory report of suspected child abuse based on allegations that from Fall 1988 to Spring 1991, they were victims of sexual abuse by their 1st grade teacher. The plaintiffs allege District employees knew or should have known of the alleged abuse and failed to take action to remove the teacher and failed to notify the authorities of suspected child abuse. On November 4, 2024, a \$68 million settlement was reached subject to Board approval. The Board approved the settlement on January 15, 2025.

On May 12, 2021, three former elementary school students filed a complaint in the Los Angeles Superior Court against the District seeking unspecified damages for negligence and the failure to file a mandatory report of suspected child abuse based on allegations that from Fall 2006 to Spring 2008, they were victims of their 4th grade (for two of the plaintiffs) and 1st grade (for one of the plaintiffs) teacher. The plaintiffs allege District employees knew or should have known of the alleged abuse and failed to take action to remove the teacher and failed to notify the authorities of suspected child abuse. A settlement of \$24 million was reached following a second mediation on May 17, 2024, with the District's expectation being that its insurer would pay much of the settlement given applicable coverages. The District Board approved the settlement on September 11, 2024, the same day the District's insurer for the relevant time period denied coverage for the claims. The District is currently weighing all options, including pursuing a coverage action against its insurer.

The District has set aside an amount in its Liability Self-Insurance Fund to pay certain existing claims amounts arising under AB 218. Additional amounts are expected to be provided and available to the Captive Insurer, with required reserves, liabilities and insurance policy premiums determined by the Captive Insurer and charged to the District using actuarial information. The District's total liability arising from existing AB 218 claims may ultimately exceed such amounts. The District expects to amortize payments on remaining claims beyond the year in which they accrue. See “- Assembly Bill 218 and Statute of Limitations in Childhood Sexual Assault Claims” above. While the District may be able to access insurance coverage for a portion of some of the AB 218 claims, the District is not currently able to determine what amount of the total liability may be covered by prior insurance policies or existing insurance policies for excess coverage. The District has identified certain gaps in insurance coverage prior to 1992 for which it is actively investigating the availability of policies that may provide coverage for claims arising from AB 218. Additionally, under AB 218, individuals who were over the age of 26 and under 40 on December 31, 2022, will still be able to timely file a lawsuit until they turn 40, and the District is unable to estimate the potential liability associated with this group of potential claimants.

The California Government Code requires the District to pay each judgment in the fiscal year that it becomes due, to the extent funds are available, or if its funds are not sufficient, in the “ensuing fiscal year immediately upon the obtaining of sufficient funds for that purpose.” Such liabilities demanding prompt payment may in the aggregate exceed the amount currently reserved for settlements and monetary damages and not otherwise amortized beyond the year in which they accrue. The District may finance or refinance certain judgments arising from AB 218 and similar claims, essentially refunding claims such that claims liabilities can be spread over several years, whether pursuant to California law applicable to local agencies such as the District, or by court order for a period not to exceed ten years commencing with the judgment or court's order approving a settlement with dismissal of the action. See “Future Financings – AB 218 and Similar Claims.” Without amortization of pending and projected claims, such liabilities could decrease the District's net position as of June 30, 2024 from the amount set forth in the District's financial statements for Fiscal Year 2023-24.

Within the District, the treatment of child abuse and related reporting has evolved significantly over the past several decades. Prior to 1981, District employees did not have child abuse and neglect reporting obligations under California law, and there was limited, if any, training provided to District employees. Since 1981, California law mandates District employees to report suspected child abuse or neglect. The

District's policies on such reporting have evolved and improved since then consistent with changes to California law. The District currently maintains (a) policies regarding child abuse and neglect reporting, sexual harassment (student-to-student, adult-to-student, and student-to-adult), social media for employees and associated persons, responsible use of technology, and ethics, (b) a code of conduct with students, and (c) protocols and procedures for reporting and investigating allegations of employee misconduct. The District also offers a variety of online and in-person training courses and resources to District employees. Currently, all District employees are subject to background checks prior to employment and are required to complete yearly child abuse training. For further reference, certain of the District's policies, protocols, training materials are made available online at the District's website. The District regularly reviews its policies, procedures, and protocols with respect to these topics and updates them periodically to address evolving circumstances.

Litigation Regarding September 2022 Cyberattack. Four separate lawsuits have been filed against the District relating to the 2022 cyberattack on the District. The first three cases have been deemed related, with the matter of *M.M., et al. v. Los Angeles Unified School District*, Case No. 22STCV37822, serving as the lead case. The three lawsuits, filed on behalf of named individuals and purported classes of individuals whose personal information was allegedly posted to the dark web as a result of the cyberattack, have been deemed complex, and plaintiffs' counsel filed a consolidated complaint against the District and Defendant Infosys, Ltd. Therein, on February 13, 2024. The District filed its demurrer in response to the consolidated complaint on March 22, 2024. The District's demurrer was sustained as to 14 of 16 causes of action on June 6, 2024, with leave to amend. Plaintiffs filed their First Amended Class Action Complaint on September 27, 2024, asserting twelve causes of action, including several that were subject to the previous demurrer. The parties engaged in mediation on October 24, 2024, but the mediation did not result in a settlement. The District's demurrer to the amended pleading is set to be heard on April 28, 2025. A separate limited jurisdiction lawsuit related to the 2022 cyberattack was filed in October 2023, and has been settled and dismissed. For more information related to the cyberattack, see "DISTRICT GENERAL INFORMATION – Cybersecurity."

Charter School Co-Location Policy Litigation. On April 2, 2024, the California Charter Schools Association ("CCSA"), on behalf of itself, member charter schools and students they serve, filed a civil action in the Los Angeles Superior Court, challenging the District Board's September 26, 2023, adoption of the resolution titled, "Creating a Charter Schools Co-Location Policy to Mitigate Impacts Caused by Proposition 39" ("Charter School Co-Location Resolution") and March 19, 2024 approval of the "Proposition 39 Charter Schools Co-Location Policy" ("Charter School Co-Location Policy"). On May 20, 2024, the District filed a demurrer and motion to strike. On July 31, 2024, CCSA filed a Verified First Amended Petition for Writ of Mandate and Complaint for Declaratory Relief ("CCSA First Amended Petition"), asserting two writ causes of action and a declaratory relief cause of action. The CCSA First Amended Petition claims that, among other things, by adopting the Charter School Co-Location Policy, the District has violated its mandatory and non-discretionary duty to comply with the California Education Code. The CCSA First Amended Petition also seeks a preliminary injunction prohibiting the District from implementing the Charter School Co-Location Resolution and the Charter School Co-Location Policy until the merits of the lawsuit have been determined. The CCSA First Amended Petition also alleges that the District has failed to comply with the California Public Records Act by refusing to make records available in response to CCSA's request seeking documents related to the District's Proposition 39 compliance and the development/passage of the Charter School Co-Location Resolution and the Charter School Co-Location Policy. The CCSA First Amended Petition seeks, among other things, a writ of mandate that sets aside the Charter School Co-Location Resolution and the Charter School Co-Location Policy, and rescinds all Board policies, administrative regulations and internal directives or guidance documents that restrict the availability of District facilities to charter schools for any reasons not expressly authorized by state law. Additionally, the CCSA First Amended Petition seeks a writ of mandate that commands the District to comply with the California Public Records Act by promptly providing to CCSA all of the records requested in its request. Further, the CCSA First Amended Petition seeks a declaratory judgment stating that the Charter School Co-Location Resolution and the Charter School Co-Location Policy do not comply with

Proposition 39 and are unnecessary, unenforceable, and void. The CCSA First Amended Petition also seeks a preliminary injunction commanding the District to not enforce the Charter School Co-Location Resolution and the Charter School Co-Location Policy. Lastly, the CCSA First Amended Petition seeks recovery of CCSA's attorneys' fees and costs. On October 29, 2024, the court overruled the District's demurrer to the CCSA First Amended Petition, finding that it satisfied the minimum pleading standard. But the court also denied CCSA's motion for a preliminary injunction, stating, in part, "on its face, the policy does not necessarily violate Proposition 39. Contrary to CCSA's argument, the District has not implemented a 'ban' on these co-locations. Rather, the policy contains guidelines to be considered in selecting co-locations for charter schools. The law is clear that school districts retain substantial discretion in making decisions under Proposition 39. The policy itself states that these preferences will be considered to the extent that doing so does not violate the law." The court has set trial for April 25, 2025.

Proposition 28 Litigation. In February 2025, the District's former superintendent, among others, filed a civil action against the District and the Superintendent, alleging misuse of approximately \$77 million in taxpayer funds that voters approved pursuant to Proposition 28 to expand arts and music education. The District has not yet been served with the complaint and cannot predict the outcome of the matter.

District Debt

General Obligation Bonds. From July 1997 through March 2003, the District issued the entire amount of \$2,400,000,000 general obligation bonds authorized pursuant to Proposition BB approved by voters on April 8, 1997 (the "Proposition BB Authorization"). From May 2003 to May 2010, the District issued the entire amount of \$3,350,000,000 general obligation bonds pursuant to Measure K approved by voters on November 5, 2002 (the "Measure K Authorization"). From September 2004 through October 2021, the District issued the entire amount of \$3,870,000,000 general obligation bonds pursuant to Measure R approved by voters on March 2, 2004 (the "Measure R Authorization"). From February 2006 through October 2021, the District issued the entire amount of \$3,985,000,000 general obligation bonds pursuant to Measure Y approved by voters on November 8, 2005 (the "Measure Y Authorization").

A \$7,000,000,000 general obligation bond authorization was approved by voters on November 4, 2008 (the "Measure Q Authorization"). The District has issued \$4,800,955,000 of Measure Q general obligation bonds, leaving \$2,199,045,000 available under the Measure Q Authorization. A \$7,000,000,000 general obligation bond authorization was approved by the voters on November 3, 2020 (the "Measure RR Authorization"). The District has issued \$1,600,000,000 of Measure RR general obligation bonds, leaving \$5,400,000,000 available under the Measure RR Authorization.

A \$9,000,000,000 general obligation bond authorization was approved by voters on November 5, 2024 (the "Measure US Authorization"). [Following the issuance of the New Money Bonds, the first issuance of bonds pursuant to the Measure US Authorization, the District will have issued \$[PAR AMOUNT] of Measure US general obligation bonds, leaving \$[] available under the Measure US Authorization.]

Under the District's general obligation bond program, approximately 24,475 new school construction, rehabilitation, modernization and replacement projects, which are intended to upgrade facilities and improve the learning environment for students, have been completed. In addition, 822 projects valued at approximately \$8.5 billion are currently underway, including 590 projects valued at nearly \$3.7 billion in pre-construction, and 232 projects valued at nearly \$4.8 billion under construction.

Pursuant to Section 1(b)(3) of Article XIII A of the State Constitution, Chapters 1 and 1.5 of Part 10 of Division 1 of Title 1 of the State Education Code, as amended, and other applicable law (collectively, the "Act"), the District Board has appointed the LAUSD School Construction Bond Citizens' Oversight Committee (the "Citizens' Bond Oversight Committee"). The Citizens' Bond Oversight Committee is composed of 15 members representing numerous community groups and operates to inform the public

concerning the spending of Measure K, Measure R, Measure Y, Measure Q, Measure RR, and Measure US Authorization bond funds authorized by the Act. The Citizens' Bond Oversight Committee regularly reviews the potential bond projects and budgets and provides non-binding advice to the District Board on how to allocate and reallocate scarce bond proceeds in order to ensure the completion of viable projects and to avoid non-completion of projects once commenced. The Citizens' Bond Oversight Committee also informs the public concerning the spending of funds attributable to the Proposition BB Authorization, although Proposition BB was approved under statutes other than the Act. The Citizens' Bond Oversight Committee meets monthly in order to review all matters including, among other things, changes in budget, scope and schedules that relate to the District's general obligation bonds and the projects proposed to be funded therefrom. In addition, the Citizens' Bond Oversight Committee makes recommendations to the District Board regarding such matters. See "CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Proposition 39" herein. The District's Office of the Inspector General conducts audits on a selected number of the construction management firms on an annual basis to ensure that funds from the School Upgrade Program and other legacy bond programs are spent in compliance with the Act and the District's policies relating thereto. The District's outside auditor, Simpson & Simpson, currently prepares the required bond audits regarding the expenditures of general obligation bond proceeds.

The members of the District's Citizens' Bond Oversight Committee and the community groups represented by such members are set forth in Table A-17 below.

TABLE A-17
LOS ANGELES UNIFIED SCHOOL DISTRICT
Citizens' Bond Oversight Committee
(As of January 1, 2025)

Member	Community Group Represented
D. Michael Hamner, FAIA, Chair	American Institute of Architects
Robert Campbell, Vice Chair	Los Angeles County Auditor-Controller's Office
Dr. Samantha Rowles, Secretary	LAUSD Student Parent
Patrick MacFarlane, Executive Member	Early Childhood Alliance
Scott Pansky, Executive Member	Los Angeles Area Chamber of Commerce
Neelura Bell	California Charter School Association
Sandra Betts	California Tax Reform Association
Chad Boggio	Los Angeles County Federation of Labor AFL-CIO
Aleigh Lewis	Los Angeles City Controller's Office
Jennifer McDowell	Los Angeles City Mayor's Office
Brian Mello	Associated General Contractors of California
Santa Ramirez	Tenth District Parent Teacher Student Association
William O. Ross IV	Thirty-First District Parent Teacher Student Association
Dr. Bevin Ashenmiller	Tenth District Parent Teacher Student Association (Alternate)
Ashley Kaiser	Association of General Contractors of California (Alternate)
Connie Yee	Los Angeles County Auditor-Controller's Office (Alternate)
(Vacant)	LAUSD Student Parent
(Vacant)	Senior Citizens' Organization

Source: Los Angeles Unified School District.

The following Table A-18, Table A-19, Table A-20, Table A-21, Table A-22 and Table A-23 set forth the outstanding series of general obligation bonds and the amount outstanding as of January 1, 2025, under the Proposition BB, Measure K, Measure R, Measure Y, Measure Q, and Measure RR Authorizations, respectively. The tables below do not reflect the issuance of the Bonds. For more information, see "PLAN OF FINANCE AND REFINANCE" in the forepart of this Official Statement.

TABLE A-18
LOS ANGELES UNIFIED SCHOOL DISTRICT
Proposition BB (Election of 1997) Bonds
(\$ in thousands)

Bond Issue	Aggregate Principal Amount	Outstanding Amount as of January 1, 2025	Date of Issue
2015 Refunding Bonds, Series A ⁽¹⁾	\$326,045	\$ 15,940	May 28, 2015
2016 Refunding Bonds, Series A ⁽¹⁾	202,420	53,950	April 5, 2016
2017 Refunding Bonds, Series A ⁽¹⁾	<u>139,265</u>	<u>50,230</u>	May 25, 2017
TOTAL	<u>\$667,730</u>	<u>\$120,120</u>	

⁽¹⁾ Refunding bonds issued to refund general obligation bonds, which were issued pursuant to the Proposition BB Authorization are not counted against the Proposition BB Authorization of \$2.4 billion.

Source: Los Angeles Unified School District.

TABLE A-19
LOS ANGELES UNIFIED SCHOOL DISTRICT
Measure K (Election of 2002) Bonds
(\$ in thousands)

Bond Issue	Aggregate Principal Amount	Outstanding Amount as of January 1, 2025	Date of Issue
2016 Refunding Bonds, Series B ⁽¹⁾	\$ 227,535	\$ 224,920	September 15, 2016
2017 Refunding Bonds, Series A ⁽¹⁾	941,565	457,950	May 25, 2017
2019 Refunding Bonds, Series A ⁽¹⁾	153,285	109,760	May 29, 2019
2020 Refunding Bonds, Series A ⁽¹⁾	112,350	106,680	October 6, 2020
2021 Refunding Bonds, Series B ⁽¹⁾	48,855	47,015	November 10, 2021
2024 Refunding Bonds, Series A ⁽¹⁾	<u>193,740</u>	<u>191,190</u>	April 30, 2024
TOTAL	<u>\$1,677,330</u>	<u>\$1,137,515</u>	

⁽¹⁾ Refunding bonds issued to refund general obligation bonds, which were issued pursuant to the Measure K Authorization, are not counted against the Measure K Authorization of \$3.35 billion.

Source: Los Angeles Unified School District.

TABLE A-20
LOS ANGELES UNIFIED SCHOOL DISTRICT
Measure R (Election of 2004) Bonds
(\$ in thousands)

Bond Issue	Aggregate Principal Amount	Outstanding Amount as of January 1, 2025	Date of Issue
2016 Refunding Bonds, Series A ⁽¹⁾	\$ 56,475	\$ 29,265	April 5, 2016
2016 Refunding Bonds, Series B ⁽¹⁾	176,455	176,455	September 15, 2016
2019 Refunding Bonds, Series A ⁽¹⁾	349,350	243,585	May 29, 2019
Series RYQ Bonds (2020)	36,000	27,560	April 30, 2020
2020 Refunding Bonds, Series A ⁽¹⁾	113,150	94,335	October 6, 2020
Series RYRR (2021)	123,990	101,235	November 10, 2021
2024 Refunding Bonds, Series A ⁽¹⁾	<u>1,243,800</u>	<u>1,224,780</u>	April 30, 2024
TOTAL	<u>\$2,099,220</u>	<u>\$1,897,215</u>	

⁽¹⁾ Refunding bonds issued to refund general obligation bonds, which were issued pursuant to the Measure R Authorization, are not counted against the Measure R Authorization of \$3.87 billion.

TABLE A-21
LOS ANGELES UNIFIED SCHOOL DISTRICT
Measure Y (Election of 2005) Bonds
(\$ in thousands)

Bond Issue	Aggregate Principal Amount	Outstanding Amount as of January 1, 2025	Date of Issue
Series H Bonds (2009) (Qualified School Construction Bonds)	\$ 318,800	\$ 318,800 ⁽²⁾	October 15, 2009
Series J Bonds (2010) (Qualified School Construction Bonds)	290,195	290,195 ⁽³⁾	May 6, 2010
2016 Refunding Bonds, Series A ⁽¹⁾	92,465	43,215	April 5, 2016
2016 Refunding Bonds, Series B ⁽¹⁾	96,865	96,865	September 15, 2016
Series M-1 Bonds (2018)	117,005	98,345	March 8, 2018
2019 Refunding Bonds, Series A ⁽¹⁾	91,970	65,895	May 29, 2019
	182,000	139,340	April 30, 2020
2020 Refunding Bonds, Series A ⁽¹⁾	76,500	74,215	October 6, 2020
Series RYRR (2021)	70,150	57,275	November 10, 2021
2024 Refunding bonds, Series A ⁽¹⁾	<u>1,537,405</u>	<u>1,516,185</u>	April 30, 2024
TOTAL	<u>\$2,873,355</u>	<u>\$2,700,330</u>	

⁽¹⁾ Refunding bonds issued to refund general obligation bonds, which were issued pursuant to the Measure Y Authorization, are not counted against Measure Y Authorization of \$3.985 billion.

⁽²⁾ Includes the set-aside deposits totaling \$206.44 million for fiscal years 2019-20 through 2023-24. An additional \$54.12 million was set-aside on September 15, 2024.

⁽³⁾ Includes the set-aside deposits totaling \$200.68 million for fiscal years 2018-19 through 2023-24.

Source: Los Angeles Unified School District.

TABLE A-22
LOS ANGELES UNIFIED SCHOOL DISTRICT
Measure Q (Election of 2008) Bonds
(\$ in thousands)

Bond Issue	Aggregate Principal Amount	Outstanding Amount as of January 1, 2025	Date of Issue
Series A Bonds (2016)	\$ 648,955	\$ 320,505	April 5, 2016
Series B-1 Bonds (2018)	1,085,440	918,175	March 8, 2018
Series RYQ Bonds (2020)	724,940	555,030	April 30, 2020
Series C Bonds (2020)	1,057,060	822,255	November 10, 2020
2021 Refunding Bonds, Series A ⁽¹⁾	164,095	144,260	April 29, 2021
Series QRR (2022)	100,000	94,775	November 22, 2022
Series QRR (2023)	525,000	476,315	November 7, 2023
Series QRR (2024)	<u>525,000</u>	<u>474,745</u>	October 8, 2024
TOTAL	<u>\$4,830,490</u>	<u>\$3,806,060</u>	

⁽¹⁾ Refunding bonds issued to refund general obligation bonds, which were issued pursuant to the Measure Q Authorization, are not counted against Measure Q Authorization of \$7.00 billion.

Source: Los Angeles Unified School District.

TABLE A-23
LOS ANGELES UNIFIED SCHOOL DISTRICT
Measure RR (Election of 2020) Bonds
(\$ in thousands)

Bond Issue	Aggregate Principal Amount	Outstanding Amount as of January 1, 2025	Date of Issue
Series RYRR (2021)	\$ 300,000	\$ 244,940	November 10, 2021
Series QRR (2022)	400,000	329,495	November 22, 2022
Series QRR (2023)	325,000	306,640	November 7, 2023
Series QRR (2024)	<u>575,000</u>	<u>519,960</u>	October 8, 2024
TOTAL	<u>\$1,600,000</u>	<u>\$1,401,035</u>	

Source: Los Angeles Unified School District.

Lease Obligations and Certificates of Participation. As of January 1, 2025, the District has outstanding lease obligations in the form of COPs in the aggregate principal amount of approximately \$443.04 million. The District estimates that the aggregate payment of principal and interest evidenced by COPs will be approximately \$605.60 million until the final maturity thereof. The District's lease obligations are not subject to acceleration in the event of a default thereof. The following Table A-24 sets forth the District's existing lease obligations paid from the District General Fund with respect to its outstanding COPs as of January 1, 2025. The table below does not reflect the issuance of the Bonds expected to defease a portion of the District's outstanding COPs -- see "PLAN OF FINANCE AND REFINANCE" in the forepart of this Official Statement. See "– Future Financings – *Lease Financings*" for more information. A portion of the District's 2023 COPs will be prepaid with a portion of the proceeds of the Series B Bonds.

TABLE A-24
LOS ANGELES UNIFIED SCHOOL DISTRICT
Certificates of Participation Lease Obligations Debt Service Schedule⁽¹⁾
(as of January 1, 2025)
(\$ in thousands)

Fiscal Year Ending (June 30)	Paid From General Fund ⁽²⁾⁽³⁾
2025	\$ 10,496,986 ⁽⁴⁾
2026	50,166,678
	50,165,837
2028	50,170,829
2029	50,163,720
2030	48,411,327
2031	48,412,291
2032	38,004,125
2033	38,001,075
2034	37,992,000
2035	37,985,550
2036	36,406,750
2037	36,409,000
2038	36,410,750
2039	36,408,000
Total⁽³⁾	<u>\$605,604,918</u>

⁽¹⁾ The lease payments reflect the net obligations of the District due to the defeasance of certain COPs.

⁽²⁾ The District expects to pay all or a portion of the final debt service payments evidenced by certain series of COPs from funds on deposit in the related debt service reserve fund.

⁽³⁾ Total may not equal sum of component parts due to rounding.

⁽⁴⁾ Only reflects remaining debt service for fiscal year ending June 30, 2025, as of January 1, 2025. Total debt service for fiscal year ending June 30, 2025 is \$50.2 million.

Source: Los Angeles Unified School District.

Limitations Related to Receipt of Federal Subsidy Payments. On March 1, 2013, then-President Barack Obama signed an executive order (the “Sequestration Executive Order”) to reduce budgetary authority in certain accounts subject to sequester in accordance with the Budget Control Act of 2011 (the “Budget Control Act”) and the American Taxpayer Relief Act of 2012 (the “Taxpayer Relief Act”). Pursuant to the Sequestration Executive Order, budget authority for all accounts in the domestic mandatory spending category including, among others, accounts for the payments to issuers of “Direct Pay Bonds,” which includes the District’s outstanding Series J (Qualified School Construction Bonds) (the “Series J Bonds”), are subject to sequestration. Direct Pay Bonds are issued as taxable bonds and provide credits to the District from the federal government pursuant to Section 54AA(d) and 54AA(g) of the Code.

Pursuant to the Bipartisan Budget Act of 2013, enacted in December 2013, the District’s Direct Pay Bonds are subject to the full amount of sequestration budget cuts. The federal subsidy for the Direct Pay Bonds for the federal fiscal year ended September 30, 2023, was reduced by 5.7%, and the U.S. Treasury Department has announced a decrease in subsidy amounts by 5.7% through federal fiscal year ending 2031. During the federal fiscal year ended September 30, 2024, the sequester resulted in a reduction in the aggregate amount of approximately \$0.9 million with respect to the refundable credits for the Series J Bonds.

Congress can terminate, extend or otherwise modify reductions in federal subsidy payments on Direct Pay Bonds due to sequestration at any time. Furthermore, due to recent federal legislation, it was reported that the Congressional pay-as-you-go or PAYGO budget rule and scorecard could increase the overall sequestration percentage from the current level of 5.7% (under the Budget Control Act) to 100%. The Consolidated Appropriations Act of 2023, enacted in December 2022, prevented the PAYGO sequestration provisions from being triggered in January 2023 and delaying PAYGO sequestration until

January 2025, absent further legislation. Accordingly, the District cannot predict what action, if any, that Congress may take with respect to the federal subsidy and its impact on the District's Direct Pay Bonds in future federal fiscal years. The District's Series J Bonds, however, are payable from and secured by *ad valorem* property taxes which are to be assessed in amounts sufficient to pay principal of and interest on the Series J Bonds when due. The County has levied and will continue to levy *ad valorem* property taxes in an amount sufficient to pay principal of and interest on the Series J Bonds when due regardless of the amount of federal subsidy.

On January 20, 2025, President Trump issued a series of executive orders, which include ensuring that federal funds are used in a manner approved by the current administration. In response to and in an effort to carry out such orders, on January 27, 2025, the White House Office of Management and Budget ("OMB") released its Memorandum M-25-13, Temporary Pause of Agency Grant, Loan, and Other Financial Assistance Programs (the "OMB Memorandum"). The OMB Memorandum directed federal agencies to temporarily pause all activities related to obligation or disbursement of all federal financial assistance, and said temporary pause was to become effective at 5:00 p.m. on January 28, 2025. The OMB Memorandum caused mass confusion as to whether certain Federal funding and grants would be paused. On January 28, 2025, shortly before the OMB Memorandum became effective, a federal judge blocked the pause on federal funding. On January 29, 2025, OMB rescinded the OMB Memorandum. Although the OMB Memorandum was rescinded, the executive orders are in effect and the matter is ongoing as spending reviews are ongoing. On January 31, 2025, a federal judge issued a temporary restraining order that says the administration cannot pause, freeze, impede, block, cancel, or terminate federal financial assistance obligations to the states. Responding to the petition of several state Attorneys General, on February 10, 2025, a federal judge issued an Enforcement Order clarifying the scope of temporary restraining order and ordering the Trump Administration to release federal funds and comply with the earlier order. The Trump Administration's request to stay the temporary restraining order was denied. The District cannot predict any action to be taken in carrying out the executive orders nor its effect on the District's federal funding or operations of the District.

Tax and Revenue Anticipation Notes. On November 22, 2024, the District issued \$54,563,613 aggregate principal amount of its 2024-25 Tax and Revenue Anticipation Notes, Series A (the "2025A TRANS"). On January 30, 2025, the District issued \$1,362,475.87 of its 2024-25 Tax and Revenue Anticipation Notes, Series B (the "2025B TRANS"). On March 27, 2025, the District issued \$14,026,452.50 aggregate principal amount of its 2024-25 Tax and Revenue Anticipation Notes, Series C (the "2025C TRANSs"). The 2025A TRANSs, the 2025B TRANSs and the 2025C TRANSs all mature on August 1, 2025. The District anticipates paying the 2025A TRANSs, 2025B TRANSs and 2025C TRANSs through the issuance of judgement obligation bonds in fiscal year 2024-25. See "- Future Financings – Judgment Obligation Bonds" below.

Future Financings

General Obligation Bonds. The District may not issue general obligation bonds without voter approval and may not issue general obligation bonds in an amount greater than its bonding capacity. The District may not issue general obligation bonds under the Measure US Authorization if the tax rate levied to meet the debt service requirements under the related Authorization for general obligation bonds is projected to exceed \$60 per year per \$100,000 of taxable property in accordance with Article XIII A of the State Constitution. See "CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the State Constitution" and "– Proposition 39" herein.

Pursuant to the Education Code, the District's bonding capacity for general obligation bonds may not exceed 2.5% of taxable property valuation in the District as shown by the last equalized assessment roll of the County. The taxable property valuation in the District for fiscal year 2024-25 is approximately \$972.87 billion, which results in a total current bonding capacity of approximately \$24.32 billion. The

District's available capacity for the issuance of new general obligation bonds is approximately \$13.26 billion (taking into account current outstanding debt before the issuance of the Bonds). The fiscal year 2024-25 assessed valuation of property within the District's boundaries of approximately \$972.87 billion reflects an increase of 4.61% from fiscal year 2023-24. See "SECURITY AND SOURCE OF PAYMENT FOR THE BONDS – Assessed Valuation of Property Within the District" in the forepart of this Official Statement and "CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the State Constitution" herein. See also "SECURITY AND SOURCE OF PAYMENT FOR THE BONDS – Assessed Valuation of Property Within the District - 2025 *Wildfires*" in the forepart of this Official Statement.

Following the issuance of the Bonds, the District has \$[] authorized and unissued general obligation bond authorization remaining under the Measure US Authorization. The District may issue additional general obligation bonds or general obligation refunding bonds in the future depending upon project needs and market conditions.

As provided in the text of each of the ballots of Proposition BB, Measure K, Measure R, Measure Y, Measure Q, Measure RR, and Measure US, the District Board does not guarantee that the respective bonds authorized and issued under the Proposition BB, Measure K, Measure R, Measure Y, Measure Q, Measure RR, and Measure US Authorizations will provide sufficient funds to allow completion of all potential projects listed in connection with said measures.

Lease Financings. The District may finance capital projects through the execution and delivery of certificates of participation or other obligations secured by general fund lease payments from time to time. In particular, the District may utilize lease financing, from time to time, to fund projects that are not eligible to be funded with general obligation bond proceeds, that are not authorized to be funded under existing general obligation bond measures, or for which there is not sufficient general obligation bond authorization to fund. See also "– District Financial Policies and Related Practices – Debt Management Policy" herein.

AB 218 and Similar Claims. With respect to a portion of the District's pending and potential liabilities for sexual misconduct and similar claims including those brought pursuant to AB 218, the District has approved the issuance of certain judgment obligation notes and bonds for the refinancing and amortization of such claims resulting in settlement and final judgment of the court. See "DISTRICT FINANCIAL INFORMATION – Risk Management and Litigation – *Sexual Misconduct Cases.*"

The refinancing and amortization of these claims over a ten-to-twenty-year period as general unsecured obligations of the District payable from legally available revenues will result in more manageable annual payment obligations in the near term and minimize detrimental impacts upon the District's operations and currently enrolled and future students. To provide for the issuance of the judgment obligation notes and bonds, the District Board adopted an approving resolution and the District filed a complaint in the Los Angeles Superior Court for judicial validation in June 2024. Judicial validation is necessary for the District to deliver the notes, bonds and related agreements to the satisfaction of lenders and bond investors as legally enforceable obligations of the District meeting an exception to the constitutional debt limitation under the California constitution. Answers and objections to the complaint were filed by certain claimants but have now been withdrawn. The District is awaiting the court's decision on its ex parte motion for judgment of validation and cannot predict the outcome.

Tax and Revenue Anticipation Notes. The District may issue additional tax and revenue anticipation notes in fiscal year 2024-25 for purposes of paying obligations of the District payable or accruing during fiscal year 2024-25, particularly as an interim financing mechanism in connection with its refinancing of claims arising from AB 218 and similar claims. See "– AB 218 and Similar Claims" above. The District may also issue tax and revenue anticipation notes in future fiscal years depending on State and federal funding.

Judgement Obligation Bonds. The District expects to issue judgement obligation bonds in fiscal year 2024-25, in order to pay the District's outstanding 2024-25 tax and revenue anticipation notes issued as an interim financing mechanism in connection with its refinancing of claims arising from AB 218 and similar claims. See "– AB 218 and Similar Claims" above. The District may issue judgement obligation bonds in future fiscal years as well.

CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS

Constitutionally Required Funding of Education

The State Constitution requires that from all State revenues there shall first be set apart the moneys to be applied by the State for the support of the public school system and public institutions of higher education. California school districts receive a significant portion of their funding from State appropriations. As a result, decreases as well as increases in State revenues can significantly affect appropriations made by the State Legislature to school districts.

Article XIII A of the State Constitution

On June 6, 1978, California voters approved Proposition 13 ("Proposition 13"), which added Article XIII A to the State Constitution ("Article XIII A"). On June 3, 1986, California voters approved Proposition 46 ("Proposition 46") which amended Article XIII A to permit local governments and school districts to increase the *ad valorem* property tax rate above 1% if two-thirds of those voting in a local election approve the issuance of such bonds and the proceeds of such bonds are used to acquire or improve real property. See "SECURITY AND SOURCE OF PAYMENT FOR THE BONDS – California Constitutional and Statutory Provisions Relating to *Ad Valorem* Property Taxes – *Article XIII A of the California Constitution*" in the forepart of this Official Statement.

The provisions of Article XIII A were subsequently modified pursuant to Proposition 39, which was approved by California voters on November 7, 2000. See "– Proposition 39" below. Article XIII A defines full cash value to mean "the county assessor's valuation of real property as shown on the 1975-76 tax bill under "full cash value," or thereafter, the appraised value of real property when purchased, newly constructed, or a change in ownership has occurred after the 1975 assessment." The full cash value may be adjusted annually to reflect inflation at a rate not to exceed 2% per year, or a reduction in the consumer price index or comparable local data at a rate not to exceed 2% per year or reduced in the event of declining property value caused by substantial damage, destruction or other factors including a general economic downturn. Subsequent amendments further limit the amount of any *ad valorem* tax on real property to 1% of the full cash value except that additional taxes may be levied to pay debt service on bonded indebtedness approved by the requisite percentage of voters voting on the proposition.

Legislation Implementing Article XIII A

Legislation has been enacted and amended a number of times since 1978 to implement Article XIII A. Under current law, local agencies are no longer permitted to levy directly any *ad valorem* property tax (except to pay voter-approved indebtedness). The 1% *ad valorem* property tax is automatically levied by the County and distributed according to a formula among taxing agencies. The formula apportions the tax roughly in proportion to the relative shares of taxes levied prior to 1989.

the local agencies. Article XIII A effectively prohibits the levying of any other *ad valorem* property tax above the Proposition 13 limit except for taxes to support such indebtedness.

The full cash value of taxable property under Article XIII A represents the maximum taxable value for property. Accordingly, the fair market value for a given property may not be the equivalent of the full cash value under Article XIII A. During periods in which the real estate market within the District evidences an upward trend, the fair market value for a given property, which has not been reappraised due to a change in ownership, may exceed the full cash value of such property. During periods in which the real estate market demonstrates a downward trend, the fair market value of a given property may be less than the full cash value of such property and the property owner may apply for a “decline in value” reassessment pursuant to Proposition 8. Reassessments pursuant to Proposition 8, if approved by the Office of the County Assessor, lower valuations of properties (where no change in ownership has occurred) if the current value of such property is lower than the full cash value of record of the property. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS – Assessed Valuation of Property Within the District” in the forepart of this Official Statement. The value of a property reassessed as a result of a decline in value may change, but in no case may its full cash value exceed its fair market value. When and if the fair market value of a property which has received a downward reassessment pursuant to Proposition 8 increases above its Proposition 13 factored base year value, the Office of the County Assessor will enroll such property at its Proposition 13 factored base year value.

Proposition 19

On November 3, 2020, State voters approved Proposition 19, a legislatively referred constitutional amendment (“Proposition 19”), which amends Article XIII A to (i) expand special rules that give property tax savings to homeowners that are over the age of 55, severely disabled, or whose property has been impacted by wildfire or natural disaster, when they buy a different home; (ii) narrow existing special rules for inherited properties; and (iii) dedicate most of the potential new State revenue generated from Proposition 19 toward fire protection. The District cannot make any representation regarding the effect Proposition 19 may have on District revenues or the assessed valuation of real property in the District. The District cannot provide make any representation regarding the effect Proposition 19 may have on District revenues or the assessed valuation of real property in the District. Any reduction of assessed valuation, however, would result in a corresponding increase in the annual tax rate levied by the County to pay the debt service on to the Bonds.

State-Assessed Utility Property

Some amount of property tax revenue of the District is derived from utility property which is considered part of a utility system with components located in many taxing jurisdictions. Under the State Constitution, such property is assessed by the State Board of Equalization (“SBE”) as part of a “going concern” rather than as individual pieces of real or personal property. Such State-assessed property is allocated to the counties by the SBE, taxed at special county-wide rates, and the tax revenues distributed to taxing jurisdictions (including the District) according to statutory formulae generally based on the distribution of taxes in the prior year.

The California electric utility industry has been undergoing significant changes in its structure and in the way in which components of the industry are regulated and owned. Sale of electric generation assets to largely unregulated, non-utility companies may affect how those assets are assessed, and which local agencies are to receive the property taxes. The District is unable to predict the impact of these changes on its utility property tax revenues, or whether legislation may be proposed or adopted in response to industry restructuring, or whether any future litigation may affect ownership of utility assets or the State’s methods of assessing utility property and the allocation of assessed value to local taxing agencies, including the District. So long as the District is not a basic aid district, taxes lost through any reduction in assessed valuation will be compensated by the State as equalization aid under the State’s school financing formula.

Article XIII B of the State Constitution

An initiative to amend the State Constitution entitled “Limitation of Government Appropriations” was approved on September 6, 1979 thereby adding Article XIII B to the State Constitution (“Article XIII B”). In June 1990, Article XIII B was amended by the voters through their approval of Proposition 111. Under Article XIII B, the State and each local governmental entity have an annual “appropriations limit” and are not permitted to spend certain moneys that are called “appropriations subject to limitation” (consisting of tax revenues, State subventions and certain other funds) in an amount higher than the appropriations limit. Article XIII B does not affect the appropriations of moneys that are excluded from the definition of “appropriations subject to limitation,” including debt service on indebtedness existing or authorized as of January 1, 1979, or bonded indebtedness subsequently approved by the voters. In general terms, the appropriations limit is to be based on certain 1978-79 expenditures and is to be adjusted annually to reflect changes in costs of living and changes in population, and adjusted where applicable for transfer of financial responsibility of providing services to or from another unit of government. Among other provisions of Article XIII B, if these entities’ revenues in any year exceed the amounts permitted to be spent, the excess would have to be returned by revising tax rates or fee schedules over the subsequent two years. However, in the event that a school district’s revenues exceed its spending limit, the district may, in any fiscal year, increase its appropriations limit to equal its spending by borrowing appropriations limit from the State, provided the State has sufficient excess appropriations limit in such year. See “STATE FUNDING OF SCHOOL DISTRICTS” herein.

The 2025-26 State Budget Proposal projects that the State will not be below its appropriations limit (also referred to as the Gann Limit) for fiscal year 2025-26. The District Board adopted the annual appropriation limit for both fiscal year 2023-24 and fiscal year 2024-25 of approximately \$4.00 billion and \$4.06 billion, respectively. The limitation applies only to proceeds of taxes and therefore does not apply to service fees and charges, investment earnings on non-proceeds of taxes, fines, and revenue from the sale of property and taxes received from the State and federal governments that are tied to special programs.

Article XIII C and Article XIII D of the State Constitution

On November 5, 1996, the voters of the State of California approved Proposition 218, popularly known as the “Right to Vote on Taxes Act.” Proposition 218 added to the California Constitution Articles XIII C and XIII D (respectively, “Article XIII C” and “Article XIII D”), which contain a number of provisions affecting the ability of local agencies, including school districts, to levy and collect both existing and future taxes, assessments, fees and charges.

According to the “Title and Summary” of Proposition 218 prepared by the California Attorney General, Proposition 218 limits “the authority of local governments to impose taxes and property-related assessments, fees and charges.” Among other things, Article XIII C establishes that every tax is either a “general tax” (imposed for general governmental purposes) or a “special tax” (imposed for specific purposes), prohibits special purpose government agencies such as school districts from levying general taxes, and prohibits any local agency from imposing, extending or increasing any special tax beyond its maximum authorized rate without a two-thirds percent vote; and also provides that the initiative power will not be limited in matters of reducing or repealing local taxes, assessments, fees and charges. Article XIII C further provides that no tax may be assessed on property other than *ad valorem* property taxes imposed in accordance with Articles XIII and XIII A of the California Constitution and special taxes approved by a two-thirds percent vote under Article XIII A, Section 4.

On November 2, 2010, Proposition 26 was approved by State voters, which amended Article XIII C to expand the definition of “tax” to include “any levy, charge, or exaction of any kind imposed by a local government” except the following: (1) a charge imposed for a specific benefit conferred or privilege granted directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of conferring the benefit or granting the privilege; (2) a charge imposed for a

specific government service or product provided directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of providing the service or product; (3) a charge imposed for the reasonable regulatory costs to a local government for issuing licenses and permits, performing investigations, inspections, and audits, enforcing agricultural marketing orders, and the administrative enforcement and adjudication thereof; (4) a charge imposed for entrance to or use of local government property, or the purchase, rental, or lease of local government property; (5) a fine, penalty, or other monetary charge imposed by the judicial branch of government or a local government, as a result of a violation of law; (6) a charge imposed as a condition of property development; and (7) assessments and property-related fees imposed in accordance with the provisions of Article XIID. Proposition 26 provides that the local government bears the burden of proving by a preponderance of the evidence that a levy, charge, or other exaction is not a tax, that the amount is no more than necessary to cover the reasonable costs of the governmental activity, and that the manner in which those costs are allocated to a payor bear a fair or reasonable relationship to the payor's burdens on, or benefits received from, the governmental activity.

Article XIID deals with assessments and property-related fees and charges. Article XIID explicitly provides that nothing in Article XIIC or XIID shall be construed to affect existing laws relating to the imposition of fees or charges as a condition of property development; however, it is not clear whether the initiative power is therefore unavailable to repeal or reduce developer and mitigation fees imposed by the District. Proposition 218 does not affect the *ad valorem* property taxes to be levied to pay debt service on the Bonds.

Proposition 98

On November 8, 1988, State voters approved Proposition 98, a combined initiative, constitutional amendment and statute called the "Classroom Instructional Improvement and Accountability Act" (the "Accountability Act"). The Accountability Act changed State funding of public education below the university level, and the operation of the State's Appropriations Limit, primarily by guaranteeing State funding for K-12 school districts and community college districts (collectively, "K-14 districts").

Under Proposition 98 (as modified by Proposition 111, which was enacted on June 5, 1990), K-14 districts are guaranteed the greater of (i) in general, a fixed percent of the State general fund's revenues ("Test 1"), (ii) the amount appropriated to K-14 districts in the prior year, adjusted for changes in the cost of living (measured as in Article XIIB by reference to State per capita personal income) and enrollment ("Test 2"), or (iii) a third test, which would replace Test 2 in any year when the percentage growth in per capita State general fund revenues from the prior year plus 0.05% is less than the percentage growth in State per capita personal income ("Test 3"). Under Test 3, schools would receive the amount appropriated in the prior year adjusted for changes in enrollment and per capita State general fund revenues, plus an additional small adjustment factor. If Test 3 is used in any year, the difference between Test 3 and Test 2 would become a "credit" to schools which would be the basis of payments in future years when per capita State general fund revenue growth exceeds per capita personal income growth. Legislation adopted prior to the end of fiscal year 1988-89 that implemented Proposition 98, determined the K-14 districts' funding guarantee under Test 1 to be 40.3% of the State general fund tax revenues, based on 1986-87 appropriations. However, that percentage has been adjusted to 34.559% to account for a subsequent redirection of local property taxes whereby a greater proportion of education funding now comes from local property taxes.

Proposition 98 permits the State Legislature, by a two-thirds vote of both houses of the State Legislature and with the Governor's concurrence, to suspend the K-14 districts' minimum funding formula for a one-year period. In the fall of 1989, the State Legislature and the Governor utilized this provision to avoid having 40.3% of revenues generated by a special supplemental sales tax enacted for earthquake relief go to K-14 districts. In the fall of 2004, the State Legislature and the Governor agreed to suspend the K-14 districts' minimum funding formula set forth pursuant to Proposition 98 in order to address a projected

shortfall during fiscal year 2004-05. Proposition 98 also contains provisions transferring certain State tax revenues in excess of the Article XIII B limit to K-14 districts.

The 2024-25 State Budget suspends the Proposition 98 guarantee in 2023-24, which is projected to create a maintenance factor payment to be paid in future fiscal years of approximately \$8.3 billion in 2023-24 and \$4.1 billion in 2024-25. The maintenance factor obligation will be paid in addition to the Proposition 98 guarantee funding in 2024-25. The 2024-25 State Budget projects the Proposition 98 guarantee to fall under Test 1 for fiscal year 2023-24, resulting in funding estimates of \$103.7 billion in fiscal year 2022-23, \$98.5 billion in fiscal year 2023-24, and \$115.3 billion in fiscal year 2024-25. For more information on the Proposition 98 funding under the 2024-25 State Budget, see “STATE FUNDING OF SCHOOL DISTRICTS – State Budget Act – 2024-25 State Budget” herein. The 2025-26 Proposed State Budget, due to the implementation of universal transitional kindergarten, estimates that the Proposition 98 guarantee will fall under Test 1 for fiscal year 2025-26 and will increase to \$199.2 billion for fiscal year 2024-25 and \$118.9 billion in 2025-26. The 2025-26 Proposed State Budget expects an increased repayment of \$5.6 billion for the maintenance factor obligation, lowering the remaining balance to \$2.9 billion. There is no scheduled repayment proposed for fiscal year 2025-26.

Proposition 39

Proposition 39, which was approved by California voters in November 2000 (“Proposition 39”), provides an alternative method for passage of school facilities bond measures by lowering the constitutional voting requirement from two-thirds to 55% of voters and allows property taxes to exceed the current 1% limit in order to repay such bonds. The lower 55% vote requirement would apply only to bond issues to be used for construction, rehabilitation, or equipping of school facilities or the acquisition of real property for school facilities. The State Legislature enacted additional legislation which placed certain limitations on this lowered threshold, requiring that (i) two-thirds of the governing board of a school district approve placing a bond issue on the ballot, (ii) the bond proposal be included on the ballot of a Statewide or primary election, a regularly scheduled local election, or a Statewide special election (rather than a school district election held at any time during the year), (iii) the tax rate levied as a result of any single election not exceed \$25 for a community college district, \$60 for a unified school district, or \$30 for an elementary school or high school district per \$100,000 of taxable property value, and (iv) the governing board of the school district appoint a citizen’s oversight committee to inform the public concerning the spending of the bond proceeds. In addition, the school board of the applicable district is required to perform an annual, independent financial and performance audit until all bond funds have been spent to ensure that the funds have been used only for the projects listed in the measure. The District’s Measure K, Measure R, Measure Y, Measure Q, and Measure RR bond programs were authorized pursuant to Proposition 39. See “DISTRICT FINANCIAL INFORMATION – District Debt – *General Obligation Bonds*” herein. The District is in full compliance with all Proposition 39 requirements.

Proposition 1A

Proposition 1A, which was approved by California voters in November 2004 (“Proposition 1A”), provides that the State may not reduce any local sales tax rate, limit existing local government authority to levy a sales tax rate or change the allocation of local sales tax revenues, subject to certain exceptions. Proposition 1A generally prohibits the State from shifting to schools or community colleges any share of property tax revenues allocated to local governments for any fiscal year, as set forth under the laws in effect as of November 3, 2004. Any change in the allocation of property tax revenues among local governments within a county must be approved by two-thirds of both houses of the Legislature. Proposition 1A provided, however, that beginning in fiscal year 2008-09, the State could shift to schools and community colleges up to 8% of local government property tax revenues, which amount must be repaid, with interest, within three years, if the Governor proclaims that the shift is needed due to a severe state financial hardship, the shift is approved by two-thirds of both houses of the State Legislature and certain other conditions are met. The State may also approve voluntary exchanges of local sales tax and property tax revenues among local

governments within a county. Proposition 1A also provides that if the State reduces the vehicle license fee rate below 0.65% of vehicle value, the State must provide local governments with equal replacement revenues. Further, Proposition 1A requires the State, beginning July 1, 2005, to suspend State mandates affecting cities, counties and special districts, excepting mandates relating to employee rights, schools or community colleges, in any year that the State does not fully reimburse local governments for their costs to comply with such mandates. The State's ability to initiate future exchanges and shifts of funds will be limited by Proposition 22. See "– Proposition 22" below.

Proposition 22

Proposition 22, which was approved by California voters in November 2010, prohibits the State, even during a period of severe fiscal hardship, from delaying the distribution of tax revenues for transportation, redevelopment, or local government projects and services and prohibits fuel tax revenues from being loaned for cash-flow or budget balancing purposes to the State general fund or any other State fund. Due to the prohibition with respect to State's ability to take, reallocate, and borrow money raised by local governments for local purposes, Proposition 22 supersedes certain provisions of Proposition 1A of 2004. See "– Proposition 1A" herein. In addition, Proposition 22 generally eliminated the State's authority to temporarily shift property taxes from cities, counties, and special districts to schools, temporarily increased school and community college district's share of property tax revenues, prohibited the State from borrowing or redirecting redevelopment property tax revenues or requiring increased pass-through payments thereof, and prohibited the State from reallocating vehicle license fee revenues to pay for State-imposed mandates. In addition, Proposition 22 requires a two-thirds vote of each house of the State Legislature and a public hearing process to be conducted in order to change the amount of fuel excise tax revenues shared with cities and counties. The LAO stated that Proposition 22 would prohibit the State from enacting new laws that require redevelopment agencies to shift funds to schools or other agencies. However, the California Supreme Court, in *California Redevelopment Association v. Matosantos*, held that the dissolution provisions set forth in Assembly Bill No. 26 of the First Extraordinary Session (2011) were constitutional and permitted the State to allocate revenues that would have been directed to the redevelopment agencies to make pass-through payments (*i.e.*, payments that such entities would have received under prior law) to local agencies and to successor agencies for retirement of the debts and certain administrative costs of the redevelopment agencies.

Proposition 22 prohibits the State from borrowing sales taxes or excise taxes on motor vehicle fuels or changing the allocations of those taxes among local government except pursuant to specified procedures involving public notices and hearings. In addition, Proposition 22 requires that the State apply the formula setting forth the allocation of State fuel tax revenues to local agencies revert to the formula in effect on June 30, 2009. The LAO stated that Proposition 22 would require the State to adopt alternative actions to address its fiscal and policy objectives, particularly with respect to short-term cash flow needs. The District does not believe that the adoption of Proposition 22 will have a significant impact on their respective revenues and expenditures.

Proposition 30

Proposition 30, which was approved by voters in the State in November 2012 ("Proposition 30") authorized the State to temporarily increase the maximum marginal personal income tax rates for individuals, heads of households and joint filers above 9.3% by creating three additional tax brackets of 10.3%, 11.3% and 12.3%. The tax increases set forth in Proposition 30 were in effect from tax year 2012 to tax year 2018. In addition, Proposition 30 temporarily increased the State's sales and use tax rate by 0.25% from 2013 to 2016.

Pursuant to Proposition 30, the State included revenues from the temporary tax increases in the general fund calculation of the Proposition 98 minimum guarantee for education spending. The State deposited a portion of the new general fund revenues into an Education Protection Account established to

support funding for schools and community colleges. The remainder of the new general fund revenues was available to help the State balance its budget through fiscal year 2017-18. However, the allocation of such revenues to particular programs was subject to the discretion of the Governor and the State Legislature.

In addition, Proposition 30 amended the State Constitution to address certain provisions relating to the realignment of State program responsibilities to local governments. Proposition 30 required the State to continue to provide tax revenues that were redirected in calendar year 2011 (or equivalent funds) to local governments to pay for transferred program responsibilities. Further, Proposition 30 permanently excluded sales tax revenues that are redirected to local governments from the calculation of the Proposition 98 minimum guarantee for schools and community colleges.

The Proposition 30 sales and use tax increases expired at the end of the 2016 tax year. Under Proposition 30, the personal income tax increases were set to expire at the end of the 2018 tax year. The voters, however, approved on November 8, 2016, the California Tax Extension to Fund Education and Healthcare Initiative (“Proposition 55”), which extended by twelve years the temporary personal income tax increases on incomes over \$250,000 that was first enacted by Proposition 30. Revenues from the tax increase will be allocated to school districts and community colleges in the State.

Proposition 2

General. Proposition 2, which included certain constitutional amendments to the State Rainy Day Fund and, upon its approval, triggered the implementation of certain provisions which could limit the amount of reserves that may be maintained by a school district, was approved by the voters in the November 2014 election.

State Rainy Day Fund. The Proposition 2 constitutional amendments related to the State Rainy Day Fund (i) require deposits into the State Rainy Day Fund whenever capital gains revenues rise to more than 8% of general fund tax revenues; (ii) set the maximum size of the State Rainy Day Fund at 10% of general fund revenues; (iii) for the next 15 years, require half of each year’s deposit to be used for supplemental payments to pay down the budgetary debts or other long-term liabilities and, thereafter, require at least half of each year’s deposit to be saved and the remainder used for supplemental debt payments or savings; (iv) allow the withdrawal of funds only for a disaster or if spending remains at or below the highest level of spending from the past three years; (v) require the State to provide a multiyear budget forecast; and (vi) create a Proposition 98 reserve (defined herein as the “Proposition 98 Rainy Day Fund”) to set aside funds in good years to minimize future cuts and smooth school spending. The State may deposit amounts into such account only after it has paid all amounts owing to school districts relating to the Proposition 98 maintenance factor for fiscal years prior to fiscal year 2014-15. The State, in addition, may not transfer funds to the Proposition 98 Rainy Day Fund unless the State is in a Test 1 year under Proposition 98 or in any year in which a maintenance factor is created. For more information on limitations on school district reserves and the District’s commitment of funds in fiscal years 2022-23 and 2023-24, see “STATE FUNDING OF SCHOOL DISTRICTS – Limitations on School District Reserves.”

SB 858. Senate Bill 858 (“SB 858”) became effective upon the passage of Proposition 2. SB 858 includes provisions which could limit the amount of reserves that may be maintained by a school district in certain circumstances. Under SB 858, in any fiscal year immediately following a fiscal year in which the State has made a transfer into the Proposition 98 Rainy Day Fund, any adopted or revised budget by a school district would need to contain a combined unassigned and assigned ending fund balance that (a) for school districts with an ADA of less than 400,000, is not more than two times the amount of the reserve for economic uncertainties mandated by the Education Code, or (b) for school districts with an ADA that is more than 400,000, is not more than three times the amount of the reserve for economic uncertainties mandated by the Education Code. In certain cases, the county superintendent of schools may grant a school district a waiver from this limitation on reserves for up to two consecutive years within a three-year period if there are certain extraordinary fiscal circumstances.

SB 751. Senate Bill 751 (“SB 751”), enacted on October 11, 2017, alters the reserve requirements imposed by SB 858. Under SB 751, in a fiscal year immediately after a fiscal year in which the amount of moneys in the Proposition 98 Rainy Day Fund is equal to or exceeds 3% of the combined total general fund revenues appropriated for school districts and allocated local proceeds of taxes for that fiscal year, a school district budget that is adopted or revised cannot have an assigned or unassigned ending fund balance that exceeds 10% of those funds. SB 751 excludes from the requirements of those provisions basic aid school districts (also known as community funded districts) and small school districts having fewer than 2,501 units of average daily attendance.

Although the 2024-25 State Budget provides for a discretionary payment of approximately \$1.1 billion to the Proposition 98 Rainy Day Fund in fiscal year 2024-25, the 2024-25 State Budget also provides for a withdrawal of the entire \$8.4 billion balance in the Proposition 98 Rainy Day Fund in fiscal year 2023-24, leaving a projected balance of \$1.1 billion at the end of fiscal year 2024-25. The 2025-26 Proposed State Budget replaces the discretionary payment of \$1.1 billion into the Proposition 98 Rainy Day Fund in 2024-25 with a mandatory payment of \$1.2 billion, and another mandatory payment in 2025-26 of \$376 million. School district reserve caps will not be triggered in fiscal year 2024-25 and are not projected to be triggered in fiscal year 2025-26. The District, which has an ADA of over 250,001 students, is required to maintain a reserve for economic uncertainty in an amount equal to 1% of its general fund expenditures and other financing uses. For more information on limitations on school district reserves and the District’s commitment of funds in fiscal year 2023-24, see “STATE FUNDING OF SCHOOL DISTRICTS – Limitations on School District Reserves.”

The Bonds are payable from *ad valorem* taxes to be levied within the District pursuant to the California Constitution and other State law. Accordingly, the District does not expect SB 858 or SB 751 to adversely affect its ability to pay the principal of and interest on the Bonds as and when due.

State School Facilities Bonds

General. The District applies for apportionments from State bond initiatives and historically has received funding from such State bond initiatives. No assurances can be given that the District will continue to apply for apportionments from current or future State bond initiatives or that the District will continue to receive funding from State bond initiatives for which it applies. Typically, the District receives State funds from the below mentioned propositions. As a result, as of January 1, 2025, the District has received \$296.84 million in General Funds.

Proposition 47. The Class Size Reduction Kindergarten – University Public Education Facilities Bond Act of 2002 appeared on the November 5, 2002 ballot as Proposition 47 (“Proposition 47”) and was approved by State voters. Proposition 47 authorized the sale and issuance of \$13.05 billion in general obligation bonds by the State to fund construction and renovation of K-12 school facilities (\$11.4 billion) and higher education facilities (\$1.65 billion). Proposition 47 includes \$6.35 billion for acquisition of land and new construction of K-12 school facilities. Of this amount, \$2.9 billion is set aside to fund backlog projects for which school districts submitted applications to the State on or prior to February 1, 2002. The balance of \$3.45 billion would be used to fund projects for which school districts submitted applications to the State after February 1, 2002. To be eligible for bond proceeds under Proposition 47, K-12 school districts are required to pay 50% of the costs for land acquisition and new construction with local revenues. In addition, Proposition 47 provided that up to \$100 million of the \$3.45 billion would be allocated for charter school facilities. Proposition 47 provides up to \$3.3 billion for reconstruction or modernization of existing K-12 school facilities. Of this amount, \$1.9 billion will be set aside to fund backlog projects for which school districts submitted applications to the State on or prior to February 1, 2002 and the balance of \$1.4 billion would be used to fund projects for which school districts submitted applications to the State after February 1, 2002. K-12 school districts will be required to pay 40% of the costs for reconstruction or modernization with local revenues. Proposition 47 provides a total of \$1.7 billion to K-12 school districts which are considered critically overcrowded, specifically to schools that have a large number of pupils

relative to the size of the school site. In addition, \$50 million will be available to fund joint-use projects. Proposition 47 also includes \$1.65 billion to construct new buildings and related infrastructure, alter existing buildings and purchase equipment for use in the State's public higher education systems. As of January 1, 2025, the District has received approximately \$949.88 million in funds attributable to Proposition 47.

Proposition 55 (2004). The Kindergarten-University Public Education Facilities Bond Act of 2004 appeared on the March 2, 2004 ballot as Proposition 55 ("Proposition 55 (2004)") and was approved by State voters. Proposition 55 (2004) authorizes the sale and issuance of \$12.3 billion in general obligation bonds by the State to fund construction and renovation of public K-12 school facilities (\$10 billion) and public higher education facilities (\$2.3 billion). Proposition 55 (2004) includes \$5.26 billion for the acquisition of land and construction of new school buildings. Under Proposition 55 (2004), a school district is required to provide a 50% matching share for new construction or a 60% matching share for modernization projects with local resources unless it qualifies for state hardship funding. Proposition 55 (2004) also allocates up to \$300 million of new construction funds for charter school facilities.

Proposition 55 (2004) makes \$2.25 billion available for the reconstruction or modernization of existing public school facilities. School districts would be required to pay 40% of project costs from local resources. Proposition 55 (2004) directs a total of \$2.44 billion to school districts with schools which are considered critically overcrowded. These funds would go to schools that have a large number of pupils relative to the size of the school site. Proposition 55 (2004) also makes a total of \$50 million available to fund joint-use projects. Proposition 55 (2004) includes \$2.3 billion to construct new buildings and related infrastructure, alter existing buildings and purchase equipment for use in these buildings for the State's public higher education systems. The measure allocates \$690 million to the University of California and California State University and \$920 million to community colleges in the State. The Governor and the State Legislature select specific projects to be funded by the bond proceeds. As of January 1, 2025, the District has received approximately \$2.31 billion in funds attributable to Proposition 55 (2004).

Proposition 1D. The Kindergarten-University Public Education Facilities Bond Act of 2006 was approved by State voters at the November 7, 2006 ballot as Proposition 1D ("Proposition 1D"). Proposition 1D authorizes the sale and issuance of \$10.4 billion in general obligation bonds by the State to fund construction and renovation of public K-12 school facilities (\$7.3 billion) and public higher education facilities (\$3.1 billion). Proceeds of bonds issued by the State under Proposition 1D are required to be deposited in the 2006 State School Facilities Fund established in the State Treasury under the Greene Act and allocated by the State Allocation Board. Proposition 1D includes \$1.9 billion for land acquisition and construction of new school buildings. Under Proposition 1D, a school district is required to pay for 50% of costs with local resources unless it qualifies for state hardship funding. Proposition 1D also allocates \$500 million for charter school facilities.

Proposition 1D makes \$3.3 billion available for the reconstruction or modernization of existing public school facilities. Districts would be required to pay 40% of project costs from local resources. Proposition 1D directs a total of \$1.0 billion to school districts with schools that are considered critically overcrowded. These funds would go to schools that have a large number of pupils relative to the size of the school site. Proposition 1D also makes a total of \$29 million available to fund joint-use projects. Proposition 1D includes \$3.1 billion to construct new buildings and related infrastructure, alter existing buildings and purchase equipment for use in these buildings for the State's public higher education systems. Pursuant to Proposition 1D, the Governor and the State Legislature select specific projects to be funded by the bond proceeds. As of January 1, 2025, the District has received approximately \$819.50 million in funds attributable to Proposition 1D.

Proposition 51. The Kindergarten Through Community College Public Education Facilities Bond Act of 2016 was approved by State voters at the November 8, 2016 ballot as Proposition 51 ("Proposition 51"). Proposition 51 authorizes the sale and issuance of \$9 billion in general obligation bonds by the State

to fund new construction of school facilities (\$3 billion), school facilities for charter schools (\$500 million), modernization of school facilities (\$3 billion), facilities for career technical education programs (\$500 million), and acquisition, construction, renovation, and equipping of community college facilities (\$2 billion). Proceeds of bonds issued by the State for K-12 under Proposition 51 are required to be deposited in the 2016 State School Facilities Fund established in the State Treasury under the Greene Act and allocated by the State Allocation Board. As of January 1, 2025, the District has received approximately \$397.31 million in funds attributable to Proposition 51.

Proposition 2 (2024). The Kindergarten Through Grade 12 Schools and Local Community College Public Education Facilities Modernization, Repair and Safety Bond Act of 2024 (also known as Proposition 2 and referred to herein as “Proposition 2 (2024)”) was a ballot measure that was approved by State voters on November 5, 2024. Proposition 2 (2024) authorizes the sale and issuance of \$10 billion in State general obligation bonds for the repair, upgrade and construction of facilities at K-12 public schools, community colleges and career technical education programs, including the development of health and safety conditions. Proposition 2 (2024) includes \$3.3 billion for the new construction of K-12 facilities and an additional \$4 billion for the modernization of existing K-12 facilities. Up to \$10 million of the allocation for new constructions will be reserved for small school districts with an enrollment of fewer than 2,501 students. Of the \$4 billion assigned for modernization of existing K-12 facilities, up to \$115 million will be allocated for the repairment of lead in water at school facilities. In addition, a total of \$1.2 billion will be available for the modernization and new construction of charter school facilities (\$600 million) and technical education facilities (\$600 million). The State will award funds to technical education and charter school through an application process, and charter schools must be deemed financially sound before project approval. The District is pursuing but cannot guarantee that it will qualify for or receive Proposition 2 (2024) State facilities funding.

Future Initiatives

The foregoing described amendments to the State Constitution and propositions were each adopted as measures that qualified for the ballot pursuant to the State’s initiative process. From time to time, other initiative measures could be adopted that further affect District revenues or the District’s ability to expend revenues.

REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION

The District is located in the City of Los Angeles and portions of the County of Los Angeles. The following economic and demographic information pertains to the City of Los Angeles (the “City”) and the County of Los Angeles (the “County”). The historical data and results presented in the tables that follow may differ materially from future results as a result of economic or other factors.

The Bonds are general obligations of the District secured by and payable from *ad valorem* property taxes levied within the District. The Bonds are not general obligations of the City or the County.

Population

The following Table A-25 sets forth the estimates of the population of the City, the County and the State in calendar years 2020 through 2024.

TABLE A-25
POPULATION ESTIMATES
2020 through 2024

<u>Year</u> <u>(as of January 1)</u>	<u>City of</u> <u>Los Angeles</u>	<u>County of</u> <u>Los Angeles</u>	<u>State of</u> <u>California</u>
2020	3,898,536	10,014,009	39,538,223
2021	3,871,886	9,955,445	39,327,868
2022	3,822,940	9,861,493	39,114,785
2023	3,804,420	9,819,312	39,061,058
2024	3,814,318	9,824,091	39,128,162

Source: Department of Finance, 2020 Census Benchmark.

Income

The following Table A-26 sets forth the median household income for the City, the County, the State and the United States for calendar years 2019 through 2023.

TABLE A-26
MEDIAN HOUSEHOLD INCOME⁽¹⁾
2019 through 2023

<u>Year</u>	<u>City of</u> <u>Los Angeles</u>	<u>County of</u> <u>Los Angeles</u>	<u>State of</u> <u>California</u>	<u>United States</u>
2019	67,418	72,797	80,440	65,712
2020	65,290	71,358	78,672	64,994
2021	70,372	77,456	84,907	69,717
2022	76,135	82,516	91,551	74,755
2023	79,701	86,587	95,521	77,719

⁽¹⁾ Estimated. In inflation-adjusted dollars.

Source: U.S. Census Bureau – Economic Characteristics – American Community Survey.

The following Table A-27 sets forth the distribution of income by certain income groupings per household for the City, the County, the State and the United States for calendar year 2023.

TABLE A-27
INCOME GROUPINGS 2023⁽¹⁾
(Percent of Households)

<u>Income Per Household</u>	<u>City of</u> <u>Los Angeles</u>	<u>County of</u> <u>Los Angeles</u>	<u>State of</u> <u>California</u>	<u>United States</u>
\$24,999 & Under	17.5%	14.9%	13.0%	15.2%
\$25,000-49,999	15.6	14.6	13.5	17.0
\$50,000 & Over	67.1	70.5	73.5	67.7

⁽¹⁾ Estimated. In inflation-adjusted dollars. Data may not add up due to rounding.

Source: U.S. Census Bureau – Economic Characteristics – American Community Survey.

Employment

The District is within the Los Angeles-Long Beach Primary Metropolitan Statistical Area Labor Market (Los Angeles County). The following Table A-28 sets forth wage and salary employment in the County from calendar years 2019 through 2023.

TABLE A-28
LABOR FORCE AND EMPLOYMENT IN THE COUNTY OF LOS ANGELES⁽¹⁾
2019 through 2023

	2019	2020	2021	2022	2023
Civilian Labor Force	5,153,100	4,968,900	4,994,100	4,984,800	5,015,600
Employment	4,926,100	4,355,900	4,548,900	4,739,900	4,763,600
Unemployment	227,000	613,000	445,200	244,900	252,000
Unemployment Rate	4.4%	12.3%	8.9%	4.9%	5.0%
Wage and Salary Employment					
Farm	4,400	4,400	4,600	4,900	4,700
Mining and Logging	1,900	1,700	1,600	1,600	1,700
Construction	149,800	146,500	149,800	150,900	151,000
Manufacturing	340,700	315,100	311,700	321,800	319,200
Trade, Transportation and Utilities	851,000	788,000	817,600	837,400	826,400
Information	215,300	191,000	213,200	235,000	193,000
Financial Activities	223,600	212,600	210,800	215,900	211,000
					652,500
	647,000	599,800	629,500	668,900	
Educational and Health Services	839,900	820,300	839,600	873,600	914,500
Leisure and Hospitality	547,200	393,500	429,300	511,300	534,100
Other Services	158,400	128,700	134,100	153,500	157,800
Government	586,900	570,200	558,200	568,500	582,300
Total ⁽¹⁾	4,566,100	4,171,700	4,300,000	4,543,400	4,548,200

⁽¹⁾ Totals may not equal sum of component parts due to rounding.

Source: California Employment Development Department, Labor Market Information Division.

The following Table A-29 sets forth taxable sales in the County for the calendar years 2019 through 2023.

TABLE A-29
COUNTY OF LOS ANGELES
TAXABLE TRANSACTIONS⁽¹⁾
2019 through 2023
(\$ in thousands)

Type of Business	2019	2020	2021	2022	2023
Motor Vehicle and Parts Dealers	\$ 18,954,470	\$ 18,534,326	\$ 23,555,049	\$ 25,236,081	\$ 23,403,883
Home Furnishings and Appliance Stores	7,308,501	6,608,482	8,177,309	7,682,325	6,946,670
Building Materials and Garden Equipment and Supplies Dealers	8,698,495	9,556,946	10,450,185	10,997,781	10,640,811
Food and Beverage Stores	7,255,360	7,650,294	7,861,401	8,137,012	8,224,646
Gasoline Stations	12,491,790	8,132,307	12,405,237	16,114,153	14,239,588
Clothing and Clothing Accessories Stores	12,536,982	9,498,705	13,957,944	14,388,631	13,904,314
General Merchandise Stores	12,910,844	12,263,784	14,541,309	15,072,717	14,514,788
Food Services and Drinking Places	25,097,944	17,006,158	23,577,050	27,861,821	29,314,178
Other Retail Group	<u>17,190,290</u>	<u>24,164,972</u>	<u>24,407,441</u>	<u>24,618,548</u>	<u>24,281,294</u>
Total Retail and Food Services	<u>\$122,444,678</u>	<u>\$113,415,974</u>	<u>\$138,932,925</u>	<u>\$150,109,069</u>	<u>\$145,470,173</u>
All Other Outlets	<u>\$ 49,868,925</u>	<u>\$ 44,322,010</u>	<u>\$ 53,340,253</u>	<u>\$ 62,671,752</u>	<u>\$ 61,880,723</u>
TOTAL ALL OUTLETS	<u>\$172,313,603</u>	<u>\$157,737,984</u>	<u>\$192,273,178</u>	<u>\$212,780,821</u>	<u>\$207,350,896</u>

⁽¹⁾ Totals may not equal sum of component parts due to rounding.

Source: California Department of Tax and Fee Administration, Taxable Sales in California.

Leading County Employers

The economic base of the County is diverse with no one sector being dominant. Some of the leading activities include government (including education), business/professional management services (including engineering), health services (including training and research), tourism, distribution, and entertainment. The following Table A-30 sets forth the major employers in the County as of August 2024.

TABLE A-30
COUNTY OF LOS ANGELES
MAJOR EMPLOYERS⁽¹⁾
2024

<u>Employer</u>	<u>Product/Service</u>	<u>Employees</u>
U.S. Government – Federal Executive Board ⁽²⁾	Government	260,000
Los Angeles County	Government	116,571
Los Angeles Unified School District	Education	74,741
University of California, Los Angeles	Education	54,148
Kaiser Permanente Southern California	Nonprofit health plan	47,438
City of Los Angeles ⁽³⁾	Government	35,206
University of Southern California	Private university	24,099
Northrop Grumman Corp.	Systems and products in aerospace, electronics and information systems	18,708
Walt Disney Co.	Media and entertainment	13,400
Home Depot	Home improvement retailer	12,000
UPS	Logistics, transportation and freight	11,542
Los Angeles Department of Water & Power	Energy	
Long Beach Unified School District	Education	11,000
Boeing Co.	Aerospace and defense, commercial jetliners, space and security systems	10,783
Providence	Health care	10,153
Target Corp.	Retailer	10,020
NBCUniversal	Media and entertainment	8,576
Cedars-Sinai	Health system	8,427
California Institute of Technology	Private university, operator of Jet Propulsion Laboratory	8,419
Albertsons Cos.	Retail grocer	7,476
Allied Universal	Provider of security services and technology solutions	6,866
AT&T Inc.	Telecommunications, DirecTV, cable, satellite and television provider	6,475
	Treatment and research center for cancer, diabetes and other life-threatening diseases	6,427
City of Hope		
City of Long Beach	Government	6,000
Bank of America Corp.	Banking and financial services	5,490
Space Exploration Technologies Corp.	Rockets and spacecraft	5,467
Children's Hospital Los Angeles	Nonprofit freestanding children's hospital	5,305
Amazon	Online retailer	5,200
Inter-Con Security	Premier security services	5,165
Costco Wholesale	Membership chain of warehouse stores	5,143
California State University, Long Beach	Education	5,000
Ralphs	Grocery retailer	4,435
Capital Group	Financial services	4,251
California State University, Northridge	Education	4,163
Los Angeles World Airports	Airport authority owner and operator	4,000
Pomona Unified School District	Education	4,000
CommonSpirit Health ⁽⁴⁾	Health care	3,360
Los Angeles County Metropolitan Transportation Authority	Transportation	3,023
California State University, Los Angeles	Education	2,657
Cal Poly Pomona	Education	2,648
Santa Monica Community College District	Education	2,459
Mt. San Antonio Community College District	Education	2,306
City of Santa Monica	Government	2,000
Montebello Unified School District	Education	1,900
Cal State Dominguez Hills	Education	1,761
City of Torrance	Government	1,683
City of Pasadena	Government	1,661
Conejo Valley School District	Education	1,550
Glendale Unified School District	Education	1,431
Los Angeles Community College District	Education	1,223

⁽¹⁾ This information was provided by representatives of the employers, company financial and annual budget reports, company LinkedIn profiles. Government agencies and companies are ranked by the current number of full-time employees in the County. Several organizations and companies may have qualified for this list but failed to submit information or do not break out local employment data.

⁽²⁾ Excludes law enforcement and judiciary employees.

⁽³⁾ Excludes proprietary departments (LADWP, LAWA, Port of LA).

⁽⁴⁾ Previously known as Dignity Health.

Source: "Largest Public-Sector Employers" and "Largest Private Sector Employers," *Los Angeles Business Journal*, August 26-September 1, 2024.

Construction

The following Table A-31 sets forth the valuation of permits for new residential buildings and the number of new single-family and multi-family dwelling units in the City for the years 2020 through 2024.

TABLE A-31
CITY OF LOS ANGELES
PERMIT VALUATIONS AND UNITS OF CONSTRUCTION⁽¹⁾
2020 through 2024
(\$ in thousands)

Year	New Residential Valuation	New Single Family Dwelling Units	New Multi-Family Dwelling Units	Total New Units
2020	\$3,235,640	1,887	10,448	12,335
2021	3,013,650	2,469	11,667	14,136
2022	3,783,606	3,042	13,049	16,091
2023	2,389,320	689	8,438	9,127
2024 ⁽²⁾	1,294,450	349	2,982	3,331

⁽¹⁾ Total may not equal sum of component parts due to rounding.

⁽²⁾ Values include data through June 30, 2024.

Source: California Homebuilding Foundation | Construction Industry Research Board.

The following Table A-32 sets forth information with respect to building permits and building valuations in the County from 2020 through 2024.

TABLE A-32
COUNTY OF LOS ANGELES
BUILDING PERMITS AND VALUATIONS⁽¹⁾
2020 through 2024

	<u>2020</u>	<u>2021</u>	<u>2022</u>	<u>2023</u>	<u>2024⁽²⁾</u>
Residential Building Permits (Units)					
New Residential Permits					
Single Family	6,198	7,327	8,301		1,207
Multi-Family	<u>14,056</u>	<u>16,718</u>	<u>18,912</u>	<u>7,769</u>	<u>4,381</u>
Total Residential Building Permits	<u>20,254</u>	<u>24,045</u>	<u>27,213</u>	<u>10,231</u>	<u>5,588</u>
Building Valuations (\$ in millions)					
Residential Building Valuations					
Single Family	\$1,874	\$2,086	\$2,180	\$1,056	\$ 575
Multi-Family	2,790	3,027	3,524	1,369	681
Alterations and Additions	<u>1,014</u>	<u>908</u>	<u>1,423</u>	<u>1,060</u>	<u>1,112</u>
Residential Building Valuations	<u>\$5,678</u>	<u>\$6,021</u>	<u>\$7,127</u>	<u>\$3,485</u>	<u>\$2,369</u>
Subtotal					
Non-Residential Building Valuations					
New Industrial Buildings	\$ 32	\$ 28	\$ 25	\$ 129	\$ 3
Office Buildings	242	162	69	75	103
Store & Other Mercantile	897	170	879	348	146
Hotels and Motels	232	53	40	68	0
Alterations and Additions	1,241	946	2,417	1,352	918
Amusement and Recreation	2	38	3	15	113
Parking Garages	103	0	80	445	99
Service Stations and Repair	72	1	6	1	0
Garages					
Other	<u>691</u>	<u>466</u>	<u>661</u>	<u>497</u>	<u>261</u>
Non-Residential Building Valuations	<u>\$3,513</u>	<u>\$1,863</u>	<u>\$4,184</u>	<u>\$2,929</u>	<u>\$1,642</u>
Subtotal					
Total Building Valuations	<u>\$9,191</u>	<u>\$7,884</u>	<u>\$11,311</u>	<u>\$6,414</u>	<u>\$4,011</u>

⁽¹⁾ Totals may not equal sum of component parts due to rounding.

⁽²⁾ Values include data through June 30, 2024.

Sources: California Homebuilding Foundation | Construction Industry Research Board.

GLOSSARY OF CERTAIN TERMS AND ABBREVIATIONS

The following are definitions and abbreviations of certain terms used in this Appendix A.

“AALA” means the Associated Administrators of Los Angeles, which represents the middle managers in the District.

“ACFR” means annual comprehensive financial report.

“ADA” means average daily attendance, a measure of pupil attendance used as the basis for providing revenue to school districts and as a measure of unit costs. ADA includes only in-seat attendance.

“CalPERS” means the California Public Employees’ Retirement System, a defined benefit plan which covers classified personnel who work four or more hours per day.

“CalSTRS” means the California State Teachers’ Retirement System, a defined benefit plan which covers all full-time certificated and some classified District employees.

“CARES Act” means Coronavirus Aid, Relief and Economic Security Act.

“CDE” means the California Department of Education.

“COLA” means cost-of-living adjustments, which is used in determining the District’s funding from the State.

“Common Core” means Common Core State Standards.

“COPS” means certificates of participation.

“COVID-19” means Coronavirus Disease 2019.

“CSEA” means California School Employees Association.

“EL” means English learners, a classification for students.

“FRPM” means free or reduced-price meal.

“ISMP” means the Information Security Management Program.

“LACOE” means the Los Angeles County Office of Education.

“LAO” means the Legislative Analyst’s Office of the State of California.

“LASPA” means the Los Angeles Sheriff’s Professional Association.

“LASPMA” means the Los Angeles School Police Management Association.

“LCAP” means the Local Control and Accountability Plan.

“LCFF” means the Local Control Funding Formula.

“LEA” means local education agency as defined under the NCLB Act.

“LI” means students classified as foster youth.

“OCIP” means owner controlled insurance program.

“OPEB” means Other Post-Employment Benefits.

“PARS” means the Public Agency Retirement System, a defined contribution plan which covers the District’s part-time, seasonal, temporary and other employees not otherwise covered by CalPERS or CalSTRS, but whose salaries would otherwise be subject to Social Security tax.

“PEPIP” means the Public Entity Property Insurance Program, an insurance pool comprised of certain cities, counties and school districts.

“PEPRA” means the California Public Employees’ Pension Reform Act of 2013.

“PERB” means the Public Employee Relations Board.

“PLL” means pollution legal liability.

“SEIU” means Service Employees International Union.

“SUP” means School Upgrade Program.

“UAAL” means unfunded actuarial accrued liability.

“UTLA” means the United Teachers Los Angeles, which is the collective bargaining unit representing teachers and support service personnel of the District.

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